2021 California Real Estate Exam Prep. Questions & Answers

2nd Edition

Real Estate Exam Professionals, Ltd.

Study Guide to Passing the Salesperson Real Estate License Exam Effortlessly

2021 California Real Estate Exam Prep. Questions, Answers & Explanations

Study Guide to Passing the Salesperson Real Estate License Exam Effortlessly

Fun Science Group

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Introduction

Thank you for purchasing this Real Estate Exam Prep. book. We hope you will learn a great deal from our study guide and that you will study well and pass your exam. It is our purpose to provide you with the most up to date information for your state real estate exam. We have made every effort to present this material as the closest possible example to what you will see on your actual state exam. At times, it will appear to be exactly what you will see on the exam. We have tried very hard to make this book as error and typo free as possible. However, we are not without our faults. Real estate exam material and the real estate exams change rapidly and we are continuously updating this book as these changes occur. You may find a typo here and there, but do not be alarmed. We assure you that if you find one, it will be obvious and it will not prevent you from being able to tell what the correct answer is.

You will find that after you have studied this material as instructed in the *How to Use this Guide Effectively*, you will discover that this is all you need to pass the real estate exam. There are many real estate schools out there such as Allied Real Estate School, Anthony Real Estate School and Kaplan that, although they are good schools, also offer exam cram or exam preparation materials, but are extremely overpriced. Their materials can cost into the $100 and $300 ranges and provide a lot of extra "fluff" material that will not help you pass the exam and will waste your time. This book offers all the same materials in a condensed and precise manner with no fluff. Once you have taken the department of real estate certified classes and passed them, qualified to for a state exam date then you do not need those classroom materials anymore. All you will need are the answers to the state and national real estate exam questions. Study those, nothing else, memorize them, and you will pass your exam on the 1st try. There is no need to buy expensive materials from other schools, no need to sit in live exam cram courses, and there is no need for the Real Estate Exam for Dummies books. We have been offering this material to thousands of licensees for over 10 years with a tremendous amount of positive reviews and feedback.

Please be aware that the materials in this book including any bonus item you have received with this book are copyrighted. No part of this book in part or in whole may be duplicated, distributed or resold without consent of the publishers. Our staff actively searches the internet everyday for sales of real estate media on thousands of websites and online auctions. If our program is found being copied, distributed or resold we will prosecute to the fullest extent of the law.

How To Use This Guide Effectively

Here you will find tried and true steps to help you use this guide effectively and to get the best results while minimizing your study time. Please understand that as you go through the real estate questions we have prepared for you, you may come across a few that you have never seen before. Do not be alarmed. These are questions that are on the state exam, but were never given to you in the real estate class you took or in your class textbooks. This is why there is such a high failure rate for the real estate exam. The actual questions on the state or national real estate exams are NOT created by the same agency that created the college courses or text books. These college courses are designed by regional college accreditation agencies and the state real estate exams are created by the individual state's department of real estate or real estate commissions. It is very frustrating, we know. That is why there publishers like us who create exam cram courses and applications to "bridge the gap" of knowledge for the real estate exams.

STEP 1: Read and understand the VOCABULARY section first. These are very important terms. The key to successful knowledge of real estate is to understand and know the vocabulary used. Review them until you are confident to go onto the questions. Do not continue to the questions until you know these terms well.

STEP 2: Begin this book in the STUDY SECTION and read all the real estate questions with their correct answers and explanations. There are a lot of questions. Pace yourself and allow time to understand and memorize the correct answers.

STEP 3: Go back to the VOCABULARY section and review. Again, they are VERY important. You must know these forwards and backwards.

STEP 4: Repeat step 2 until you feel you are scoring 90% or better. Then review the VOCABULARY section again.

STEP 5: Now begin the MATH only portion of the STUDY SECTION. Read the questions with the answers and explanations until you have mastered them just as you did with the regular real estate questions. Make sure you set aside a separate time of the day to ONLY study the math. The reason for this is that the analytical/math function of the human brain works on math problems from different areas of the brain than word problems. When studying it takes approx. 10 min. for the brain to fully switch to a pure analytical/math function. If you are studying word problems and math problems in the same study session, you will be wasting a lot of time and overworking your brain. Time is key here, especially when it comes to the day of the exam, more about that later.

STEP 6: Repeat the MATH ONLY portion in the STUDY SECTION until you feel you are scoring at least 90% or better.

STEP 7: Now you are ready to go on to the TEST SECTION of this book. These questions will simulate what you will find on the actual state exam. You will have a limited time to complete the exam. Set a timer to the amount

of time that your state allows for you to complete the state exam. Begin taking one of the exams and write your answers on a blank sheet of paper. When you are finished, check your answers with the correct answers shown in the STUDY SECTION and score yourself. Now continue to Step 8.

STEP 8: Did you score 90% or better? If so, congratulations! You are ready to take the actual state exam and pass on your first try. If you did not score 90% or better, review the questions you missed using the STUDY SECTION. Study them, and retake the corresponding exam in the TESTING SECTION. Continue doing this and review the Vocabulary, if needed, until you are scoring 90% or better.

IMPORTANT!!!

REMEMBER THIS ON THE DAY YOU TAKE YOUR STATE EXAM…

DO NOT ANSWER, OR EVEN READ, THE FIRST 5 QUESTIONS OF THE EXAM. DO THOSE SECOND TO LAST AND ANY MATH RELATED QUESTIONS, VERY LAST!!!

Write the numbers to these questions on a piece of paper to remember to do them later. The reason is that they have placed the hardest questions in the first 5 spots to distract you, make you nervous and frustrated while taking the test. So, do those just before doing the math questions. Do the math questions very last because as we explained earlier, psychologically it takes the brain about 5-10 minutes to go from comprehensive thinking to analytical

mathematical thinking. You only have a limited amount of time to complete the real estate exam. Therefore, your time will be very valuable. Do not leave any question unanswered. An unanswered question will be scored as a wrong answer.

Be sure to read the section *"Secrets to Passing the Real Estate Exam"* this section was developed by ex-real estate exam proctors. It will give you more detailed steps and inside information on how to use the above method on the day of your exam. It will also show you how to answer a question correctly even if you have completely forgotten the answer.

Good luck and study well!

Real Estate Vocabulary

Due to the length of this Real Estate Glossary, we have included it as a link below:

http://www.realestateabc.com/glossary/

You may also download a PDF version here:

http://tinyurl.com/realestatevocab

Study Section

In this section you will have the Real Estate Vocabulary Exam, California Real Estate Exam and Real Estate Math Exam. Read through all the questions in each exam according to the *How to Use this Guide Effectively* chapter and ONLY look at the correct answers in each exam. Start with the Vocabulary Exam and read question number one and then read ONLY the correct answer immediately. Continue to do this for each question until you have read all the questions in the first exam. If you go through each exam 3-4 times in this manner, you will then be able to recognize the correct answer right away when it comes to taking the actual exam. If your reading device has the ability to highlight the correct answer in each question, please utilize this feature. It will make it a little easier each time when reading through the exams in this section.

Real Estate Vocabulary Exam

1. An executory contract is a:

A. written contract that cannot be altered by oral agreement.

B. contract with an executor of an estate.

C. contract that has been fully performed.

D. contract that is yet to be performed by one or both parties.

Answer: D. An executory contract is one that is to be performed, as distinct from an executed contract, which has been fully performed.

2. Mr. Applegate purchased a home in a subdivision through Broker Able. Applegate applied for a loan and on the loan application there were two boxes that he was asked to check. One box was for marital status and the other for race. Applegate may:

A. sue the broker arranging the loan and the loan officer for asking these questions on the loan application.

B. be required to answer these two questions by the lender in order for the loan to be processed.

C. file a complaint with the real estate commissioner.

D. refuse to answer the questions on race and marital status.

Answer: D. The applicant may refuse to answer about race since the information is optional on the typical real estate loan application. Both federal and California law prohibit discrimination on the basis of marital status. Therefore, marital status cannot be considered by the lender to be a material fact. The borrower, then, may refuse to answer the question.

3. A landlord and tenant mutually agree to terminate a lease. This is often referred to as:

A. rescission

B. abandonment

C. release

D. surrender

Answer: D. Surrender is a mutual agreement between the landlord and tenant to terminate a lease. Rescission is a mutual agreement to

release each other from any contract before performance, under which the parties must restore each other to their former positions.

4. Under the Truth-in-Lending Act, a "Notice of Cancellation" could be given when the loan was:

A. secured by a commercial building.

B. used for business expansion.

C. secured by the owner's residence.

D. more than $25,000 and was not secured.

Answer: C. The federal Truth-in-Lending Act requires a "Notice of Right to Rescind" only when security for the loan is the borrower's existing principal residence.

5. What would create an interest in property with possessory rights but no form of title?:

A. Sublease

B. Land contract

C. Mortgage

D. Easement

Answer: A. A sublease is a transfer of less than the leasehold with the reversion in the sublessor and would create no form of title in the sublessee. A land contract transfers (1) possession, (2) equitable title, and (3) the right to acquire the fee title after all the conditions of the contract have been met. A mortgage does not convey any possessory interest; it is a security device.

6. An appraiser received a $300 fee from Jones for appraising Brown's property. The appraiser may discuss the details of the appraisal with:

A. Jones

B. no one

C. Brown

D. anyone

Answer: A. The appraiser should preserve a professional confidential relationship with his or her client and should report the conclusions and valuation concerning the property only to the client. Although Brown owns the property, Brown is not entitled to information paid for by Jones. Lenders do have an obligation by law to provide a copy of the appraisal to a borrower under specific circumstances.

7. In the planning and engineering of a tract for subdivision purposes, a "cul-de-sac" is frequently employed. This term is in reference to the installation of:

A. recreation areas

B. sewage disposal

C. streets

D. drainage

Answer: C. Cul-de-sac refers to a dead-end street.

8. A broker who is not authorized to accept deposits in his listing agreement must inform the offeror that:

A. no deposits will be accepted.

B. an agent must accept all deposits.

C. the risk of loss lies solely with the buyer. The seller will not be liable in event of loss of the deposit.

D. it is implied by law that if authorized by the seller, deposits can be accepted.

Answer: C. An agent who accepts a deposit from a buyer, even though not authorized by the seller to do so, acts as an agent of the buyer as to the handling of that deposit. Since the seller would not be liable in the event of loss of the deposit, the buyer should be so informed.

9. A clause in a second trust deed that permits the first trust deed to be refinanced without affecting its priority would be known as:

A. an acceleration clause.

B. a submortgage.

C. none of these.

D. an alienation clause.

Answer: C. A subordination clause is a clause that allows for such a change in lien priority.

10. When an existing contract is replaced by an entirely new contract, this is an act of:

A. subrogation

B. novation

C. hypothecation

D. rescission

Answer: B. The word novation comes from the Latin words meaning to make new.

11. The distinguishing characteristic of real property as opposed to personal property is that real property:

A. can be depreciated over useful life.

B. is a long-term asset.

C. is immovable.

D. has a high cost of acquisition.

Answer: C. Real property consists of that which is immovable by law.

12. All of these people can sue for specific performance EXCEPT:

A. an attorney-in-fact acting for the principal.

B. the purchaser of a residential property.

C. the seller of a large tract of land.

D. a broker acting as the agent for the principal.

Answer: D. A broker acting as an agent would not likely be able to sue his principal for specific performance because the broker is not a party to his principal's contract.

13. An agreement with a lender that prohibits early payoff of a loan is known as a(n):

A. exculpatory clause.

B. lock-in clause.

C. open-end mortgage.

D. prepayment penalty.

Answer: B. A lock-in clause is a clause that may appear in a note or land contract that prohibits the lendee from paying off the indebtedness before the date set forth in the contract.

14. The quickness with which assets can be converted into cash is known as:

A. risk

B. yield

C. leverage

D. liquidity

Answer: D. Liquidity is the ability to convert assets into cash at a price close to true value. Stocks that are traded publicly are a relatively liquid investment. Real estate is considered to be a longer-term investment as it is not highly liquid.

15. A licensee can legally do all of these things EXCEPT:

A. use an open listing without a final and definite termination date.

B. collect a commission or service a mortgage loan that he did not negotiate.

C. claim an income tax deduction for a commission paid for the sale of his own property.

D. fail to use a termination date on an exclusive listing.

Answer: D. Using an exclusive listing without a definite termination date is a violation of the real estate law.

16. lessee may be justified in abandoning a rented dwelling if there is constructive eviction by the landlord. All of these would be constructive eviction EXCEPT:

A. an eviction notice is tendered by the landlord.

B. unwarranted delays by the landlord after notice to make repairs of damages that have made the property unfit for occupancy.

C. condemnation of the entire property in eminent domain proceedings.

D. failure of the landlord to repair excessive wear and tear to property caused by the tenant.

Answer: D. A landlord would not likely be found guilty of constructive eviction for failing to repair excessive wear and tear caused by the tenant. The three other circumstances would be classified as constructive eviction.

17. An investor purchased an apartment building with a very small down payment and was able to secure financing for the balance. A year later, he sold the property for profit with no increase in his investment. This is an example of:

A. leverage

B. inflation

C. appreciation

D. debt reduction

Answer: A. he basic idea of leverage is to use other people's money to finance purchases to realize greater return on your investment. The increase is called appreciation.

18. Franklin offered to perform all of the obligations in a purchase contract. This act is considered a:

A. demand

B. covenant

C. condition

D. tender

Answer: D. Tender is the act by which one offers to perform under a contract. It is not the actual performance.

19. An escrow company received two termite reports in which the estimates of cost of the work differed. Under these circumstances:

A. the seller and broker should present both reports to the buyer.

B. the least expensive report should be used.

C. the seller and broker must decide which report to use.

D. the most expensive report should be used.

Answer: A. The results of a pest control inspection report, including the cost of corrective work, would be material facts to a buyer and must be disclosed. If two or more inspections are made, all reports must be disclosed.

20. A contract signed under duress would be:

A. void

B. voidable

C. illegal

D. unenforceable

Answer: B. When the mutual consent to a contract is induced by fraud, duress, menace, or undue influence, the contract is voidable at the option of the wronged party.

21. A listing agent gave part of his commission to the buyer. He:

A. must disclose this to the seller.

B. may be disciplined by the real estate commissioner.

C. is guilty of criminal action.

D. is guilty of committing a civilly wrong act.

Answer: A. That an agent "gave part of his commission to the buyer" would be considered a material fact. The fiduciary relationship of the agent to the principal required full disclosure of all material facts. The agent would not be disciplined by the real estate commissioner unless the broker failed to disclose this material fact to the principal.

22. Amenities of residential real estate are:

A. related to its capacity to provide shelter effectively.

B. not considered by appraisers because they are intangible qualities.

C. measurable on the market.

D. the property's physical attributes.

Answer: C. menities are the attractive or desirable features of a home or neighborhood. These may be physical attributes or perhaps the neighborhood's attitude toward schools, well-kept lawns, et cetera. These may be tangible or intangible qualities measurable on the market.

23. Mr. Ferguson purchased a property for $125,000 with 12% cash down. He financed the balance with equal monthly payments of $1,048, which included 11% interest, and the loan would be fully amortized in 30 years. Mr. Ferguson sold the property for $139,750 before making any payments on the loan. What was his equity at the time of sale?:

A. $15,000

B. $29,750

C. None of these

D. $24,750

Answer: B. Purchase Price $125,000 (Equity at purchase)
Less Down Payment -15,000 (0.12 cash down) x $125,000
Loan $110,000
Selling Price $139,750
Less Loan -110,000
Equity $29,750 (At time of sale)

24. hich loan costs are NOT required to be disclosed as a finance charge to the customer under federal truth-in-lending rules?:

A. Finder's fees

B. Credit investigation

C. Buyer's points

D. Time-price differential

Answer: B. Under the Truth-in-Lending Act, Buyer's points, time-price differential, and finder's fees must be disclosed in the finance charge. Exempted charges on residential mortgage transactions include title insurance, document costs, recording and notary fees, credit investigations, and appraisal fees.

25. A seller sued a real estate broker for misrepresentation of a material fact that the broker had made to him during the sale transaction. In defending the suit, the broker was able to prove that the listing contract with the seller had been an oral agreement. Under these circumstances:

A. this defense is not a bar because it was not the issue.

B. the broker is only liable for misrepresentation to buyers.

C. the statute of frauds is not a bar in any real estate transaction litigation.

D. this is a valid defense based on the statute of frauds.

Answer: A. The broker cannot use the statute of frauds as a defense in this situation. The statute requires that the listing contract be in writing to be enforceable in court but has nothing to do with misrepresentation.

26. Which document is NOT a means of creating an interest in real property?:

A. Lease

B. Bill of sale

C. Deed

D. Mortgage

Answer: B. A bill of sale is used to convey title to personal property, not real property.

27. A broker who is selling property on which he holds an option must inform the buyer that he is a(n):

A. principal

B. agent

C. grantor

D. optionor

Answer: A. A broker who holds an option to purchase real property is a principal. He is not representing a seller but is dealing on his own behalf, a fact that must be disclosed to a purchaser.

28. Which would have the least effect on property taxes in a community?:

A. Homestead exemptions

B. Number of commercial buildings and high-priced homes

C. Compactness of the community

D. Zoning and private restrictions

Answer: A. Homesteads will not protect the owners from property taxes and would have the least effect on them.

29. A lease for a period of years that is held by the lessor is an example of:

A. freehold estate.

B. none of these.

C. personal property.

D. real property.

Answer: C. While in fact the lessor (landlord) has a freehold estate on the property, she has given a tenant the right to possess the property for a period of time using an instrument called a lease. This lease is a piece of paper and it is the personal property of the landlord (lessor).

30. The federal Fair Housing Law was enacted for the purpose of:

A. providing fair housing for minority groups.

B. providing fair housing opportunity for all persons throughout the United States.

C. equal but separate housing within the states.

D. elimination of prejudice throughout the United States.

Answer: B. This is the law's basic purpose: to provide all persons in the United States with fair housing opportunities.

31. An agency agreement may be terminated by all of these occurrences EXCEPT:

A. destruction by fire of the property that is the subject matter of the agency agreement.

B. the principal's refusal of an offer to purchase presented in the name of a third person.

C. renunciation of the agreement by the agent.

D. mutual termination by both the principal and agent prior to the original termination period.

Answer: B. The parties may agree to terminate an agency. An agent may renounce it. An agency is terminated by extinction of the subject matter, but a principal's refusal of an offer to purchase does not terminate an agency agreement.

32. The most distinguishable characteristic of personal property is:

A. mobility.

B. being affixed to land as a permanent part of the land.

C. all of these.

D. being incidental or appurtenant to land.

Answer: A. Personal property has the characteristics of being movable. Therefore, it has mobility. Being incidental or appurtenant to land and being affixed to land as a permanent part of the land are characteristics of real property.

33. Jones is using Smith's swimming pool and suffers an injury. If Jones instituted court action and obtained a judgment against Smith for $2,500, it would be a(n):

A. voluntary lien.

B. abstract lien.

C. general lien.

D. specific lien.

Answer: C. A judgment is a general lien when the abstract of judgment is recorded.

34. An appraiser is called upon to appraise a property on which there was a building of no value. The appraiser should:

A. appraise for highest and best use and disregard the cost of demolition.

B. add the salvage value of the building.

C. appraise for highest and best use and deduct the cost of demolition.

D. ignore the building.

Answer: C. If there is an existing structure on the property, the appraiser will value the land for its highest and best use as if vacant, but must allow a reduction for the cost of removal of the structure.

35. Liquidation of a financial obligation on an installment basis is:

A. conversion

B. acceleration

C. conventional

D. amortization

Answer: D. Amortization is (1) the liquidation of a financial obligation on an installment basis or (2) recovery of cost or value over a period of time

36. Mr. Able obtained a loan to build an apartment building. (1) He planned to charge a higher deposit to single males, and (2) his only source of advertising was to ask his tenants, predominantly white, to refer their friends as prospective tenants. With reference to fair housing laws, Mr. Able's actions would be correct in which choice(s)?:

A. 1 only

B. 2 only

C. Both 1 and 2

D. Neither 1 nor 2

Answer: B. Requiring higher deposits from single males would be unlawful discrimination on the basis of sex and marital status. Limiting advertising to referrals from present tenants would not be in violation of any antidiscrimination law. Not all of the tenants were of any one racial group, and there is no indication that their friends would all be of any one race, color, creed, et cetera.

37. The remedy of unlawful detainer is most commonly used by offended:

A. grantors

B. lessors

C. holders of notes in default

D. trustors

Answer: B. When preceded by a three-day notice to quit or pay rent, the unlawful detainer is the proper procedure designed by law by which the lessor can have the tenant evicted.

38. Which is NOT a specific lien?:

A. Judgment lien

B. Mechanic's lien

C. Blanket mortgage

D. Unrecorded property tax lien delinquent from prior years

Answer: A. A judgment lien is a general lien on all property of the debtor not otherwise exempt by law. A property tax lien, a mechanic's lien, and a blanket mortgage are all specific liens.

39. An agent may collect a commission for a negotiated sale after the term of the listing contract expired if:

A. the agent signs a release clause.

B. the contract contains a protection period clause.

C. the agent sues the principal for liquidated damages.

D. there is an alienation clause.

Answer: B. A protection clause, also called a safety clause, in a listing agreement binds the seller to the payment of a commission to the

broker if the property is sold within a period of so many days after the expiration of the listing to a person with whom the broker negotiated during the listing period.

40. A quitclaim deed releases present claim, rights, and title of the:

A. property

B. grantor

C. servient tenement

D. grantee

Answer: B. The grantor is the owner of whatever rights are to be conveyed, whether by grant deed or quitclaim deed.

41. What will have an impact on the real estate market in years to come?:

A. Land-use regulation

B. Consumerism

C. The real estate industry

D. All of these

Answer: D. Changes in the real estate market are currently being brought about by growing land-use regulation, the growth of the philosophy of consumerism, and extended legislative and judicial regulation of the real estate industry.

42. What is the first step in the appraisal process?:

A. Define the appraisal problem

B. Make a preliminary survey and appraisal plan

C. Organize the data program

D. Classify the data

Answer: A. Before making an appraisal, an appraiser must define the problem to see what is to be done and how it is to be accomplished.

43. The amount an appraiser charges for an appraisal is established by the:

A. real estate commissioner.

B. agreement between the appraiser and the client.

C. Federal Housing Authority.

D. Office of Real Estate Appraisers.

Answer: B. Appraisal fees are set by agreement between the appraiser and the client.

44. What is the best definition of company dollar with regard to a real estate office?:

A. Gross income minus commissions

B. Gross income minus operating expenses

C. Office expenses

D. Cost to set up the business for a specific length of time

Answer: A. The company dollar is the money earned by a real estate company and retained by the company after commissions have been paid. From the company dollar, operating expenses will have to be paid.

45. The gross multiplier is LEAST likely to be used in the appraisal of:

A. a residence.

B. commercial property.

C. apartment buildings.

D. vacant land.

Answer: D. The gross multiplier method involves applying a market-established multiplier to the gross income. Vacant land does not usually produce income.

46. A dual agency in the negotiation of a sale of real property is lawful if:

A. both buyer and seller agree.

B. both brokers agree.

C. the escrow agent agrees.

D. the broker of the seller agrees.

Answer: A. An agent can lawfully act for two principals in negotiation with each other provided that both principals have knowledge of and consent to the dual agency.

47. In the matter of a broker's commission to be paid by a seller, which statement is TRUE?:

A. The broker's commission earned but not paid creates a lien on the seller's property.

B. The seller and buyer may rescind sale, thus relieving the seller of the obligation to pay the broker's commission.

C. Action for the broker's commission must be brought within four years of earning the commission.

D. A listing agreement signed only by the seller is unenforceable.

Answer: C. According to the statute of limitations, action for performance of a written contract for a commission must be brought within four years of earning the commission.

48. Broker Wilson sells a house, and a loan for the buyer is secured through a savings and loan association. Wilson carefully explains all loan costs to the buyer. According to the Real Estate Settlement Procedures Act (RESPA), which statement is TRUE?:

A. Broker Wilson would not have to provide an estimate of settlement costs to the buyer because he had explained all costs.

B. The lender must provide the buyer with an estimate of settlement costs within three days.

C. The lender must provide an estimate of settlement costs to the buyer immediately.

D. Broker Wilson must provide the buyer with an estimate of settlement costs within one week.

Answer: B. Under RESPA, the lender must furnish a copy of a special information booklet prescribed by HUD together with a good-faith estimate of closing costs to every person from whom the lender receives a written application for a first mortgage loan. The lender shall

supply the good-faith estimate by delivering or placing it in the mail not later than three business days after the application is received.

49. To alienate title to real property, an individual:

A. records a homestead.

B. clouds a title.

C. conveys title.

D. secures an ALTA policy of title insurance.

Answer: C. To alienate means title is conveyed from one owner to another. Alienation is the opposite of acquisition.

50. A real estate agent's license will be suspended when the real estate fund pays a judgment creditor of the agent and will not be reinstated until the agent:

A. reimburses the recovery account for one-half of all funds paid to the judgment creditor, plus interest.

B. pays the judgment creditor all funds that were not paid from the recovery account, plus interest.

C. pays back the recovery account with interest.

D. pays the judgment creditor and the recovery account plus interest.

Answer: C. The Real Estate Law (B&P Code Section 10475) provides that no broker's or salesperson's license suspended under these circumstances can be reinstated until the recovery account has been repaid in full, plus interest at the prevailing legal rate.

51. A plot plan:

A. is used as a guide to the placement of structures and related improvements on the lot.

B. shows exterior of structures to be built.

C. is used as an exact guide for construction of improvements.

D. shows contour of the land.

Answer: A. A plot plan shows the layout of improvements on a property site (a plot). The plot plan usually includes location, dimensions, parking areas, landscaping, and the like.

52. Considering the nature of real estate investments in that they are made over a long period of time, require a considerable amount of money, are harder to care for, and generally have a slower turnover, the return on these investments should be:

A. the same as first trust deeds.

B. higher than bonds but lower than first trust deeds.

C. more than bonds and first trust deeds.

D. the same as bonds.

Answer: C. Most investors in real estate demand a greater return than is customary with bonds or trust deeds because the risk of ownership is higher and the investment does not have the same degree of liquidity.

53. The gross rent multiplier is developed by dividing the:

A. gross monthly income by the assessed value.

B. gross monthly income by the sales price.

C. sales price by the gross monthly income.

D. gross monthly income by the market value.

Answer: C. To determine the gross monthly multiplier, divide the sales price by the gross monthly income.

54. Which are considered artificial monuments?:

A. Trees and fences

B. Fences and rock

C. Canals and streets

D. Streets and trees

Answer: C. Both canals and streets are humanmade and would be considered artificial monuments. Trees and rocks, although they can be moved by humans, normally are considered natural marking points.

55. When dealing with the public, a broker must:

A. delegate responsibilities to another person.

B. do all of these.

C. disclose all material facts known only to himself or herself.

D. not refuse to take a listing.

Answer: C. A broker has a duty to disclose material facts; failure to disclose material facts to the parties involved could be considered negative fraud. As long as there is no illegal discrimination involved, there are many reasons why a broker may refuse to take a listing. For example, many brokers will refuse to take an unreasonably overpriced listing.

56. What best describes an attorney-in-fact?:

A. A lawyer acting as an attorney for a client

B. A lawyer appointed by the court

C. A person with a dual agency

D. A legally competent person appointed to represent another person through a power of attorney

Answer: C. power of attorney is a written instrument giving authority to an agent, called an attorney-in-fact. Don't confuse with attorney-at-law.

57. A broker was to receive a 6% commission from the sale of a property. Her salesperson was to receive 45% of the 6% commission. The salesperson received $8,100. What was the selling price of the property?:

A. $135,000

B. $40,000

C. $300,000

D. $435,000

Answer: C. 2.7% is salesperson's share (6% gross x 45% split)
2.7% x SP = $8,100
SP = $8,100 ÷ 0.027 = $300,000

58. Under the Real Estate Settlement Procedures Act (RESPA) lenders are required to give borrowers:

A. a bill of sale.

B. the amount of mortgage interest.

C. a good-faith estimate.

D. an invoice not exceeding $10 for the special information booklet.

Answer: C. RESPA requires the lender to furnish the borrower the following two items by delivering them in person or placing them in the mail not later than three business days after the application of the borrower is received: (1) a Special Information Booklet prepared or approved by HUD that explains settlement costs; and (2) a good-faith estimate of the settlement costs.

59. An executed contract is a contract:

A. under the jurisdiction of the probate court.

B. to be rewritten.

C. completed and fully performed by both parties.

D. signed, notarized, and recorded.

Answer: C. When applied to contracts, the word executed means fully performed by both parties. (When the word executed is used in discussing deeds, it means signed.)

60. The best definition of capitalization is:

A. the relationship between value and net worth.

B. the result of dividing net income by a percentage rate of return to determine value.

C. the highest rate of return on an investment.

D. the minimum rate of return on an investment.

Answer: B. The process of capitalization is "dividing net income by a percentage rate of return to determine value." The capitalization rate is the relationship between value and net income, not net worth.

61. All of these statements about depreciation are true EXCEPT:

A. it always is concerned with intrinsic factors but never with extraneous factors.

B. it is a loss of value from any cause.

C. it includes all influences that reduce the value of property below replacement cost.

D. it can be a loss of value due to wear and tear.

Answer: A. Depreciation can be from either inherent (inside) or extraneous (outside) factors.

62. A real estate licensee negotiated the sale of a farm for a seller. The agent's commission can be paid in which form?:

A. Check or cash

B. Assignment of existing note

C. Any of these

D. Assignment of funds from buyer to seller

Answer: C. Under normal circumstances, a commission is paid by check. However, as long as the principal and the broker agree, the commission may be paid in any of the forms listed.

63. In comparing real estate investments to other types of investments, the turnover is:

A. faster than stocks.

B. slightly slower than an average of other investments.

C. faster than other commodities.

D. slower than other investments.

Answer: D. The liquidity of an investment is the ease with which it can be immediately converted to cash. Compared to stocks and commodity investments, real estate is less liquid so its turnover is slower than other investments.

64. The main purpose of a deed is to:

A. show a change of real property transfer.

B. provide evidence of a change of title or transfer of an interest in real property.

C. identify the parties in the transfer of title of real property.

D. provide a legal document eligible for recording.

Answer: B. A deed is a written instrument that conveys title to or an interest in real property.

65. A broker negotiated a loan for a client. The beneficiary did not specifically instruct the broker to record. The broker is obligated to record:

A. at same time funds are disbursed.

B. before funds are disbursed.

C. within 10 days of the date funds are disbursed.

D. immediately after funds are disbursed.

Answer: B. Article 5 of the Real Estate Law stipulates: Unless a lender has given written authorization to the broker, the broker may not disburse the loan funds until after recording the trust deed securing the note evidencing the loan. If the lender has given the broker authority to release funds prior to recordation, the securing trust deed must be recorded, or delivered to the lender with a written recommendation for immediate recordation, within 10 days, following the disbursement of loan funds.

66. An owner of a small investment company advertised and sold properties for a commission. In his advertisements he did not indicate that he was a licensee, and in fact, he was not. He also made false statements in his advertising. Since he failed to disclose material facts, who would prosecute this person?:

A. Real estate commissioner

B. Attorney general

C. Local law agencies

D. District attorney

Answer: D. The district attorney prosecutes violators of the real estate license law. Without a license one cannot receive compensation, a commission, or fee for the performance of any of the acts defined as being within the purview of a licensed broker or salesperson. Since the

person in the question is not licensed, the real estate commissioner would not have the authority to discipline this individual.

67. All of these are necessary for the creation of an agency agreement EXCEPT:

A. fiduciary relationship.

B. consideration.

C. mutual agreement of the parties.

D. competency of the seller.

Answer: B. Consideration is not required of an agency relationship. The agency may be a gratuitous agency.

68. In the purchase of a residence, the buyer conditioned the sale upon the seller's providing the buyer with a certified inspection report from a licensed pest control operator showing the property to be free of wood-destroying organisms. The seller contracted the Apex Termite Control Company who, upon inspection, reported termite damage and estimated the repairs would cost $500. The

seller then had Apex repair the damage and the seller made payment directly to the contractor for the work that had been done. With respect to the report of work accomplished, which statement is TRUE?:

A. No report need be made to the buyer since the seller had the work done and paid for it, and the residence is now free of termites.

B. Either the broker or the seller would be responsible for delivering a copy to the buyer.

C. The Apex Termite Company would be required to deliver a copy to the buyer.

D. The escrow officer would ensure the buyer has received a copy of the report since escrow cannot close until this has been accomplished.

Answer: B. Either the seller or broker must ensure that the buyer receives a copy of the report showing that the repairs were accomplished and that the property is free of termites.

69. Recording a deed:

A. raises presumption of delivery.

B. transfers title.

C. gives actual notice.

D. insures possession.

Answer: A. A deed must be acknowledged to be recorded. The fact that it has been recorded indicates that the grantor signed it, acknowledged it, and let it out of his or her hands; therefore, a presumption of delivery is made, albeit a rebuttable presumption.

70. If an apartment owner is converting the building to a condominium project, each tenant must receive advance notice of intention to convert. What is the notice time requirement for this phase of conversion?:

A. 90 days

B. 120 days

C. 30 days

D. 180 days

Answer: D. Each of the tenants will be given 180 days written notice of intention to convert prior to termination of tenancy.

71. A contract between two or more persons where one grants the other the right to sell, offer to sell, or exchange goods or services under a marketing plan designed by the grantor is a:

A. franchise agreement.

B. securities and exchange agreement.

C. financing agreement.

D. business opportunity.

Answer: A. A franchise agreement is set forth in the Franchise Investment Law as:
"A contract between two or more persons where one grants the other the right to sell, offer to sell, or exchange goods or services under a marketing plan designed by a grantor."

72. In an advertisement, only the annual percentage rate is mentioned. What else must also be disclosed in the ad?:

A. Monthly payments required

B. Amount of down payment required

C. No further disclosures necessary

D. Amount of loan

Answer: C. If only the APR is given, no additional disclosures are required. Don't confuse that with the following rule:

If any one of the following is given:

1. Amount or percentage of any down payment
2. Number of payments or period of repayment
3. Amount of any payment
4. Amount of any finance charge

Then, the ad must disclose:

1. Amount or percentage of the down payment
2. Terms of repayment
3. APR, and if the rate may be increased, that fact

73. How much can a lender legally charge a borrower for the preparation of the Closing Disclosure form?:

A. 1%

B. $25.00

C. 1/2 of 1%

D. Nothing

Answer: D. ILA-RESPA rules, the lender is not permitted to charge for the preparation of either the Closing Disclosure form or the Loan Estimate form.

74. Which criterion would NOT be used to determine net income for an income property?:

A. Maintenance costs

B. Management fees

C. Mortgage interest

D. Vacancies

Answer: C. For determining net income in the income approach to appraisal, mortgage interest is a personal expense of the owner, not an operating expense of the property. Vacancies, management fees, and maintenance costs are all allowable deductions in establishing net operating income for appraisal purposes.

75. There are several reasons why a contract can be voidable. However, a voidable contract is binding on the parties until it is:

A. qualified.

B. invalidated.

C. rescinded.

D. discovered.

Answer: C. Voidable means the contract is binding until some action is taken to rescind the contract.

76. Functional utility in a dwelling is dependent upon:

A. zoning in the area.

B. its floor plan and equipment.

C. the condition of heating system.

D. the desires of its occupants.

Answer: D. For a dwelling to have utility, it must have the power to give satisfaction or arouse desire for possession. The functional utility of a property is the sum of its (1) attractiveness (e.g., architecture) and (2) usefulness or utility. Therefore, the functional utility in a dwelling is dependent upon the desires of its occupants.

77. Property is:

A. personal if not real.

B. personal if a fixture.

C. all of these.

D. real if tangible.

Answer: A. All property is either real property or personal property.

78. George Greedy owns a subdivision in Roughacres and intends to mail a promotional brochure to 1,000 persons. The brochure will offer gifts and prizes and state that winners will be property

owners. The brochure does not state that a person must attend a sales seminar and tour the subdivision in order to be eligible for a gift or prize. Would this brochure be in violation of any law?:

A. No, it is not unlawful since each person who wins a prize is also a property owner

B. No, it is not unlawful since he is not required to disclose that a person must attend a sales seminar in order to become eligible for a gift or prize

C. Yes, it is unlawful since he did not disclose that a person must be present and attend a sales seminar to be eligible for a gift or prize

D. Yes, it is unlawful since you cannot win a prize and be a property owner

Answer: C. Commissioner's Regulation 2799.1(3a) states: "Complete rules and procedures for any contest or drawing advertised in connection with the marketing of subdivision interests shall be included in the advertisement…"

79. An agency contract can be created by all of these EXCEPT:

A. an implied contract in law.

B. appointment by the principal.

C. a voluntary offer by the agent.

D. an oral contract.

Answer: C. An offer is not a contract; it is an expression of willingness to enter into a contract. While the existence of agency is a question of fact and is not dependent on the existence of a contract, this question asks about an agency contract. A voluntary offer by the agent would not create an agency contract; the offer would have to be accepted in order for a contract to be created.

80. A real estate licensee went into a neighborhood and attempted to solicit a listing by stating to the property owner that "non-whites" would be moving into the neighborhood and that property values would thereby go down. Such conduct would be considered all of these things EXCEPT:

A. legal but unethical.

B. panic selling.

C. blockbusting.

D. illegal conduct.

Answer: A. Blockbusting and panic selling are terms to describe the illegal conduct of the licensee's activities in this question.

81. Recording a deed would give:

A. actual notice.

B. right of possession.

C. effective notice.

D. constructive notice.

Answer: D. The law construes that everyone is given constructive notice when a document affecting title to real property is recorded where it can be seen by anyone. Recording gives constructive "notice to the world." Actual notice is expressed information of fact experienced by the person to whom given.

82. In real estate financing, lenders will sometimes refer to "nominal rate" when granting a loan. This means:

A. the rate of interest specified in the promissory note.

B. that the rate of interest in the final granting of the loan will be greater than the commitment.

C. the maximum rate of interest allowed by law is obtainable on financing a property.

D. points will be required, as the rate required by the lender would exceed the legal rate of interest.

Answer: A. The word nominal stems from the word "name" and is the rate named in the note.

83. An individual is purchasing a parcel of real property. The provisions of the contract require the seller to convey title to the property when the buyer pays the full amount of the contract to the seller. When the buyer has fulfilled his part of the contract and requests the seller to convey title, the seller refuses to fulfill his contractual obligation. Under these circumstances the seller has done what?:

A. Tender

B. Covenant

C. Demand

D. Breach

Answer: D. The seller has breached the contract under the stated circumstances.

84. Which entity has the responsibility for determining property values for real property tax purposes?:

A. Assessor's office

B. Board of Supervisors

C. Board of Equalization

D. Tax commissioner

Answer: A. The primary function of the county assessor is to establish an assessment roll each year that reflects the assessed value of real property within the county.

85. A deed was given by "A" to "B" with oral instructions not to record the deed until "A's" death. The deed was:

A. voidable

B. illegal

C. valid

D. void

Answer: C. Recording is not a requirement for a valid deed. To effectively convey title with a deed, there must be (1) Delivery with the intention to convey and (2) Acceptance by the grantee.

86. Which "runs with the land"?:

A. Covenants

B. All of these

C. Appurtenant easements

D. Stock in a mutual water company

Answer: B. All three of the choices given "run with the land." Covenants are encumbrances that remain on the land when the property is transferred. Stock in a mutual water company and appurtenant

easements name real property rights that are transferred with the land when property is transferred.

87. A lessor is renting a furnished apartment from period to period. Under the Fair Housing Act, the lessor may do all of these things EXCEPT:

A. obtain credit checks on married couples.

B. collect the first, second, and last month's rent.

C. check with former landlords for references.

D. require only single tenants to have a co-signor for the lease.

Answer: D. lessor may not discriminate based on marital status as would be the case in requiring a single tenant to have a co-signor.

88. In accordance with the Real Estate Settlement Procedures Act, the lender must supply the borrower with a Uniform Settlement Statement:

A. 1 day prior to settlement.

B. 3 days prior to settlement.

C. at or before closing.

D. 10 days after loan commitment.

Answer: C. Under RESPA, the lender must deliver to the borrower a Uniform Settlement Statement at or before settlement. If requested by the borrower the Uniform Settlement Statement may be "inspected" during the business day immediately preceding the date of settlement. Settlement is another word for closing.

89. What would make a deed void?:

A. Made to a fictitious grantee

B. Grantee is not named but is sufficiently described

C. Signature of grantor is spelled differently from the typed spelling on the deed

D. Grantor is set forth and has signed under a name not his own

Answer: A. A deed made to a fictitious person, one that does not exist, is void. The other choices are acceptable.

90. A percolation test is used to determine:

A. size of the cistern needed for a given building.

B. depth of footings.

C. capacity of soil to absorb water.

D. quantity and potability of water.

Answer: C. Percolation tests are used to determine the ground's ability to pass fluids through the soil and remove impurities.

91. A money judgment of the court when recorded is always a(n):

A. equitable lien.

B. voluntary lien.

C. superior lien.

D. involuntary lien.

Answer: D. Judgment liens are recorded against the wishes of the judgment debtor and therefore are considered involuntary.

92. The state fiscal year falls between the dates:

A. June 30 to July 1.

B. December 31 to January 1, midnight.

C. July 1 to June 30, midnight.

D. January 1 to December 31.

Answer: C. The fiscal year commences on the first day of July and ends with the 30th of June following.

93. The lien of a recorded deed of trust is removed from the records:

A. when a reconveyance deed is recorded.

B. when final payment has been made by the trustor.

C. by recordation of a grant deed.

D. by posting of a surety bond.

Answer: A. A recorded reconveyance deed releases the lien of the deed of trust from the records.

94. A fire insurance policy can be canceled by the insurance company:

A. only after the company has given written notice and the insured has signed an acceptance.

B. at any time without notice.

C. if the company gives the insured notice within a reasonable time prior to cancellation.

D. without notice if the buyer has had excessive losses.

Answer: C. A fire insurance policy can be canceled only after written notice has been given to the insured with a reasonable time for cancellation to take effect.

95. The Jacksons bought a residence with a first trust deed loan from a savings and loan. The Londons bought a residence with a first trust deed loan from a bank. The Londons refinanced, obtaining a first trust deed loan from a savings and loan, to get money for a business opportunity. Which statement is correct?:

A. Both have the right of rescission.

B. Neither has the right of rescission.

C. The Jacksons do not have the right of rescission, the Londons do.

D. The Londons do not have the right of rescission, the Jacksons do.

Answer: B. The Truth in Lending Act applies only to refinance loans and for personal, family, or household purposes, never for business loans regardless of what collateral is put up. Therefore, the Londons have no right of rescission.

96. What essential element is necessary between a broker and a principal when dealing with the title, right, or interest in real property?:

A. Broker has the right to accept a deposit

B. The rights of commission between the parties are established

C. Written contract of employment

D. Broker has the right to draw up a purchase offer

Answer: C. The statute of frauds requires that a listing for the sale of real property, or for the negotiation of a lease for more than a year, must be in writing to be enforceable for the payment of a commission.

97. The maximum amount of commission and loan costs that may be charged for a second trust deed of $4,000 for a four-year term is:

A. $850.00

B. $990.00

C. $725.00

D. $550.00

Answer: B. Under Article 7, the maximum commission and fee is:
$4,000 2nd T.D.
× 0.15 (15% of the principal of a loan of three years or more)
600 Maximum commission
+ 390 (5% or $390—whichever is greater)
$ 990 Maximum commission and fees

98. A broker advertises in the paper that if a seller lists his property with the broker, the seller would be credited by the broker with $50 toward the commission to be paid. Also included in the advertisement is the statement that if a prospective buyer brings a copy of the advertisement to the broker, the buyer would be credited in the amount of $50 in escrow that would be applied to the purchase price of the property. Would the broker be subject to the discipline of the real estate commissioner with regard to this advertisement?:

A. The broker can credit the seller but cannot credit the buyer.

B. The broker would be disciplined because his promises to sellers and buyers in the advertisement would constitute payments to unlicensed persons.

C. The broker may pay the $50 to the seller and to the buyer.

D. The broker can credit the buyer but not the seller.

Answer: C. Neither of these promises by the broker would be a violation of law or regulations. The courts have also ruled that disclosed payments by the broker to either the seller or buyer would not be a violation of the Real Estate Settlement Procedures Act (RESPA).

99. A minority prospect came to you and requested to see a specific house in a minority neighborhood. You can lawfully assume the prospect is:

A. interested in a house in a minority neighborhood.

B. interested in a house with a particular type of architectural style.

C. unable to qualify for VA or FHA housing and you should refuse to show prospect any houses.

D. trying to test you.

Answer: B. Questions that deal with discrimination should be answered with a color-blind attitude and without bias. Any choice that hints at discrimination is probably the wrong choice. It is incorrect that you can lawfully assume the prospect is interested in a house in a minority neighborhood because although the house the minority prospect wants is in that neighborhood, it does not mean he wants the house because of its proximity to other minorities. Although it may be overreaching to assume the prospect desires a particular type of architectural style, it is not discriminatory.

100. Smith built a $250,000 house in a neighborhood in which houses are valued between $75,000 and $85,000. Any resulting loss of value would be an example of:

A. physical depreciation.

B. functional obsolescence.

C. physical obsolescence.

D. economic and functional obsolescence.

Answer: D. Economic obsolescence is a loss in value due to factors away from or outside of the subject property. Additionally, the appraiser must look at the fact the property in question over functions for the area. It is rare to have only one factor affect the property value. This is a good example of two types of obsolescence impacting the property.

101. At the time an owner offers to list his or her property with a broker, the owner makes it a condition that it may not be disclosed that the home is in a slide area. What should the broker do?:

A. The broker should accept the listing but disclose this information orally to any initial buyers.

B. The broker should advise the owner to sell the property himself.

C. The broker should recommend that the owner list his property with someone else.

D. The broker should not take the listing.

Answer: D. A broker's fiduciary obligation to the client requires obedience to all lawful instructions. It would be a violation of law for the seller or the seller's agent to withhold from a prospective buyer material facts about the property. For the broker to accept a listing under such terms would be to participate in a conspiracy to violate the law. To advise the owner to proceed alone or with someone else would be to advise the owner to violate the law.

102. Percolation test refers to:

A. water wells.

B. flood control.

C. soil analysis.

D. sewage.

Answer: C. A percolation test is a hydraulic engineer's test of soil to determine the ability of the ground to absorb and drain water. This information helps to determine the suitability of a site for certain kinds of development, and for the installation of septic tanks or injection wells for sewage treatment plants. A subdivider registering a subdivision with HUD must include a percolation report in the application.

103. Who would provide a quitclaim deed to quiet a title?:

A. None of these

B. Grantee

C. Grantor

D. Trustor

Answer: C. uitclaim deeds are executed by grantors to clear up conflicting claims or deficiencies in titles, in favor of grantees.

104. A buyer purchased a property using a recorded conditional sales contract and later defaulted on the payments. If a quitclaim deed was used to clear the cloud on title, it would be executed by:

A. none of these.

B. the seller.

C. both buyer and seller.

D. the buyer.

Answer: D. This quitclaim deed would be executed by the buyer.

105. Williams owned 40 acres of land in 1955, which she subdivided into 65 lots and placed a restriction in each deed that said these lots may "not be sold to non-Caucasians." This restriction is:

A. none of these.

B. valid until Williams died.

C. prohibited by local, state, and federal statutes and regulations of all real estate commissions.

D. unenforceable through court action because it is a violation of the U.S. Constitution.

Answer: D. Restrictions prohibiting the use of property on the basis of race, color, sex, religion, ancestry, or national origin are unenforceable because enforcement undertaken by the state would violate the 14th Amendment of the U.S. Constitution. Even if there is some area where they are not specifically prohibited, they are still unenforceable.

106. Middleton is a 15-year-old emancipated minor who hired a broker to sell her property. Middleton gave this broker her emancipation documents. After the broker procured a buyer, to whom should the broker deliver these documents?:

A. The title insurer

B. The escrow company

C. The buyer

D. The buyer's lender

Answer: B. An emancipated minor has the legal capacity of an adult to, for example, enter into contracts and to buy, sell, lease, encumber, exchange, or transfer any interest in real or personal property. An

escrow company would need to ascertain that the seller had capacity to act.

107. It is improper for a salesperson to:

A. submit verbal offers to the principal.

B. tell his principal that he has the nicest farm in the county.

C. show the property only on sunny days.

D. keep the client's secret that the property has a leaky roof.

Answer: D. It is improper (illegal) for a real estate licensee to keep from a prospective buyer a client's secret about a flaw in real property. Full disclosure of material facts about the property are required by law. Telling the principal that he has the nicest farm in the county would likely be considered "puffing." A real estate licensee is required to submit all offers, even oral offers, unless patently frivolous, until close of escrow.

108. A lease based on gross income of the lessee is a:

A. gross lease.

B. net lease.

C. ground lease.

D. percentage lease.

Answer: D. A percentage lease is a lease on property, the rental for which is determined by the amount of business done by the lessee; usually a percentage of gross income together with a provision for a minimum rental.

109. If you, as a broker, are the buyer's agent, you will want others to know:

A. after you get your commission.

B. as soon as possible.

C. before the close of escrow.

D. after the offer is accepted.

Answer: B. A licensee should disclose the licensee's agency relationship at the beginning of a transaction.

110. The date of priority of a mechanic's lien on any construction project is the date of:

A. acceptance by owner.

B. commencement of construction.

C. completion of construction.

D. occupation by owner.

Answer: B. The effective date of any mechanic's lien relates back to the date construction began on the project. This could include the delivery of construction materials to the site.

111. Which element is NOT necessary in the formation of a contract?:

A. Consideration

B. Acceptance

C. Performance

D. Offer

Answer: C. Offer, acceptance, and consideration are essential in the creation of a contract. Performance is the desired result and not an essential in the formation of a contract.

112. A real estate salesperson who advertises a property must provide in the advertisement:

A. at least the salesperson's name.

B. the broker's name.

C. both the broker's name and address and the salesperson's name.

D. the broker's name and address.

Answer: A. Advertising of any service for which a license issued under provision of the Real Estate Law is required shall at least set forth the name of a salesperson as an agent.

113. An apartment house under construction has many prospective renters. The city now wants to widen the street. This change results in a 10% loss of renters. This loss would be an example of:

A. functional obsolescence.

B. physical deterioration.

C. economic obsolescence.

D. physical obsolescence.

Answer: C. Economic obsolescence is a loss in value due to factors outside of the subject property that adversely affect its value.

114. What is the minimum amount of time that a broker must keep signed copies of listings, deposit receipts, et cetera?:

A. One year

B. Three years

C. Four years

D. Two years

Answer: B. The Real Estate Law requires most documents to be kept for a minimum of three years.

115. A broker lists and negotiates the sale of a home for Mr. B, a young married man. At the time of the sale the broker was not concerned with the age of his client. After the deed had been signed and escrow closed, the title company informs the broker that the seller is under 18 years of age. The deed is:

A. outlawed.

B. valid.

C. illegal.

D. voidable.

Answer: B. The deed would be valid. A married person under 18 is an emancipated minor and has the legal capacity to deal in real property.

116. The capitalization rate in the valuation of income property would least likely provide for:

A. depreciation.

B. return of investment.

C. taxes.

D. return on investment.

Answer: C. Taxes are more directly related to net income than to the capitalization rate. (Property tax is a legitimate expense to be deducted from the gross income when appraising.) Furthermore, overall capitalization rates provide for a return on (profit) and a return of (or depreciation of) the investment.

117. A real estate licensee is canvassing an area in order to secure listings for an office. The agent tells the prospective sellers that minority groups are moving into the area and it would be advantageous to sell at this time. If the licensee canvasses in this manner, she:

A. would not be disciplined by the real estate commissioner if the broker had instructed her to canvass in this manner.

B. would be disciplined by the real estate commissioner for canvassing in this manner.

C. would not be disciplined by the real estate commissioner if the prospective sellers were members of a minority group.

D. would not be disciplined by the real estate commissioner since this is a legitimate selling tactic.

Answer: B. The Real Estate Law prohibits any solicitation based upon the entry into a neighborhood of a person of another race, color, sex, religion, ancestry, physical status, marital status, or national origin. This practice is called blockbusting or panic selling.

118. Which definition best describes an "open-end mortgage"?:

A. One in which personal property is held for added collateral

B. One in which additional financing could be obtained without rewriting the contract

C. One in which the mortgage represents a partial payment for the parcel of the land

D. One under which several parcels of land are included under one mortgage

Answer: B. An open-end mortgage is one containing a clause that permits the mortgagor to borrow additional money after the loan has been reduced without rewriting the mortgage.

119. An investor purchases an investment property. An appraisal of the property showed a 12% return. The broker gives the buyer a financial report on the property but fails to take into consideration vacancies and management fees. The broker is guilty of:

A. misrepresentation.

B. false promises.

C. caveat emptor.

D. fraud.

Answer: A. If the vacancies and management fees had been taken into account, the property would return less than 12%. Therefore, a false statement of fact, or misrepresentation, was made by the broker. (Misrepresentations may be either "fraudulent" or "negligent." Since the facts in the question are silent about any fraudulent intent, the act is presumed to be "negligent misrepresentation.")

120. The power of eminent domain can be exercised by:

A. all of these.

B. public education institutions.

C. public utilities.

D. cities.

Answer: A. Among those able to exercise the power of eminent domain and take private property for a public use are government bodies (federal, state, and local), improvement districts, public utilities, public education institutions, and similar public and semipublic bodies.

121. What is the best definition of economic rent?:

A. The amounts the owner actually receives in rents

B. The amount the property would rent for if it was available in today's market

C. Payment for use of property designated in a lease

D. The amount left after the lessor pays expenses

Answer: B. Economic rent is defined as the rent expectancy if the property were available at the time of its appraisal. The amounts the owner actually receives in rents and payment for the use of property designated in a lease relate to contract rent.

122. When is there a late charge permitted on a mortgage payment on a home?:

A. Right after the due date

B. After 10 days beyond the due date

C. When 15 days late

D. On the 10th day

Answer: B. Civil Code Section 2954.4 states: "No late charge may be imposed on any installment which is paid ... within 10 days after due date."

123. Involuntary alienation of an estate means:

A. aliens are forbidden to own estates in fee simple in California.

B. no one can be compelled to transfer title without giving consent.

C. ownership of estates may be transferred by operation of law.

D. the estate cannot be transferred without the consent of the owner.

Answer: C. Alienate means to transfer the title to real property from one person to another. To involuntarily alienate could occur by the operation of law as in the case of foreclosure due to nonpayment of taxes or other lawful debts.

124. Unless otherwise specifically stated, a grant deed presumes to convey:

A. a life estate.

B. in fee simple.

C. an estate for years.

D. a fee simple defeasible estate.

Answer: B. While a fee simple defeasible and a life estate can be transferred by a grant deed, they must be specified. An estate for years is transferred by a lease. A fee simple (absolute) is one that is not qualified, and is presumed if nothing else is specified.

125. Alienation expresses a meaning most nearly opposite to:

A. acceleration

B. acquisition

C. ad valorem

D. amortization

Answer: B. Acquisition is the act of acquiring; alienation is the act of transferring or conveying title.

126. A salesperson, canvassing a Caucasian neighborhood that was located near a minority neighborhood, contacted prospective sellers and informed them they should sell now before their property lost value due to minorities entering into the area. Using

these tactics he was successful in obtaining several listings. This action is considered to be:

A. steering

B. blockbusting

C. both panic peddling and blockbusting

D. panic peddling

Answer: C. The technique described as a means of obtaining listings is called "inducement to panic selling" or "blockbusting"—a certain violation of law. The word peddling is used as a slang expression for "selling"—thus "panic peddling."

127. James, an 11-year-old minor, owned a farm and asked his father to contract a broker to sell the farm. The father listed the property with a broker. The farm was sold and the deed was signed. James later changed his mind and wanted the farm. This transaction was:

A. rescinded simply because James changed his mind.

B. void because James was a minor.

C. valid because the father was acting for his son.

D. void because the father arranged the sale through a broker.

Answer: B. Since the grantor was a minor, the deed is void at inception.

128. A commercial acre is best defined as:

A. an acre zoned for commercial purposes.

B. any acre located outside of "R" zoning.

C. an acre after deductions for streets and alleys.

D. any parcel of 43,560 square feet.

Answer: C. A commercial acre is the remainder of an acre of newly subdivided land after the deduction of areas devoted to streets, sidewalks, curbs, and the like.

129. A specified charge against real property that is used as security is defined as:

A. subdivision restrictions.

B. an easement.

C. zoning and planning.

D. a lien.

Answer: D. A lien makes specific property security for the debt.

130. Which word is most closely associated with the term rider?:

A. Amendment

B. Person

C. Lien

D. Accretion

Answer: A. A rider is an addition or amendment to the original contract.

131. A balloon payment would be a characteristic of a(n):

A. standing loan.

B. self-liquidating loan.

C. partially amortized loan.

D. amortized loan.

Answer: C. A partially amortized loan is not fully paid off in installments. On the due date, the balance is paid off in a lump sum called a balloon payment because it substantially exceeds any individual installment. The term "amortized" loan generally means "fully amortized." This is a loan fully paid off by installments over its term.

132. Alex led Carly to believe that he had the authority to act for Brian. Brian went along with Alex. The agency created was by:

A. ostensible.

B. ratification.

C. expressed contract.

D. estoppel.

Answer: B. Ratification is the approval of an act performed on behalf of a person without previous authorization. When Brian went along with Alex, he ratified Alex's authority to act on Brian's behalf.

133. Two houses were built on two adjacent lots of equal value. Construction costs and maintenance were the same. One house is appraised to be of higher value. What is most likely the reason?:

A. One house had more wear and tear.

B. Both houses were across the street from a nonconforming house that resulted in economic obsolescence.

C. One house was considered to have functional obsolescence.

D. One house had more economic obsolescence.

Answer: C. One house must have functional obsolescence. Since the properties are in the same location, the same age, and have been maintained the same, the difference in value cannot be attributed to economic obsolescence or wear and tear. As an example, one house

may have only a single-car garage or only one bathroom or a less attractive floor plan.

134. In planning a shopping center in a suburban community, which would be the most important consideration?:

A. Amenities

B. Purchasing power

C. Weather

D. Proximity of shipping and warehousing facilities

Answer: B. In the analysis of a commercial district the emphasis is on the quantity and quality of purchasing power available to the shopping area.

135. A roof that slopes upward from all four sides and is joined at the ridge is called a:

A. gambrel roof.

B. hip roof.

C. mansard roof.

D. gable roof.

Answer: B. The roof described is a hip roof.

136. The most important factor to a lender who is contemplating a loan to a developer of a shopping center would be the:

A. number of tenants.

B. credit of the purchaser.

C. long-term leases.

D. anchor tenant.

Answer: D. An anchor tenant is the key tenant in a commercial development. The developer looks for a "blue chip" firm, such as J.C. Penney or Sears. This gives the lender confidence in the expectation that the development will pay its own way.

137. A licensee put a blind ad in a local newspaper. A blind ad does NOT:

A. identify the advertiser as an agent.

B. give the address of the licensee.

C. give the address of the property.

D. disclose the selling price.

Answer: A. A blind ad is advertising by a licensee who does not disclose in the ad that the property is offered through an agent rather than by the principal.

138. Rescind most nearly means:

A. rewrite

B. terminate

C. reject

D. annul

Answer: D. Rescind means to annul the contract and restore the parties to the same position they held before they entered into the contract.

Diagnostic Pre-Test

1. In the purchase of a residence, the buyer conditioned the sale upon the seller's providing the buyer with a certified inspection report from a licensed pest control operator showing the property to be free of wood-destroying organisms. The seller contracted the Apex Termite Control Company who, upon inspection, reported termite damage and estimated the repairs would cost $500. The seller then had Apex repair the damage and the seller made payment directly to the contractor for the work that had been done. With respect to the report of work accomplished, which statement is TRUE?:

A. The escrow officer would ensure the buyer has received a copy of the report since escrow cannot close until this has been accomplished.

B. No report need be made to the buyer since the seller had the work done and paid for it, and the residence is now free of termites.

C. Either the broker or the seller would be responsible for delivering a copy to the buyer.

D. The Apex Termite Company would be required to deliver a copy to the buyer.

Answer: C. Either the seller or broker must ensure that the buyer receives a copy of the report showing that the repairs were accomplished and that the property is free of termites.

2. Which is considered real property?:

A. A stud in the wall of a house

B. Shrubs to be planted around a yard

C. Fruit that was to be picked after the sale, as agreed upon by both the buyer and seller

D. Fixtures removable by a tenant

Answer: A. Of the four choices given in this question, only a stud in the wall of a house is real property. A stud is a vertical framing member of a wall to which horizontal boards are attached. They are the supporting elements in walls or partitions.

3. The most common way for local planners to designate zoning for multiple residential units is:

A. C-3.

B. A-3.

C. M-3.

D. R-3.

Answer: D. The R-3 designation generally means residential property with more than one unit (e.g., a duplex is zoned R-3).

4. Under the Truth-in-Lending Act, the three-day right of rescission would begin with which event, if they occurred on different days in the sequence stated?:

A. The date the funds are disbursed

B. The date the disclosure statement is delivered

C. The date the note is signed

D. The date the loan application is made

Answer: C. The three-day right of rescission that applies to some loans under the federal Truth-in-Lending Act begins with the delivery of the disclosure statement or the signing of the promissory note, whichever occurs later.

5. Whatever the purpose of a land survey, the resultant description should contain:

A. all of these.

B. a specific length and direction of the sides of the property.

C. the area in accepted units of measure contained within the described boundaries.

D. a definite point of beginning and definite parcel corners.

Answer: A. The land description in a survey should contain all three items listed in the answer choices.

6. Mr. Adams purchased an income property for $380,000. The market value of the property was $390,000 and the tax assessor placed a value of $370,000 on it. If he paid $80,000 down and financed the balance, his basis for income tax purposes would be:

A. $390,000.00

B. $370,000.00

C. $380,000.00

D. $80,000.00

Answer: C. Basis for income tax purposes is the cost of $380,000. Financing does not influence the cost basis.

7. With regards to blind advertising, it is:

A. not permitted. The advertisement must include the name and address of the broker and the address of the property being offered for sale.

B. permitted when a broker deems that it will increase exposure of the property to potential buyers.

C. not permitted. In an advertisement, a licensee must reveal licensed status.

D. permitted with the owner's permission.

Answer: C. Blind advertising refers to not revealing the licensed status of a salesperson or broker, and is never permitted. It is not a requirement that an ad include the address of the property for sale.

8. Davidson has an easement on Parkins's property. If Davidson is not a property owner, her easement is a(n):

A. easement in gross.

B. nonpossessory encroachment.

C. restrictive easement.

D. appurtenant easement.

Answer: A. Davidson has a personal right to use Parkins's property (servient tenement). Since Davidson does not own property, and therefore there is no dominant tenement, it is an easement in gross.

9. John and Mary Jackson gave Broker Jones a $500 deposit to cover closing costs and signed an offer to purchase a home for $65,000 provided they could obtain a loan for the full price of the home. Included in the offer to purchase was a clause that read, "Subject to buyers obtaining a VA loan in the amount for $65,000, secured by subject property, payable over a period of 30 years at 11.5% interest with monthly payments to be approximately $644 per month, plus taxes and insurance." Which statement most nearly represents what was intended by the clause?:

A. If the full $65,000 loan is not obtainable, buyer and seller may renegotiate the sale on different terms.

B. Any of these

C. If the maximum loan available is $63,000, the buyer may pay the difference of $2,000 and proceed with the purchase.

D. If the $65,000 loan is not obtainable, the buyers may cancel their offer and recover the $500 deposit.

Answer: D. The offer to purchase is expressly conditioned upon the buyer's obtaining a $65,000 loan payable according to a specific schedule. A contract based upon a condition will be enforceable only upon the happening of such condition. If the condition is not met, there is no contract nor are there any contractual duties. If the full $65,000 loan is not obtainable, renegotiating the sale or paying the difference are alternatives for the buyers. Canceling their offer and recovering the deposit is correct since it most nearly explains the meaning of this clause.

10. An appraiser determines the accrual for depreciation in the use of:

A. the income approach.

B. the sales comparison approach.

C. none of these.

D. the cost approach.

Answer: A. An accrual for depreciation is a part of the income approach in appraisal. Appraisers describe remaining economic life as the period over which an investor would expect to recapture an investment in a property. An accrual for depreciation is a plan for recapture during this remaining economic life.

11. An increase in value, resulting from improved usability where one or more contiguous lots are joined together under single ownership, would be a definition most appropriately applied to:

A. plottage.

B. severalty ownership.

C. assemblage.

D. appurtenance.

Answer: A. Plottage increment is the increase in value after combining lots. Assemblage is the act of combining one or more contiguous lots under single ownership.

12. Mr. Martin contacted Broker Katz to list a property for sale for $200,000. Martin indicated to the broker that he needed a quick sale of the property. The broker contacted a prospective buyer and told him that Martin would sell the property for $180,000. The buyer made an offer in the amount of $180,000, which Mr. Martin did accept when the broker presented it to him. Under these conditions, Katz:

A. violated the fiduciary relationship but did no harm as the offer was accepted.

B. did not violate the fiduciary relationship as Katz was employed by Martin and acted under such authority.

C. violated the fiduciary relationship as he acted in excess of authority given him.

D. did not violate the fiduciary relationship as the offer was accepted.

Answer: C. When Broker Katz told the prospective buyer that the owner would sell for less than the listing price, when the broker had not been specifically instructed to disclose that confidential information, the broker violated his fiduciary obligation to his principal.

13. Which item would most likely be short-rated in escrow?:

A. Interest

B. Trust deed

C. Insurance

D. Real estate taxes

Answer: C. Taxes, and interest in an assumption, are usually prorated in escrow. If the seller's insurance is taken over by the buyer, the seller will be credited proportionately (pro rata) for the portion of the premium the buyer is debited for. When the buyer gets new insurance, the seller's policy will be canceled and the premium returned to the seller by the insurance company short-rated on a uniform schedule approved by the insurance commissioner.

14. A roof that inclines from four sides is a:

A. gambrel roof.

B. hip roof.

C. trussed roof.

D. gable roof.

Answer: B. A hip roof has four sloping sides.

15. In the sale of real property, all of these statements concerning financing are true EXCEPT:

A. an owner who borrows and executes a trust deed is a trustor.

B. selling a note for less than its face value is known as discounting.

C. a mortgage is a lien on real property; an execution of a mortgage does not transfer title.

D. a promissory note is security for the trust deed.

Answer: D. The statement is completely reversed. The trust deed is the security for the promissory note and incidental to the debt. The other three statements are true.

16. Brown hired a broker to find a warehouse for lease. Green hired the same broker to find a lessee for a warehouse. Each agreed to pay a commission. The broker negotiated a lease

between Brown and Green. Brown knew the broker was representing Green, but Green did not know the broker was representing Brown. Which statement is correct?:

A. Both Brown and Green are liable for commissions.

B. Green is liable for the commission.

C. Neither is liable for a commission.

D. Brown is liable for the commission.

Answer: C. Since the broker has a fiduciary relationship with both Brown and Green, this failure to get consent from both parties creates an undisclosed dual agency, or divided agency, and denies the broker's right to collect from either party.

17. The most common listing agreement allows the broker to:

A. convey title.

B. find a purchaser, obtain an offer, and bind the principal to that offer.

C. find a purchaser, fill out the deposit receipt, obtain an offer, and present the offer.

D. guarantee the purchaser will accept.

Answer: C. The broker does not have the authority to bind the principal to an offer. However, the broker may "obtain an offer" in order to "present it to the principal" for acceptance or rejection.

18. When a structural pest control report is a condition of a transfer by the buyer, the report must be delivered to the:

A. buyer

B. lender

C. broker

D. escrow company

Answer: A. If it is a condition placed in the contract by the buyer, then he or she must receive a copy of the report. Typically the lender will make it a condition of financing, but this question specifically addresses the issue of the buyer, not the lender.

19. A buyer made an earnest money offer to purchase property, and the broker placed the funds in his trust account. After the seller's acceptance but prior to opening of escrow, the buyer informs the broker that he has revoked his offer and demands the return of the deposit. The broker, not wanting to be involved in the conflict with respect to the disposition of the deposit funds, deposited them with the appropriate court. This would be an example of:

A. equitable disposition.

B. interpleader.

C. assignment.

D. surrender.

Answer: B. Interpleader is a court proceeding by the stakeholder of property who claims no proprietary interest in it, for the purpose of deciding who among claimants is legally entitled to the property.

20. Broker Hardy received a listing from Watson to sell Watson's commercial property, along with an option for Hardy to purchase within 30 days. After 27 days, Hardy decided to exercise his option and purchase the property. Hardy must:

A. present all outstanding offers to Watson.

B. inform Watson of all material facts concerning the property.

C. do all of these.

D. disclose his potential profit and obtain the written consent of the principal approving the amount of such profit.

Answer: C. The Real Estate Law (B & P Code Section 10176 [h]) requires that a broker who holds both a listing on and an option to buy the same property must, before he exercises the option to buy, "reveal in writing to the employer [owner/principal] the full amount of licensee's profit and obtain the written consent of the employer approving the amount of such profit."

21. Who is entitled to examine the records of the county recorder, without being an employee of the county recorder's office?:

A. Any interested citizen

B. Employees of the Office of the County Recorder

C. A bank employee

D. Any of these

Answer: D. The records of the Office of the County Recorder are public records, with access available to all persons.

22. The housing and construction industry in California is governed by which three laws?:

A. State Housing Act, local building codes, Real Estate Law

B. Contractor's license law, local building codes, State Housing Act

C. Housing and Community Development Act, Real Estate Law, Health and Safety Code

D. Health and Safety Code, State Housing Act, Real Estate Law

Answer: B. The housing and construction industry is governed by the contractor's license law, local building codes, and the State Housing Act.

23. The maximum possible income an income property can yield is:

A. net spendable income.

B. effective gross income.

C. net income.

D. gross scheduled income.

Answer: D. mong the choices presented, gross scheduled income would yield the maximum possible income an income property can yield. "Scheduled income" represents the rent currently in effect on the property in question as if the property were fully occupied. If the property has space available, the gross scheduled income would be at the rent levels currently obtainable for the space in the local market. This represents the maximum income the property could achieve.

24. What essential element is necessary between a broker and a principal when dealing with the title, right, or interest in real property?:

A. Broker has the right to draw up a purchase offer

B. The rights of commission between the parties are established

C. Written contract of employment

D. Broker has the right to accept a deposit

Answer: C. The statute of frauds requires that a listing for the sale of real property, or for the negotiation of a lease for more than a year, must be in writing to be enforceable for the payment of a commission.

25. An owner of a parcel of real property may have all of these rights EXCEPT:

A. eminent domain.

B. riparian rights.

C. littoral rights.

D. severance.

Answer: A. The right of eminent domain is the right of government to take private property for public or quasipublic use, although the U.S. Constitution does require the payment of just compensation. The right of eminent domain is never a part of the bundle of rights comprising the private ownership of property.

26. What is the difference between real property taxes and assessment bonds?:

A. Special assessments are used for local improvements.

B. Assessments have superiority over property taxes.

C. Special assessments are levied by special improvement districts only.

D. Assessments are subordinate to real estate taxes.

Answer: A. Property taxes are charged in relation to the value of the property being taxed. Special assessments are imposed on real property for a specific local purpose, which requires approval of 2/3 of the voters. Taxes and assessments are said to be on parity, meaning they have equal footing. Neither is subordinate to the other.

27. A contract between two or more persons where one grants the other the right to sell, offer to sell, or exchange goods or services under a marketing plan designed by the grantor is a:

A. business opportunity.

B. franchise agreement.

C. financing agreement.

D. securities and exchange agreement.

Answer: B. A franchise agreement is set forth in the Franchise Investment Law as: "A contract between two or more persons where one grants the other the right to sell, offer to sell, or exchange goods or services under a marketing plan designed by a grantor."

28. What is always considered real property?:

A. Cultivated crops sold but not yet harvested

B. Extracted minerals

C. Grapes on vines sold under contract

D. Stock in a mutual water company

Answer: D. Real property consists of (1) land, (2) things affixed to the land, (3) appurtenances, and (4) that which is immovable by law. Two examples of appurtenances are (1) easements appurtenant and (2) stock in a mutual water company. According to the Civil Code, cultivated crops would be personal property if already sold, mortgaged, or growing on leased land (emblements).

29. A broker advertises in the paper that if a seller lists his property with the broker, the seller would be credited by the broker with $50 toward the commission to be paid. Also included in the advertisement is the statement that if a prospective buyer brings a copy of the advertisement to the broker, the buyer would be credited in the amount of $50 in escrow that would be applied to the purchase price of the property. Would the broker be subject to the discipline of the real estate commissioner with regard to this advertisement?:

A. The broker would be disciplined because his promises to sellers and buyers in the advertisement would constitute payments to unlicensed persons.

B. The broker can credit the seller but cannot credit the buyer.

C. The broker may pay the $50 to the seller and to the buyer.

D. The broker can credit the buyer but not the seller.

Answer: C. Neither of these promises by the broker would be a violation of law or regulations. The courts have also ruled that disclosed payments by the broker to either the seller or buyer would not be a violation of the Real Estate Settlement Procedures Act (RESPA).

30. If a minority buyer comes into a broker's office and asks to see a specific listed home, the broker should refuse to show it to him under which condition?:

A. When the seller is out of town and has instructed the broker that his house is not to be shown in his absence

B. When the property is listed with a co-op broker

C. Never

D. When the agent sincerely believes it will produce panic selling

Answer: A. If the seller has instructed the broker that his house is not to be shown while he is out of town, the broker as an agent of the seller must comply with the seller's instruction. The instruction not to show the property applies to all prospective buyers, regardless of race.

31. What is included as part of the finance charge in a Truth-in-Lending Disclosure Statement?:

A. Title insurance fees

B. Recording and document fees

C. Appraisal fee

D. Assumption fee

Answer: D. An assumption fee is one of many fees that must be included in the finance charge to determine the annual percentage rate as part of a Truth-in-Lending Disclosure Statement. Among other fees not required are appraisal fees, recording and document fees, and title insurance fees.

32. A contract signed under duress would be:

A. unenforceable.

B. void.

C. illegal.

D. voidable.

Answer: D. When the mutual consent to a contract is induced by fraud, duress, menace, or undue influence, the contract is voidable at the option of the wronged party.

33. A, an unlicensed person, offers B $1,000 an acre for 10 acres. B accepts the offer not knowing that A already has an offer of $2,000 an acre for the same parcel. The deal goes through as stated. B can:

A. sue and get the land back.

B. let the deal go through but A has to give B the excess profit.

C. do nothing; the transaction stands.

D. report A to the real estate commissioner.

Answer: C. There is nothing in the Real Estate Law that prohibits an unlicensed individual from purchasing land at one price and later selling it for a higher price.

34. When a railroad needs specific land and the owner objects, the railroad may exercise the right of:

A. injunction.

B. writ of replevin.

C. caveat emptor.

D. eminent domain.

Answer: D. Public utility companies and similar public and semipublic bodies may exercise the power of eminent domain.

35. When a lender sells a promissory note for less than its face value, it is known as:

A. yield loss.

B. reinstatement.

C. discounting.

D. deficiency.

Answer: C. counting a promissory note is where a lender sells the note for less than its face value.

36. The personal, revocable, and unassignable permission or authority to do one or more acts on the land of another without possessing any interest therein is the definition of:

A. encroachment.

B. license.

C. easement.

D. option.

Answer: B. A license is a personal, revocable, and unassignable permission given to another, as distinguished from an easement.

37. A broker lists and negotiates the sale of a home for Mr. B, a young married man. At the time of the sale the broker was not concerned with the age of his client. After the deed had been signed and escrow closed, the title company informs the broker that the seller is under 18 years of age. The deed is:

A. illegal.

B. outlawed.

C. voidable.

D. valid.

Answer: D. The deed would be valid. A married person under 18 is an emancipated minor and has the legal capacity to deal in real property.

38. Broker Fenton has a property listed for $400,000 and submits an offer of $390,500 the next day, with a three-day acceptance period. The seller makes a counteroffer of $395,500. One day after the acceptance period, the seller accepts the buyer's original offer of $390,500. The buyer decided that he no longer wants the property. In these circumstances the acceptance is:

A. not a contract.

B. enforceable because of the original offer.

C. voidable.

D. valid.

Answer: A. Under the law of contracts, an offer creating a binding contract must be accepted on time and be unqualified according to the terms. Any change in the terms creates a counteroffer and voids the original offer.

39. A licensee who is guilty of "conversion" is one who is:

A. misrepresenting.

B. misappropriating the funds of clients.

C. failing to make full disclosure.

D. commingling.

Answer: B. Conversion is to change from one use to another as in the case of misappropriating funds entrusted to a licensee. Commingling is mixing funds of the agent with those of the client, and failure to make full disclosure can be referred to as negative fraud.

40. Under the Real Estate Settlement Procedures Act (RESPA) lenders are required to give borrowers:

A. the amount of mortgage interest.

B. a good-faith estimate.

C. an invoice not exceeding $10 for the special information booklet.

D. a bill of sale.

Answer: B. RESPA requires the lender to furnish the borrower the following two items by delivering them in person or placing them in the mail not later than three business days after the application of the borrower is received: (1) a Special Information Booklet prepared or approved by HUD that explains settlement costs; and (2) a good-faith estimate of the settlement costs.

41. A joint tenancy can be created by deeds conveying undivided interests by:

A. transfer from joint tenants deeding their interests to themselves and others as joint tenants.

B. transfer from tenants in common deeding to themselves as joint tenants.

C. transfer from a wife deeding her separate property to herself and husband as joint tenants.

D. all of these.

Answer: D. Civil Code §683 enables joint tenancies to be created by (1) simple will or transfer, (2) transfer from sole owner to himself or herself and others, (3) transfer from tenants in common or joint tenants to themselves or to themselves and others, (4) transfer from husband and wife (holding title as community property or otherwise) to themselves or to themselves and others, and (5) transfer to executors of an estate or trust.

42. A deed is void at its inception if:

A. the grantee takes title under an assumed name.

B. none of these are true.

C. the grantee is a minor.

D. the grantor is legally incompetent.

Answer: D. There are six essential elements to a valid deed. One essential element is a competent grantor. If the grantor has been declared by a court to be incompetent, then a deed is void at its inception. Whether the grantee is a minor or whether the grantee takes title under an assumed name do not make a deed void at inception.

43. All of these costs qualify for itemized deductions by the owner-occupant of a single-family residence in the appropriate tax year EXCEPT:

A. real property taxes.

B. the cost of painting a bedroom.

C. the unreimbursed portion of a casualty or theft loss in excess of 10% of the adjusted gross income.

D. interest on a deed of trust.

Answer: B. Real estate taxes, interest on loans, and the unreimbursed portion of casualty or theft losses are acceptable deductions on an owner-occupied residence, while the cost of painting a bedroom is not tax deductible.

44. An appurtenant easement involves two parcels of land. The owner of the dominant tenement may:

A. transfer the interest independently of the land.

B. have ingress and egress only.

C. not retain easement rights with the transfer of the parcel.

D. retain the benefits and the burdens of the easement.

Answer: C. With an appurtenant easement the easement goes with the property, not the individual that receives the benefit of the easement, and transfers with the property.

45. How many square miles are there in half of a standard township?:

A. 36

B. 9

C. 24

D. 18

Answer: D. The total number of square miles in a standard township is 36 square miles. Therefore, in half of a standard township there are 18 square miles.

46. What would create an interest in property with possessory rights but no form of title?:

A. Land contract

B. Sublease

C. Easement

D. Mortgage

Answer: B. A sublease is a transfer of less than the leasehold with the reversion in the sublessor and would create no form of title in the sublessee. A land contract transfers (1) possession, (2) equitable title, and (3) the right to acquire the fee title after all the conditions of the contract have been met. A mortgage does not convey any possessory interest; it is a security device.

47. A salesperson unlawfully takes kickbacks in connection with licensed real estate activities. The employing broker finds out about the kickbacks, fires the salesperson, and warns others in the office not to do this. Under these circumstances:

A. both the salesperson and the broker could be disciplined by the real estate commissioner.

B. only the salesperson could be disciplined by the real estate commissioner.

C. a court could revoke the salesperson's real estate license.

D. only the broker could be disciplined by the real estate commissioner.

Answer: A. A broker is responsible for supervision of employed salespersons. A failure to supervise salespersons which might contribute to the salesperson's violation of laws could lead to disciplinary action against the broker as well as against the salesperson. Only the real estate commissioner can revoke a real estate license, never the court.

48. A seller asked his listing broker the ethnic background of a prospective buyer. In this situation,:

A. the broker should ask the buyer’s broker if it is all right to advise the seller of the buyer's ethnic background.

B. the broker must disclose this information.

C. disclosure may be made but the broker must tell the seller it cannot affect his decision because of the California Fair Housing Law.

D. disclosure is against the Rumford Act.

Answer: D. The Rumford Act prohibits discrimination due to race, religion, color, sex, marital status, physical handicap, national origin, or ancestry in the sale, rental, lease, or financing of housing.

49. When property tax increases and all other items remain the same, an income property:

A. decreases in value by more than the amount of the taxes.

B. increases in value by the amount of the taxes.

C. increases in value by more than the amount of the taxes.

D. decreases in value by the amount of the taxes.

Answer: A. The property will decrease in value by more than the amount of the taxes based on the reduced annual net income (assume a $500 tax increase and a 10% capitalization rate; loss of value would be $5,000).

50. A contract providing for the payment of commission to the broker regardless of who sells the property, including the owner, is a(n):

A. exclusive-agency listing.

B. net listing.

C. exclusive-authorization-and-right-to-sell listing.

D. open listing.

Answer: C. Under the exclusive-right-to-sell listing, the owner promises to pay a commission even if he sells the property himself.

51. In accordance with the Truth-in-Lending law, what must be included in the advertisement for a graduated payment mortgage loan?:

A. The name of the broker

B. The amounts of different monthly payments

C. The location of the property

D. The address of the lender

Answer: B. Of the choices given in this question, only the amounts of the different monthly payments would need to be disclosed in advertising.

52. A final, specific, and definite termination date is required by law on all agreements between seller and real estate

agent EXCEPT a(n):

A. written instrument giving one agent the right to sell property for a specified time but reserving the right of the owner to sell the property himself without paying a commission.

B. written authorization given by a property owner to a real estate agent wherein said agent is given the right along with other brokers to secure a purchaser.

C. agreement in writing wherein it is provided that an agent appointed in an exclusive capacity may retain as compensation for his services all sums received over and above a net price to the owner.

D. written agreement between owner and agent giving the agent the right to collect a commission if the property is sold by anyone during the term of his agreement.

Answer: B. The other three choices all describe exclusive listing agreements, which must have a final and definite termination date, unlike open listings.

53. If an appraiser were appraising a residence built in 1910, which data would she use?:

A. Today's cost of replacement

B. Original cost adjusted to today’s cost-of-living-index

C. Cost-of-living index for 1910

D. Original cost of materials in 1910

Answer: A. The appraiser is interested in today's cost (less depreciation, of course) and is not concerned about the original cost or the cost-of-living index in 1910.

54. Price is the amount:

A. that a property might bring on the open market.

B. that a property actually does bring in the open market.

C. an informed seller asks for a property.

D. an informed buyer offers for a property.

Answer: B. Price is the amount actually paid for the property. It is distinct from market value, which is the most probable amount a property would likely bring under normal conditions.

55. A due-on-sale clause, whether it is enforceable or not, contained in a mortgage or trust deed is a type of:

A. defeasible clause.

B. acceleration clause.

C. legally enforceable clause.

D. executed clause.

Answer: B. A "due-on-sale" clause, also called an alienation clause, is a form of an acceleration clause found in some mortgages or trust deeds authorizing the lender to call the loan when the property is conveyed. This clause eliminates the new buyer's assuming the mortgage unless the mortgagee permits the assumption, in which case the mortgagee could increase the interest rate and/or charge an assumption fee.

56. The second installment of real property taxes would become due and delinquent on which date?:

A. December 10 and February 1

B. December 10 and April 10

C. November 1 and February 1

D. February 1 and April 10

Answer: D. The second installment becomes due on February 1 and becomes delinquent on April 10.

57. A licensed real estate salesperson has been selling unimproved lots through the employing broker and receiving a finder's fee from a lender for referring the buyers to the lender. The broker discovers this and fires the salesperson and warned all the other salespeople not to be involved in this type of practice. If these facts come to the attention of the real estate commissioner:

A. the broker and not the salesperson is subject to disciplinary action.

B. the salesperson alone is subject to disciplinary action.

C. both the broker and the salesperson may be disciplined.

D. the commissioner has no cause for disciplinary action even though it may be unethical.

Answer: C. the commissioner has no cause for disciplinary action even though it may be unethical.

58. A listing agreement in which the owner promises to pay a commission under all circumstances of sale, except if he or she sells the property himself, is known as:

A. an exclusive-agency listing.

B. an exclusive-right-to-sell listing.

C. none of these.

D. a net listing.

Answer: A. If the owner reserves the right to sell the property, an exclusive-agency listing has been signed. This means that if any other person sells the property the listing broker is entitled to a commission.

59. In November, a storm caused damage in Able's house due to a leaky tile roof. In April, Able listed the house with Broker Baker. Broker Baker showed the house to Smith, but did not mention the leaky roof, although Able had mentioned it. After close of escrow, Smith sustained damage to the interior of the house due to this leaky roof. Under these circumstances, buyer Smith:

A. could take legal action against Broker Baker but not against Able.

B. had no recourse under the doctrine of caveat emptor.

C. had no recourse since escrow had closed.

D. could take legal action against Able, and if successful, Able could most likely recover the loss from Broker Baker.

Answer: D. Since a principal is responsible for all acts of the agent, Able could be sued by Smith. Since Able informed broker Baker of the defect, however, he or she could recover any loss from the broker.

60. George Greedy owns a subdivision in Roughacres and intends to mail a promotional brochure to 1,000 persons. The brochure will offer gifts and prizes and state that winners will be property owners. The brochure does not state that a person must attend a sales seminar and tour the subdivision in order to be eligible for a gift or prize. Would this brochure be in violation of any law?:

A. Yes, it is unlawful since he did not disclose that a person must be present and attend a sales seminar to be eligible for a gift or prize

B. No, it is not unlawful since he is not required to disclose that a person must attend a sales seminar in order to become eligible for a gift or prize

C. No, it is not unlawful since each person who wins a prize is also a property owner

D. Yes, it is unlawful since you cannot win a prize and be a property owner

Answer: D. Yes, it is unlawful since you cannot win a prize and be a property owner

61. In an advertisement, only the annual percentage rate is mentioned. What else must also be disclosed in the ad?:

A. No further disclosures necessary

B. Amount of down payment required

C. Monthly payments required

D. Amount of loan

Answer: A. If only the APR is given, no additional disclosures are required. Don't confuse that with the following rule:
If any one of the following is given:
Amount or percentage of any down payment
Number of payments or period of repayment
Amount of any payment

Amount of any finance charge
Then, the ad must disclose:
Amount or percentage of the down payment
Terms of repayment
APR, and if the rate may be increased, that fact

62. A licensee can legally do all of these things EXCEPT:

A. collect a commission or service a mortgage loan that he did not negotiate.

B. claim an income tax deduction for a commission paid for the sale of his own property.

C. use an open listing without a final and definite termination date.

D. fail to use a termination date on an exclusive listing.

Answer: D. Using an exclusive listing without a definite termination date is a violation of the real estate law.

63. Which statement regarding a prepayment penalty in Cal-Vet financing is correct effective 1998?:

A. If a Cal-Vet loan is paid off within the first five years there is a prepayment penalty based on the original loan amount.

B. There is no prepayment penalty for an early payoff on a Cal-Vet loan.

C. If a Cal-Vet loan is paid off within two years of inception it requires a 2% penalty based on the current loan balance.

D. The prepayment is 2% of the current loan balance.

Answer: B. There is no prepayment penalty on a Cal-Vet loan, effective 1998.

64. The secondary money market creates a marketplace for the transfer of mortgages between which parties?:

A. Trustors and mortgagees

B. Mortgagees and mortgagors

C. Mortgagees and mortgagees

D. Mortgagors and mortgagors

Answer: C. The secondary mortgage market is the marketplace where existing loans are bought and sold by and to mortgagees. The term mortgagee means lender or holder/owner of the security instrument. Because there are no borrowers (mortgagors/trustors) in the secondary market, the last three answer choices can be eliminated.

65. Under California law, it is necessary to give notice to terminate:

A. estate for years.

B. estate at sufferance.

C. none of these.

D. estate at will.

Answer: D. Under common law, an estate at will is one that is terminable at the will or unilateral decision of either party. By statute, California has modified the abrupt conclusion of such estates and requires advance 30-day notice of termination by each party. If this question had referred to common law, the answer would have been "none of the these."

66. To manage properties for the general public an individual must be:

A. anyone; nothing is required.

B. a member of a rental service that lists apartments for rent.

C. a licensed broker.

D. a certified property manager (CPM).

Answer: C. B&P Code Section 10131 (b) requires a broker's licensee of anyone who, for others and for compensation, leases or rents real property or a business opportunity.

67. Which area is the largest?:

A. 10% of a township

B. Two sections

C. 5,280′ × 10,560′

D. Four square miles

Answer: D. Two sections equals 2 sq. mi.

10% of a township = 0.10 (1/10th) × 36 sq. mi. = 3.6 sq. mi.
5,280′ × 10,560′ (2 miles) = 2 sq. mi.
4 sq. mi. is the correct choice.

68. Carson acquired title to several properties before his arrest. While in prison, he wanted to convey one property to his son and sell another. How would being in prison affect his ability to convey?:

A. He can dispose of his property as he pleases.

B. He must first get permission from the California Adult Authority.

C. His conveyance must be approved by an officer of the Department of Corrections.

D. It would be hard to acquire title insurance.

Answer: A. A prisoner is not automatically deprived of his civil rights (including his right to contract or deed his property) unless he has been sentenced to death or to life in prison.

69. Broker A had a listing and cooperated with Broker B on an offer from a buyer procured by Broker B. The seller accepted the buyer's offer and the transaction was placed in escrow. It is due to close within two or three days when Broker A learns that Broker B has arranged a sale of similar acreage at a considerably higher price to the same buyer. In these circumstances, what should Broker A do?:

A. Notify the seller of the higher price

B. Attempt to renegotiate a higher price

C. Nothing because of the imminent closing

D. File an interpleader action and obtain a writ of replevin

Answer: A. If a broker sells a property through a cooperating broker and, while the transaction is in escrow, learns the cooperating broker is selling a similar property to the same buyer at a higher price, the broker must inform his principal since he has a fiduciary duty to the seller even though the transaction is in escrow.

70. An investment property is appraised at $400,000 based on a net income of $36,000 and a 9% capitalization rate. The value of the property based on a 12% capitalization rate would be:

A. $423,000.00

B. $250,000.00

C. $450,000.00

D. $300,000.00

Answer: D. R x V = I

0.12 x V = $36,000
V = $36,000 ÷ 0.12 = $300,000

71. Which is NOT an element of value?:

A. Scarcity

B. Transferability

C. Utility

D. Expectation

Answer: D. Expectation is not one of the elements of value. The four elements of value are: (1) demand, (2) utility, (3) scarcity, and (4) transferability (DUST).

72. A licensee who has negotiated the sale of a mobile home would NOT be subject to discipline by the commissioner of real estate if he or she:

A. advertised a mobile home as being new when it is not new.

B. sent a check to the Department of Housing and Community Development drawn on an account that has insufficient funds.

C. failed to deliver the certificate of registration to the Department of Motor Vehicles.

D. sold a mobile home that is greater than 8 feet in width and 32 feet in length.

Answer: D. The first three choices are all grounds for discipline of a licensee. Under the provisions of Business & Professions Code Section 10131.6, licensees may "sell or offer to sell, buy or offer to buy, solicit prospective purchasers of, obtain listings of, or negotiate the purchase, sale or exchange of any mobile home if it has been registered." There are no size limitations.

73. The federal Fair Housing Law contains provisions to prevent discrimination due to race, color, religion, sex, or national origin. A violation of this law would be considered:

A. against public policy.

B. unlawful.

C. illegal.

D. all of these.

Answer: D. Discrimination is illegal, unlawful, and against public policy.

74. A one-acre parcel is divided into four equal rectangular lots parallel to each other and each 240 feet in depth. What is the approximate width of each lot?:

A. 87.8′

B. 280.0′

C. 181.5′

D. 45.4′

Answer: D. One acre = 43,560 square feet.

$43,560 sq. ft. ÷ 240 = 181.5′

181.5′ ÷ 4 = 45.4′

75. A deed made and delivered, but not recorded, is:

A. invalid as between the parties and valid as to third parties with constructive notice.

B. valid as between the parties and invalid as to subsequent recorded interests without notice.

C. valid as between the parties and valid as to subsequent recorded interests.

D. invalid as between the parties.

Answer: B. Recording a deed gives constructive notice to the world of the contents of the deed. The recording laws were enacted to protect innocent third parties. In this instance, the grantee did not record the deed; therefore, he or she cannot expect the courts to protect the title against third parties or subsequent recorded interests that have no knowledge of the document. The deed itself is valid between the

grantor and the grantee, but invalid as against an innocent purchaser without notice.

76. Riparian rights differ from littoral rights in which way?:

A. Riparian rights deal with streams and watercourses, while littoral rights deal with oceans and lakes.

B. Littoral is a possessory right, riparian is a nonpossessory right.

C. Riparian rights are associated with water and littoral rights are associated with land.

D. Riparian is a possessory right, littoral is a nonpossessory right.

Answer: A. Riparian rights deal with flowing water in a river, stream, or watercourse (a fixed or defined channel). Littoral are rights associated with a body of water such as the sea or other tidal water (ocean) and lakes.

77. Johnson, who owns a ranch, gave Broker Otis an exclusive listing to sell the property. Johnson also advanced Otis $100 to advertise the sale of this ranch in a brochure published by Otis.

The real estate law requires that brokers must account for such funds by placing the $100:

A. in the broker's trust account in order that the money may be returned to the seller if the property is not sold.

B. in the broker's personal office account and spend it only for advertising the property.

C. in the broker's trust account in case the seller defaults.

D. in the broker's trust account, expend from the trust account only for advertising the property, and provide a report to the seller that will itemize all expenditures made.

Answer: D. The $100 collected by the broker is an "advance fee" because the money to pay for it is collected from the principal in advance, distinguished from advertising in a newspaper and paying for the advertising after the fact out of the commission collected. By law, in order to avoid possible misuse or errors, such advance fees must be placed in the broker's trust account and expended only for advertising the property, and brokers must provide a report to the seller itemizing all expenditures made.

78. An appraiser using the land residual approach is attempting to determine:

A. building value.

B. capitalization rate.

C. income.

D. land value.

Answer: D. The land residual technique of the income approach is used to determine the value of the land.

79. A property is sold in accordance with the listing terms and conditions. After the transaction is in escrow, the seller decides that he doesn't wish to complete the transaction and refuses to complete the sale. Under the Statute of Limitations, the buyer must bring any action against the seller for failure to perform under the deposit receipt within:

A. two years.

B. one year.

C. 90 days.

D. four years.

Answer: D. The statute of limitations requires any legal action to commence within four years on any written contract.

80. Mr. Borg purchased a new mobile home two months ago and contacted broker Wilson to take a listing on it. With respect to this information, Wilson:

A. could take a listing anytime but could not sell the mobile home for one year.

B. could not list the mobile home unless she was also licensed by the Department of Motor Vehicles as a Vehicle Dealer.

C. could not take a listing and sell the mobile home unless it was installed on a foundation and properly registered with the county recorder.

D. could not list the mobile home if it had not been registered with the Department of Housing and Community Development.

Answer: D. Real estate brokers are not allowed to list mobile homes that are "new," which means those not registered with the DMV or H&CD. An exception is allowed if the mobile home is bought to be installed on a "regular" lot and is handled as real property by a proper recordation with the county recorder. When a manufactured home is

properly installed on a permanent foundation on the owner's lot, it becomes real property and is no longer a mobile home.

81. An owner has a 100-unit apartment house. Which item would be deductible from the gross income in determining net operating income?:

A. Income tax

B. Wages for part time gardeners and maintenance personnel

C. Depreciation

D. Mortgage payments of principal and interest

Answer: B. For appraisal purposes, mortgage payments and income tax are not allowable deductions to arrive at net operating income. Depreciation adjusts the cost basis but is not an expense for appraisal purposes. Wages paid for gardeners and maintenance personnel are deductible from gross income as operating expenses.

82. A broker told a customer that if he purchased a lot "it was a gold mine," and that it could be sold for four times what he paid for

it by the end of two years. The customer bought the lot but did not attempt to sell it for four years. At that time, he discovered that the broker who had sold him the lot was now selling similar lots for less than the original price of his lot. What course of action could be taken against the broker?:

A. Nothing could be done, as the statute of limitations has expired.

B. The broker was only "puffing," a common practice in selling real estate, and could not be held liable to the buyer; however, the broker could be disciplined by the Bureau of Real Estate.

C. Civil and disciplinary action could be taken against the broker.

D. Nothing could be done about such oral statements, as the real estate market is speculative and always involves some risks for the purchaser.

Answer: C. The agent went beyond allowable "puffing" (putting things in their best light) in selling the property. While buyers do take risks, the agent made specific promises not substantiated. The buyer did not become aware of the misrepresentation until four years later, and the time for taking actions starts from this point. Civil liability and the possibility of disciplinary action by the Bureau of Real Estate exist in this situation.

83. The objective of the Subdivided Lands Law is to protect purchasers of property in new subdivisions from fraud, misrepresentation, or deceit in the marketing of subdivided lots,

parcels, units, and undivided interests in the State of California. An owner of land wants to subdivide his property. What is the minimum number of parcels he would have to create in his new subdivision in order to fall under the Subdivided Lands Law?:

A. Two

B. Five

C. Three

D. Four

Answer: B. The Subdivided Lands Act applies to subdivisions of five or more parcels.

84. A voidable contract is:

A. enforceable

B. unenforceable

C. illegal

D. valid until some action is taken to void it

Answer: D. Voidable indicates the contract is binding on both parties until some action is taken by the wronged party to unilaterally rescind the contract.

85. Certain contracts to be held enforceable in court under the statute of frauds must be in writing. Which of these would be required to be in writing?:

A. Employment of a real estate broker to find a business to purchase

B. Employment of a real estate broker to negotiate one-year leases on business property

C. Any agreement not to be performed within one year

D. Employment of a real estate broker to sell stock-in-trade and goodwill of a business

Answer: C. The statute of frauds requires that certain contracts be in writing to be enforceable in court; contracts that cannot be performed within one year as well as most contracts dealing with real property are included in this statute. Since the first three choices concern themselves with business opportunities, which are personal property, these transactions fall outside the writing requirements of the statute.

86. Before the purchaser is advised of the seller's acceptance of an offer, the purchaser can withdraw his offer:

A. for any reason.

B. provided the offer is not irrevocable.

C. provided the offeree has breached the offer.

D. provided the offer is breached by the seller.

Answer: A. An offer may be withdrawn (revoked) by the offeror any time prior to communication of the acceptance by the offeree regardless of the offeror's reason.

87. On FHA loans, mutual mortgage insurance:

A. is paid for by the mortgagee.

B. pays off the mortgage if the mortgagor dies.

C. insures the mortgagee against loss through foreclosure.

D. insures mortgagees against fire.

Answer: C. FHA mutual mortgage insurance insures the lender (mortgagee) against loss in the event a foreclosure sale fails to satisfy the debt obligation. The mortgage insurance premium (MIP) is paid by the borrower (mortgagor).

88. Robert Smith signed an offer and gave the broker his personal check made payable to an escrow company as a deposit. He stipulated that the broker was to hold the check until his offer was accepted by the seller. The listing agreement specified that any deposit money must be a cashier's check made payable to the seller. Under these circumstances, the broker should:

A. submit the offer and deposit the check in escrow.

B. refuse to accept a deposit that does not conform to the precise terms of the listing.

C. hold the check but do not reveal to the seller that he has accepted the check until the seller accepts the offer.

D. submit the offer and hold the check.

Answer: D. The Real Estate Law permits a broker to hold the check when he has been ordered to do so by a principal. Since he was not authorized by the seller to accept a personal check, his acceptance of

such a check makes him the agent of the buyer for the amount of the check.

89. A buyer of a piece of property fails to examine public records on the property. The buyer is considered to have:

A. conditional notice.

B. constructive notice.

C. assumed notice.

D. actual notice.

Answer: B. Recording gives constructive notice "to the world," and anyone dealing with the property has constructive notice even though the public records have not been inspected.

90. A seller's transfer disclosure statement provides that a broker:

A. inspect condominium common areas.

B. visually inspect the property and advise of any pertinent information.

C. pay for the pest control inspections.

D. physically inspect inaccessible areas and report findings to the buyer.

Answer: B. California Civil Code Section 2079 provides that a real estate broker has a duty to the buyer of residential real property of one to four units to conduct a reasonably competent and diligent visual inspection of property offered for sale, and to disclose to the buyer all facts materially affecting the value or desirability of the property. This does not include areas that are normally and reasonably inaccessible to such an inspection, nor does it include the common areas of a condominium unit.

91. The broker's desk fee would most likely be paid:

A. by a new licensee.

B. in a 100% brokerage.

C. in property management.

D. by an appraiser.

Answer: B. In a 100% commission real estate office, an experienced salesperson pays the broker a flat desk fee or a desk fee plus a transaction fee and keeps all of the commission.

92. A broker who is selling property on which he holds an option must inform the buyer that he is a(n):

A. principal

B. agent

C. optionor

D. grantor

Answer: A. A broker who holds an option to purchase real property is a principal. He is not representing a seller but is dealing on his own behalf, a fact that must be disclosed to a purchaser.

93. An appraiser is employed to advise an apartment owner of the economic feasibility of construction of a swimming pool. The appraiser would be most concerned with which valuation principle?:

A. Integration

B. Substitution

C. Regression

D. Contribution

Answer: D. The principle of contribution is applied to a portion of the property (in this case the added swimming pool) and affirms that the value of an additional improvement is measured by its contribution to the net return of the combined enterprise.

94. An offer is terminated by:

A. revocation by the offeror.

B. revocation by the offeree.

C. rejection by the offeror.

D. a change in the offer made by the offeror.

Answer: A. n understanding of the terms revoke and reject is essential in these answers. An offeror revokes an offer, but an offeree can accept

or reject an offer.

95. When Atkins is selling his trade fixtures, which instrument must he execute?:

A. Chattel real

B. Bill of sale

C. None of these

D. Warranty deed

Answer: B. Since trade fixtures are personal property, a bill of sale would be the proper instrument to use to convey the title. A chattel real describes a lease. A warranty deed conveys title to real property.

96. An attorney-in-fact is:

A. a principal in a transaction.

B. a legally competent person acting on behalf of another.

C. all of these.

D. an attorney or executor of an estate.

Answer: B. An attorney-in-fact is one who is authorized by another to perform certain acts for the other under a power of attorney. This power of attorney may be limited to a specific act(s) or may be general in scope.

97. A written statement that is sworn to or affirmed in the presence of a notary is a(n):

A. ratification

B. estoppel

C. allocation

D. affidavit

Answer: D. An affidavit is defined as a statement of facts sworn to or affirmed before an authorized official (usually a notary public).

98. The primary responsibility for reporting a real estate transaction to the IRS is on the:

A. real estate agent.

B. appraiser.

C. escrow company.

D. lender.

Answer: C. All real estate transactions, including the sale of one's own home, must be reported to the IRS. The primary reporting responsibility falls to the person responsible for closing the transaction (e.g., the escrow company or title company, if there is one). If there is no person responsible for the closing, the responsibility falls, in order, to the primary mortgage lender, the seller's broker, or the buyer's broker.

99. An agency contract can be created by all of these EXCEPT:

A. appointment by the principal.

B. an implied contract in law.

C. an oral contract.

D. a voluntary offer by the agent.

Answer: D. An offer is not a contract; it is an expression of willingness to enter into a contract. While the existence of agency is a question of fact and is not dependent on the existence of a contract, this question asks about an agency contract. A voluntary offer by the agent would not create an agency contract; the offer would have to be accepted in order for a contract to be created.

100. An agent would be guilty of fraudulent misrepresentation when:

A. the representation was material and inconsistent with fact.

B. the misrepresentation caused the purchaser to enter into a contract.

C. all of these happened.

D. the misrepresentation was given with knowledge of the truth.

Answer: C. Fraud exists when these three factors are present: (1) when a person misrepresents a material fact (2) while knowing it is not true, and (3) the purchaser relies thereon in entering into the contract.

101. The customary procedure used to enforce private restrictions on real property is:

A. indictment.

B. judgment.

C. injunction.

D. desist and refrain order.

Answer: C. An injunction is a court order restraining or requiring performance by a party (e.g., performing acts required by property covenants or refraining from acts restricted by such covenants).

102. What was the purpose of the enactment of the Equal Credit Opportunity Act?:

A. To minimize the cost of credit

B. To prohibit discrimination by lenders based on sex or marital status

C. To regulate the amount of credit extended by a lender

D. To standardize the minimum requirement for obtaining credit

Answer: B. The purpose of the Equal Credit Opportunity Act is " . . . to prohibit lenders from discriminating against credit applicants on the basis of race, color, religion, national origin, sex, marital status, and age (providing applicant has legal capacity)." To prohibit discrimination by lenders based on sex or marital status, taken out of context, is not a true statement, but viewed in context, is the best choice given.

103. A person who is an innocent purchaser of a negotiable note for value without knowledge of any defect is customarily called a(n):

A. assignor.

B. receiver in trust.

C. holder in due course.

D. endorser in blank.

Answer: C. Holder in due course: One who has taken a note, check, or bill of exchange in due course (1) before it was overdue, (2) in good faith and for value, and (3) without knowledge that it has been

previously dishonored and without notice of any defect at the time it was negotiated.

104. The year in which the U.S. Supreme Court barred racial discrimination, both public and private, in the sale or rental of real property was:

A. 1968

B. 1972

C. 1960

D. 1984

Answer: A. In 1968 the U.S. Supreme Court, in the case of Jones v. Mayer, established an all-encompassing set of federal rules prohibiting unlawful discrimination in the sale or rental of property.

105. Which instrument requires a list of inventory of buildings on real property to be sold, conveyed, or insured?:

A. ALTA

B. None of these

C. Grant deed

D. Land contract

Answer: B. Neither a land contract, grant deed, nor ALTA policy of title insurance requires a listing of the buildings or improvements. A legal description is all that is required.

106. A tenant who transfers an entire leasehold interest does so by:

A. transfer.

B. alienation.

C. sublease.

D. assignment.

Answer: D. Assignment of leasehold means the entire interest is transferred and includes the remaining term and the entire premises. Subleasing is transferring part of the premises or less than the entire term.

107. On hot days, customers prefer to walk in the shade. Certain locations, due to the sun's fading effect on display window clothing, are the least desirable. Which is the least desirable side of the street for a clothing retailer?:

A. Southwest

B. Northwest

C. Northeast

D. Southeast

Answer: C. Because of the action of the sun, the southwest sides of the street are best. Therefore the northeast sides of the street are the least desirable corner of the street.

108. The amount an appraiser charges for an appraisal is established by the:

A. Office of Real Estate Appraisers.

B. Federal Housing Authority.

C. agreement between the appraiser and the client.

D. real estate commissioner.

Answer: C. Appraisal fees are set by agreement between the appraiser and the client.

109. A commercial acre is best defined as:

A. an acre after deductions for streets and alleys.

B. an acre zoned for commercial purposes.

C. any acre located outside of "R" zoning.

D. any parcel of 43,560 square feet.

Answer: A. A commercial acre is the remainder of an acre of newly subdivided land after the deduction of areas devoted to streets, sidewalks, curbs, and the like.

110. The highest member of the frame in a conventionally constructed home is the:

A. ridge board.

B. collar beam.

C. girder.

D. rafter.

Answer: A. The ridge board is placed at the peak of the roof.

111. Which document is of importance in filing a mechanic's lien?:

A. Notice of Cessation of Labor

B. Any of these

C. Notice of Nonresponsibility

D. Notice of Completion

Answer: B. All three notices listed in answer choices have important effects on the time of filing and the validity of a mechanic's lien.

112. In most cases, the least satisfactory place to obtain a legal description of property is:

A. a real property tax bill.

B. a preliminary title report.

C. a deed.

D. escrow instructions.

Answer: A. Many counties in California use a description in the tax bill other than a legal description—that is, an "Assessor's Parcel Number."

113. If a person paid $220 interest on an $8,000 loan for 90 days, the interest rate was:

A. 11%.

B. 12%.

C. 9%.

D. 10%.

Answer: A. (R x T) x P = I

(%/yr.) x $8,000 = $880*
$880 ÷ $8,000 = 0.11 = 11%/yr.
$220 Interest/90 days x 4 Quarters
$880 Interest/yr.

114. Which is real property?:

A. Land and buildings

B. Natural and artificial barriers immovable by law

C. Easements and rights-of-way to an adjoining property

D. Any of these

Answer: D. Real property consists of land, that which is affixed to land or appurtenant to land, and that which is immovable by law.

115. What statement must be specifically stated in a purchase option agreement?:

A. A statement that the optionee has the right to purchase the subject property

B. A statement that the optionee has the right to purchase the subject property and a statement to the effect that the optionor can retain the price paid for the option

C. A statement to the effect that the agreement is irrevocable

D. A statement to the effect that the optionor can retain the price paid for the option

Answer: B. The essence of an option is that an optionor (seller) grants to an optionee (prospective buyer) an option to purchase (or to renew a lease, etc.) a certain property under certain terms for a specified time. The option must be supported by its actual consideration, separate and independent of the purchase price of the property.

116. Amenities of residential real estate are:

A. the property's physical attributes.

B. related to its capacity to provide shelter effectively.

C. measurable on the market.

D. not considered by appraisers because they are intangible qualities.

Answer: C. Amenities are the attractive or desirable features of a home or neighborhood. These may be physical attributes or perhaps the neighborhood's attitude toward schools, well-kept lawns, et cetera. These may be tangible or intangible qualities measurable on the market.

117. The legal term laches is best described as:

A. a deficiency judgment.

B. a court with no jurisdiction.

C. a writ of attachment.

D. inexcusable delay in asserting a legal right.

Answer: D. Laches means delay or negligence in asserting one's legal rights. Such a delay can make a contract unenforceable.

118. Silverman is going to make extensive improvements on an old apartment building. Which is MOST important for Silverman to take into account?:

A. Cost

B. Net income

C. Land value

D. Area

Answer: B. The principle of contribution affirms that after a certain point of development is reached, additional expenditures do not produce an appropriate return on the added investment (that is, the return is less than the existing or desired overall investment). Therefore, the owner should base the decision to make extensive improvements on their proper contribution to the net income.

119. What is the minimum amount of time that a broker must keep signed copies of listings, deposit receipts, et cetera?:

A. Four years

B. Two years

C. One year

D. Three years

Answer: D. The Real Estate Law requires most documents to be kept for a minimum of three years.

120. Quiet enjoyment and possession usually refer to which circumstance?:

A. Neighbors creating a nuisance

B. Noise abatement

C. None of these

D. Possessory interest of a tenant given by the owner of the paramount title

Answer: D. For every lease, the law implies a covenant (promise) on the part of the lessor ("owner of the paramount title") to the "quiet enjoyment" and possession of the property by the lessee during the term of the lease. It is a warranty by the lessor against the lessor's own acts, not those of strangers (neighbors and the like).

121. Riparian rights refer to:

A. subterranean cavities.

B. bays and arms of the ocean.

C. rivers and streams.

D. all of these.

Answer: C. Riparian rights refer to flowing water as in rivers or streams or in other watercourses (waters flowing in a fixed or defined channel). Rights associated with tidal or standing waters like lakes, oceans, and bays are called littoral rights.

122. A deed was given by "A" to "B" with oral instructions not to record the deed until "A's" death. The deed was:

A. voidable

B. valid

C. illegal

D. void

Answer: B. Recording is not a requirement for a valid deed. To effectively convey title with a deed, there must be (1) delivery with the intention to convey and (2) acceptance by the grantee.

123. When is the best time for a seller to obtain a termite report?:

A. Before determining the sales price

B. Before opening escrow

C. Before putting the house on the market

D. After the lender's appraisal

Answer: C. A prudent seller, after consulting with the broker, obtains a structural pest control inspection report before putting the property on the market. The report can help in determining the pricing of the property.

124. A licensed real estate salesperson takes a listing that does not authorize her to take a deposit. The salesperson finds a buyer, however, who gives her a personal check as a deposit with an offer on the property. With regard to the deposit, the salesperson's broker would be:

A. the agent of the seller.

B. required to place the check in escrow.

C. the agent of the buyer.

D. the agent of the bank.

Answer: C. The broker, through the acts of the salesperson, acted in excess of authority. By accepting a check when not authorized, the salesperson created an agency between the buyer and the broker, but only with regard to the deposit.

125. A broker shows a house to a buyer after listing the house. The broker does not disclose the agency relationship the broker has with the seller. The buyers are under the impression the broker is representing them. The agency is:

A. undisclosed dual agency.

B. ostensible agency.

C. listing only.

D. voidable.

Answer: A. An undisclosed dual agency has been formed by nondisclosure. This is also known as divided agency and is a specific violation of real estate law.

126. Broker Wilson did not present a second offer on a particular property but rather held it as a backup offer while the seller was considering the first offer. This is:

A. permissible.

B. not permissible since an agent should present all offers.

C. not permissible as the second offer should be returned so the offeror might look at other property.

D. not permissible as the second offer should be returned so the offeror can make a larger offer.

Answer: B. Broker Wilson acted incorrectly as an agent should present all offers.

127. Which constitutes a lien?:

A. Easement

B. Mortgage

C. All of these

D. Homestead

Answer: B. A lien is a charge upon property for the payment of a debt. Of the choices listed only the mortgage is a money claim or lien.

128. A person borrowed $1,968 for 3 years, 10 months, and 20 days at 8.5% interest per annum. What is the amount of interest paid to the lender?:

A. $650

B. $399

C. $501

D. $739

Answer: A. (Rate x Time) x Principal = Interest

Interest = 0.085 x $1,968 = $167.28 (one year)
3 years: $167.28/yr x 3 years = $501.84
10 months: $167.28/yr ÷ 12 mo. = $13.94/mo.
10 mo. x $13.94/mo. = +139.40
20 days: $13.94/mo. ÷ 30 days = $0.465/day
20 days x $0.465/day = 9.29
Total interest for the period = $650.53

129. Which type of financing would LEAST likely create a need for a cash down payment from a borrower?:

A. VA

B. Cal-Vet

C. Conventional

D. FHA

Answer: A. A down payment is not a requirement of a Veterans Administration guaranteed loan (unless the certificate of reasonable value is less than the purchase price). However, the lender may require one. Conventional loans nearly always require some down payment, and FHA and Cal-Vet loans do require down payments.

130. A 17-year-old divorced woman wants to list her part of what had been community property with a broker. With regard to the listing, the broker:

A. should wait for court approval.

B. can proceed with the listing request.

C. may take the listing when she becomes 18 years old.

D. may not take the listing because the divorced woman is a minor.

Answer: B. Since the divorced woman is emancipated she need not seek court approval. If she is divorced, it doesn't matter whether she is a minor because she is emancipated. Her age is also immaterial because she is emancipated. Therefore, indicating the broker can proceed with the listing request is correct. Once a person has been married the person is emancipated and continues to be even if later divorced. On the exam, a "single person" is someone who has never been married.

131. Joe wants to purchase property but does not have the cash to pay the $85,000. He contacts Harris, who purchases the property and offers it for sale to Joe for $98,000 on a land contract. The contract is:

A. a valid sale and resale.

B. voidable by Joe.

C. disguised as a mortgage.

D. voidable by Harris.

Answer: A. The facts given involve purchasing a property on behalf of someone who may be unable to do so for himself and reselling to that person under a land contract. This is a common and acceptable method of acquiring property, without the vendee having to qualify to borrow money from a lender. The vendor may benefit from capital gain installment sale treatment. The vendee gets the use of the property, time to pay off the credit extended by the vendor, and other benefits of ownership such as increasing equity and income tax benefits.

132. Which is a requirement of joint tenancy?:

A. The words "taken in joint tenancy" must be next to the names of the joint tenants.

B. All parties must have the same right of possession.

C. All parties must have equal interests.

D. All of these

Answer: D. All joint tenants must share the elements of time, title, interest, and possession. It is also a requirement to state your intention to hold title as a joint tenant.

133. Mr. Applegate purchased a home in a subdivision through Broker Able. Applegate applied for a loan and on the loan application there were two boxes that he was asked to check. One box was for marital status and the other for race. Applegate may:

A. sue the broker arranging the loan and the loan officer for asking these questions on the loan application.

B. refuse to answer the questions on race and marital status.

C. file a complaint with the real estate commissioner.

D. be required to answer these two questions by the lender in order for the loan to be processed.

Answer: B. The applicant may refuse to answer about race since the information is optional on the typical real estate loan application. Both federal and California law prohibit discrimination on the basis of marital status. Therefore, marital status cannot be considered by the lender to be a material fact. The borrower, then, may refuse to answer the question.

134. Which is a correct statement?:

A. The effective interest rate is the interest rate paid and the nominal interest rate is the minimal rate that is charged.

B. The nominal interest rate is the percentage of interest that is actually paid by the borrower and the effective interest rate is the percentage of interest that is stated in the loan.

C. The nominal interest rate is the same as the annual percentage rate (APR).

D. The effective interest rate is the percentage of interest that is actually paid by the borrower and the nominal interest rate is the percentage of interest that is stated in the loan.

Answer: D. The effective interest rate is the percentage of interest that is actually paid by the borrower and the nominal interest rate is the

percentage of interest that is state in the loan. This statement defines correctly the effective interest rate as the percentage of interest actually paid (or received by the investor) and may reflect periodic compounding. The effective rate may also include some nonrecurring costs such as discount points and is similar to an annual percentage rate (APR) as defined by Regulation Z. The nominal rate is the percentage of interest stated in the note.

135. In a sales transaction, an agent is paid by both parties but he did not reveal his dual agency. What could happen in these circumstances?:

A. The agent would be subject to discipline by the real estate commissioner.

B. The agent may not be able to enforce payment of his commission.

C. All of these

D. The sale could be rescinded.

Answer: C. Acting for more than one party in a transaction without the knowledge and consent of all parties thereto is a violation of California Real Estate Law and the Civil Code and could therefore result in all the penalties recited.

136. In order for a contract for the transfer of real property to be binding on the buyer and seller, it must:

A. be acknowledged.

B. be recorded.

C. have an offer, acceptance, and communication to the offeror.

D. satisfy all of these.

Answer: C. A contract, to be valid, must have offer, acceptance, and communication to the offeror. Either party may withdraw from the contract any time prior to communication. Neither recording nor acknowledgment is required for a contract or for a deed.

137. The principle of value that affirms that a purchaser will buy goods and services at the lowest cost available is:

A. regression

B. retribution

C. inflation

D. substitution

Answer: D. The principle of substitution states that when several similar commodities, goods, or services are available, the one with the lowest price attracts the greatest demand and widest distribution.

138. If a developer requested backfill he or she would be using it for:

A. garden landscaping.

B. roadways.

C. replacing excavated earth against foundation walls.

D. driveways.

Answer: C. Backfill is used in construction to replace excavated earth into a hole or against a structure.

139. An estate in real property for a definite and specified period of time with an agreement for the payment of rent is known as:

A. month-to-month tenancy.

B. estate for years.

C. freehold estate.

D. periodic tenancy.

Answer: B. An estate for years is an interest in lands by virtue of a contract (lease) for the possession of them for a definite and limited period of time. The term may be for any specified period of time, even for a certain number of years, months, weeks, or days.

140. In a transaction in which the sale of a property has resulted, the broker must keep a copy of the deposit receipt for three years from the date of:

A. deposit receipt.

B. closing of transaction.

C. recording of grant deed.

D. acceptance of offer.

Answer: B. The Real Estate Law dictates that the broker must keep a copy for three years starting from the date of closing if such occurs. The date of the contract is used if the escrow does not close.

141. If an appraiser does not adhere to appraisal standards (USPAP) for the purpose of defrauding an FDIC insured lender, the appraiser could be guilty of:

A. an ethics violation.

B. a felony.

C. a misdemeanor.

D. violating Bureau of Real Estate rules and regulations.

Answer: B. Submitting false information to a lender for the purpose of inducing the lender to make a loan is a felony. OREA could also remove the appraiser's license.

142. The real property taxes for the current fiscal tax year had been paid and amounted to $1,380. The property was sold and the escrow closed on May 1. How much did the buyer have to pay in escrow?:

A. $460

B. $115

C. $1,150

D. $230

Answer: D. The date to which the item has been paid is beyond the close of escrow; therefore the buyer owes all of May and all of June, or two months.

143. In a real estate office, worker's compensation should be carried on:

A. secretaries

B. all of these

C. bookkeepers

D. sales agents

Answer: B. Legally, employees need to be covered by worker's compensation. As the law is not clear on the relationship between a broker and a salesperson, the broker would be prudent to cover their salespersons also.

144. The length of distance of a parcel abutting a thoroughfare would be considered the:

A. frontage of a lot.

B. width of a lot.

C. front foot of a lot.

D. taxable width.

Answer: A. The frontage is a term used to describe or identify that part of a parcel of land or an improvement on the land which faces a street.

145. The maximum amount of commission and loan costs that may be charged for a second trust deed of $4,000 for a four-year term

is:

A. $725.00

B. $550.00

C. $990.00

D. $850.00

Answer: C. Under Article 7, the maximum commission and fee is:

$4,000 2nd T.D.
x 0.15 15% of the principal of a loan of three years or more)
600 Maximum commission
x 390 (5% or $390-whichever is greater)
$990 Maximum commission and fees

146. A listing agreement is:

A. a promise for a promise.

B. all of these.

C. a bilateral executory contract.

D. an employment contract.

Answer: B. A listing agreement, being a promise of payment given for a promise of a personal service, is a bilateral, executory employment contract.

147. In a sales transaction, the broker acted as an agent for both the buyer and the seller and collected a commission from each. He failed to disclose to either that he was receiving a commission from the other party. In this case, after the close of escrow, what could happen?:

A. Any of these could happen.

B. The broker could be denied any commission.

C. The broker could be disciplined by the Bureau of Real Estate.

D. The buyer could rescind the purchase.

Answer: A. An agent cannot act for two principals in negotiations with each other unless both have knowledge of and consent to the dual agency. The agent could be denied commission from either and the undisclosed divided agency is a ground for rescission by either principal. The broker's license could be revoked or suspended by the Bureau of Real Estate.

148. Which word(s) placed in a promissory note would commit all the borrowers for repayment?:

A. Jointly and severally

B. Jointly

C. Individually and severally

D. Individually

Answer: A. Jointly means the creditor can look to all of the signers as a group; severally means the creditor can look to any one signer for the entire amount due. Co-signers on a note are "jointly and severally" liable.

149. If the Federal Reserve Board wanted to create a tight money market, it would:

A. lower discount rates and sell bonds.

B. raise discount rates and buy bonds.

C. lower discount rates.

D. raise discount rates.

Answer: D. The Federal Reserve Board could create a tight money market by restricting the flow of money and credit. It could use one or a combination of any of these three methods: (1) raise the reserve requirement of its member banks (not in any of the choices); (2) sell U.S. government bonds through its Federal Open Market Committee; or (3) raise the discount rate on short term loans made to its member banks.

150. Tooly, a 15-year-old minor, inherited some land that he deeded to a nonprofit organization. The organization recorded the deed and put a building on the land. At 18, Tooly changed his mind and decided he wanted the property back. Which statement is TRUE?:

A. Recording created an estoppel and prevented Tooly from having claim to the property.

B. Tooly could claim the property if he reimbursed the organization for the cost of the building.

C. Because of the time lapse between 15 and 18, Tooly was unable to reclaim the property.

D. The deed was void because Tooly was a minor.

Answer: D. This choice is clearly a correct statement, as there is no evidence that Tooly was emancipated when he deeded.

Property Ownership

1. A builder submitted building plans that included design, specifications, and materials for approval. When reviewing these plans, the building inspector determined some of the proposed materials were not in accordance with local building codes but that the use of these materials would not constitute a safety hazard and therefore approved the plans. This is an example of a(n):

A. variance

B. exception

C. infraction

D. permit

Answer: B. This is an example of an exception made by a building inspector. The term variance applies to permission to use land for a purpose that does not strictly conform to a zoning restriction. If approved by a building inspector it is not an infraction.

2. An appurtenant easement involves two parcels of land. The owner of the dominant tenement may:

A. transfer the interest independently of the land.

B. have ingress and egress only.

C. not retain easement rights with the transfer of the parcel.

D. retain the benefits and the burdens of the easement.

Answer: C. With an appurtenant easement the easement goes with the property, not the individual that receives the benefit of the easement, and transfers with the property.

3. A property that is referred to as "turn key" is:

A. an illegal ranch subdivision.

B. a contractor's package that is complete and ready for occupancy.

C. government-subsidized low-income housing projects.

D. parcels on which the planning is complete and ready for building.

Answer: B. A turn key project means a completed construction package ready for occupancy. The last step is to turn over the keys to the buyer.

4. In regard to property taxes, a tax lien would be:

A. inferior to other private parties.

B. superior to mortgages.

C. on par with all others.

D. inferior to mortgages.

Answer: B. Real property taxes and assessment liens prevail over private real property interests. (Among themselves, these governmental liens are held to be on a parity.)

5. Which type of estate represents the greatest interest a person can have in real property?:

A. Less-than-freehold estate

B. Easement

C. Life estate

D. Fee simple estate

Answer: D. Fee simple estate is the greatest interest that one can have in real property. It is an estate that is unqualified, of indefinite duration, freely transferable, and inheritable. However, a fee estate can be encumbered.

6. Why is a legal description recommended in a sales contract?:

A. To help cooperating salespersons to find the property

B. For the title company to locate the property

C. The lender requests it

D. The seller may have other properties in the area

Answer: D. Neither a real estate sales contract or even a deed is required to have a "legal description"—only an "adequate description." A description such as "My home in San Francisco" has been honored by a court when it could be shown that the grantor owned only one property in San Francisco. If the grantor had owned more than one parcel in that city, the court may not have been able to honor the deed. The reason a legal description is recommended is (1) it is the MOST adequate description, and (2) it is the best way to distinguish the specific property from all other properties.

7. Which lien would most likely have had priority?:

A. A public improvement assessment created April 15, 2004

B. A trust deed executed March 27, 1998 and recorded March 29, 2004

C. A trust deed executed and recorded March 28, 2004

D. A mechanic's lien resulting from work started March 27, 2004

Answer: A. Assessment liens and real estate taxes will take priority over any other type of lien. This is true even though the assessment liens may be created subsequent to a recorded lien.

8. Less-than-freehold estates consist of estates owned by:

A. beneficiaries of trust deeds.

B. holders of easements.

C. lessees.

D. grantees of life estates.

Answer: C. Lessees are the holders of leasehold estates, all of which are less-than-freehold (those estates with limited time durations). Grantees of life estates have freehold estates; that is, of indefinite duration. Beneficiaries of trust deeds and holders of easements have interests in real property but not estates. Estates require possessory interests.

9. A residential property is reassessed:

A. every three years.

B. when the property is destroyed by fire and then reconstructed.

C. every time the property is sold.

D. when the county government needs the money.

Answer: C. A residential property will always be reassessed when the property is sold. A property damaged or destroyed by fire can be restored to original condition without a reassessment.

10. Annual property taxes for a personal residence are:

A. determined by the assessments of the county assessor.

B. 2% of cash value plus additional cost for bond indebtedness.

C. 1% of the assessed value plus additional cost for bond indebtedness.

D. 1% of appraised value.

Answer: C. Proposition 13 limits the annual property tax rate to 1% of assessed value plus an additional amount to pay for voter-approved bond indebtedness.

11. Under a tenancy in common relationship,:

A. tenants have same rights of survivorship as in joint tenancy.

B. each has equal half interest.

C. if one leases her half, she must pay rent to the other.

D. there must be a unity of possession.

Answer: D. Under a tenancy in common relationship, each tenant has the equal right of possession of the entire property and cannot be restricted to any specific portion of it.

12. Zoning regulations are legally enforceable because:

A. they do not affect interstate commerce.

B. of the ease of enforcement.

C. of local planning agencies.

D. of the police power of government.

Answer: D. Police power is the right of the state to enact laws and enforce them for the order, safety, health, morals, and general welfare of the public. Zoning regulations are examples of the implementation of police power.

13. Jones is using Smith's swimming pool and suffers an injury. If Jones instituted court action and obtained a judgment against

Smith for $2,500, it would be a(n):

A. specific lien.

B. voluntary lien.

C. abstract lien.

D. general lien.

Answer: D. A judgment is a general lien when the abstract of judgment is recorded.

14. A document deposited with the county recorder to indicate pending litigation is a:

A. pending deed.

B. trust deed.

C. promissory note.

D. lis pendens.

Answer: D. Lis pendens ("suit pending") is a notice filed or recorded for the purpose of warning all persons that the title or right to the possession of certain real property is in litigation. It is recorded to give constructive notice of pending litigation.

15. A city has sold an assessment bond for the improvement of streets in a certain area. Properties within that area are assessed:

A. in proportion to services or benefits that the land would receive.

B. by the area.

C. by the number of lots in the subdivision.

D. by the size of the lot.

Answer: A. Assessments for bonds sold to finance the improvement of streets are made to each property in accordance with the benefits to be derived by the property owner.

16. Co-ownership of property with undivided interests without the right of survivorship would be:

A. tenancy in common.

B. severalty.

C. joint tenancy.

D. life estate.

Answer: A. A tenancy in common is created when two or more persons own undivided interests in a property without the right of survivorship. If an owner dies, the deceased owner's interests go the heirs/devisees.

17. A husband and wife hold title to some real property as community property. They wish to change their title to a mode that will provide the right of survivorship. To achieve this objective they could deed the property to themselves to hold in:

A. either community property with right of survivorship or joint tenancy.

B. severalty.

C. community property with right of survivorship.

D. joint tenancy.

Answer: A. California has two ways of holding title as community property. One has the right of survivorship and the other does not. If you select community property with the right of survivorship, you waive the right to will your share and it automatically passes to the other tenant at death. Joint tenancy also has the right of survivorship, but does not require the parties to be married to hold title this way, although married people may select it. The way you hold title has significant tax and legal consequences so legal advice is suggested before you change vesting.

18. The most common way for local planners to designate zoning for multiple residential units is:

A. M-3.

B. A-3.

C. C-3.

D. R-3.

Answer: D. The R-3 designation generally means residential property with more than one unit (e.g., a duplex is zoned R-3).

19. The Subdivision Map Act provides primary responsibility for the physical aspects of the subdivision to the:

A. governing bodies of cities and counties.

B. State Department of Public Health.

C. state land commissioner.

D. real estate commissioner.

Answer: A. The Subdivision Map Act is primarily a statewide enabling act giving local governments authority to control the physical characteristics of subdivisions within their jurisdictions, and outlining map filing procedures on a statewide basis.

20. A commercial acre is best defined as:

A. any acre located outside of "R" zoning.

B. an acre after deductions for streets and alleys.

C. an acre zoned for commercial purposes.

D. any parcel of 43,560 square feet.

Answer: B. A commercial acre is the remainder of an acre of newly subdivided land after the deduction of areas devoted to streets, sidewalks, curbs, and the like.

21. The personal, revocable, and unassignable permission or authority to do one or more acts on the land of another without possessing any interest therein is the definition of:

A. option.

B. encroachment.

C. easement.

D. license.

Answer: D. A license is a personal, revocable, and unassignable permission given to another, as distinguished from an easement.

22. In administering the Subdivision Map Act, a local planning commission would be responsible for ensuring:

A. adequacy of sewers, street design, and drainage.

B. adequacy of sewers, street design, and drainage.

C. adequacy of sewers, street design, and drainage.

D. all of these.

Answer: A. The Subdivision Map Act is concerned with the physical aspects of the subdivision. It is controlled by local government.

23. The term potable refers to:

A. water.

B. septic tanks.

C. earth fill.

D. trust deeds.

Answer: A. Potable means suitable for drinking and would refer to water.

24. Mr. Able owned an unencumbered lot and decided to build. On May 2, the lumber company delivered $1,000 worth of lumber to the property. On May 3, he obtained a construction loan for $30,000 from People's Savings and Loan Association. The loan was recorded after the lumber was delivered. In June, more lumber was delivered and the completed structure was painted. In August, Mr. Able moved into the house. The lumber company could not collect its balance of $2,000 and the painter could not collect $4,000 for the painting. They each filed a mechanic's lien. If the property is sold at a foreclosure sale and nets $30,000, the amount received by People's Savings and Loan would be:

A. $24,000.00

B. $30,000.00

C. $29,000.00

D. nothing.

Answer: A. $30,000 Net from foreclosure

–6,000 Due materialmen and mechanics*
$24,000 Balance to lender
*Since material was delivered prior to recording of the deed, all lien claimants have priority over the trust deed.

25. Which are considered artificial monuments?:

A. Trees and fences

B. Canals and streets

C. Fences and rock

D. Streets and trees

Answer: B. Both canals and streets are humanmade and would be considered artificial monuments. Trees and rocks, although they can be moved by humans, normally are considered natural marking points.

26. An owner of property located near a local airport was constantly bothered by the noise of low-flying aircraft. If the owner were to bring suit to force the city to condemn his or her property because of the noise, this would be an example of:

A. inverse condemnation.

B. condemnation.

C. equitable severance.

D. eminent domain.

Answer: A. If noise from low-flying aircraft damages the owner in the use of his or her land, this may be a "taking" of property, for which compensation must be paid by the government. This remedy is called inverse condemnation because it is started by an owner who seeks compensation from the agency causing the situation.

27. A zoning designation that allowed multiple dwellings was changed. What effect would this have on an existing apartment building in the area?:

A. It would be in violation of the zoning law.

B. It would be a variance.

C. It would be a nonconforming use.

D. It would be violation of the zoning law with regard to municipal and local ordinances.

Answer: C. This change in zoning would cause the existing apartment building to become a nonconforming use. The structure may be

maintained but enlarging or rebuilding is generally disallowed.

28. A corporation cannot hold title to real property as a joint tenant because:

A. it is a violation of the Securities Act.

B. of its perpetual existence.

C. a corporation cannot convey title to real property.

D. it is difficult to list all stockholders in the deed.

Answer: B. Since a corporation does not die, there can never be a right of survivorship. Because of this, the law does not permit a corporation to hold title in joint tenancy.

29. In the absence of expressed provisions in the deed restrictions and plans, which of these is part of a condominium unit?:

A. None of these

B. Bearing walls

C. Elevator

D. Central heating system

Answer: A. The bearing walls, central heating system, and elevator are parts of the common area.

30. A brother and sister owned property in joint tenancy. All his other affairs were separate. The brother died penniless, leaving many unsecured debts. The creditor could:

A. appeal to the probate court, which would be able to pay creditors out of the sale of the sister's property.

B. attach the property that was owned in joint tenancy.

C. place a lien against the sister's property.

D. obtain no satisfaction since the property is owned by the sister.

Answer: D. Upon the death of one joint tenant, the interest passes to the survivor free and clear of claims by the creditors. Since the brother's creditors did not institute court action to sell the property and satisfy their lien prior to his death, they have no right to the title now held in severalty by the sister.

31. Real property taxes for the 2005-2006 fiscal year become a lien on:

A. November 1, 2005.

B. January 1, 2005.

C. December 10, 2005.

D. February 10, 2006.

Answer: B. Taxes become a lien on January 1, 2005 preceding the fiscal tax year.

32. To achieve planning goals, local, state, and federal governments have the authority to regulate the use of or to purchase private property. In its broadest definition the source of this authority is known as:

A. master planning.

B. zoning.

C. eminent domain.

D. police power.

Answer: D. To achieve planning goals, local, state, and federal government have the authority to regulate the use of private property provided such right is used only to promote the public health, safety, and general welfare. Government also can negotiate to purchase private property for public use. The source of this authority is the police power of the state. Note: The three other powers inherent in the state are (1) eminent domain: Taking (not purchase) of private property for a public use, with compensation; (2) escheat: reversion of property to the state upon death of an owner without heirs; and (3) taxation.

33. In a subdivision, who is generally responsible for assuring the installation of curbs, streets, and public utilities?:

A. Developer

B. Department of Parks and Recreation

C. An incorporated group of homeowners

D. City or county

Answer: A. The developer has the responsibility to assure the installation of these facilities. After installation and dedication, they must be maintained by the city or county.

34. A deed to an unlocated easement is:

A. void.

B. void for lack of certainty.

C. valid.

D. invalid.

Answer: C. A deed conveying the fee title to an indefinite parcel of land would be void because of uncertainty of description, but a deed to an unlocated easement is valid because the exact location could be determined later. Unlocated means not visually apparent.

35. The highest member of the frame in a conventionally constructed home is the:

A. collar beam.

B. rafter.

C. girder.

D. ridge board.

Answer: D. he ridge board is placed at the peak of the roof.

36. In ridding an area of nonconforming uses, rezoning ordinances may require that certain conditions be met. These would include all of theseEXCEPT:

A. allowing a reasonable time (amortized period) within which the abuses may be eliminated.

B. retroactive zoning ordinances.

C. prohibition of rebuilding.

D. prohibition of expansion.

Answer: B. In most cases, laws (including zoning ordinances) cannot be enacted which are retroactive. In ridding an area of nonconforming

uses of the land, the courts and zoning authorities, in order to satisfy the policy of gradual and eventual elimination of such nonconforming uses, employ the methods of prohibition of rebuilding, prohibition of expansion, and allowing a reasonable time (amortization period) within which the abuses may be eliminated.

37. The customary procedure used to enforce private restrictions on real property is:

A. indictment.

B. judgment.

C. injunction.

D. desist and refrain order.

Answer: C. An injunction is a court order restraining or requiring performance by a party (e.g., performing acts required by property covenants or refraining from acts restricted by such covenants).

38. An easement could be terminated by:

A. both abandonment and nonuse.

B. abandonment.

C. prescription.

D. nonuse.

Answer: A. Intentional abandonment by the owner of the dominant tenement terminates an easement. Also, an easement created by adverse use for five continuous years (easement by prescription) can be lost by nonuse for five years.

39. A man who owned a large tract of land wanted to subdivide it. Into how many interests would he have to divide the land before the subdivision comes under the Subdivision Map Act?:

A. Five

B. Two

C. Three

D. One

Answer: B. The Subdivision Map Act applies to subdivisions of two or more parcels or units.

40. All of these are subject to property taxes EXCEPT:

A. possessory interest of lessees in tax-exempt publicly owned properties, such as the rights to leases of mineral, oil, and gas interests.

B. a mobile home that is on a permanent foundation.

C. intangible personal property.

D. real property in unincorporated areas.

Answer: C. Among the choices given in this question, only intangible personal property is exempt from property taxes.

41. With respect to easements appurtenant, which statement is correct?:

A. All encumbrances are liens but all liens are not encumbrances.

B. The dominant tenement is the land burdened and benefited by the easement.

C. An easement always gives the rights of ingress and egress.

D. If the grantor conveys title to property, the easement passes automatically with the land.

Answer: D. Easements pass automatically upon transfer of the dominant tenement. The first statement is incorrect, as the dominant tenement is benefited, not burdened, by the easement. The second statement is incorrect, as an easement can include, besides rights-of-way, the right of receiving air, light, or heat; the right of using a wall as a party wall; or the right of flooding land, among other things. The third statement is incorrect, as an easement is an encumbrance but not a lien.

42. A builder bought a parcel of real estate that had an old home on it. The builder later removed the dilapidated old home, had the lot graded, and immediately obtained a construction loan secured by a deed of trust. During the construction period a painter was unpaid and filed a mechanic's lien. Which statement is correct?:

A. The mechanic's lien applies secondarily to the trust deed.

B. The mechanic's lien takes priority over the trust deed because the priority dates back to the time of start of construction.

C. The trust deed takes priority because it was recorded before construction was completed.

D. Mechanics' liens always take priority over trust deeds.

Answer: B. Any mechanic's lien takes its priority as of the date work first started on that project as a whole. Removing an old building from a site is a part of the work required for the construction of a new building. In order for a trust deed to take priority over a mechanic's lien, the trust deed must be recorded before any work starts on the site.

43. A fee simple estate, held in severalty, is real property in which the tenancy is:

A. simple and absolute.

B. defeasible.

C. held in common with others.

D. sole ownership.

Answer: D. An interest held in severalty is one that has been severed from all others and is held all alone. An ownership in severalty is a sole ownership. A fee simple estate can be either absolute or defeasible; therefore, these choices are incorrect answers.

44. On or before June 30 each year, property for which owners are delinquent in their taxes is declared in default. This date is important because:

A. the occupant of the property must vacate the premises within 90 days.

B. interest on the delinquent taxes will begin from December 10.

C. all of these are true.

D. the power of sale on or before June 30 starts the five-year period of redemption.

Answer: D. Annually, the tax collector publishes a notice of sale of real property for which taxes are delinquent. This is not a sale but a declaration of default denoting the beginning of a five-year redemption period. This declaration of default must be made on or before June 30, usually the last business day of the month.

45. Escheat is a legal term meaning:

A. an agent's license has been revoked.

B. property under a trust deed may be reconveyed.

C. that a fraud has been committed.

D. property has reverted to the state.

Answer: D. Escheat is the reverting of property to the state when a person dies intestate (without a will) and the individual has no heirs to receive the property through intestate succession.

46. The most distinguishable characteristic of personal property is:

A. being affixed to land as a permanent part of the land.

B. mobility.

C. being incidental or appurtenant to land.

D. all of these.

Answer: B. Personal property has the characteristics of being movable. Therefore, it has mobility. Being incidental or appurtenant to land and

being affixed to land as a permanent part of the land are characteristics of real property.

47. Police power is a governmental right and would result in:

A. judgments.

B. the taking of private property for the construction of a highway.

C. zoning standards.

D. deed restrictions in a subdivision.

Answer: C. The government's police power is the basis for zoning ordinances. The taking of private property is based on the government's rights of eminent domain. Judgments result from the power of the judicial branch of government. Deed restrictions are private restrictions.

48. Which is a correct statement in respect to encumbrances on real property?:

A. Encumbrances are liens but not all liens are encumbrances.

B. It is common practice for a buyer to accept a deed to encumbered property.

C. Title companies will not insure encumbered property.

D. A specific lien is always a voluntary lien.

Answer: B. Buyers accept title with some encumbrances, such as tax liens and public or private restrictions. Therefore all title insurance companies insure encumbered titles. All liens are encumbrances, but not all encumbrances are liens. Some specific liens are involuntary, such as property taxes.

49. Andrew purchased Bliss's ranch on May 1, 2006. The real property taxes for 2006-2007 are:

A. added to the purchase price for Andrew.

B. a personal obligation of Bliss.

C. a personal obligation of Andrew.

D. a lien on the ranch.

Answer: D. Taxes become a lien on real property on January 1 prior to the beginning of the fiscal tax year (July 1 to June 30). Property taxes are liens on property, not personal obligations.

50. Involuntary alienation of an estate means:

A. ownership of estates may be transferred by operation of law.

B. aliens are forbidden to own estates in fee simple in California.

C. the estate cannot be transferred without the consent of the owner.

D. no one can be compelled to transfer title without giving consent.

Answer: A. Alienate means to transfer the title to real property from one person to another. To involuntarily alienate could occur by the operation of law as in the case of foreclosure due to nonpayment of taxes or other lawful debts.

51. Which is NOT a type of soil or soil condition?:

A. Alkaline

B. Deciduous

C. Expansive

D. Adobe

Answer: B. Deciduous is the term used to identify the type of tree that sheds its leaves annually. The other three choices refer to types of soil or soil condition

52. A wife signs an agreement to sell community real property. The contract as it applies to her and her husband is:

A. enforceable

B. voidable

C. illegal

D. void

Answer: B. An agreement to sell would be unenforceable against the marital community if signed by one spouse only. It would be voidable by the nonconsenting spouse for one year. This type of contract is not considered void, because there is consent of one of the parties.

53. An easement may be terminated by all of these EXCEPT:

A. nonuse of a prescriptive easement for five years.

B. revocation by the owner of the servient tenement.

C. written release by the owner of the dominant tenement.

D. destruction of the servient tenement.

Answer: B. The owner of the servient tenement cannot revoke the easement. The owner of the dominant tenement, the parcel receiving the benefit, may terminate by giving a written release of the easement. Destruction of the servient tenement, by its very nature, would terminate the easement on such a parcel. An easement gained through prescription can be lost through nonuse for five years.

54. A planned development could be:

A. residential.

B. industrial.

C. commercial.

D. any of these.

Answer: D. A planned development is a subdivision of five or more lots, including areas owned in common, and could be residential, commercial, or industrial.

55. Mr. Jones owned two pieces of property and sold the front property to Mr. Smith, reserving an easement in the deed for access to the rear property. Jones was gone for 31 years. When he returned, Smith claimed Jones no longer had an easement because of nonuse. The easement is:

A. valid because easements created by deed do not terminate.

B. invalid because of nonuse for over 30 years.

C. invalid because of nonuse for over 20 years.

D. invalid because an owner cannot grant himself an easement.

Answer: A. Jones created an easement by reservation in the deed at the time title was conveyed to Smith. Since this easement was created

by a deed, it is not lost through nonuse. Only an easement acquired by prescription is lost by nonuse.

56. Which document is of importance in filing a mechanic's lien?:

A. Any of these

B. Notice of Nonresponsibility

C. Notice of Completion

D. Notice of Cessation of Labor

Answer: A. All three notices listed in answer choices have important effects on the time of filing and the validity of a mechanic's lien.

57. An easement on real property may be terminated by the owner of the dominant tenement by filing a:

A. quitclaim deed.

B. defeasance clause.

C. statement of nonresponsibility.

D. deed of reconveyance.

Answer: A. A quitclaim deed releases any present interest held by the grantor. This would include the right to use the real property of another.

58. One who takes in severalty most generally takes title:

A. in joint tenancy.

B. in partnership.

C. as sole owner.

D. in common.

Answer: C. The term in severalty in real estate means one or sole owner.

59. An owner of a parcel of real property may have all of these rights EXCEPT:

A. eminent domain.

B. littoral rights.

C. severance.

D. riparian rights.

Answer: A. The right of eminent domain is the right of government to take private property for public or quasipublic use, although the U.S. Constitution does require the payment of just compensation. The right of eminent domain is never a part of the bundle of rights comprising the private ownership of property.

60. State-enabling legislation gives cities and counties various controls over real property. The enabling legislation gives to cities and counties all but:

A. subdivision and land-use regulations.

B. local planning and zoning ordinances.

C. rent control and city codes.

D. lien and attachment laws.

Answer: D. The lien and attachment laws are created by the legislative bodies of the state. A state-enabling act gives legislative powers to local governing authorities, such as city councils and county boards of supervisors, to enact local ordinances.

61. transfer from a wife deeding her separate property to herself and husband as joint tenants.:

A. transfer from a wife deeding her separate property to herself and husband as joint tenants.

B. all of these.

C. transfer from joint tenants deeding their interests to themselves and others as joint tenants.

D. transfer from tenants in common deeding to themselves as joint tenants.

Answer: B. Civil Code §683 enables joint tenancies to be created by (1) simple will or transfer, (2) transfer from sole owner to himself or herself and others, (3) transfer from tenants in common or joint tenants to themselves or to themselves and others, (4) transfer from husband and wife (holding title as community property or otherwise)

to themselves or to themselves and others, and (5) transfer to executors of an estate or trust.

62. An order by a court directing an officer to sell real property to satisfy a judgment is a(n):

A. deficiency judgment.

B. injunction.

C. writ of execution.

D. abstract of judgment.

Answer: C. A writ of execution is an order from the court to an officer, such as a sheriff, directing a sale of property to satisfy a judgment.

63. An owner of a five-unit apartment complex intends to sell each unit to different individuals. He wants each to own an estate in each unit with ownership of structures and land in joint ownership. Under these circumstances, this plan would be considered a:

A. partition.

B. lot-splitting.

C. subdivision.

D. variance.

Answer: C. A conversion of an apartment building into five or more condominium units is a subdivision under both the Subdivision Map Act and the Subdivided Lands Act.

64. In most cases, the least satisfactory place to obtain a legal description of property is:

A. a deed.

B. a preliminary title report.

C. escrow instructions.

D. a real property tax bill.

Answer: D. Many counties in California use a description in the tax bill other than a legal description-that is, an "Assessor's Parcel Number."

65. The second installment of real property taxes would become due and delinquent on which date?:

A. November 1 and February 1

B. February 1 and April 10

C. December 10 and February 1

D. December 10 and April 10

Answer: B. The second installment becomes due on February 1 and becomes delinquent on April 10.

66. Three persons hold undivided interests in real property as tenants in common. This most likely means that they:

A. hold equal shares.

B. hold unequal shares.

C. took title at the same time.

D. cannot locate their particular interests in the property.

Answer: D. Undivided interest means that owners cannot locate their particular interests in a property. All owners have access to every portion of the property. For example, an owner with a 10% share owns 10% of every inch of the property, not an identifiable 10% section of the property. The incorrect answer choices relate to tenants in common. Tenants in common may or may not have equal shares, and they are not required to take title at the same time. Equal shares and a unity of title are requirements of a joint tenancy.

67. Local zoning ordinances determining use of land and building may also determine:

A. size.

B. all of these.

C. location of buildings.

D. setbacks.

Answer: B. The governing authority of a city or county has the power to adopt ordinances establishing zones within which structures must conform to size, set back, and location limitations.

68. George Nordling subdivided a large section of a hillside location. In the deeds to individual lots, he placed a restriction requiring a 15,000-square-feet minimum lot size. Subsequently, the local authorities succeeded in reducing the requirements of the zoning laws to a minimum requirement of a 10,000-square-feet minimum lot size. Which requirement for minimum lot size takes precedence?:

A. Zoning laws take precedence because they are based on police power.

B. The original deed restriction takes precedence.

C. The subdivider would be compelled to amend his restriction to conform to zoning laws.

D. Precedence would require arbitration by local planning commission.

Answer: B. Where there is a conflict between deed restrictions and zoning restrictions, the more stringent of the two would apply.

69. Which does NOT constitute an estate in real property?:

A. Leasehold

B. Deed of trust

C. Remainder

D. Reversion

Answer: B. An estate in real property is a possessory interest. A deed of trust conveys only a security interest, not a possessory interest. Estates in remainder and in reversion are both future possessory interests. A leasehold estate is a present possessory interest.

70. In real estate, the word tenancy means:

A. a method or mode of holding title.

B. a device.

C. a tenacious person.

D. two or more people joined in an enterprise.

Answer: A. Tenancy is a method or mode of holding title.

71. The term associated with urban renewal programs, when existing structures are demolished and new ones built, is:

A. renovation.

B. relocation.

C. reclamation.

D. redevelopment.

Answer: D. Redevelopment is a term associated with clearing and rebuilding a slum or blighted area.

72. A commercial property no longer has a conforming use because it exists in an area where the zoning has been changed. The owner of this property has suffered a hardship because of the zoning change. What could the owner obtain as an exception to this new zoning that would be a benefit to him?:

A. A variance

B. Spot zoning

C. A conditional use permit

D. Any of these

Answer: D. Spot zoning, a conditional use permit, and a variance are all remedies to the described situation. All allow a change in the local zoning ordinances, which permits a particular use not consistent with the area's zoning classification. Such remedies may be granted from the local zoning Board of Appeals for a small area provided (1) undue hardship can be shown, and (2) the use permitted is still consistent with the general plan of the area.

73. A recorded notice of lis pendens:

A. can be filed on any type of lawsuit.

B. does not directly affect the title to property of a person not directly a party to the court action.

C. would make it difficult to convey title.

D. can be removed from the records only by an order of the court.

Answer: C. A notice of lis pendens is a notice recorded for the purpose of warning all persons that the title or right to the possession of certain real property is in litigation, giving constructive notice to the world

and thus preserving rights pending litigation. Property identified in a lis pendens would be difficult to sell. Although the general rule is that a person who is not a party to a court action is not affected by any judgment, that is not the case with a lis pendens: a buyer of a property with a lis pendens could lose title depending on the results of the lawsuit. A lis pendens is applicable only to lawsuits affecting the title or possession of real property. A notice of withdrawal of pendency of an action may be recorded by the person who recorded the lis pendens.

74. A holder of a life estate can do all of these things with the estate EXCEPT:

A. rent or lease it.

B. sell it.

C. encumber it further.

D. will it.

Answer: D. The holder of a life estate may do anything with his interest except will it, unless the length of the estate is measured by the life of a third party.

75. How many square miles are there in half of a standard township?:

A. 18

B. 36

C. 9

D. 24

Answer: A. The total number of square miles in a standard township is 36 square miles. Therefore, in half of a standard township there are 18 square miles.

76. What is the difference between real property taxes and assessment bonds?:

A. Special assessments are used for local improvements.

B. Assessments are subordinate to real estate taxes.

C. Special assessments are levied by special improvement districts only.

D. Assessments have superiority over property taxes.

Answer: A. Property taxes are charged in relation to the value of the property being taxed. Special assessments are imposed on real property for a specific local purpose, which requires approval of 2/3 of the voters. Taxes and assessments are said to be on parity, meaning they have equal footing. Neither is subordinate to the other.

77. An owner believes that his property has been overassessed. He can appeal the assessment to the:

A. Board of Supervisors.

B. Bureau of Real Estate.

C. county tax collector's office.

D. Assessor's Appeals Board.

Answer: D. Property owners may contact the appropriate county assessor or Appeals Board Office for detailed information concerning property appraisals and classifications for protesting assessments. There are rules for both procedure and time limitations to be followed in regard to assessment appeals, and the applicant for an assessment appeal should be prepared to justify his appeal with supporting data as to sales, cost, and income as indicated.

78. In a subdivision, what is considered an "offsite" improvement?:

A. Streets and curbs

B. Private well

C. Septic tank

D. Barn

Answer: A. Offsite improvements add to the usefulness (utility) of the site but are not located directly on it. Examples are streets, curbs, drainage, sidewalks, lighting, and so forth.

79. What type of organization is formed in order to create a real estate investment trust (REIT)?:

A. Syndication

B. Corporation

C. General partnership

D. Limited partnership

Answer: A. The REIT is a form of syndication. It can be organized as a corporation, but that is not essential, as it can also be an unincorporated trust or association of investors organized to take advantage of the federal Real Estate Investment Trust Act in the Internal Revenue Code.

80. The Assessment Roll reflects California policy of establishing real property assessed values as what percent of full cash value?:

A. 100%

B. 25%

C. 10%

D. 1%

Answer: A. Since the passage of Proposition 13 in 1978, real property is assessed at 100% of full cash value as of a certain date, increased by an inflationary factor of not more than 2% per year.

81. Which document is NOT a means of creating an interest in real property?:

A. Deed

B. Lease

C. Mortgage

D. Bill of sale

Answer: D. A bill of sale is used to convey title to personal property, not real property.

82. A farm where a crop of corn was growing was sold. During the entire transaction, neither the buyer nor seller discussed who was going to harvest the corn. The man who purchased the property assumed that the corn was his but the seller had plans to harvest the crop at a later time. Under these circumstances,:

A. the seller has the right to harvest the corn because his intention is the controlling factor.

B. the corn is considered real property; therefore the seller had no right to it.

C. if the buyer wanted the corn, he should have specified this in the sales agreement.

D. the seller does not have a right to harvest the corn because he left the property even though his intentions were there.

Answer: B. As between buyer and seller, strict interpretation of "real property" is given if there is no specific agreement otherwise. Until the corn is sold, harvested, or mortgaged, it is real property on the land of a seller who cultivated it. (On leased land, the lessee has the right to the crop.) Growing crops are part of the second category of real property: things attached to land.

83. What does NOT affect the physical nature or use of real property?:

A. Conditions that benefit the property

B. Covenants

C. A specific lien

D. Restrictions

Answer: C. A lien is a charge on property for the payment of a debt or obligation, and does not affect the physical nature or use of the property. Conditions, covenants, and restrictions (often called CC&Rs) all provide for or limit the use of real property.

84. Which form of ownership consists of an undivided interest with the right of survivorship?:

A. Severalty

B. Life estate

C. Joint tenancy

D. Tenancy in common

Answer: C. Joint tenancy's most distinguishing characteristic is its right of survivorship. Upon the death of a co-owner, interest of the deceased is dissolved and goes to the co-owner(s) without probate. Joint tenancy requires the four unities of time, title, interest, and possession.

85. The date of priority of a mechanic's lien on any construction project is:

A. occupation by owner.

B. commencement of construction.

C. acceptance by owner.

D. completion of construction.

Answer: B. The effective date of any mechanic's lien relates back to the date construction began on the project. This could include the delivery of construction materials to the site.

86. Which of these are NOT liens?:

A. Judgments

B. Private restrictions

C. Trust deeds

D. Taxes

Answer: B. Restrictions on the use of property are encumbrances, but not liens. Taxes, trust deeds, and judgments are all examples of liens.

87. What does ad valorem mean?:

A. For life

B. At will

C. According to value

D. To the use and benefit

Answer: C. Ad valorem means "according to value." This is a method of taxation using the value of the thing taxed to determine the amount of tax.

88. With regard to general and specific liens, which group of words does NOT contain any general liens?:

A. Attachment, mechanic's lien, mortgage, property taxes

B. Mortgage, attachment, judgment, corporation tax lien

C. Inheritance taxes, mortgages, assessment, mechanic's lien

D. Judgment, trust deed, attachment, taxes

Answer: A. Attachment, mechanic's lien, mortgage, and property taxes are all specific liens. A judgment lien would be a general lien, as would inheritance taxes. Specific liens are attached to a specific property, and general liens are attached to a person's name.

89. The lien of a recorded deed of trust is removed from the records:

A. when a reconveyance deed is recorded.

B. by recordation of a grant deed.

C. by posting of a surety bond.

D. when final payment has been made by the trustor.

Answer: A. A recorded reconveyance deed releases the lien of the deed of trust from the records.

90. Which expense on a personal residence may be deducted from ordinary income for tax purposes?:

A. Property taxes and mortgage interest

B. Depreciation

C. General upkeep

D. Wear and tear

Answer: A. For income tax purposes, property taxes and mortgage interest on a personal residence are deductible from ordinary income. Depreciation, upkeep, and wear and tear are not allowable deductions on a personal residence.

91. Assessed value for property tax purposes in California is the full cash value as of the tax roll for 1975-1976, plus a maximum annual inflationary factor increase up to:

A. 5%.

B. 2%.

C. 1%.

D. 100%.

Answer: B. Proposition 13, passed by the voters in 1978, established the assessed value of property as the "full cash value" as of either (1) the 1975 lien date or (2) the date on which property is purchased, is newly constructed, or changes ownership, increased by not more than 2% per year for an annual inflationary factor.

92. What would be included in local building codes?:

A. Protecting the health and safety of the city

B. All of these

C. The establishment of building materials that may be used and the costs of materials

D. Architectural design of buildings as well as size and height

Answer: A. The Government Code of the State of California enables the legislative body of a city to "Regulate the construction, repair, or alteration of buildings pursuant to Health and Safety Code § 15153." Although the city may also "…establish building materials that might be used…", they cannot dictate "…the cost of the materials used." The

"…size and height…" are functions of zoning (land use), not local building codes.

93. The Pacific and Great Western Telephone Company has an easement on a property being sold by Broker Root, but is not mentioned in the deed. The easement is a(n):

A. specific lien.

B. attachment.

C. encumbrance.

D. general lien.

Answer: C. Utility company easements are considered encumbrances to property. Since they restrict the use of the property and have nothing to do with money, they are not a liens.

94. How many square miles are there in one township?:

A. 24

B. 36

C. 1

D. 6

Answer: B. A township, which is six miles square, contains 36 square miles.

95. Which statement is correct with regard to an estate?:

A. More than one estate can exist in the same property.

B. An estate cannot be created by a lease.

C. A life estate is a less-than-freehold estate.

D. Title to an estate must be transferred by deed.

Answer: A. More than one estate can exist in the same property; for example, a lessor has a leased fee estate and a lessee has a less-than-freehold estate. Title can be transferred by patents, wills, accession, or involuntary alienation. A life estate is a form of ownership. A less-than-freehold estate is created by a lease.

96. Which would NEVER be a way an individual could acquire an interest or estate in real property?:

A. Escheat

B. Succession

C. Accession

D. Prescription

Answer: A. Escheat is the reverting of property to the state when there are no heirs capable of inheriting. Therefore, only the state has the right of escheat. Individuals can acquire interests in real property by prescription, succession, and accession.

97. The length of distance of a parcel abutting a thoroughfare would be considered the:

A. front foot of a lot.

B. width of a lot.

C. frontage of a lot.

D. taxable width.

Answer: C. The frontage is a term used to describe or identify that part of a parcel of land or an improvement on the land which faces a street.

98. All of these are exemptions from local real property taxes EXCEPT:

A. homeowners' exemption.

B. senior citizens' tax exemption.

C. veterans' exemption.

D. low-income homeowners' exemption.

Answer: D. Under state law limited exemptions from local real property taxes for individuals who qualify are senior citizens (and blind and disabled persons), who may defer their taxes; Veterans, who receive $4,000 off assessed value; and homeowners, who receive $7,000 off assessed value.

99. Which is a requirement of joint tenancy?:

A. All of these

B. All parties must have the same right of possession.

C. All parties must have equal interests.

D. The words "taken in joint tenancy" must be next to the names of the joint tenants.

Answer: A. All joint tenants must share the elements of time, title, interest, and possession. It is also a requirement to state your intention to hold title as a joint tenant.

100. What is a difference between a mechanic's lien and a judgment lien?:

A. Mechanics' liens may take priority before the recording date.

B. Judgment liens are involuntary liens.

C. Mechanics' liens are created by statute.

D. Judgment liens are not effective until recorded.

Answer: D. Judgment liens are not effective until recorded.

101. Which criterion has the LEAST effect in determining whether an item is personal property?:

A. Manner of annexation

B. Relationship between the parties

C. Time of annexation

D. Intention of the parties

Answer: C. "Time of annexation" is not a test of whether an item is a fixture of real property or personal property. The acronym MARIA lists which tests are: Method of attachment; Adaptability; Relationship between the parties; Intention of the parties; Agreement of the parties.

102. In the event of a business failure, the creditors would look to the personal assets of any of the principals of:

A. none of these.

B. a corporation.

C. a partnership.

D. a limited partnership.

Answer: C. The stockholders of a corporation and the limited partners in a partnership can lose no more than their initial investment. Under a general partnership agreement, however, each partner would be jointly and severally liable for all debts of the firm.

103. Businesses operating in California can take the form of an individual proprietorship, partnership, or corporation. Each form has its advantages and disadvantages. One of the advantages of operating as a general partnership is that:

A. management of the business can be left to the other partner with little concern or care.

B. each partner has the use of the assets of the other partners.

C. the personal assets of a partner cannot be touched by creditors of the business.

D. there is less responsibility and more time can be spent away from the business.

Answer: B. Since a general partner can be held personally liable for the partnership debts, the partner wants to make every effort to help manage the business. He or she has the advantage of using the other partners' assets in developing the business.

104. The sidewalks in a condominium are:

A. tarmacs.

B. common areas.

C. made at least four feet wide.

D. all of these.

Answer: B. Sidewalks in a condominium are nearly always common areas. There is no standard width. A tarmac is a paved airport runway.

105. Which would be LEAST likely to make the title of real property unmarketable?:

A. Cloud on title through adverse possession of the property

B. A lis pendens filed by the wife of the owner

C. Private restrictions in a deed

D. Public restrictions under zoning ordinances and building codes

Answer: C. Deed restrictions, as a rule, are initiated for the protection of property owners. They are reasonable limitations on ownership to safeguard property values. An owner is very unlikely to place restrictions on a property that would make the property unmarketable. Zoning is a legally imposed restriction on the use of the site. A site's highest and best use may not necessarily be any of the uses designated by a zoning ordinance, thereby causing the property to be more unmarketable than in the case of private deed restrictions.

106. Riparian rights differ from littoral rights in which way?:

A. Riparian is a possessory right, littoral is a nonpossessory right.

B. Riparian rights are associated with water and littoral rights are associated with land.

C. iparian rights deal with streams and watercourses, while littoral rights deal with oceans and lakes.

D. Littoral is a possessory right, riparian is a nonpossessory right.

Answer: C. Riparian rights deal with flowing water in a river, stream, or watercourse (a fixed or defined channel). Littoral are rights associated with a body of water such as the sea or other tidal water (ocean) and lakes.

107. The California sales tax applies to:

A. ad valorem taxation.

B. real and personal property.

C. tangible personal property.

D. all of these.

Answer: C. California sales tax applies to most tangible personal property. The tax is based on the sales price and not the value of the goods.

108. With what type of estate is the phrase "of indefinite duration" most usually associated?:

A. Estate from period-to-period

B. Estate for years

C. Estate of inheritance

D. Less-than-freehold estate

Answer: C. The chief characteristic of a fee simple estate, also known as an estate of inheritance, is that it is of indefinite duration. The other choices are estates with limited duration.

109. What is always considered real property?:

A. Extracted minerals

B. Stock in a mutual water company

C. Grapes on vines sold under contract

D. Cultivated crops sold but not yet harvested

Answer: B. Real property consists of (1) land, (2) things affixed to the land, (3) appurtenances, and (4) that which is immovable by law. Two examples of appurtenances are (1) easements appurtenant and (2) stock in a mutual water company. According to the Civil Code, cultivated crops would be personal property if already sold, mortgaged, or growing on leased land (emblements).

110. Which constitutes a lien?:

A. Mortgage

B. All of these

C. Homestead

D. Easement

Answer: A. A lien is a charge upon property for the payment of a debt. Of the choices listed only the mortgage is a money claim or lien.

111. Anderson, Baker, and Carroll own property as joint tenants. After Anderson dies,:

A. none of these occur.

B. Anderson's interest terminates.

C. Baker and Carroll receive Anderson's share through succession.

D. Baker and Carroll receive Anderson's share through survivorship as tenants in common.

Answer: B. The interest of a joint tenant terminates with death; the surviving tenants are the owners of the interest as joint tenants.

112. Condominium projects are expected to grow in demand in the future primarily because of which factor?:

A. Comfort of unit owners

B. Demand for sociability

C. Land value

D. Increased real property taxes

Answer: C. Condominiums are able to utilize a smaller space for more units and therefore will undoubtedly become more popular due to the increase in land values.

113. When a railroad needs specific land and the owner objects, the railroad may exercise the right of:

A. injunction.

B. caveat emptor.

C. eminent domain.

D. writ of replevin.

Answer: C. Public utility companies and similar public and semipublic bodies may exercise the power of eminent domain.

114. All of these are characteristics of a fee simple estate EXCEPT that it is:

A. freely transferable.

B. freely inheritable.

C. free of all encumbrances.

D. of indefinite duration.

Answer: C. Due to taxes and special assessments, privately owned real property is never free from all encumbrances. It is possible to own property in fee simple and still have many encumbrances on it (such as a mortgage). The three characteristics of a fee simple estate are: freely inheritable, freely transferable, and of indefinite duration.

115. Mr. Green owned stock in a mutual water company. This interest was appurtenant to the land. Green sold his property to Smith. Under these circumstances,:

A. a separate contract must be written for the purchase of the stock.

B. none of these are true.

C. nothing additional would have to be done regarding this purchase because stock in a mutual water company is an appurtenance to the land.

D. property cannot be purchased in California without water rights.

Answer: C. Stock in a mutual water company is a real property interest that is appurtenant to the land and runs with land. When the ownership of the land is transferred, the ownership interest in the mutual water company is also transferred without any further documentation. This is not to be confused with a stock certificate one would buy and sell on the open market.

116. Private restrictions placed by a landowner may be in the form of covenants or conditions restricting or limiting the use of the land. Private restrictions may be created by:

A. written agreement or zoning ordinance.

B. deed only.

C. deed or written ordinance.

D. deed or written agreement.

Answer: D. Private restrictions are those created by an individual and not the government. These may be in the form of a written agreement or placed in a deed.

117. Joint tenancy and community property interests have what in common?:

A. Equal interests

B. Survivorship

C. Same conveyance

D. Both involve the husband and wife

Answer: A. In order to create a joint tenancy and community property, there must always be equal interest. In community property, the interests are equal but without the right of survivorship, unless it is specifically indicated as "community property with right of survivorship." A joint tenancy may or may not involve a husband and wife.

118. Real property taxes on a condominium:

A. are a lien on the individual unit owner, but not on the individual unit.

B. are billed to the entire project and prorated by the project manager.

C. are billed to the individual unit owners.

D. do not include the value of common areas in assessment.

Answer: C. The assessor issues separate tax bills to each owner of a condominium. The bill includes an assessment for the unit in which the owner has fee title and a prorated assessment to correspond to the owner's interest in the common area.

119. A property in which the owner was delinquent in the real estate taxes will become a tax defaulted property as of:

A. April 10.

B. January 1.

C. December 10.

D. July 1.

Answer: D. Property for which taxes remain unpaid at 12:01 AM on July 1 becomes tax-defaulted land. Property that is tax-defaulted after five years becomes subject to the county tax collector's power to sell that property in order to satisfy the defaulted taxes. This five-year period is called a period of redemption.

120. Which would be the best and most nearly complete definition of the term encumbrance?:

A. Anything that affects or limits the fee simple title to property

B. Degree, quantity, nature, and extent of interest a person has in property

C. Any action taken relative to a property other than an acquisition

D. The use of property by a debtor to offer a creditor security for debt

Answer: A. An encumbrance is anything that affects or limits the fee simple title to real property.

121. A money judgment given by a court is effective to create a lien:

A. if recorded in the county where the defendant's property is located.

B. anywhere in the United States.

C. in the entire state by filing with the clerk of the court.

D. in the county where the judgment is obtained.

Answer: A. in the county where the judgment is obtained.

122. John Jones is a proprietary lessee in a stock cooperative apartment and makes monthly payments that include principal, interest, taxes, insurance, maintenance, and association fees. Which statement is correct?:

A. If other lessees fail to make payments, the owner can lose his equity through a foreclosure sale.

B. The city will divide the cost of an assessment bond against the property among the owners.

C. The tax collector will always issue a separate tax bill to each owner.

D. The owner may not deduct the amount of his property tax on his income tax return.

Answer: A. Cooperative ownership of an apartment unit means that the owner has purchased shares in the corporation that holds title to the entire apartment building. With his stock in the corporation, the owner receives a proprietary lease entitling him to occupancy of a specific unit in the building. If other owners default on mortgage or tax payments, the other shareholders must cure the default or risk having the entire project sold for taxes or foreclosed. By special arrangement,

the tax collector may issue a separate tax bill to each owner, but will not do so unless specifically requested.

123. The words ingress and egress are related to:

A. streams.

B. fee title.

C. utilities.

D. easements.

Answer: D. The terms ingress and egress refer to the right of the easement holder to cross over the property of another to enter or exit from his property: an easement.

124. Deed restrictions for a subdivision are created by:

A. local building statutes.

B. the developer or grantor.

C. the planning commission.

D. the local building commission.

Answer: B. Deed restrictions are created by the grantor in the deed. For a new subdivision this would be the developer.

125. Which would cause an owner of a fee simple estate to convert her interest to a less-than-freehold estate?:

A. Leasing for the purpose of agricultural use for a period of five years

B. Granting oil and mineral rights to a third party

C. Both granting oil and mineral rights to a third part and leasing for the purpose of agricultural use for a period of five years

D. A sale-leaseback

Answer: D. The owner who sells her interest is conveying the fee title (a freehold estate) to the buyer. When the seller becomes a lessee of the former property through a leaseback arrangement, the seller has converted the former freehold (fee) estate to a less-than-freehold estate (a lease).

126. Whatever the purpose of a land survey, the resultant description should contain:

A. all of these.

B. the area in accepted units of measure contained within the described boundaries.

C. a specific length and direction of the sides of the property.

D. a definite point of beginning and definite parcel corners.

Answer: A. The land description in a survey should contain all three items listed in the answer choices.

127. An easement is a(n):

A. equitable restriction on real property.

B. specific lien on real property.

C. encumbrance on real property.

D. general lien on real property.

Answer: C. An easement is an encumbrance, but not a lien or a restriction. Liens and restrictions are other types of encumbrances.

128. Which statement would be TRUE with regard to bearing walls of a building?:

A. All of these

B. They can be built at any angle to doors or windows.

C. They are seldom moved during remodeling.

D. They are usually built sturdier than other walls.

Answer: A. Bearing walls support the weight of a part of a structure in addition to its own weight.

129. Which is NOT a characteristic of a fee simple estate?:

A. Can be transferred with or without consideration

B. Generally free of all encumbrances

C. Indefinite duration

D. Transferable by will or intestacy

Answer: B. A fee simple estate is of indefinite duration and the owner can dispose of it in life by sale or gift or, upon death, by will or intestate succession. However, real property is never completely free of encumbrances due to property taxes and special assessments.

130. Under the 1911 Street Improvement Act, funds may be raised by the local government, benefiting a subdivider, for all these purposes EXCEPT:

A. payment for a drainage system.

B. payment for streets, walks, and curbs.

C. purchase of land for development.

D. payment for sewers and water mains.

Answer: C. The 1911 Street Improvement Act authorizes the local government to order improvements and pass the expense on to the

landowner. This authority cannot be used for the original purchase of the raw land.

131. Which is real property?:

A. Land and buildings

B. Natural and artificial barriers immovable by law

C. Easements and rights-of-way to an adjoining property

D. Any of these

Answer: D. Real property consists of land, that which is affixed to land or appurtenant to land, and that which is immovable by law.

132. For purposes of federal income tax, the taxpayer would be able to deduct which expenses for a personal residence?:

A. Mortgage payment, premium payments on a fire insurance policy, real estate taxes

B. Mortgage interest payments, prepayment penalties, real estate taxes

C. Payment of broker's commission, late charges, mortgage interest

D. Mortgage payment, capital improvements, real estate tax

Answer: B. Mortgage interest payments, prepayment penalties, and real estate taxes are all deductible expenses. Of the other choices, payment of broker's commission, late charges, and mortgage interest; mortgage payment and capital improvements; and mortgage payment and premium payments on a fire insurance policy, are not deductible. From mortgage payments only the interest is deductible, not the entire payment.

133. The basic legal tool a city will use for a layout plan is:

A. zoning.

B. a conditional use permit.

C. exceptions to general land usage.

D. a variance.

Answer: A. The governing authority of a city has the power to adopt ordinances for the preservation and protection of public health, safety,

morals, or general welfare. The basic legal tool a city will use for a layout plan is zoning, an exercise of the police power of government.

134. A specified charge against real property that is used as security is defined as:

A. subdivision restrictions.

B. zoning and planning.

C. an easement.

D. a lien.

Answer: D. A lien makes specific property security for the debt.

135. An estate in real property consisting of an undivided interest in common in a portion of a parcel of real property, together with a separate interest in space in a residential, industrial, or commercial building is a partial definition of a:

A. stock cooperative.

B. community apartment.

C. planned development.

D. condominium.

Answer: D. The Civil Code so defines this form of ownership as a condominium.

136. With regard to local building codes (for example in Los Angeles) versus the Federal Uniform Building Code, which would prevail?:

A. Local building codes always take precedence over the Federal Uniform Building Code.

B. Federal codes always take precedence.

C. The Federal Uniform Building Code applies only to general codes while local codes are more specific.

D. Whichever has the higher standards of health and safety will prevail.

Answer: D. Generally, conflicts of law are decided with the health, safety, and general welfare of the people as the highest standard.

137. An estate in real property consisting of an undivided interest in the common areas together with a separate interest in the unit could be:

A. residential.

B. industrial.

C. any of these.

D. commercial.

Answer: C. The question defines a condominium unit, which could be used for residential, industrial, or commercial purposes.

138. Four people own a property as joint tenants. If two joint tenants die, what would be a TRUE statement?:

A. A separate legal title to a tenancy in common would be held

B. One title will be held by the remaining joint tenants

C. Each survivor would own a separate and divided interest

D. The devisees and heirs could rent the property as tenants in common with the other two

Answer: B. A characteristic of a joint tenancy is that it is a "single" estate, that is, the original joint tenants, or the surviving joint tenants, own the estate as though they were one person.

139. In the planning and engineering of a tract for subdivision purposes, a "cul-de-sac" is frequently employed. This term is in reference to the installation of:

A. sewage disposal.

B. drainage.

C. recreation areas.

D. streets.

Answer: D. Cul-de-sac refers to a dead-end street.

140. Which is considered real property?:

A. Shrubs to be planted around a yard

B. Fixtures removable by a tenant

C. Fruit that was to be picked after the sale, as agreed upon by both the buyer and seller

D. A stud in the wall of a house

Answer: D. Of the four choices given in this question, only a stud in the wall of a house is real property. A stud is a vertical framing member of a wall to which horizontal boards are attached. They are the supporting elements in walls or partitions.

141. When there is a gradual build-up of land as the result of action of water, it is termed:

A. avulsion.

B. dereliction.

C. erosion.

D. accretion.

Answer: D. Accretion is the gradual build-up of land as the result of the action of water. Avulsion (opposite) is the sudden tearing away of land by the violent action of a water course. Erosion is gradual wearing away of land by current, wind, or tide. Dereliction is land left uncovered by the receding of water from its former bed. This process also called reliction.

142. Conduit in a new building would be installed by a(n):

A. roofer.

B. electrician.

C. plumber.

D. carpenter.

Answer: B. Conduit is used in the electrical trade.

143. Which would be the best description of a fee simple absolute estate?:

A. Estate for years

B. Owning property

C. Estate of inheritance

D. Greatest interest held in land

Answer: D. Fee simple absolute estate: both estate of inheritance and greatest interest held in land apply; however, greatest interest held in land best describes the absolute estate.

144. A quiet-title action is defined as a:

A. procedure through court action to remove cloud on title.

B. foreclosure by court.

C. result of a "dummy" transaction.

D. quitclaim deed.

Answer: A. A cloud on title may be removed by a quitclaim deed from the person creating the cloud. However, if a quitclaim deed cannot be obtained, one must institute a quiet-title action to remove the cloud.

145. The right to use and enjoy another's property short of an estate is an example of a(n):

A. subordination clause.

B. easement.

C. leasehold.

D. deed.

Answer: B. An easement is the right to use another's property without payment. Although it is an interest in real property, it is not a "possessory" interest and therefore is not an estate.

146. The S 1/2 of the NW 1/4 of the NE 1/4 of Section 11 was listed for sale at $350 per acre with the broker to get a 10% commission. The broker brought in an offer of $6,100 for the property. The owner said he would accept it if the buyer would pay the broker's

commission based on 10% of the offered amount. If the buyer were to agree, the difference between the original price and the amount as paid by the buyer would be:

A. $295

B. $670

C. $290

D. $900

Answer: C. First: Determine Listing Price

$350/Acre x 20 Acres[+] = $7,000

[+]S 1/2 of NW 1/4 of the NE 1/4 of Section 11
20 40 160 640

Second: Determine Buyer's Payment
$6,100 offer + [++]$610 Commission = 6,710
[++]10% x $6,100 Offer

Third: Determine difference
$7,000 (List Price) Less $6,710 (Accepted Price) = $ 290

147. Which instrument requires a list of inventory of buildings on real property to be sold, conveyed, or insured?:

A. Grant deed

B. ALTA

C. None of these

D. Land contract

Answer: C. Neither a land contract, grant deed, nor ALTA policy of title insurance requires a listing of the buildings or improvements. A legal description is all that is required.

148. "Soil pipe" relates to:

A. irrigation pipes.

B. gas lines.

C. sewer pipes.

D. hot water lines.

Answer: C. Soil pipe is a pipe carrying waste out from the house to the main sewer line.

149. Which would have the least effect on property taxes in a community?:

A. Number of commercial buildings and high-priced homes

B. Homestead exemptions

C. Zoning and private restrictions

D. Compactness of the community

Answer: B. Homesteads will not protect the owners from property taxes and would have the least effect on them.

150. To restore an old home to its original condition without making any changes in the floor plan or style is referred to as:

A. reclamation.

B. remodeling.

C. rehabilitation.

D. modernization.

Answer: C. Rehabilitation is restoring without changes in floor plan or style.

151. Which is the highest form of ownership?:

A. Fee simple absolute

B. Fee simple defeasible

C. Tenancy at will

D. Incorporeal freehold

Answer: A. An estate of inheritance, a fee simple absolute, is the highest form of ownership. A defeasible estate is a qualified fee estate that can be claimed by the grantor or by the grantor's heirs/devisees if a stated condition is violated.

152. Deed restrictions are:

A. general liens.

B. encumbrances.

C. all of these.

D. constructive liens.

Answer: B. All restrictions on the use of property are encumbrances. Only money encumbrances are called liens.

153. Jones bought two lots for $36,000 each and divided them into three equal lots, which she sold for $30,000 each. Her percentage of profit was:

A. 15%.

B. 40%.

C. 25%.

D. 20%.

Answer: C. $30,000/Lot × 3 Lots = $90,000 Selling price

$36,000/Lot × 2 Lots = –72,000 PAID
$18,000 MADE
% × PAID = MADE
% × $72,000 = $18,000
$18,000 ÷ $72,000 = 0.25 = 25%

154. Which is the largest parcel of land?:

A. 5,280′ × 10,560′

B. 1/10 of a township

C. Four square miles

D. One mile by two miles

Answer: C. 5,280′ × 10,560′: 5,280′ (1 mile) × 10,560′ (2 miles) = 2 sq. mi.

1/10 of a township: 0.10 (1/10th) × 36 sq. mi. (township) = 3.6 sq. mi.
Four square miles: 4 sq. mi.
One mile by two miles: 1 mile × 2 miles = 2 sq. mi.

155. "A charge imposed upon real property as security for a specific act" is a definition of:

A. restrictive covenant.

B. lien.

C. easement.

D. encumbrance.

Answer: B. A lien can be defined as a charge imposed upon specific property by which it is made security for the performance of an act, typically the payment of a debt.

156. Percolation refers to the:

A. ability of a buyer to qualify for a loan.

B. depth of the foundation.

C. ability of the soil to absorb water.

D. size of the water tank.

Answer: C. Percolation is the filtering process that occurs when water seeps through the ground. Water will percolate easily through a porous soil.

157. Which is NOT a specific lien?:

A. Judgment lien

B. Blanket mortgage

C. Unrecorded property tax lien delinquent from prior years

D. Mechanic's lien

Answer: A. A judgment lien is a general lien on all property of the debtor not otherwise exempt by law. A property tax lien, a mechanic's lien, and a blanket mortgage are all specific liens.

158. Eminent domain and police power are governmental rights established by law. Which action would NOT be considered police power?:

A. Condemnation

B. Zoning laws

C. Building regulations

D. Subdivision development regulations

Answer: A. The use of the power of eminent domain is often referred to as condemnation. Building regulations, zoning laws, and subdivision development regulations are all examples of police power.

159. In addition to municipal or county controls imposed through zoning ordinances and the Subdivision Map Act, other government controls are exercised by:

A. all of these.

B. the California Bureau of Real Estate.

C. health, fire, and safety requirements.

D. agencies that insure and guarantee FHA and VA loans.

Answer: A. All of the answer choices can be considered to be within the category of public control.

160. Items that a landlord-owned apartment building and a condominium project would have in common would be:

A. separate tax bills sent to each tenant.

B. occupants of both have estates in real property.

C. occupants of both have a fee interest.

D. after development of five units both would come under the subdivision law.

Answer: B. An "estate" in real property is a possessory interest. The tenants in apartment buildings have leasehold estates, regardless of the ownership of the buildings.

161. All of these statements are true regarding an appurtenant easement EXCEPT:

A. the dominant tenement would benefit and the servient tenement would be burdened.

B. the dominant tenement must abut the servient tenement at the border.

C. there must be at least two tracts of land under separate ownership.

D. the easement would run with the land.

Answer: B. The dominant tenement may have the right to cross over three or four lots in one tract and not all of the servient tenements would be immediately adjacent (contiguous) to the dominant tenement.

162. Which is a freehold estate?:

A. Estate at will

B. Estate for years

C. Estate in fee

D. Estate at sufferance

Answer: C. Freehold estates are either (1) fee simple estates or (2) life estates. The wrong answer choices here are all less-than-freehold estates: (1) estates for years; (2) periodic tenancies; (3) estates at will; and (4) estates at sufferance.

163. Property is:

A. real if tangible.

B. personal if a fixture.

C. all of these.

D. personal if not real.

Answer: D. All property is either real property or personal property.

164. A "title plant" is:

A. none of these.

B. a false document found in title records that is intended to give wrong information.

C. the ownership and lien records of property maintained by a title company.

D. a collection of instruments affecting real estate ownership that is kept in the county recorder's office.

Answer: C. A title plant is a collection of records in the title company's office. These records are developed from information recorded at the county recorder's office.

165. A money judgment of the court when recorded is always a(n):

A. equitable lien.

B. voluntary lien.

C. involuntary lien.

D. superior lien.

Answer: C. Judgment liens are recorded against the wishes of the judgment debtor and therefore are considered involuntary.

166. Davidson has an easement on Parkins's property. If Davidson is not a property owner, her easement is a(n):

A. easement in gross.

B. nonpossessory encroachment.

C. appurtenant easement.

D. restrictive easement.

Answer: A. Davidson has a personal right to use Parkins's property (servient tenement). Since Davidson does not own property, and therefore there is no dominant tenement, it is an easement in gross.

167. The housing and construction industry in California is governed by laws that include the:

A. Contractor License Law, Local Building Code, and State Housing Act.

B. Health and Safety Code, State Housing Law, and Real Estate Law.

C. Housing and Community Development Act, Real Estate Law, and Health and Safety Code.

D. State Housing Law, Local Building Code, and Real Estate Law.

Answer: A. The housing and construction industry is governed by the Contractor License Law, Local Building Code, and the State Housing Act. The other choices all include the Real Estate Law, which does not regulate the construction industry.

168. With regard to a limited partnership, which statement is NOT correct?:

A. A limited partner's liability is limited to the debts of the partnership.

B. A limited partner can lose all she invested in the partnership.

C. It must consist of one or more limited partners and one or more general partners.

D. A limited partner cannot make decisions affecting management policies.

Answer: A. The first option is the false statement. The liability of a limited partner is the amount of the limited partner's investment paid

in or pledged. It may or may not go as high as the debts of the partnership.

169. Personal property presents certain problems to a broker. It becomes difficult to ascertain its ownership because it can:

A. do all of these.

B. become real property.

C. be hypothecated.

D. be alienated.

Answer: A. When personal property (movable) becomes affixed to land it becomes real property (for example, fence posts when installed). Personal property may be conveyed (alienated) using a bill of sale, or hypothecated (pledged) as security for a loan.

170. The power of eminent domain can be exercised by:

A. cities.

B. all of these.

C. public education institutions.

D. public utilities.

Answer: B. Among those able to exercise the power of eminent domain and take private property for a public use are government bodies (federal, state, and local), improvement districts, public utilities, public education institutions, and similar public and semipublic bodies.

171. Which "runs with the land"?:

A. Stock in a mutual water company

B. Appurtenant easements

C. Covenants

D. All of these

Answer: D. All three of the choices given "run with the land." Covenants are encumbrances that remain on the land when the property is transferred. Stock in a mutual water company and

appurtenant easements name real property rights that are transferred with the land when property is transferred.

172. The distinguishing characteristic of real property as opposed to personal property is that real property:

A. is a long-term asset.

B. has a high cost of acquisition.

C. is immovable.

D. can be depreciated over useful life.

Answer: C. Real property consists of that which is immovable by law.

Agency and Contracts

1. A young person, single and unemancipated, sold a home and the transaction was completed and escrow closed. There was no court-appointed guardian. In order for the transaction to be valid the young person must be at least _____ years old.:

A. 19

B. 21

C. 16

D. 18

Answer: D. To be capable of contracting, a person must have reached "majority" (18 years), or be emancipated as defined by law.

2. When dealing with the public, a broker must:

A. not refuse to take a listing.

B. disclose all material facts known only to himself or herself.

C. do all of these.

D. delegate responsibilities to another person.

Answer: B. A broker has a duty to disclose material facts; failure to disclose material facts to the parties involved could be considered negative fraud. As long as there is no illegal discrimination involved, there are many reasons why a broker may refuse to take a listing. For example, many brokers will refuse to take an unreasonably overpriced listing.

3. An offer is terminated by:

A. revocation by the offeree.

B. a change in the offer made by the offeror.

C. rejection by the offeror.

D. rejection by the offeree.

Answer: D. An understanding of the terms "revoke" and "reject" is essential in these answers. An offeror revokes an offer, but an offeree can accept or reject an offer.

4. A listing agreement is:

A. a bilateral executory contract.

B. all of these.

C. an employment contract.

D. a promise for a promise.

Answer: B. A listing agreement, being a promise of payment given for a promise of a personal service, is a bilateral, executory employment contract.

5. When an existing contract is replaced by an entirely new contract, this is an act of:

A. novation.

B. rescission.

C. subrogation.

D. hypothecation.

Answer: A. The word novation comes from the Latin words meaning to make new.

6. A licensee can legally do all of these things EXCEPT:

A. use an open listing without a final and definite termination date.

B. claim an income tax deduction for a commission paid for the sale of his own property.

C. fail to use a termination date on an exclusive listing.

D. collect a commission or service a mortgage loan that he did not negotiate.

Answer: C. Using an exclusive listing without a definite termination date is a violation of the real estate law.

7. In an assignment of a lease, the assignee becomes the:

A. vendor.

B. vendee.

C. tenant.

D. sublessee.

Answer: C. With the assignment of a contract (such as a lease) the assignee takes the position that was held by the assignor. The assignor of the lease was the tenant; therefore the assignee becomes the tenant.

8. Berg sells Mann a property, using a conditional sales contract. The contract is recorded and a deposit is made. Mann continues to live on the property but stops making payments and avoids Berg. He then abandons the property one night. In this situation:

A. marketability of title is not affected.

B. the new buyer would not be concerned with Mann.

C. the sale has no effect on the title.

D. there is a cloud on the title.

Answer: D. The recording of the contract or taking possession of the property gives constructive notice and therefore creates a cloud on the title under the circumstances outlined. Unless the vendee could be found and persuaded to deliver a valid quitclaim deed to the vendor, a successful quiet title court action would be necessary to make the title marketable.

9. All of these are necessary for the creation of an agency agreement EXCEPT:

A. a fiduciary relationship.

B. mutual agreement of the parties.

C. consideration.

D. competency of the seller.

Answer: C. Consideration is not required of an agency relationship. The agency may be a gratuitous agency.

10. A voidable contract is:

A. unenforceable.

B. enforceable.

C. illegal.

D. valid until some action is taken to void it.

Answer: D. Voidable indicates the contract is binding on both parties until some action is taken by the wronged party to unilaterally rescind the contract.

11. A lease based on gross income of the lessee is a:

A. ground lease.

B. net lease.

C. percentage lease.

D. gross lease.

Answer: C. A percentage lease is a lease on property, the rental for which is determined by the amount of business done by the lessee;

usually a percentage of gross income together with a provision for a minimum rental.

12. Jones signed a listing agreement with Broker Brown stating that he would pay 6% commission to Brown upon the sale of his house. Broker Brown promised to use diligence in attempting to find a buyer. This contract is:

A. bilateral executory.

B. unilateral executed.

C. bilateral executed.

D. unilateral executory.

Answer: A. An exchange of promises creates a bilateral contract. Since a listing is for a period of time, the contract is executory during the listing term.

13. What binds buyer and seller in a contract?:

A. Offer, acceptance, and communication

B. Acknowledgment

C. Recording

D. Title insurance

Answer: A. Mutual consent (offer and acceptance) is one of the four essential elements of a valid contract. The other three requirements are capacity of the parties, consideration, and lawful object.

14. An agency contract can be created by all of these EXCEPT:

A. a voluntary offer by the agent.

B. an implied contract in law.

C. an oral contract.

D. appointment by the principal.

Answer: A. An offer is not a contract; it is an expression of willingness to enter into a contract. While the existence of agency is a question of fact and is not dependent on the existence of a contract, this question asks about an agency contract. A voluntary offer by the agent would not

create an agency contract; the offer would have to be accepted in order for a contract to be created.

15. All of these are ways by which an offer to purchase real estate would be terminated EXCEPT:

A. failure to communicate revocation of the offer before the other party communicates his acceptance.

B. death or incompetency of either offeror and offeree without notice thereof.

C. conditional acceptance of offer by offeree.

D. failure to accept the offer within a prescribed period of time.

Answer: A. If you make an offer on a property and the seller accepts the offer and communicates the acceptance to you before you can revoke it, it is a binding contract. Until the contract is binding, death of either party will cancel the offer.

16. An estate that will continue for a period of six months only, fixed in advance by contractual agreement of the parties, is an:

A. estate from period to period.

B. estate at sufferance.

C. estate for years.

D. estate at will.

Answer: C. Any lease for a definite period of time creates an estate for years, regardless of the period of time for which it was established.

17. A broker was instructed not to present any offers unless accompanied by a deposit. A buyer brings in an offer without a deposit. With regard to the offer, the broker:

A. cannot present it.

B. should not present it.

C. should go back to the offeror and request the deposit.

D. must present it.

Answer: D. Even though instructed otherwise, the broker's fiduciary obligation to the principal requires that all offers be presented, unless

clearly frivolous.

18. What is the best definition of company dollar with regard to a real estate office?:

A. Gross income minus operating expenses

B. Office expenses

C. Gross income minus commissions

D. Cost to set up the business for a specific length of time

Answer: C. The company dollar is the money earned by a real estate company and retained by the company after commissions have been paid. From the company dollar, operating expenses will have to be paid.

19. In November, a storm caused damage in Able's house due to a leaky tile roof. In April, Able listed the house with Broker Baker. Broker Baker showed the house to Smith, but did not mention the leaky roof, although Able had mentioned it. After close of escrow, Smith sustained damage to the interior of the house due to this leaky roof. Under these circumstances, buyer Smith:

A. had no recourse under the doctrine of caveat emptor.

B. could take legal action against Able, and if successful, Able could most likely recover the loss from Broker Baker.

C. had no recourse since escrow had closed.

D. could take legal action against Broker Baker but not against Able.

Answer: B. Since a principal is responsible for all acts of the agent, Able could be sued by Smith. Since Able informed broker Baker of the defect, however, he or she could recover any loss from the broker.

20. Which element is NOT necessary in the formation of a contract?:

A. Offer

B. Acceptance

C. Performance

D. Consideration

Answer: C. Offer, acceptance, and consideration are essential in the creation of a contract. Performance is the desired result and not an essential in the formation of a contract.

21. A 17-year-old divorced woman wants to list her part of what had been community property with a broker. With regard to the listing, the broker:

A. should wait for court approval.

B. can proceed with the listing request.

C. may take the listing when she becomes 18 years old.

D. may not take the listing because the divorced woman is a minor.

Answer: B. Since the divorced woman is emancipated she need not seek court approval. If she is divorced, it doesn't matter whether she is a minor because she is emancipated. Her age is also immaterial because she is emancipated. Therefore, indicating the broker can proceed with the listing request is correct. Once a person has been married the person is emancipated and continues to be even if later divorced. On the exam, a "single person" is someone who has never been married.

22. Harris, an unlicensed person, wanted to purchase 300 acres of land for $85,000 from Stevens, and Harris intended to subdivide the land in the future. Harris did not have the money for the purchase and convinced a friend, Williams, to purchase the property, and Harris immediately entered into a land sales contract with Williams to purchase the property for $98,000. With respect to the above facts, which statement is correct?:

A. The second transaction is illegal.

B. The original transaction is valid but the subsequent sale is invalid.

C. The original purchase and subsequent sale are both valid.

D. Both transactions would be considered unenforceable.

Answer: C. The original purchase and subsequent sale are both valid transactions. There is nothing illegal about either transaction.

23. A dual agency in the negotiation of a sale of real property is lawful if:

A. the broker of the seller agrees.

B. both buyer and seller agree.

C. both brokers agree.

D. the escrow agent agrees.

Answer: B. An agent can lawfully act for two principals in negotiation with each other provided that both principals have knowledge of and consent to the dual agency.

24. Some contracts are printed and some contracts are handwritten. Most contracts are a combination of printed and handwritten material. If litigation arose over this kind of contract, which statement would be TRUE?:

A. The handwritten part takes precedence.

B. Written material copied from printed material takes precedence over other written portions.

C. The printed part takes precedence.

D. Each is given equal consideration and evaluated on its own merits.

Answer: A. Handwriting takes precedence over printing. The handwritten part would indicate the portions of the printed contract

that they wanted to change or emphasize. The parties may accidentally have overlooked printed matter and failed to strike it out.

25. The written employment agreement, required by the Commissioner's Regulations, between an employing broker and salesperson is an example of:

A. implied contract.

B. ratification.

C. unilateral contract.

D. bilateral executory contract.

Answer: D. A bilateral agreement is one in which promises are exchanged. An executory contract is related to performance and something remaining to be done by one or both parties. The agreement between broker and salesperson is an example of a bilateral executory contract.

26. Joe wants to purchase property but does not have the cash to pay the $85,000. He contacts Harris, who purchases the property

and offers it for sale to Joe for $98,000 on a land contract. The contract is:

A. a valid sale and resale.

B. disguised as a mortgage.

C. voidable by Harris.

D. voidable by Joe.

Answer: A. The facts given involve purchasing a property on behalf of someone who may be unable to do so for himself and reselling to that person under a land contract. This is a common and acceptable method of acquiring property, without the vendee having to qualify to borrow money from a lender. The vendor may benefit from capital gain installment sale treatment. The vendee gets the use of the property, time to pay off the credit extended by the vendor, and other benefits of ownership such as increasing equity and income tax benefits.

27. John and Mary Jackson gave Broker Jones a $500 deposit to cover closing costs and signed an offer to purchase a home for $65,000 provided they could obtain a loan for the full price of the home. Included in the offer to purchase was a clause that read, "Subject to buyers obtaining a VA loan in the amount for $65,000, secured by subject property, payable over a period of 30 years at 11.5% interest with monthly payments to be approximately $644

per month, plus taxes and insurance." Which statement most nearly represents what was intended by the clause?:

A. If the full $65,000 loan is not obtainable, buyer and seller may renegotiate the sale on different terms.

B. If the maximum loan available is $63,000, the buyer may pay the difference of $2,000 and proceed with the purchase.

C. Any of these

D. If the $65,000 loan is not obtainable, the buyers may cancel their offer and recover the $500 deposit.

Answer: D. The offer to purchase is expressly conditioned upon the buyer's obtaining a $65,000 loan payable according to a specific schedule. A contract based upon a condition will be enforceable only upon the happening of such condition. If the condition is not met, there is no contract nor are there any contractual duties. If the full $65,000 loan is not obtainable, renegotiating the sale or paying the difference are alternatives for the buyers. Canceling their offer and recovering the deposit is correct since it most nearly explains the meaning of this clause.

28. Certain contracts to be held enforceable in court under the statute of frauds must be in writing. Which of these would be required to be in writing?:

A. Employment of a real estate broker to find a business to purchase

B. Employment of a real estate broker to sell stock-in-trade and goodwill of a business

C. Any agreement not to be performed within one year

D. Employment of a real estate broker to negotiate one year leases on business property

Answer: C. The statute of frauds requires that certain contracts be in writing to be enforceable in court; contracts that cannot be performed within one year as well as most contracts dealing with real property are included in this statute. Since the other three choices concern themselves with business opportunities, which are personal property, these transactions fall outside the writing requirements of the statute.

29. Middleton is a 15-year-old emancipated minor who hired a broker to sell her property. Middleton gave this broker her emancipation documents. After the broker procured a buyer, to whom should the broker deliver these documents?:

A. The escrow company

B. The title insurer

C. The buyer

D. The buyer's lender

Answer: A. An emancipated minor has the legal capacity of an adult to, for example, enter into contracts and to buy, sell, lease, encumber, exchange, or transfer any interest in real or personal property. An escrow company would need to ascertain that the seller had capacity to act.

30. A lessee assigns all of the leasehold interest. The receiver becomes:

A. landlord.

B. tenant.

C. sublessor.

D. assignor.

Answer: B. Any party holding possession of real property is a tenant. Under an assignment of the remaining balance of the lease, the assignee receives possession and becomes the tenant.

31. A broker who is not authorized to accept deposits in his listing agreement must inform the offeror that:

A. the risk of loss lies solely with the buyer. The seller will not be liable in event of loss of the deposit.

B. it is implied by law that if authorized by the seller, deposits can be accepted.

C. an agent must accept all deposits.

D. no deposits will be accepted.

Answer: A. An agent who accepts a deposit from a buyer, even though not authorized by the seller to do so, acts as an agent of the buyer as to the handling of that deposit. Since the seller would not be liable in the event of loss of the deposit, the buyer should be so informed.

32. A buyer purchased a single-family dwelling in a subdivision using a land sales contract that provided for monthly payments and prohibited prepayment. Two years later the buyer decided to pay off the balance of the contract, but the vendor refused to accept it. Which statement is correct?:

A. The buyer can ignore the clause prohibiting prepayment and pay off the loan after two years.

B. The buyer must abide by the terms of the land sales contract.

C. The buyer can make equal monthly interest payments but can pay nothing on the principal before the due date.

D. The inclusion of this clause makes the contract void.

Answer: A. Civil Code Section 2985.6 gives a buyer of residential property (up to four units) the right to prepay all or any part of a land contract at any time after 12 months following the sale. The inclusion of such a void prepayment prohibition, however, does not affect the validity of the remainder of the contract.

33. A broker who is selling property on which he holds an option must inform the buyer that he is a(n):

A. agent.

B. principal.

C. optionor.

D. grantor.

Answer: B. A broker who holds an option to purchase real property is a principal. He is not representing a seller but is dealing on his own behalf, a fact that must be disclosed to a purchaser.

34. At what point would an individual be considered incapable of handling his own affairs because of mental incompetence?:

A. An individual goes to work every day and visits a psychiatrist twice a week, but is unable to perform his duties at work.

B. A conservator is appointed by a court to oversee an individual's business affairs.

C. An individual voluntarily commits himself to a mental institution for psychiatric treatment.

D. After proper procedures are followed, an individual is committed to a mental hospital for psychiatric treatment.

Answer: B. The point at which an individual would be considered legally incapable of handling his own affairs because of mental incompetence "…is when that has been judicially determined." In other words, a judge must make that determination. At that time, the judge appoints either a guardian or a conservator to handle the affairs of the person so incapacitated.

35. The clause that provides that the broker is eligible for a commission after the termination of an authorization to sell is the:

A. probate clause.

B. protection clause.

C. liquidated damages clause.

D. anti-theft clause.

Answer: B. A protection clause (also called a safety clause) in a listing agreement binds the seller to the payment of a commission to the broker if the property is sold within a period of so many days after the expiration of the listing to a person with whom the broker negotiated during the listing period

36. If a minority buyer comes into a broker's office and asks to see a specific listed home, the broker should refuse to show it to him under which condition?:

A. When the property is listed with a co-op broker

B. When the seller is out of town and has instructed the broker that his house is not to be shown in his absence

C. When the agent sincerely believes it will produce panic selling

D. Never

Answer: B. If the seller has instructed the broker that his house is not to be shown while he is out of town, the broker as an agent of the seller must comply with the seller's instruction. The instruction not to show the property applies to all prospective buyers, regardless of race.

37. A lease for a period of years that is held by the lessor is an example of:

A. freehold estate.

B. personal property.

C. real property.

D. none of these.

Answer: B. While in fact the lessor (landlord) has a freehold estate on the property, she has given a tenant the right to possess the property for a period of time using an instrument called a lease. This lease is a piece of paper and it is the personal property of the landlord (lessor).

38. Brown hired a broker to find a warehouse for lease. Green hired the same broker to find a lessee for a warehouse. Each agreed to pay a commission. The broker negotiated a lease between Brown and Green. Brown knew the broker was representing Green, but Green did not know the broker was representing Brown. Which statement is correct?:

A. Both Brown and Green are liable for commissions.

B. Brown is liable for the commission.

C. Green is liable for the commission.

D. Neither is liable for a commission.

Answer: D. Since the broker has a fiduciary relationship with both Brown and Green, this failure to get consent from both parties creates an undisclosed dual agency, or divided agency, and denies the broker's right to collect from either party.

39. An individual is purchasing a parcel of real property. The provisions of the contract require the seller to convey title to the property when the buyer pays the full amount of the contract to the

seller. When the buyer has fulfilled his part of the contract and requests the seller to convey title, the seller refuses to fulfill his contractual obligation. Under these circumstances the seller has done what?:

A. Covenant

B. Tender

C. Demand

D. Breach

Answer: D. The seller has breached the contract under the stated circumstances.

40. An offer to buy becomes a binding purchase contract:

A. at any of these times.

B. when the offer is accepted and the acceptance is communicated to the offeror.

C. when the offer is accepted and the acceptance is communicated to the offeree.

D. the instant the offer is accepted.

Answer: B. To become a binding purchase contract, an offer must be accepted and the acceptance communicated to the offeror.

41. Rescind most nearly means:

A. annul.

B. reject.

C. rewrite.

D. terminate.

Answer: A. Rescind means to annul the contract and restore the parties to the same position they held before they entered into the contract.

42. An executed contract is a contract:

A. signed, notarized, and recorded.

B. under the jurisdiction of the probate court.

C. that has been signed.

D. to be rewritten.

Answer: C. The word executed has two meanings. One meaning refers to a contract that has been signed. The other one, though not mentioned in the choices, refers to a contract that has been fully performed.

43. In order for a contract for the transfer of real property to be binding on the buyer and seller, it must:

A. be recorded.

B. be acknowledged.

C. have an offer, acceptance, and communication to the offeror.

D. satisfy all of these.

Answer: C. A contract, to be valid, must have offer, acceptance, and communication to the offeror. Either party may withdraw from the

contract any time prior to communication. Neither recording nor acknowledgment is required for a contract or for a deed.

44. A salesperson wrote up an offer to purchase a home and took a "pay to bearer" note from the buyer as a deposit with the offer in the amount of $1,000. When his broker saw the "pay to bearer" note, she would be most likely to tell the salesperson that:

A. in real estate transactions a "pay to bearer" note is the same as cash.

B. the note cannot be accepted because the deposit must be cash, personal check, or cashier's check.

C. the seller must be told of the note before he agrees to accept the offer to purchase.

D. the seller's permission must be obtained before a note of this type could be accepted as a deposit.

Answer: C. Any form of deposit may be taken by the broker provided it is properly described on the deposit receipt so the seller will be made aware when the offer is presented. The amount, form, and location of a deposit must be disclosed to the principal.

45. In real estate transactions, the term reversion most nearly relates to:

A. the right of a mortgagee in event of default.

B. the right of a lessor under a lease.

C. title to land acquired by action of flow of water.

D. the action of the state under law of escheat.

Answer: B. A reversionary interest is one in which the possession of the property returns by operation of law to the grantor or lessor. It exists when the estate conveyed is less than fee simple; for example, a life estate or leasehold estate.

46. In a sales transaction, an agent is paid by both parties but he did not reveal his dual agency. What could happen in these circumstances?:

A. The agent may not be able to enforce payment of his commission.

B. All of these

C. The sale could be rescinded.

D. The agent would be subject to discipline by the real estate commissioner.

Answer: B. Acting for more than one party in a transaction without the knowledge and consent of all parties thereto is a violation of California Real Estate Law and the Civil Code and could therefore result in all the penalties recited.

47. Broker Fenton has a property listed for $400,000 and submits an offer of $390,500 the next day, with a three-day acceptance period. The seller makes a counteroffer of $395,500. One day after the acceptance period, the seller accepts the buyer's original offer of $390,500. The buyer decided that he no longer wants the property. In these circumstances the acceptance is:

A. voidable.

B. valid.

C. not a contract.

D. enforceable because of the original offer.

Answer: C. Under the law of contracts, an offer creating a binding contract must be accepted on time and be unqualified according to the

terms. Any change in the terms creates a counteroffer and voids the original offer.

48. A listing agreement in which the owner promises to pay a commission under all circumstances of sale, except if he or she sells the property himself, is known as:

A. an exclusive-agency listing.

B. an exclusive-right-to-sell listing.

C. a net listing.

D. none of these.

Answer: A. If the owner reserves the right to sell the property, an exclusive-agency listing has been signed. This means that if any other person sells the property the listing broker is entitled to a commission.

49. A broker had several agents working in his office. Two of his agents brought in offers on the same listing, one in the morning and one in the afternoon. The second agent's offer was $1,000 less

than the first agent's. The broker held the second offer until the first offer was accepted or rejected. This was:

A. permissible because of the relationship between the broker and his sales agents.

B. permissible because the second offer was lower.

C. forbidden in the above circumstances.

D. forbidden because of the fiduciary relationship to both buyers.

Answer: C. All offers must be submitted. By withholding the offer, the broker is withholding a material fact and could be disciplined by the real estate commissioner. The broker has a fiduciary relationship with his client, in this case the seller who gave him the listing.

50. All of these occurrences would terminate an offer EXCEPT:

A. a party to the offer dies.

B. a counteroffer by the offeree.

C. revocation of the offer by the offeror after the offeree posted legal notice of acceptance.

D. the offeror revokes the offer before acceptance is communicated to him.

Answer: C. An offeror cannot effectively revoke an offer after the acceptance has been communicated. Acceptance of an offer must be in the manner specified in the offer, but if no particular manner of acceptance is specified, then acceptance may be by any reasonable and usual mode. All other choices express a termination of an offer.

51. A final, specific, and definite termination date is required by law on all agreements between seller and real estate agent EXCEPT:

A. an agreement in writing wherein it is provided that an agent appointed in an exclusive capacity may retain as compensation for his services all sums received over and above a net price to the owner.

B. a written instrument giving one agent the right to sell property for a specified time but reserving the right of the owner to sell the property himself without paying a commission.

C. a written agreement between owner and agent giving the agent the right to collect a commission if the property is sold by anyone during the term of his agreement.

D. a written authorization given by a property owner to a real estate agent wherein said agent is given the right along with other brokers to secure a purchaser.

Answer: D. The other three choices all describe exclusive listing agreements, which must have a final and definite termination date, unlike open listings.

52. At 10:00 AM a broker receives an offer that meets full price and all terms of the listing. At noon, before he or she could submit the first offer, he or she receives a second offer on the same property for less money but all cash. The broker decides to submit the first offer and, if it is rejected, to submit the second offer. Which statement is TRUE?:

A. This is proper since one should submit offers in the order received.

B. This is improper since the broker owes a fiduciary relationship to both buyers.

C. The broker could be disciplined by the real estate commissioner.

D. This is proper since the second offer was for less than the listed price.

Answer: C. All offers should be submitted. For withholding material facts, a broker could be disciplined by the real estate commissioner. While it is correct in that the action is improper, the listing broker owes fiduciary duties to the seller, not to the buyer.

53. Which word is most closely associated with the term rider?:

A. Lien

B. Person

C. Accretion

D. Amendment

Answer: D. A rider is an addition or amendment to the original contract.

54. A fire insurance policy can be canceled by the insurance company:

A. if the company gives the insured notice within a reasonable time prior to cancellation.

B. without notice if the buyer has had excessive losses.

C. only after the company has given written notice and the insured has signed an acceptance.

D. at any time without notice.

Answer: A. A fire insurance policy can be canceled only after written notice has been given to the insured with a reasonable time for cancellation to take effect.

55. A real estate broker could be held liable to a buyer if he or she:

A. acts in excess of the authority given by the seller under a listing agreement.

B. retains the buyer's check at the seller's request after an offer has been accepted by the seller and acceptance has been communicated to the buyer.

C. unknowingly makes a misrepresentation to the buyer based on false information given by the seller.

D. executes an agreement with the buyer on behalf of the seller under a power of attorney granted by seller.

Answer: A. The principal is liable for the acts of his agent performed "within the scope of authority." The agent is liable for the agent's own

acts performed "beyond the scope of authority."

56. A home was sold for $162,500 and the two brokers who cooperated in the sale agreed to a 50/50 split of a 4.5% commission. One of the broker's salespersons was to receive 50% of the broker's commission. What amount did the salesperson receive?:

A. $1,828.13

B. $7,312.50

C. None of these

D. $3,656.26

Answer: A. 4.5% gross commission x 50% split between brokers = 2.25% net commission

2.25% net to salesperson's broker x 50% = 1.125% to salesperson
$162,500 sales price x 1.125% = $1,828.13 to salesperson

57. When a buyer revokes an offer prior to the acceptance by the seller:

A. the broker may sue the buyer for specific performance.

B. the broker must refund to the buyer any earnest money deposit.

C. the seller may sue the buyer for specific performance.

D. the broker is entitled to one half of the earnest money deposit.

Answer: B. The buyer can revoke an offer any time before the seller has communicated acceptance. Funds received by the broker prior to acceptance of the offer belong to the offeror and must be refunded if demanded.

58. Broker Hardy received a listing from Watson to sell Watson's commercial property, along with an option for Hardy to purchase within 30 days. After 27 days, Hardy decided to exercise his option and purchase the property. Hardy must:

A. inform Watson of all material facts concerning the property.

B. present all outstanding offers to Watson.

C. disclose his potential profit and obtain the written consent of the principal approving the amount of such profit.

D. do all of these.

Answer: D. The Real Estate Law (B & P Code Section 10176 [h]) requires that a broker who holds both a listing on and an option to buy the same property must, before he exercises the option to buy, "reveal in writing to the employer [owner/principal] the full amount of licensee's profit and obtain the written consent of the employer approving the amount of such profit."

59. A listing agent gave part of his commission to the buyer. He:

A. must disclose this to the seller.

B. is guilty of committing a civilly wrong act.

C. may be disciplined by the real estate commissioner.

D. is guilty of criminal action.

Answer: A. That an agent "gave part of his commission to the buyer" would be considered a material fact. The fiduciary relationship of the agent to the principal required full disclosure of all material facts. The agent would not be disciplined by the real estate commissioner unless the broker failed to disclose this material fact to the principal.

60. An estate in real property for a definite and specified period of time with an agreement for the payment of rent is known as:

A. periodic tenancy.

B. month-to-month tenancy.

C. estate for years.

D. freehold estate.

Answer: C. An estate for years is an interest in lands by virtue of a contract (lease) for the possession of them for a definite and limited period of time. The term may be for any specified period of time, even for a certain number of years, months, weeks, or days.

61. A prospective buyer pays $2,000 for a four-month option to purchase a $300,000 property. All of these statements are true EXCEPT:

A. the agreement imposes no obligation on the optionee to purchase the property.

B. a unilateral contract has been established.

C. the optionee has acquired a legal interest in the property.

D. the optionor's temporary surrender of the right to sell is valuable consideration.

Answer: C. An optionee acquires a contractual right but acquires no legal interest in the property until after the optionee exercises the option.

62. Broker A had a listing and cooperated with Broker B on an offer from a buyer procured by Broker B. The seller accepted the buyer's offer and the transaction was placed in escrow. It is due to close within two or three days when Broker A learns that Broker B has arranged a sale of similar acreage at a considerably higher price to the same buyer. In these circumstances, what should Broker A do?:

A. Notify the seller of the higher price

B. Attempt to renegotiate a higher price

C. Nothing because of the imminent closing

D. File an interpleader action and obtain a writ of replevin

Answer: A. If a broker sells a property through a cooperating broker and, while the transaction is in escrow, learns the cooperating broker is selling a similar property to the same buyer at a higher price, the broker must inform his principal since he has a fiduciary duty to the seller even though the transaction is in escrow.

63. A fire insurance policy began March 1, 20XX, and cost $316.80 for three years of coverage. The insured cancelled the policy as of November 16 of the same year. What is the amount of the unused policy?:

A. $316.80

B. $121.00

C. $74.80

D. $242.00

Answer: D. Step 1: Canceled: November 16, 20XX

Began: March 1, 20XX

Used: 8.5 months, leaving 27.5 months unused

Step 2: $316.80 premium ÷ 36 months = $8.80/month

Step 3: $8.80/month x 27.5 months = $242.00

64. Which statement is NOT true regarding an option?:

A. An option on a business opportunity can also include the site on which the business operates.

B. An optionee must give valuable consideration.

C. A separate sales agreement must be binding.

D. If the optionee does not exercise the option, he forfeits the thing of value given to the optionor as consideration.

Answer: C. The option to purchase real estate is a written agreement in which the owner agrees that the buyer shall have the right to purchase the property at a fixed price within a certain time. A separate sales agreement is not necessary for the option to be binding.

65. A licensed real estate salesperson takes a listing that does not authorize her to take a deposit. The salesperson finds a buyer, however, who gives her a personal check as a deposit with an offer on the property. With regard to the deposit, the salesperson's broker would be:

A. required to place the check in escrow.

B. the agent of the seller.

C. the agent of the bank.

D. the agent of the buyer.

Answer: D. The broker, through the acts of the salesperson, acted in excess of authority. By accepting a check when not authorized, the salesperson created an agency between the buyer and the broker, but only with regard to the deposit.

66. The legal term laches is best described as:

A. inexcusable delay in asserting a legal right.

B. a deficiency judgment.

C. a writ of attachment.

D. a court with no jurisdiction.

Answer: A. Laches means delay or negligence in asserting one's legal rights. Such a delay can make a contract unenforceable.

67. The most common listing agreement allows the broker to:

A. guarantee the purchaser will accept.

B. find a purchaser, fill out the deposit receipt, obtain an offer, and present the offer.

C. convey title.

D. find a purchaser, obtain an offer, and bind the principal to that offer.

Answer: B. The broker does not have the authority to bind the principal to an offer. However, the broker may "obtain an offer" in order to "present it to the principal" for acceptance or rejection.

68. Which document does not qualify for recording?:

A. A conditional sales contract

B. A promissory note secured by a deed of trust

C. A trustee's deed

D. A notice of completion

Answer: B. A promissory note is the evidence of the debt and is secured by a deed of trust. The promissory note is not recorded but the deed of trust is. A notice of completion and a trustee's deed must be recorded. Conditional sales contracts (also called real property sales contracts, installment contracts, or land contracts) are often recorded.

69. A real estate broker, as an agent, must follow the lawful instructions of his principal in a real estate transaction. Failing to do so, the broker is:

A. any of these.

B. subject to a fine or imprisonment according to the law.

C. liable for damages to the principal as a result.

D. subject to loss of license in a court of jurisdiction.

Answer: C. When an agent acts "beyond the scope of authority," the agent is personally liable for any loss suffered by the principal as a result. Violation of the law of agency does not subject the agent to fine or imprisonment, and courts do not have jurisdiction over suspension or revocation of a license.

70. If you, as a broker, are the buyer's agent, you will want others to know:

A. as soon as possible.

B. before the close of escrow.

C. after the offer is accepted.

D. after you get your commission.

Answer: A. A licensee should disclose the licensee's agency relationship at the beginning of a transaction.

71. The broker's desk fee would most likely be paid:

A. by an appraiser.

B. in property management.

C. in a 100% brokerage.

D. by a new licensee.

Answer: C. In a 100% commission real estate office, an experienced salesperson pays the broker a flat desk fee or a desk fee plus a transaction fee and keeps all of the commission.

72. Since land is unique in character and often cannot be substituted for another parcel, the courts have made available the right to request specific performance. Who would least likely request such an action?:

A. A broker acting as an agent of the seller

B. The buyer of a single-family residence

C. The seller of a single-family residence

D. The seller of a large tract of land

Answer: A. The broker is not a party to the contract and therefore cannot sue for specific performance.

73. Smith signed an offer to buy Brown's property and gave it to the broker. The broker took it to Brown, who signed Smith's offer, giving an unqualified acceptance of it. Before the broker could deliver the accepted offer back to Smith, Smith died of a heart attack. Which statement is correct?:

A. The offer is void since the deed could not be delivered to Smith.

B. Delivery of the offer to the administrator binds Smith's heirs.

C. The offer and unqualified acceptance constitute a valid contract.

D. Smith's death created a revocation of the offer.

Answer: D. Death of the offeror, prior to the communication of the acceptance, revokes the offer.

74. A broker refers all his clients and customers to the West Hills Title Insurance Company. The title company gives the broker a $10 fee for each referral. This practice is:

A. acceptable if both buyer and seller are aware that broker is receiving a fee and agree.

B. permissible.

C. forbidden.

D. acceptable if the seller is paying for the policy and agrees.

Answer: C. The Real Estate Settlement Procedures Act (RESPA) forbids kickbacks, referral fees, or any other unearned fees. Referral fees between real estate brokers and agents are permissible but not between real estate agents and nonlicensees.

75. A real estate broker is most likely to receive a commission from both parties when involved in which transaction?:

A. The negotiation of a loan

B. The selling of a business opportunity

C. A tax-free exchange

D. A short-term lease

Answer: C. In an exchange, the broker is usually working for both parties and is most likely to receive a commission from both, if the broker gives them knowledge of the dual agency and gets their consent.

76. A seller sued a real estate broker for misrepresentation of a material fact that the broker had made to him during the sale transaction. In defending the suit, the broker was able to prove that the listing contract with the seller had been an oral agreement. Under these circumstances:

A. this is a valid defense based on the statute of frauds.

B. the broker is only liable for misrepresentation to buyers.

C. this defense is not a bar because it was not the issue.

D. the statute of frauds is not a bar in any real estate transaction litigation.

Answer: C. The broker cannot use the statute of frauds as a defense in this situation. The statute requires the listing contract be in writing to be enforceable in court but has nothing to do with misrepresentation.

77. A property is sold in accordance with the listing terms and conditions. After the transaction is in escrow, the seller decides that he doesn't wish to complete the transaction and refuses to complete the sale. Under the Statute of Limitations, the buyer must bring any action against the seller for failure to perform under the deposit receipt within:

A. four years.

B. one year.

C. two years.

D. 90 days.

Answer: A. The statute of limitations requires any legal action to commence within four years on any written contract.

78. What decides the amount of commission received from the sale of property of a deceased person?:

A. Court order

B. Administrator or executor of the estate

C. Real estate commissioner

D. Real estate board

Answer: A. The probate court usually must approve the sale as well as the amount of the commission.

79. The broker who most likely has earned a commission is the one who has:

A. secured a substantial deposit with an offer.

B. communicated acceptance by the seller to the buyer.

C. secured acceptance of an offer.

D. communicated the buyer's offer to the seller.

Answer: B. In order for the offer to become a contract, the acceptance of the offer must be communicated from the offeree to the offeror. Once the broker has achieved a contract between a buyer and seller, the broker has earned a commission, even though there are usually contingencies that must be met before the broker can be paid the commission.

80. A selling agent who is the exclusive agent for the buyer can do all of these things EXCEPT:

A. submit his client's offer to the seller and seller's agent with the seller's approval.

B. withhold negative information about the buyer.

C. act as the seller's agent since the seller is the one paying the commission.

D. personally submit the buyer's offer to the seller.

Answer: C. An agent who is the "exclusive agent for the buyer" cannot also act as the seller's agent. If the buyer's agent also acts as the seller's agent, there is a dual agency (if disclosed) or a divided agency (if not disclosed) and the agent cannot then be the "exclusive agent for the buyer." The buyer's agent can withhold negative information about his client, the buyer, as long as it is not a material fact that the seller might reasonably take into consideration in deciding to accept an offer.

81. A broker used the following phraseology in his listing contract: "In consideration of the execution of the foregoing, the undersigned broker agrees to use diligence in procuring a purchaser." This is best described as:

A. an agreement to advertise the property.

B. a necessary item in the creation of a unilateral contract.

C. superfluous in such contracts.

D. a necessary element in the creation of a bilateral contract.

Answer: D. In exchange for the seller's promise to pay a commission, the broker promises to use diligence. This mutual exchange of promises makes it a bilateral contract. A unilateral contract requires a promise from only one party and performance from the other.

82. Two parties entered into a contract, but one of the parties had previously been adjudged incompetent. The other party to the contract was not aware of this fact. What is the status of this contract?:

A. Illegal

B. Voidable

C. Enforceable if the seller could prove there was no coercion involved

D. Void

Answer: D. The party who had been adjudged incompetent thus lacked capacity to contract (one of the four essential elements of any contract). This apparent contract would be void, and all void contracts are unenforceable.

83. An offer is terminated by:

A. revocation by the offeror.

B. revocation by the offeree.

C. rejection by the offeror.

D. a change in the offer made by the offeror.

Answer: A. An understanding of the terms revoke and reject is essential in these answers. An offeror revokes an offer, but an offeree can accept or reject an offer.

84. Alex led Carly to believe that he had the authority to act for Brian. Brian went along with Alex. The agency created was by:

A. estoppel.

B. expressed contract.

C. ostensible.

D. ratification.

Answer: D. Ratification is the approval of an act performed on behalf of a person without previous authorization. When Brian went along with Alex, he ratified Alex's authority to act on Brian's behalf.

85. Broker Thomas negotiated a 25-year lease with an annual rent of $30,000. The agreement was that Broker Thomas would receive a commission annually based on the following schedule: 7% for the first year, 5% for the next 4 years, 3% for the next 15 years, and 1% for each year thereafter to the completion of the lease. How much commission will Broker Thomas have received at the end of the 19th year?:

A. $21,600

B. $22,200

C. $23,000

D. $20,700

Answer: D. Period: Rate x Annual rent = Commission/yr x No. of years = Commission

Year 1: 7% x $30,000 = $2,100 x 1 = $2,100
Next 4: 5% x $30,000 = $1,500 x 4 = $6,000

Next 14: 3% x $30,000 = $900 x 14 = $12,600
EOY 19 (End of Year 19) $20,700

86. In the matter of a broker's commission to be paid by a seller, which statement is TRUE?:

A. The broker's commission earned but not paid creates a lien on the seller's property.

B. The seller and buyer may rescind sale, thus relieving the seller of the obligation to pay the broker's commission.

C. Action for the broker's commission must be brought within four years of earning the commission.

D. A listing agreement signed only by the seller is unenforceable.

Answer: C. According to the statute of limitations, action for performance of a written contract for a commission must be brought within four years of earning the commission.

87. Which is NOT essential in the creation of an agency?:

A. Lawful object

B. Capacity of parties

C. Payment of consideration

D. Fiduciary relationship

Answer: C. While it can be created by actions, words, and conduct, an agency relationship is typically created by a listing contract or buyer representation agreement. All parties are required to have capacity and the object of the relationship must be that which is considered lawful. A broker owes a fiduciary duty to the principal. Payment of consideration is not essential to create an agency.

88. A broker shows a house to a buyer after listing the house. The broker does not disclose the agency relationship the broker has with the seller. The buyers are under the impression the broker is representing them. The agency is:

A. listing only.

B. voidable.

C. undisclosed dual agency.

D. ostensible agency.

Answer: C. An undisclosed dual agency has been formed by nondisclosure. This is also known as divided agency and is a specific violation of real estate law.

89. A contract signed under duress would be:

A. void.

B. illegal.

C. unenforceable.

D. voidable.

Answer: D. When the mutual consent to a contract is induced by fraud, duress, menace, or undue influence, the contract is voidable at the option of the wronged party.

90. An attorney-in-fact is:

A. a legally competent person acting on behalf of another.

B. all of these.

C. a principal in a transaction.

D. an attorney or executor of an estate.

Answer: A. An attorney-in-fact is one who is authorized by another to perform certain acts for the other under a power of attorney. This power of attorney may be limited to a specific act(s) or may be general in scope

91. A broker was to receive a 6% commission from the sale of a property. Her salesperson was to receive 45% of the 6% commission. The salesperson received $8,100. What was the selling price of the property?:

A. $300,000

B. $40,000

C. $435,000

D. $135,000

Answer: A. 2.7% is salesperson's share (6% gross x 45% split)

2.7% x SP = $8,100
SP = $8,100 ÷ 0.027 = $300,000

92. Before the purchaser is advised of the seller's acceptance of an offer, the purchaser can withdraw his offer:

A. for any reason.

B. provided the offeree has breached the offer.

C. provided the offer is breached by the seller.

D. provided the offer is not irrevocable.

Answer: A. An offer may be withdrawn (revoked) by the offeror anytime prior to communication of the acceptance by the offeree regardless of the offeror's reason.

93. Mr. John Lee owned a ranch and gave Ms. Joan Kimball an option to purchase it at a figure of $92,500 down and the balance payable in annual installments of $14,000 plus interest at 7% per annum. The term of the option was 60 days and Ms. Kimball gave Mr. Lee a personal check for $10. This constitutes a(n):

A. offer to execute a contract in the future.

B. fiduciary agreement.

C. contract to keep an offer open.

D. lien on Mr. Lee's ranch.

Answer: C. An option is defined as a contract under which the optionor (owner) promises to hold open for a specified time an offer to sell or lease property to the optionee. The optionee is not obligated to purchase. The $10 paid is the consideration given for the contract to keep an offer open.

94. What essential element is necessary between a broker and a principal when dealing with the title, right, or interest in real property?:

A. Broker's right to accept a deposit

B. Establishment of the rights of commission between the parties by law

C. Broker's right to draw up a purchase offer

D. Written contract of employment

Answer: D. The statute of frauds (Civil Code Section 1624) requires that a contract employing an agent to purchase or sell real estate, or to lease real estate for a longer period than one year, must be in writing to be enforceable.

95. The term demise means:

A. transferring the right to or right in an estate.

B. witnessing the signing of a document.

C. testamentary transferability of real property.

D. something given to induce entering into a contract.

Answer: A. One meaning of the word demise as used in real estate is to convey or transfer the possession and use of real property under the terms of a lease.

96. What essential element is necessary between a broker and a principal when dealing with the title, right, or interest in real property?:

A. Broker has the right to draw up a purchase offer

B. Written contract of employment

C. Broker has the right to accept a deposit

D. The rights of commission between the parties are established

Answer: B. The statute of frauds requires that a listing for the sale of real property, or for the negotiation of a lease for more than a year, must be in writing to be enforceable for the payment of a commission.

97. Mr. Sharp lists his house with Agent Long, who finds a buyer and induces Mr. Sharp to accept the buyer's offer by making a verbal promise to find Sharp another suitable residence before escrow closes on the sale. Escrow closed, and Long was unable to perform. It is most likely that:

A. since Long only made a verbal promise, he has no liability to perform.

B. Sharp will complain and charge Long with criminal negligence.

C. Sharp will withdraw his acceptance of the buyer's offer and not be liable.

D. Sharp will initiate civil court action.

Answer: D. The seller cannot rescind his contract with the buyer, but may institute civil action for damages sustained for the unfulfilled promise of the broker that induced him to enter the purchase contract.

98. Which document might be used to convey possessory rights in real property without conveying ownership rights?:

A. License

B. Grant of easement

C. Sublease

D. Mortgage

Answer: C. Any lease or sublease conveys a possessory interest in real property without conveying actual ownership. A license, a mortgage, and an easement are not possessory interests in real property.

99. Under authority of a signed exclusive-agency listing, Broker Davis diligently advertised for sale the $165,000 home of owner Johnson. Prior to the expiration date of the listing, the home was sold by Johnson to a friend. Davis was refused payment of any commission whatsoever. Davis is legally entitled to receive from Johnson:

A. full commission.

B. no commission.

C. one-half commission.

D. all expenses incurred in advertising the home.

Answer: B. The broker is entitled to no commission. An exclusive-agency listing is one that employs a broker as the sole agent for the seller of real property under the terms of which the broker is entitled to a commission if the property is sold through any other broker, but not if a sale is negotiated by the owner without the services of an agent.

100. An executed contract is a contract:

A. signed, notarized, and recorded.

B. to be rewritten.

C. completed and fully performed by both parties.

D. under the jurisdiction of the probate court.

Answer: C. When applied to contracts, the word executed means fully performed by both parties. (When the word executed is used in discussing deeds, it means signed.)

101. A real estate broker cannot accept a listing from a minor appointing the broker as an agent because:

A. a minor does not have the capacity to enter into contracts.

B. a minor is incapable of appointing an agent.

C. a minor has the right to disaffirm the listing contract during his minority.

D. the broker would breach the fiduciary relationship by misrepresenting a minor who is incapable of making adult decisions.

Answer: B. A minor lacks the capacity to appoint an agent under state law.

102. A broker advertises in the paper that if a seller lists his property with the broker, the seller would be credited by the broker with $50 toward the commission to be paid. Also included in the advertisement is the statement that if a prospective buyer brings a copy of the advertisement to the broker, the buyer would be credited in the amount of $50 in escrow that would be applied to the purchase price of the property. Would the broker be subject to the discipline of the real estate commissioner with regard to this advertisement?:

A. The broker may pay the $50 to the seller and to the buyer.

B. The broker would be disciplined because his promises to sellers and buyers in the advertisement would constitute payments to unlicensed persons.

C. The broker can credit the seller but cannot credit the buyer.

D. The broker can credit the buyer but not the seller.

Answer: A. Neither of these promises by the broker would be a violation of law or regulations. The courts have also ruled that disclosed payments by the broker to either the seller or buyer would not be a violation of the Real Estate Settlement Procedures Act (RESPA).

103. Franklin offered to perform all of the obligations in a purchase contract. This act is considered a:

A. covenant.

B. tender.

C. demand.

D. condition.

Answer: B. Tender is the act by which one offers to perform under a contract. It is not the actual performance.

104. A real estate licensee negotiated the sale of a farm for a seller. The agent's commission can be paid in which form?:

A. Check or cash

B. Assignment of funds from buyer to seller

C. Any of these

D. Assignment of existing note

Answer: C. Under normal circumstances, a commission is paid by check. However, as long as the principal and the broker agree, the commission may be paid in any of the forms listed.

105. Mr. Martin contacted Broker Katz to list a property for sale for $200,000. Martin indicated to the broker that he needed a quick sale of the property. The broker contacted a prospective buyer and told him that Martin would sell the property for $180,000. The buyer made an offer in the amount of $180,000, which Mr. Martin did accept when the broker presented it to him. Under these conditions, Katz:

A. violated the fiduciary relationship as he acted in excess of authority given him.

B. violated the fiduciary relationship but did no harm as the offer was accepted.

C. did not violate the fiduciary relationship as Katz was employed by Martin and acted under such authority.

D. did not violate the fiduciary relationship as the offer was accepted.

Answer: A. When Broker Katz told the prospective buyer that the owner would sell for less than the listing price, when the broker had not been specifically instructed to disclose that confidential information, the broker violated his fiduciary obligation to his principal.

106. An agency agreement may be terminated by all of these occurrences EXCEPT:

A. mutual termination by both the principal and agent prior to the original termination period.

B. renunciation of the agreement by the agent.

C. the principal's refusal of an offer to purchase presented in the name of a third person.

D. destruction by fire of the property that is the subject matter of the agency agreement.

Answer: C. The parties may agree to terminate an agency. An agent may renounce it. An agency is terminated by extinction of the subject

matter, but a principal's refusal of an offer to purchase does not terminate an agency agreement.

107. A seller employed a broker through an authorization to sell, which included an authorization to accept deposits. Upon accepting a deposit from a potential buyer, and before presenting the offer to the seller, the broker misappropriated the money. The risk of loss is:

A. the buyer's because he could have avoided any misappropriation by making his check out to an independent escrow company of the seller.

B. the buyer's because the broker was acting as his agent in handling the deposit.

C. the seller's because he had given the broker specific permission to accept deposits.

D. both the buyer's and the seller's because neither was at fault.

Answer: C. The acts of an agent, in transacting his principal's business, and that are within the scope of his authority, are the acts of his principal; therefore, the seller would be liable to the buyer for the loss.

Valuation and Market Analysis (Appraisal)

1. What is the indicated value of a property that produces a gross monthly income of $2,400 and an appropriate (annual) multiplier of 10.72?:

A. $225,000

B. $308,000

C. $108,000

D. $25,000

Answer: B. Gross monthly income $2,400 x 12 months = $28,800/year

Gross multiplier x Gross income = Value estimate

10.72 x $28,800 = $308,736 Closest $308,000

2. In appraisal, all of these are recognized methods for the valuation of land EXCEPT:

A. development method.

B. economic method.

C. abstract method.

D. the comparative method.

Answer: B. There are four basic procedures for the valuation of land: 1) comparative, 2) abstraction, 3) development, and 4) land residual. Economic is not a method.

3. The approach in which income is projected to a future date and discounted to today's rates to attract investors relates to a technique known as:

A. unearned increment.

B. equity formulation.

C. income projection.

D. capitalization of income.

Answer: D. Capitalization of (net) income is an appraisal approach in which net income is projected to a future date and discounted to today's rates to attract investors.

4. Smith built a $250,000 house in a neighborhood in which houses are valued between $75,000 and $85,000. Any resulting loss of value would be an example of:

A. physical obsolescence.

B. functional obsolescence.

C. economic and functional obsolescence.

D. physical depreciation.

Answer: C. Economic obsolescence is a loss in value due to factors away from or outside of the subject property. Additionally, the appraiser must look at the fact the property in question over functions for the area. It is rare to have only one factor affect the property value. This is a good example of two types of obsolescence impacting the property.

5. When applied as a deduction from gross income, the vacancy factor is known to:

A. vary both in locality and from time to time.

B. be impossible for the appraiser to estimate with any accuracy.

C. be constant.

D. generally discourage prospective purchasers.

Answer: A. Vacancy factors will vary from time to time but can be estimated with accuracy.

6. An owner has a 100-unit apartment house. Which item would be deductible from the gross income in determining net operating income?:

A. Wages for part time gardeners and maintenance personnel

B. Mortgage payments of principal and interest

C. Income tax

D. Depreciation

Answer: A. For appraisal purposes, mortgage payments and income tax are not allowable deductions to arrive at net operating income.

Depreciation adjusts the cost basis but is not an expense for appraisal purposes. Wages paid for gardeners and maintenance personnel are deductible from gross income as operating expenses.

7. Which is NOT an element of value?:

A. Utility

B. Scarcity

C. Transferability

D. Expectation

Answer: D. Expectation is not one of the elements of value. The four elements of value are: (1) demand, (2) utility, (3) scarcity, and (4) transferability (DUST).

8. What is improved value?:

A. Market value of land and improvements

B. Difference between economic and contract rent

C. Cost of reproduction less depreciation

D. Market value divided by total rents

Answer: A. Improved value is the combined value of land and building as distinguished from their separate values.

9. The most difficult step for an appraiser in the sales comparison approach is to:

A. analyze data.

B. collect data.

C. adjust the comparable to the subject property.

D. average data.

Answer: C. Once all of the elements of comparison between the comparable sales and subject property have been identified, they must be analyzed and adjustments made. Adjustments must be supported with data from the market. Techniques include matched pairs, regression analysis and other complex mathematical techniques, percentage adjustments, or such devices as rating grids. Appraisers do not usually average data.

10. An income property showed a value of $800,000 when capitalized at a rate of 9%. A new investor wishing to purchase the same property engaged an appraiser who used a capitalization rate of 12%. According to the appraiser, the value would be:

A. $300,000.00

B. $224,000.00

C. $600,000.00

D. $800,000.00

Answer: C. R x V = I

0.09 x $800,000 = I

0.09 x $800,000 = $72,000 (net operating income)

0.12 x V = $72,000

V = $72,000 ÷ 0.12 = $600,000

11. Functional obsolescence would NOT be attributable to:

A. lack of air-conditioning.

B. items of surplus utility.

C. eccentric design.

D. proximity of nuisances.

Answer: D. Undesirable or unattractive nuisances outside a property would be economic obsolescence.

12. In determining the market value of a property, the appraiser considers:

A. the bundle of rights.

B. all of these.

C. utility.

D. the physical land and improvements thereon.

Answer: B. The appraiser considers both tangible and intangible aspects of real property: the land, improvements, any easement rights

or burdens, and other limitations or privileges applying to the bundle of rights an owner would receive with a given parcel.

13. When comparing physical life to economic life, the economic life usually:

A. is greater.

B. depends on the improvement.

C. is lesser.

D. is the same.

Answer: C. The economic life is the period in which the building earns sufficient income to support itself. The physical life is how long the building will remain standing, which is typically much longer than the economic life.

14. The amount an appraiser charges for an appraisal is established by the:

A. Federal Housing Authority.

B. real estate commissioner.

C. agreement between the appraiser and the client.

D. Office of Real Estate Appraisers.

Answer: C. Appraisal fees are set by agreement between the appraiser and the client.

15. The terms quantity survey, unit-in-place, and square foot and cubic foot are all methods of arriving at a value estimate that are used in the:

A. sinking fund approach.

B. market data approach.

C. cost approach.

D. income approach.

Answer: C. The three methods listed in the question are all ways to arrive at an estimate of value in the cost approach.

16. In order to arrive at an effective gross income for rental properties, an appraiser should deduct what from gross income?:

A. Repairs

B. Real property taxes

C. Depreciation

D. Vacancies and collection losses

Answer: D. Effective gross income is that income remaining after deducting vacancies and collection losses from gross income.

17. Which would LEAST likely protect a single-family residential neighborhood from losing value?:

A. Introduction of average-priced homes in an area of better quality properties of the same type

B. Minor change in zoning regulations

C. Most families are from the same religious and ethnic group

D. Residents in the area have the same income

Answer: A. The principle of regression maintains that as properties of dissimilar value are placed in a neighborhood of better properties, the worth of the better homes is adversely affected and they tend to lose value.

18. In planning a shopping center in a suburban community, which would be the most important consideration?:

A. Amenities

B. Purchasing power

C. Weather

D. Proximity of shipping and warehousing facilities

Answer: B. In the analysis of a commercial district the emphasis is on the quantity and quality of purchasing power available to the shopping area.

19. Original cost adjusted to today's cost-of-living-index:

A. Original cost adjusted to today's cost-of-living-index

B. Today’s cost of replacement

C. Cost-of-living index for 1910

D. Original cost of materials in 1910

Answer: B. The appraiser is interested in today's cost (less depreciation, of course) and is not concerned about the original cost or the cost-of-living index in 1910.

20. An appraiser is employed to advise an apartment owner of the economic feasibility of construction of a swimming pool. The appraiser would be most concerned with which valuation principle?:

A. Contribution

B. Integration

C. Substitution

D. Regression

Answer: A. The principle of contribution is applied to a portion of the property (in this case the added swimming pool) and affirms that the value of an additional improvement is measured by its contribution to the net return of the combined enterprise.

21. The capitalization rate in the valuation of income property would least likely provide for:

A. return of investment.

B. taxes.

C. return on investment.

D. depreciation.

Answer: B. Taxes are more directly related to net income than to the capitalization rate. (Property tax is a legitimate expense to be deducted from the gross income when appraising.) Furthermore, overall capitalization rates provide for a return on (profit) and a return of (or depreciation of) the investment.

22. A fee appraiser:

A. works full time for a lender.

B. works full time for a broker.

C. is a self-employed appraiser, who, for a fee, appraises property.

D. assesses land for the government.

Answer: C. A fee appraiser is one qualified by education, training, and experience who is hired to estimate the value of real and personal property based on experience, judgment, facts, and use of formal appraisal processes and is paid a fee for such services. A fee appraiser must now be state licensed or state certified.

23. In doing a feasibility study for residential development, taking into consideration local economic conditions, all of these items would be necessary EXCEPT:

A. local zoning codes.

B. specific data related to the proposed project.

C. analysis of economic basis.

D. target markers.

Answer: B. A feasibility study for residential development must identify all economic factors that should be considered in developing detailed for a proposed project. The specific data should be established after the feasibility study.

24. In appraisal, all of these are recognized methods for the valuation of land EXCEPT the:

A. development method.

B. economic method.

C. abstraction method.

D. comparative method.

Answer: B. There are four basic procedures for the valuation of land: comparative, abstraction, development, and land residual. The term economic is not used in designating a recognized method.

25. Appraisers have the most difficulty in determining the value of:

A. accrued depreciation.

B. replacement cost new.

C. basic cost data.

D. capitalized income.

Answer: A. Depreciation is the difference between the replacement cost new of the improvements and their present value measured at the same date. The older the building, the more difficult it is to estimate replacement cost and depreciation accurately.

26. These paragraph headings, Introduction, Description of General Neighborhood, Market Value & Economic Factors, and Final Estimate of Value, would be present in which type of appraisal?:

A. Letter (restricted)

B. None of these

C. Form (summary)

D. Narrative (self-contained or summary)

Answer: D. The letter and form types of appraisal reports are abbreviations or variations of the complete narrative form of report. The narrative appraisal report gives the appraiser the opportunity to support opinions and conclusions. Those paragraphs mentioned in this question are generally included in the narrative report.

27. Silverman is going to make extensive improvements on an old apartment building. Which is MOST important for Silverman to take into account?:

A. Area

B. Cost

C. Net income

D. Land value

Answer: C. The principle of contribution affirms that after a certain point of development is reached, additional expenditures do not produce an appropriate return on the added investment (that is, the return is less than the existing or desired overall investment). Therefore, the owner should base the decision to make extensive improvements on their proper contribution to the net income.

28. In establishing an estimate of value by appraisal, it is very important to differentiate between the purpose of the appraisal and the:

A. amenities to the owner.

B. function for which the appraisal is being made.

C. principles of appraisal.

D. appraisal process.

Answer: B. The purpose of the appraisal determines the type of value being sought. It is not the same as function or use. The function of the appraisal is the reason for which the appraisal is made or is intended to be used. It relates to the character of the decision to be based on the appraisal, for example, price at which to buy or sell, amount of mortgage to be made, et cetera. The appraiser under USPAP must state the intended use of users.

29. Which criterion would NOT be used to determine net income for an income property?:

A. Mortgage interest

B. Management fees

C. Maintenance costs

D. Vacancies

Answer: A. For determining net income in the income approach to appraisal, mortgage interest is a personal expense of the owner, not an operating expense of the property. Vacancies, management fees, and maintenance costs are all allowable deductions in establishing net operating income for appraisal purposes.

30. What is the first step in the appraisal process?:

A. Define the appraisal problem

B. Classify the data

C. Organize the data program

D. Make a preliminary survey and appraisal plan

Answer: A. Before making an appraisal, an appraiser must define the problem to see what is to be done and how it is to be accomplished.

31. The standards that a state-licensed or state-certified appraiser must follow are found in the:

A. USPAP

B. URAR

C. MAI

D. NAR

Answer: A. USPAP stands for Uniform Standards of Professional Appraisal Practice.

32. To determine the square footage of a house, measure the:

A. outside of house.

B. inside of the house.

C. outside of house and garage.

D. inside dimensions of rooms.

Answer: A. The outside dimensions of a house are used to determine its square footage. The garage is not considered when determining square footage of a house and is measured separately because a garage can be replaced at a lower cost per square foot.

33. The easiest way for an appraiser to calculate the present value of a building would be by:

A. a unit-in-place cost method.

B. a quantity survey.

C. a review of the building permit records.

D. market data.

Answer: D. The comparative analysis or market data approach to appraisal is a quick method and easy to apply. The usual problem occurs where there are no comparable properties. The quantity survey and unit- in-place cost methods are very detailed.

34. Under the cost approach, the replacement cost is distinguished from the reproduction cost because replacement cost is defined as the cost of constructing an improvement with:

A. neither of these.

B. substantially the same utility as the property being appraised.

C. either of these.

D. the same materials as were used in the original construction.

Answer: B. Replacement cost is defined as the cost of constructing an improvement with the same utility, but with today's materials and costs. Reproduction cost is defined as the cost of constructing (reproducing a replica) an improvement with the material used in the original construction.

35. An appraiser determines the accrual for depreciation in the use of:

A. the sales comparison approach.

B. none of these.

C. the cost approach.

D. the income approach.

Answer: D. An accrual for depreciation is a part of the income approach in appraisal. Appraisers describe remaining economic life as the period over which an investor would expect to recapture an investment in a property. An accrual for depreciation is a plan for recapture during this remaining economic life.

36. The fluctuations (activities) of the money market are extremely important to the real estate business. When interest rates go up and the income of a property is fixed, capitalized value of the property will:

A. be unaffected in the short term.

B. increase.

C. decrease.

D. tend to stabilize.

Answer: C. When interest rates increase, it indicates that investors are asking for a higher rate of return of their investments. This results in

higher capitalization rates. If the cap rate increases and the income stays the same, the value of the property decreases.

37. In determining the value of income-producing property, an appraiser may use which appraisal technique?:

A. Building residual technique

B. Land residual technique

C. All of these

D. Property residual technique

Answer: C. All three techniques are used in the appraisal of income property.

38. An appraiser received a $300 fee from Jones for appraising Brown's property. The appraiser may discuss the details of the appraisal with:

A. Brown.

B. no one.

C. Jones.

D. anyone.

Answer: C. The appraiser should preserve a professional confidential relationship with his or her client and should report the conclusions and valuation concerning the property only to the client. Although Brown owns the property, Brown is not entitled to information paid for by Jones. Lenders do have an obligation by law to provide a copy of the appraisal to a borrower under specific circumstances.

39. An increase in value, resulting from improved usability where one or more contiguous lots are joined together under single ownership, would be a definition most appropriately applied to:

A. severalty ownership.

B. appurtenance.

C. plottage.

D. assemblage.

Answer: C. Plottage increment is the increase in value after combining lots. Assemblage is the act of combining one or more contiguous lots under single ownership.

40. Land value is estimated whenever possible on the basis of:

A. sales price of comparable sites.

B. size, location, and utility.

C. purchase price plus the cost of making onsite and offsite improvements.

D. original cost plus the expense of making it usable.

Answer: A. Comparable sales data for estimating the value of land would be used whenever possible; that is, when there is an adequate number of recent sales in a given area with which to compare.

41. Of the four appraisal terms listed, which one has the LEAST relation to the others?:

A. Reconciliation

B. Comparable

C. Comparative

D. Sales

Answer: A. Reconciliation is the final step by the appraiser in any appraisal and is the act of bringing together conclusions in a short concise statement (it can also be calledsummation). The terms sales, comparative, and comparable are used in the sales comparison approach.

42. The process of determining market value, investment value, or insurance value as of a specific date would be:

A. evaluation.

B. highest and best use.

C. depreciation.

D. valuation.

Answer: D. Valuation is the process of estimating market value, investment value, insurable value, or other properly defined value of an

identified interest(s) in a specific parcel(s) of real estate as of a given date. Valuation seeks an answer in dollars.

43. The greatest cause of loss of value to real property and the improvements thereon is:

A. wear and tear.

B. lack of maintenance.

C. deterioration.

D. obsolescence.

Answer: D. Obsolescence, combining both functional or economic factors, is a much greater cause of depreciation than age and other factors of deterioration.

44. In the valuation process, an appraiser would be LEAST concerned with the:

A. definition of value.

B. identification of the property rights being appraised.

C. assessed value.

D. identification of real estate.

Answer: C. Assessed value could be misleading to an appraiser in California because of the limitations placed on assessors by law (Prop. 13). The other choices reflect essential data.

45. In the capitalization of net income, the most difficult item for an appraiser to establish is the:

A. determination of gross income.

B. effective gross income.

C. selection of a capitalization rate.

D. determination of net income.

Answer: D. Net income is more difficult to determine than gross income or effective gross income because it involves attaining information on both fixed and variable expenses. Capitalization rates are often based on comparative data readily available to an appraiser.

46. On hot days, customers prefer to walk in the shade. Certain locations, due to the sun's fading effect on display window clothing, are the least desirable. Which is the least desirable side of the street for a clothing retailer?:

A. Southeast

B. Northwest

C. Northeast

D. Southwest

Answer: C. Because of the action of the sun, the southwest sides of the street are best. Therefore the northeast sides of the street are the least desirable corner of the street.

47. While appraising a single-family residence that is renting for $640 per month, the appraiser finds that the home across the street recently sold for $90,000 and had been renting at the time of sale for $600 per month. Based on this data, the appraised value would be:

A. $90,000.00

B. $124,000.00

C. $96,000.00

D. $110,000.00

Answer: C. The use of a gross monthly multiplier indicates a subject property value of $96,000.

$90,000 ÷ $600 = 150; 150 x $640 = $96,000

48. In arriving at an estimate of value based on selling prices, the appraiser is most interested in the date the:

A. buyer and seller agreed on the price.

B. deed was recorded.

C. sale went into escrow.

D. deed was signed.

Answer: A. The buyer and seller agree on a price, and the contract is signed. This would indicate the market value of property on that date. Values taken at any later date would defeat the willing seller-willing buyer concept.

49. Smith owns an older apartment building and is considering the merits of an expensive remodeling plan. The deciding factor that would be instrumental on his final decision would be the:

A. effect of the plan on the net income.

B. potential increases in the real property taxes.

C. wishes of the tenants.

D. cost of the plan.

Answer: A. The owner would apply the principle of contribution. He must be sure that the investment in the improvements will produce sufficient additional income to cover the expenditure. If the net income increases adequately, he should go ahead with the plan.

50. What would contribute to the functional obsolescence of a building?:

A. Massive cornices on a building

B. Rotten mud sills

C. Adverse zoning across the street from the property

D. Declining neighborhood

Answer: A. Functional obsolescence is inherent within the building and arises from poor or outdated architecture. A declining neighborhood and adverse zoning across the street from the property are economic obsolescence. Rotten mud sills are physical deterioration.

51. Price is the amount:

A. an informed seller asks for a property.

B. that a property actually does bring in the open market.

C. an informed buyer offers for a property.

D. that a property might bring on the open market.

Answer: B. Price is the amount actually paid for the property. It is distinct from market value, which is the most probable amount a property would likely bring under normal conditions.

52. An investment property is appraised at $400,000 based on a net income of $36,000 and a 9% capitalization rate. The value of the property based on a 12% capitalization rate would be:

A. $300,000.00

B. $450,000.00

C. $250,000.00

D. $423,000.00

Answer: A. R x V = I

0.12 x V = $36,000
V = $36,000 ÷ 0.12 = $300,000

53. The prudent buyer, in purchasing a new home in a new subdivision tract, would most likely choose a home located:

A. across from the shopping center.

B. near a bus stop.

C. in the center of the tract.

D. on a key lot.

Answer: C. To avoid the main artery along which the bus runs and to avoid the lights, noise, and congestion of the shopping center, the prudent buyer will look to the center of the tract. The surrounding homes create a buffer from these other influences. A key lot tends to be less valuable than lots that are otherwise comparable.

54. In appraising a property using the market data approach, how would an appraiser treat a feature value found in the comparable property but not found in the subject property?:

A. Subtract the value of the amenity from the sales price of the comparable property

B. Add the value of the amenity to the subject property

C. Disregard the feature value as no two properties are exactly alike

D. Treat the amenity as not included in the valuation

Answer: A. The appraiser would subtract the value of the amenity from the sales price of the comparable property in order to get an indication of the value of the subject property.

55. An appraiser determines the accrual for depreciation in using:

A. market data.

B. cost.

C. none of these.

D. the income approach.

Answer: D. The term accrual for depreciation means to provide for future depreciation. This is done by setting aside funds or charging off against the future income an amount to eventually replace or recapture the investment in the improvements. This is usually provided for in the capitalization rate in the income approach. Accrued depreciation (past) is used in the cost approach.

56. Usefulness of the cost approach is limited when appraising:

A. in an unusually active real estate market.

B. a new structure on an appropriate site.

C. for construction.

D. an older property with many functional deficiencies.

Answer: D. The usefulness of the cost approach method of appraisal is limited when appraising an older property with many functional deficiencies because of the difficulty in determining all of the accrued depreciation. Appraising a new structure or for construction would probably have little, if any, functional deficiencies. In an unusually active real estate market the comparison approach would be the most significant approach to use, but the cost approach could still be useful.

57. The gross multiplier is LEAST likely to be used in the appraisal of:

A. apartment buildings.

B. a residence.

C. commercial property.

D. vacant land.

Answer: D. The gross multiplier method involves applying a market-established multiplier to the gross income. Vacant land does not usually produce income.

58. Two houses were built on two adjacent lots of equal value. Construction costs and maintenance were the same. One house is appraised to be of higher value. What is most likely the reason?:

A. One house had more wear and tear.

B. One house was considered to have functional obsolescence.

C. Both houses were across the street from a nonconforming house that resulted in economic obsolescence.

D. One house had more economic obsolescence.

Answer: B. One house must have functional obsolescence. Since the properties are in the same location, the same age, and have been maintained the same, the difference in value cannot be attributed to economic obsolescence or wear and tear. As an example, one house

may have only a single-car garage or only one bathroom or a less attractive floor plan.

59. To find the details of the subfloor, such as size and dimensions of concrete piers, footings, and other detailed construction measurements, a real estate licensee would examine the:

A. floor plan.

B. elevation plan.

C. plot plan.

D. foundation plan.

Answer: D. A foundation plan will show all the details of the subfloor, such as the size and dimensions of concrete piers footings and other detailed construction measurements. A floor plan is a drawing made to scale showing floor dimensions, room sizes, placement of windows, doors, and partitions, and so forth. A plot plan is a drawing made to scale that reveals lot dimensions, placement of improvements, walks and driveways, and so forth. An elevation plan is a sketch that shows exteriors of a building as it will appear when completed.

60. A two story commercial building measures 46′ × 80′ at its base. The height of the first story is 16′ and the height of the second story is 14′. Replacement cost of the first story is calculated at $1.60 per cubic foot; the second story cost is $1.20 per cubic foot. Based on this information, the replacement cost of the building would be:

A. $61,824.00

B. $94,208.00

C. $184,824.00

D. $156,032.00

Answer: D. First story: 46′ × 80′ × 16′ = 58,880 cu. ft.

× $1.60/cu. ft. = $94,208
Second story: 46′ × 80′ × 14′ = 51,520 cu. ft.
× $1.20/cu. ft. = $61,824
Total replacement cost = $156,032

61. A recommendation for the best appraisal method to be used to estimate the value of a vacant parcel of land would be:

A. the income approach.

B. the cost approach.

C. the sales comparison approach.

D. an average of the first two methods.

Answer: C. The sales comparison approach lends itself well to the appraisal of land, residences, and other types of improvements that exhibit a high degree of similarity, and for which a ready market exists.

62. The gross rent multiplier is developed by dividing the:

A. sales price by the gross monthly income.

B. gross monthly income by the sales price.

C. gross monthly income by the assessed value.

D. gross monthly income by the market value.

Answer: A. To determine the gross monthly multiplier, divide the sales price by the gross monthly income.

63. An appraiser would consider all of these as contributing to the stability of a neighborhood EXCEPT:

A. increased density and rapid turnover of population.

B. homogeneity of buildings, people, and uses.

C. many families with children going to school.

D. residence in the path of urban directional growth.

Answer: A. An increase in density and rapid turnover may occur from undesirable causes. The principle of conformity holds that maximum value is realized when a reasonable degree of homogeneity is present in buildings, uses of property, and income levels of residents.

64. A prudent buyer would not pay more for a parcel of real estate than he would have to pay for another similar parcel based on the principle of:

A. highest and best use.

B. balance.

C. supply and demand.

D. substitution.

Answer: D. The principle of substitution holds that when two or more substantially similar properties are available, the one with the lower price receives the greatest demand.

65. The value measures applied by an appraiser to establish value of industrial land are:

A. acre and front foot.

B. acre and square foot.

C. square foot and front foot.

D. none of these.

Answer: B. Industrial land is valued in terms of dollars per square foot or per acre.

66. An appraiser using the replacement cost approach on an older residential property would use all of these EXCEPT:

A. depreciation.

B. land value.

C. cost of improvements new.

D. capitalization of income.

Answer: D. Capitalization of net income is unrelated to the cost approach to appraisal.

67. To analyze a leased property, an appraiser would consider:

A. none of these.

B. covenants, right of assignment, option for renewal and provisions for disaster, condemnation, improvements, and repairs.

C. both of these.

D. rent and other charges, date, parties, security, and term.

Answer: C. The relationship of contract and economic rental levels is important because of the effect on the value of the fee estate. Contract rent is the rent stated in the contract and economic rent is what you

could rent the property for today if it was available. When making a gross income estimate, the appraiser would secure copies of all existing leases for study and would consider all the data in both choices.

68. The maximum possible income an income property can yield is:

A. net spendable income.

B. gross scheduled income.

C. effective gross income.

D. net income.

Answer: B. Among the choices presented, gross scheduled income would yield the maximum possible income an income property can yield. "Scheduled income" represents the rent currently in effect on the property in question as if the property were fully occupied. If the property has space available, the gross scheduled income would be at the rent levels currently obtainable for the space in the local market. This represents the maximum income the property could achieve.

69. Productivity is a direct function of:

A. demand.

B. use.

C. supply.

D. value.

Answer: D. The productivity of real estate is the income it produces. Income and value will vary directly and proportionately. Thus, each is a function of the other.

70. Which is the most expensive and difficult type of appraisal?:

A. Quantity survey

B. Square-foot cost

C. Development

D. Unit-in-place cost

Answer: A. In the quantity survey method, an estimate of the quantity and grade of each type of material, labor hours required, overhead, insurance, and contractor's profit must be considered. It is a very detailed and expensive appraisal to perform.

71. In the narrative form of appraisal report, where would the property value be stated?:

A. Description of use

B. Description of the neighborhood

C. Purpose of the appraisal

D. Legal description of the property

Answer: C. The beginning or cover letter in a narrative form of appraisal sets forth the purpose of the appraisal and the final opinion of value. Everything that follows in this most comprehensive form of appraisal is the appraiser's data to support the appraiser's conclusion.

72. When property tax increases and all other items remain the same, an income property:

A. increases in value by the amount of the taxes.

B. decreases in value by more than the amount of the taxes.

C. decreases in value by the amount of the taxes.

D. increases in value by more than the amount of the taxes.

Answer: B. The property will decrease in value by more than the amount of the taxes based on the reduced annual net income (assume a $500 tax increase and a 10% capitalization rate; loss of value would be $5,000).

73. Which statement is NOT true with respect to depreciation as determined by an appraiser?:

A. It is inherent in the property and not created by outside influences.

B. It can be computed for both past and future.

C. It can be determined by more than one method of appraisal.

D. It is loss of value from any cause.

Answer: A. Depreciation can be from either inherent or extraneous causes. Economic/social obsolescence is an outside factor that can have a great impact on value. Examples include an increase in interest rates, and increase in crime in the neighborhood, zoning, and rent control.

74. Which would LEAST likely affect the stabilization of value on a single-family residence in a residential neighborhood?:

A. Private restrictions

B. Availability of public transportation

C. Newness

D. Zoning

Answer: C. Newness in itself would not be a stabilizing influence. Zoning regulations and private restrictions generally have as their primary function the protection and stabilization of property values. Availability of public transportation has always been a significant factor influencing property values in most residential areas.

75. In which appraisal approach may an appraiser be asked to predict the future value of a property?:

A. Capitalization

B. Summation

C. Market

D. Cost

Answer: A. In the income approach (capitalization) an appraiser may be asked to project a series of possible developments on a site in order to establish the highest and best use of the land. In that sense the appraiser would be predicting values of certain hypothetical future developments. Generally, the value conclusion in an appraisal report can be made for any date in the past, but not for any date in the future. Capitalization is based on the principle of anticipation.

76. The recognized definition of highest and best use includes the term:

A. multiple units.

B. income production.

C. effective gross income.

D. net return.

Answer: D. The BRE defines highest and best use as "that use which at the time of an appraisal is most likely to produce the greatest net return to the land and/or buildings over a given period of time."

77. The expenditure of dollars necessary for the creation of an improved residential property is called its:

A. cost.

B. value.

C. price.

D. investment.

Answer: A. Cost, as it applies to real estate, means the amount expended (labor, material, and/or money) in acquiring or producing the commodity.

78. If an appraiser does not adhere to appraisal standards (USPAP) for the purpose of defrauding an FDIC insured lender, the appraiser could be guilty of:

A. a felony.

B. violating Bureau of Real Estate rules and regulations.

C. an ethics violation.

D. a misdemeanor.

Answer: A. Submitting false information to a lender for the purpose of inducing the lender to make a loan is a felony. OREA could also remove the appraiser's license.

79. Which approach to a value estimate tends to set the upper limit of value?:

A. Income

B. Replacement cost

C. Comparative sales

D. Market comparison

Answer: B. The cost to replace a like property usually sets the upper limit of value.

80. If the gross annual income is $56,400 and the yearly net income is 15% of that amount, the monthly net income is:

A. $705.00

B. $638.00

C. $683.00

D. $819.00

Answer: A. $56,400 gross annual income x 0.15 = $8,460 annual net income

$8,460.00 ÷ 12 months = $705.00

81. A salesperson obtained a listing and the salesperson stated that his broker will later appraise the property to verify the listing

price. Which statement is correct?:

A. The broker cannot legally appraise the property.

B. The broker may make an appraisal only if the broker is also a state-licensed or state-certified appraiser.

C. The broker can make the appraisal but must charge a separate fee for this activity.

D. The broker can make the appraisal if he prepares a narrative report that sets forth his extensive qualifications.

Answer: B. Under the California Appraiser Licensing and Certification Law, an appraiser must be licensed or certified for a "federally related real estate appraisal activity." The term appraisal does not include an opinion given by a real estate licensee in the ordinary course of business, and such an opinion shall not be referred to as an appraisal. A broker or salesperson may do a "competitive market analysis," for example, but may not term it an appraisal.

82. The best definition of capitalization is:

A. the highest rate of return on an investment.

B. the relationship between value and net worth.

C. the result of dividing net income by a percentage rate of return to determine value.

D. the minimum rate of return on an investment.

Answer: C. The process of capitalization is "dividing net income by a percentage rate of return to determine value." The capitalization rate is the relationship between value and net income, not net worth.

83. It is known that a prudent buyer will not pay more for a property than the price of another suitable property if there is no undue delay in acquiring the other property. This is considered the principle of:

A. substitution.

B. contribution.

C. competition.

D. anticipation.

Answer: A. This is one expression of the principle of substitution.

84. An apartment house under construction has many prospective renters. The city now wants to widen the street. This change results in a 10% loss of renters. This loss would be an example of:

A. physical deterioration.

B. physical obsolescence.

C. functional obsolescence.

D. economic obsolescence.

Answer: D. Economic obsolescence is a loss in value due to factors outside of the subject property that adversely affect its value.

85. A roof that slopes upward from all four sides and is joined at the ridge is called a:

A. hip roof.

B. gable roof.

C. mansard roof.

D. gambrel roof.

Answer: A. The roof described is a hip roof.

86. In the appraisal of property, the principle of substitution would apply to:

A. the cost approach.

B. any of these.

C. the sales comparison approach.

D. the income approach.

Answer: B. The principle of substitution applies to all three approaches to estimating value.

87. The expansion and contraction of available space to meet demand is stimulated most by market fluctuations of:

A. permanence of residence.

B. elasticity of demand.

C. prices and rents.

D. financing terms.

Answer: C. If prices to build are relatively low and rents are high, builders will expand the available space to meet demand.

88. The basic economic characteristic that best expresses real estate value is:

A. high replacement cost.

B. maximum utility of available resources.

C. the prospect of speculative gain.

D. proximity to high rentals.

Answer: B. The four elements of value are demand, utility, scarcity, and transferability. Nothing can have value, including real estate, unless it possesses some degree of utility and scarcity. A parcel of real estate will not have value primarily because it has high replacement cost;

proximity to high rentals; or has the prospect of speculative gain, even though these circumstances can influence value.

89. An increase in the appraised value of property that is considered an unearned increment would most probably result from:

A. increase in population.

B. increase in amenities.

C. capital improvements.

D. management expenses.

Answer: A. Unearned increment is an increase in value of real estate due to no effort on the part of the owner; it is often due to increase in population. Amenities may or may not be due to the owner's effort.

90. All of these statements about depreciation are true EXCEPT:

A. it can be a loss of value due to wear and tear.

B. it includes all influences that reduce the value of property below replacement cost.

C. it is a loss of value from any cause.

D. it always is concerned with intrinsic factors but never with extraneous factors.

Answer: D. Depreciation can be from either inherent (inside) or extraneous (outside) factors.

91. A comprehensive method of estimating a building cost including labor, material, overhead, and profit is considered in which method?:

A. All of these

B. Quantity survey

C. Unit-in-place

D. Comparative cubic or square foot measurements

Answer: B. All building cost estimates should include both direct construction costs and indirect costs. Direct costs are those for

material and labor, generally including the contractor's overhead and profit. However, the most comprehensive method of cost estimating is the quantity survey method.

92. Functional utility in a dwelling is dependent upon:

A. zoning in the area.

B. the condition of heating system.

C. the desires of its occupants.

D. its floor plan and equipment.

Answer: C. For a dwelling to have utility, it must have the power to give satisfaction or arouse desire for possession. The functional utility of a property is the sum of its (1) attractiveness (e.g., architecture) and (2) usefulness or utility. Therefore, the functional utility in a dwelling is dependent upon the desires of its occupants.

93. Amenities of residential real estate are:

A. related to its capacity to provide shelter effectively.

B. measurable on the market.

C. the property's physical attributes.

D. not considered by appraisers because they are intangible qualities.

Answer: B. menities are the attractive or desirable features of a home or neighborhood. These may be physical attributes or perhaps the neighborhood's attitude toward schools, well-kept lawns, et cetera. These may be tangible or intangible qualities measurable on the market.

94. menities are the attractive or desirable features of a home or neighborhood. These may be physical attributes or perhaps the neighborhood's attitude toward schools, well-kept lawns, et cetera. These may be tangible or intangible qualities measurable on the market.:

A. appraise for highest and best use and deduct the cost of demolition.

B. appraise for highest and best use and disregard the cost of demolition.

C. add the salvage value of the building.

D. ignore the building.

Answer: A. If there is an existing structure on the property, the appraiser will value the land for its highest and best use as if vacant, but must allow a reduction for the cost of removal of the structure.

95. An investment that would best hold its value as a hedge against inflation would be a(n):

A. investment similar to an annuity.

B. no risk investment.

C. investment that has a high degree of liquidity.

D. income-producing investment that would maintain its value.

Answer: D. An income-producing investment that would maintain its value does so by providing an increased income when inflation makes money worth less. The property thus keeps its exchange value compared to other properties and so protects against inflation.

96. If there is a transition from a buyer's market to a seller's market, what would be the result?:

A. Sales prices would decrease because of a decrease in demand and an increase in supply.

B. Sales prices would increase because of an increase in demand and a lag in supply.

C. It would have no effect on the price.

D. It would cause a decrease in land development and construction of new homes.

Answer: B. A seller's market is characterized by an increase in demand and a decrease in supply. In these circumstances, sales prices tend to increase.

97. To an investor in real property, cash flow means:

A. income left after deducting taxes from net income.

B. monies left after deducting operating expenses, interest, and principal payments from gross income.

C. net income used for capitalization purposes.

D. gross income less an allowance for vacancies.

Answer: B. Cash flow refers to the money the investor has at the end of the year after deducting operating expenses and debt service (principal and interest payments) from the net operating income.

98. A nice yard, beautiful trees, and good neighbors usually increase the value of residential property. These things are known as:

A. bilaterals.

B. tangibles.

C. coordinates.

D. amenities.

Answer: D. Amenities are the features of a property and the surrounding areas that add to its value or desirability.

99. The fluctuations (activities) of the money market are extremely important to the real estate business. When interest rates go up and the income of a property is fixed, the capitalized value of the property will:

A. decrease.

B. increase.

C. be unaffected in a short term.

D. tend to stabilize.

Answer: A. Amenities are the features of a property and the surrounding areas that add to its value or desirability.

Finance (Real Estate Math)

1. A low loan-to-value ratio indicates a:

A. government-guaranteed loan.

B. high equity.

C. large loan.

D. low down payment.

Answer: B. A low loan-to-value ratio indicates a high equity. A loan to value ratio of $60,000 to $100,000 is lower than one of $80,000 to $100,000. In the first case, the owner has an equity of $40,000; in the second case, the equity is only $20,000.

2. A seller takes back a note and second deed of trust for $11,220 and sells it immediately for $7,293. The amount of the discount on the note is most nearly:

A. 65%.

B. 28%.

C. 35%.

D. 54%.

Answer: C. % × Paid = Made

% × $11,220 = ($11,220 – $7,293) = $ 3,927 Discount "made"
$3,927 ÷ $11,220 = 0.35 = 35%

3. Smith asked a broker to help secure a $19,000 loan for five years using his house as collateral. The appraised value of the residence was $80,000 and was completely free of liens and encumbrances. The broker would likely fail to succeed if she attempted to secure the loan through a(n):

A. private lender.

B. insurance company.

C. savings and loan.

D. commercial bank.

Answer: B. Since 1965, insurance companies have steadily withdrawn from mortgage lending on individual residences. Smith would have a better chance of receiving his loan from one of the other three lenders.

4. The loan-to-value ratio in a mortgage is defined as:

A. monthly payment of the loan on a mortgage.

B. amount of a loan as a percentage of the purchase price.

C. amount of a loan as a percentage of the appraised value.

D. amount of a loan as a percentage of the assessed value.

Answer: C. The loan-to-value ratio is the amount of the loan as a percentage of the appraised value. Example: An $80,000 loan on a property appraised at $100,000 would have a loan-to-value ratio of 80%.

5. Under which loan transaction would the lender have the best opportunity to secure a deficiency judgment in the event of a default and foreclosure?:

A. A second trust deed and note executed by the buyer in favor of the seller of a 10-unit apartment

B. A first trust deed and note executed in favor of a conventional lender, the proceeds being used to purchase a single-family residence

C. A first trust deed and note taken back by a subdivider as part of the purchase price of an unimproved lot

D. A first trust deed and note executed in favor of a private lender to secure a loan, the proceeds of which were used to purchase an automobile

Answer: D. The law will not permit a deficiency judgment on any type of loan in which the seller is the beneficiary, nor will it permit an outside lender to obtain a deficiency judgment on a loan used to purchase an owner-occupied residential property of four or fewer units.

6. In making a decision with regard to a proposed real estate loan for a borrower, lenders normally seeks to minimize:

A. overall net yield.

B. the number of substandard loans in their portfolio.

C. a borrower's difficulties with regard to the results of divorce, death, or unforeseen events.

D. loan-to-value ratio.

Answer: D. Lenders generally seek to minimize the number of substandard loans in their portfolios, thus reducing their risk of loss. A lender sometimes reduces the allowable loan-to-value ratio for a specific borrower to reduce the risk in making that loan, but the lender does not want to minimize the loan-to-value ratio.

7. What was the purpose of the enactment of the Equal Credit Opportunity Act?:

A. To prohibit discrimination by lenders based on sex or marital status

B. To regulate the amount of credit extended by a lender

C. To standardize the minimum requirement for obtaining credit

D. To minimize the cost of credit

Answer: A. The purpose of the Equal Credit Opportunity Act is "...to prohibit lenders from discriminating against credit applicants on the basis of race, color, religion, national origin, sex, marital status, and age (providing applicant has legal capacity)." To prohibit discrimination by lenders based on sex or marital status, taken out of context, is not a true statement, but viewed in context, is the best choice given.

8. Junior loans that are available today can be secured through:

A. individual lenders or private lenders.

B. savings and loans.

C. all of these.

D. commercial banks.

Answer: C. While banks, savings and loan associations, and mortgage bankers are more interested in primary loans, they have expanded their market of junior loans with home equity loans and lines of credit. Many junior loans are also placed through individual lenders or private lenders.

9. A balloon payment would be a characteristic of a(n):

A. partially amortized loan.

B. standing loan.

C. amortized loan.

D. self-liquidating loan.

Answer: A. A partially amortized loan is not fully paid off in installments. On the due date, the balance is paid off in a lump sum called a balloon payment because it substantially exceeds any individual installment. The term "amortized" loan generally means "fully amortized." This is a loan fully paid off by installments over its term.

10. A builder is selling a house that he had built under a blanket encumbrance. Under normal procedure, the instrument that would be requested of the beneficiary would be a:

A. quitclaim deed.

B. partial reconveyance deed.

C. grant deed.

D. warranty deed.

Answer: B. A partial reconveyance deed would reconvey the legal title to a specified lot or lots to the trustor in return for a partial payment on the trust note balance, thus releasing a specified lot or lots from under the blanket encumbrance.

11. Liquidation of a financial obligation on an installment basis is:

A. conventional.

B. acceleration.

C. amortization.

D. conversion.

Answer: C. This is one way of defining amortization.

12. In real estate financing, lenders will sometimes refer to "nominal rate" when granting a loan. This means:

A. that the rate of interest in the final granting of the loan will be greater than the commitment.

B. the maximum rate of interest allowed by law is obtainable on financing a property.

C. the rate of interest specified in the promissory note.

D. points will be required, as the rate required by the lender would exceed the legal rate of interest.

Answer: C. The word nominal stems from the word "name" and is the rate named in the note.

13. In real estate financing, reference is sometimes made to take-out loans. This refers to:

A. the net amount after points and prepaid interest are deducted.

B. a long-term loan after construction.

C. a blanket encumbrance.

D. a construction loan.

Answer: B. A take-out loan is the long-term financing that replaces the interim construction loan. It "takes" the construction lender "out" of the financing picture.

14. Jones was paying $550 per month to the bank. After the bank deducted interest, $43.85 was applied to the principal. If the

outstanding loan balance was $56,500, what was the rate of interest on Jones's loan?:

A. 10.75%

B. 9.5%

C. 11.5%

D. 8.75%

Answer: A. $550 – $43.85 = $506.15 interest for the month

$506.15/month × 12 months = $6,073.80 annual interest
(R × T) × P = I
(R × T) × $56,500 = $6,073.80
(R × T) = $6,073.80 ÷ $56,500 = 0.1075 = 10.75%

15. Which type of financing would LEAST likely create a need for a cash down payment from a borrower?:

A. Cal-Vet

B. VA

C. Conventional

D. FHA

Answer: B. A down payment is not a requirement of a Veterans Administration guaranteed loan (unless the certificate of reasonable value is less than the purchase price). However, the lender may require one. Conventional loans nearly always require some down payment, and FHA and Cal-Vet loans do require down payments.

16. Impounds are used as a safety measure to insure payment of certain recurring bills. A lender might require a borrower to make deposits into an impound account with each monthly payment. Which payment would LEAST likely be part of the impound deposit?:

A. Mortgage interest

B. Homeowners' association fees

C. Assessment bond payments

D. Property taxes

Answer: A. Mortgage interest is paid to the lender as income to the lender and is not held in an impound account. Property taxes, homeowners' association fees, and assessment bond payments are owed to someone other than the lender and might result in a default if not paid. To protect against that risk the lender might ask that deposits

for each of these be made into an impound account controlled by the lender to ensure that such obligations be paid.

17. A developer bought 10 lots valued at $1,000 each with a 20% down payment, and the seller carried back the mortgage. The developer wants additional financing from a lender for construction purposes. What would LEAST likely protect the lender of the construction loan?:

A. Physical inspection of the property

B. A posted notice of nonresponsibility

C. A subordination agreement in the purchase money deed of trust

D. An ALTA title insurance policy

Answer: B. A notice of nonresponsibility (for mechanics' liens) would have no effect on the construction lender. A physical inspection of the property is very important to a construction lender to make certain that no work has started on the construction project before the construction loan trust deed is recorded. A subordination clause in the purchase money trust deed is required for the construction loan to have first priority. An ALTA title insurance policy is normally required by all institutional lenders.

18. A due-on-sale clause, whether it is enforceable or not, contained in a mortgage or trust deed is a type of:

A. executed clause.

B. defeasible clause.

C. acceleration clause.

D. legally enforceable clause.

Answer: C. A "due-on-sale" clause, also called an alienation clause, is a form of an acceleration clause found in some mortgages or trust deeds authorizing the lender to call the loan when the property is conveyed. This clause eliminates the new buyer's assuming the mortgage unless the mortgagee permits the assumption, in which case the mortgagee could increase the interest rate and/or charge an assumption fee.

19. A certain lender has the following lending policies and characteristics: makes many loans on commercial properties; makes relatively few construction loans; usually seeks to avoid administering loans; prefers to make long-term loans. This describes which lender?:

A. Savings and loan associations

B. Federal savings and loans

C. Life insurance companies

D. Mortgage companies

Answer: C. The characteristics listed describe those of an insurance company.

20. Who benefits most from a subordination clause in a trust deed?:

A. Beneficiary

B. Trustor

C. None of these

D. Trustee

Answer: B. A subordination clause benefits the trustor (borrower) by making it easier for the borrower to obtain additional financing using the title of the same property as security. The lender of a prior loan that includes such a clause agrees to relinquish the priority of his or her trust deed to specified financing to be obtained by the borrower at a

later date. Without a subordination clause, a construction lender, desiring first position, would be unwilling to finance the improvements unless the first loan was paid.

21. A statement provided by the payor on a promissory note that would list payments, term period of the note, principal balance, interest, et cetera is called:

A. request for partial reconveyance.

B. release clause.

C. beneficiary statement.

D. offset statement.

Answer: D. An Offset Statement is customarily obtained from the property owner when existing mortgages or trust deeds are assigned to an investor. It sets forth the true condition of the mortgage lien and states whether the property owner has any claims that do not appear in the instrument being purchased by the investor. The offset statement is obtained in addition to the beneficiary statement from the lender.

22. An acceleration clause was inserted in a negotiable note. The inclusion of the acceleration clause would:

A. not have any effect on its negotiability.

B. not have any effect on its negotiability nor would it be of any benefit.

C. cause it to lose its negotiability.

D. make it less negotiable.

Answer: A. If a note is negotiable, the insertion of an acceleration clause will not affect its negotiability. It could enhance its value to a holder in due course.

23. On FHA loans, mutual mortgage insurance:

A. insures mortgagees against fire.

B. pays off the mortgage if the mortgagor dies.

C. is paid for by the mortgagee.

D. insures the mortgagee against loss through foreclosure.

Answer: D. FHA mutual mortgage insurance insures the lender (mortgagee) against loss in the event a foreclosure sale fails to satisfy the debt obligation. The mortgage insurance premium (MIP) is paid by the borrower (mortgagor).

24. An individual borrowed $5,000 and made equal monthly payments over a 20-year period. If the interest rate was 5% and she paid the lender a total of $7,920, the principal payment in the first month was:

A. $53.83.

B. $12.18.

C. $33.00.

D. $20.83.

Answer: B. Step 1: $7,920 ÷ 240 = $33.00

(total paid) (mo.) (monthly payment)

Step 2: $5,000 × 5% = $250 ÷ 12 = $20.83

(loan) (rate) (interest) (mo.) (monthly interest)

Step 3: $33.00 – $20.83 = $12.17 Closest: $12.18

(payment) (interest) (principal)

25. Under the Truth-in-Lending Act, the three-day right of rescission would begin with which event, if they occurred on different days in the sequence stated?:

A. The date the funds are disbursed

B. The date the note is signed

C. The date the loan application is made

D. The date the disclosure statement is delivered

Answer: B. The three-day right of rescission that applies to some loans under the federal Truth-in-Lending Act begins with the delivery of the disclosure statement or the signing of the promissory note, whichever occurs later.

26. Under the Truth-in-Lending Act, a "Notice of Cancellation" could be given when the loan was:

A. secured by a commercial building.

B. used for business expansion.

C. secured by the owner's residence.

D. more than $25,000 and was not secured.

Answer: C. The federal Truth-in-Lending Act requires a "Notice of Right to Rescind" only when security for the loan is the borrower's existing principal residence.

27. The Jacksons bought a residence with a first trust deed loan from a savings and loan. The Londons bought a residence with a first trust deed loan from a bank. The Londons refinanced, obtaining a first trust deed loan from a savings and loan, to get money for a business opportunity. Which statement is correct?:

A. The Jacksons do not have the right of rescission, the Londons do.

B. Neither has the right of rescission.

C. The Londons do not have the right of rescission, the Jacksons do.

D. Both have the right of rescission.

Answer: C. The right of rescission under the federal Truth-in-Lending Act never applies to purchase-money loans. Therefore, the Jacksons do not have a right of rescission. The Truth-in-Lending Act applies only to loans for personal, family, or household purposes, never to business loans regardless of what collateral is put up. Therefore, the Londons have no right of rescission.

28. According to the Federal Reserve System Regulation Z, which would be the proper usage in an advertisement relating to housing?:

A. Any of these

B. Take over a 7.5% mortgage

C. Assume a 7.5% mortgage

D. Assume a 7.5% annual-percentage-rate mortgage

Answer: D. Federal Reserve System Regulation Z, also known as the Truth-in-Lending Act, requires that advertising shall state financing charge expressed as an annual percentage rate.

29. Which is the lender whose loan policies are characterized by a preference for short-term loans, a heavy reliance on its past association with the borrower, loans on property situated close to the lender's office, and some interim construction loans?:

A. Insurance company

B. Mortgage banker

C. Commercial bank

D. Savings and loan association

Answer: C. These are the characteristics of a commercial bank's lending policy.

30. In real estate finance, a beneficiary statement refers to the:

A. amount of principal due on a loan.

B. amount of profit realized by a lender.

C. terms of a lease.

D. amount of money an heir would inherit.

Answer: A. A beneficiary's statement (a.k.a. a "bene" statement) is a statement issued by a lender giving the remaining principal balance and other information concerning the loan. Escrow agents usually write for this statement when an owner wishes to sell, assume, or refinance property.

31. In a purchase money mortgage, the mortgagor is identified as the party who:

A. receives the note.

B. holds the property in trust.

C. lends the money.

D. signs the note.

Answer: D. The mortgagor is the buyer of the property who is borrowing the money and would therefore sign the note. The mortgagee is the receiver of the note who lends the money or extends credit.

32. A broker negotiates a hard money loan secured by a deed of trust for which he receives a commission. In this transaction, hard money most nearly means a:

A. secondary loan.

B. cash loan.

C. tight money loan.

D. purchase-money loan.

Answer: B. A hard money loan is a loan of cash, as opposed to the extension of credit by a seller.

33. The lender under a trust deed is called the:

A. beneficiary.

B. mortgagee.

C. trustor.

D. trustee.

Answer: A. The lender under a deed of trust is the beneficiary. A lender may also be called a mortgagee, but the term beneficiary is more specific and thus a better answer.

34. Under the provisions of the Real Estate Settlement Procedures Act, which would NOT be considered a violation?:

A. Unearned fees

B. Kickbacks

C. Buyer designating lender

D. Seller designating title insurance company

Answer: C. Kickbacks, unearned fees, and the seller designating (not the same as requesting) the title insurance company are all violations under RESPA. Buyers may, however, designate the lenders of their choice.

35. Arnold took out a $14,000 loan for 90 days. He paid $420 interest. What was the annual interest rate?:

A. 12%

B. 10%

C. 11%

D. 9%

Answer: A. $420 interest x 4 quarters = $1,680 annual interest

$1,680 ÷ $14,000 = 0.12 = 12%

36. A real property sales contract is defined as an agreement wherein one party agrees to convey title to another party upon the satisfaction of specified conditions set forth in the contract and that:

A. is not required to be in writing if contract period is for one year or less.

B. does not require conveyance of title within one year from date of formation of the contract.

C. must be acknowledged by both buyer and seller to be eligible for recording.

D. must be recorded to be enforceable.

Answer: B. "Does not require conveyance of title within one year from date of formation of the contract" completes the sentence in the question. The two parts constitute a quotation from section 2985 of the Civil Code, which defines a land contract.

37. Which is NOT included in the total finance charge under the Truth-in-Lending Act?:

A. Premium for mortgage guaranty or similar insurance

B. Appraisal and credit report fees

C. Finder's fee and similar charge

D. Points paid by the buyer on a FHA/VA loan

Answer: B. Fees for appraisals and credit reports are not included in the finance charge. Regulation Z (another name for the Truth-in-Lending Act) lists among those charges included in the finance charges buyer's points, finder's fees, and premiums for mortgage guaranty or similar insurance.

38. A conventional lender considering a real estate loan would be most concerned with:

A. federal and state regulations.

B. degree of risk involved.

C. amount of mortgage funds available.

D. economic and financial conditions of the nation.

Answer: B. Federal and state regulations, amount of mortgage funds available, and economic and financial conditions of the nation would have an effect, but a conventional lender would be most concerned with the degree of risk involved in the loan.

39. A home is being sold for $800,000 and has been appraised for $780,500. If the lender is willing to lend the maximum permitted by the Veterans Administration, the GI buyer is required to put up what amount in cash?:

A. $20,000

B. $19,500

C. $20,500

D. $25,000

Answer: B. Under a VA loan, the veteran is required to pay cash for any excess of the purchase price over the appraisal (certificate of reasonable value). No down payment is normally required unless the price exceeds the appraisal.

40. If the Federal Reserve Board wanted to create a tight money market, it would:

A. raise discount rates and buy bonds.

B. lower discount rates.

C. raise discount rates.

D. lower discount rates and sell bonds.

Answer: C. The Federal Reserve Board could create a tight money market by restricting the flow of money and credit. It could use one or a combination of any of these three methods: (1) Raise the reserve

requirement of its member banks (not in any of the choices); (2) Sell U.S. government bonds through its Federal Open Market Committee; (3) Raise the discount rate on short term loans made to its member banks.

41. Regarding warehousing operations with respect to real estate finance, what would apply?:

A. Contract for sale

B. Long-term debentures insured collaterally by real estate loans

C. The mortgage banker collecting loans prior to sale

D. olding notes for investment

Answer: C. Mortgage bankers who assemble loans and temporarily hold these portfolios until they can be sold to investors in the secondary mortgage market are said to be warehousing loans.

42. When the Federal Reserve Board raises the discount rate to their borrowers, it has what effect on the money market?:

A. Makes money more available

B. Has no effect

C. Makes money less available

D. Makes more marginal loans available

Answer: C. When the discount rate increases, interest rates increase, making money more costly and harder to get.

43. Interest paid on original principal and also on the accrued and unpaid interest that has accumulated is:

A. accumulative interest.

B. compound interest.

C. simple interest.

D. multiple interest.

Answer: B. Compound interest is interest paid on the original principal and also on the accrued and unpaid interest that has

accumulated. Simple interest is interest paid on the unpaid principal balance only.

44. A mortgage loan is identified as:

A. an unsecured note.

B. any recorded instrument related to financial transfer.

C. a promissory note.

D. a loan collateralized by real property.

Answer: D. Collateral is marketable real or personal property that a borrower pledges as security for a loan. Thus, a mortgage loan is a loan collateralized by real property.

45. The trustor under a trust deed is the party who:

A. receives the note.

B. holds the property in trust.

C. lends the money.

D. signs the note as maker.

Answer: D. The trustor is the one who receives the money or the extension of credit. The trustor signs the note as a promise to repay and gives the lender security by signing the trust deed conveying the legal title to the trustee.

46. A bank made a loan and charged a 4-point loan fee. Later, the banker sold the note at a 3.5-point discount and received a check for $69,580. What was most nearly the face amount of the loan?:

A. $74,500

B. $73,000

C. $72,100

D. $70,000

Answer: C. % × Paid = Made

(100% – Discount %) × Face amount = Amount received

0.965 × Face amount = $69,580

Face amount = $69,580 ÷ 0.965 = $72,103.63 Closest: $72,100

47. A clause in a second trust deed that permits the first trust deed to be refinanced without affecting its priority would be known as a(n):

A. acceleration clause.

B. alienation clause.

C. lien waiver.

D. subordination clause.

Answer: D. A subordination clause is an agreement by the lienholder to stay in a second or a junior position with regard to the priority of subsequent loans.

48. Mr. Jones made application to Federal Pacific Bank for a loan November 1. The loan was approved on November 5. Mr. Jones waived his right to a Uniform Settlement Statement under RESPA in writing and escrow closed on November 15. The lender must supply the Uniform Settlement Statement:

A. as soon as practical after the close of escrow.

B. to FHA only.

C. on November 15, the settlement date.

D. three days after the settlement date.

Answer: A. The borrower may waive the right to delivery of the completed Uniform Settlement Statement no later than at settlement (closing). In such case, the completed Uniform Settlement Statement shall be mailed or delivered to the borrower and seller as soon as practicable after settlement.

49. The secondary money market creates a marketplace for the transfer of mortgages between which parties?:

A. Trustors and mortgagees

B. Mortgagees and mortgagees

C. Mortgagors and mortgagors

D. Mortgagees and mortgagors

Answer: B. The secondary mortgage market is the marketplace where existing loans are bought and sold by and to mortgagees. The term mortgagee means lender or holder/owner of the security instrument. Because there are no borrowers (mortgagors/trustors) in the secondary market, the other answer choices can be eliminated.

50. Mr. Ferguson purchased a property for $125,000 with 12% cash down. He financed the balance with equal monthly payments of $1,048, which included 11% interest, and the loan would be fully amortized in 30 years. Mr. Ferguson sold the property for $139,750 before making any payments on the loan. What was his equity at the time of sale?:

A. $29,750

B. $15,000

C. $24,750

D. None of these

Answer: A. Purchase Price $125,000 (Equity at purchase)

Less Down Payment – 15,000 (0.12 cash down × $125,000)

Loan $110,000

Selling Price $139,750

Less Loan –110,000

Equity $ 29,750 (At time of sale)

51. All of these are secondary benefits of the Federal Housing Administration as established by the National Housing Act of 1934 EXCEPT:

A. mortgage guarantee insurance with low premiums to protect the borrower.

B. elimination of short-term financing.

C. establishment of improved building standards.

D. a loan amount appropriate for the borrower's income.

Answer: A. FHA insurance is for the benefit of lenders, not borrowers. A loan amount appropriate for the borrower's income, elimination of short-term financing, and establishment of improved building standards are all advantages developed by the FHA plan.

52. In a period of inflation, the Federal Reserve Board would take which action to curb inflation?:

A. Raise discount rates and buy bonds

B. Lower discount rates

C. Raise reserve requirements and sell bonds

D. Reduce reserve requirements

Answer: C. To curb inflation, the Federal Reserve Board would raise the reserve requirements for its member banks and enter into the bond market in a selling capacity. If the Federal Reserve Board reduced reserve requirements, lowered discount rates, or bought bonds, it would make more money available and create greater inflation.

53. The most important factor to a lender who is contemplating a loan to a developer of a shopping center would be the:

A. anchor tenant.

B. long-term leases.

C. number of tenants.

D. credit of the purchaser.

Answer: A. An anchor tenant is the key tenant in a commercial development. The developer looks for a "blue chip" firm, such as J.C. Penney or Sears. This gives the lender confidence in the expectation that the development will pay its own way.

54. An investor purchased an apartment building with a very small down payment and was able to secure financing for the balance. A year later, he sold the property for profit with no increase in his investment. This is an example of:

A. leverage.

B. inflation.

C. debt reduction.

D. appreciation.

Answer: A. The basic idea of leverage is to use other people's money to finance purchases to realize greater return on your investment. The increase is called appreciation.

55. A buyer is taking title subject to the first trust deed lien. Who is liable for the loan in the event of default?:

A. Seller

B. Neither buyer nor seller

C. Buyer

D. Both buyer and seller

Answer: A. When a buyer takes title subject to an existing lien, he or she assumes no personal liability for the debt but merely takes the title knowing that the lien exists and must be paid. The buyer's only risk is his or her equity. If there is a possibility of a deficiency judgment upon foreclosure, only the seller could be held liable for such a judgment.

56. Which is a correct statement?:

A. The effective interest rate is the interest rate paid and the nominal interest rate is the minimal rate that is charged.

B. The nominal interest rate is the same as the annual percentage rate (APR).

C. The effective interest rate is the percentage of interest that is actually paid by the borrower and the nominal interest rate is the

percentage of interest that is stated in the loan.

D. The nominal interest rate is the percentage of interest that is actually paid by the borrower and the effective interest rate is the percentage of interest that is stated in the loan.

Answer: C. The effective interest rate is the percentage of interest that is actually paid by the borrower and the nominal interest rate is the percentage of interest that is state in the loan. This statement defines correctly the effective interest rate as the percentage of interest actually paid (or received by the investor) and may reflect periodic compounding. The effective rate may also include some nonrecurring costs such as discount points and is similar to an annual percentage rate (APR) as defined by Regulation Z. The nominal rate is the percentage of interest stated in the note.

57. In the sale of real property, all of these statements concerning financing are true EXCEPT:

A. selling a note for less than its face value is known as discounting.

B. a promissory note is security for the trust deed.

C. a mortgage is a lien on real property; an execution of a mortgage does not transfer title.

D. an owner who borrows and executes a trust deed is a trustor.

Answer: B. The statement is completely reversed. The trust deed is the security for the promissory note and incidental to the debt. The other three statements are true.

58. A land sales contract is sometimes referred to as a substitute for a note and trust deed when discussing financing. In this context, a land sales contract is considered:

A. the same as a lease.

B. a security device.

C. an option.

D. identical to a mortgage.

Answer: B. A land sales contract (also called a land contract, conditional sales contract, real property sales contract, etc.) is a security device sometimes used in place of the more commonly used note and trust deed when a seller extends credit. Both trust deeds and land sales contracts are security for the debt.

59. As the first line of defense in lending money on a residential property, a lender would look to:

A. income of the borrower.

B. property value.

C. loan-to-value ratio.

D. installment payments of the amortized loan.

Answer: B. The security for a mortgage loan is the value of the property. The lender will give consideration to many things, including the income of the borrower, in making a loan commitment decision. However, once the loan is made, in the event of default by the borrower, only the property value provides security for the loan.

60. Which single factor would least directly influence the level of movement of mortgage rates?:

A. Demand for funds

B. Tight money

C. Inflation

D. Unemployment

Answer: D. Inflation, tight money, and demand for funds are all factors that directly influence interest rates. Unemployment has the least effect of the choices presented.

61. All of these may be negotiable instruments EXCEPT:

A. check.

B. installment note.

C. mortgage securing a promissory note.

D. bank draft.

Answer: C. The mortgage contract is the security for the debt but not a negotiable instrument as defined by law. Common examples of negotiable instruments are checks, publicly traded stocks, and promissory notes. Negotiability is the quality that allows the instrument to circulate as money does.

62. RESPA applies to certain federally related loans secured by liens on owner-occupied one- to four-unit dwellings. Who is federally related under RESPA?:

A. None of these

B. A lender whose deposits are insured by a federal agency

C. A seller taking back a note and deed of trust

D. A private lender making a loan

Answer: B. Coverage through RESPA is applicable only if financing is with federally related mortgages. This includes FHA, VA, or other government-assisted loans and loans made by institutions with federally insured deposits.

63. Depending on the availability of funds and market rates, the rate of interest most likely to be charged is:

A. an interior loan rate.

B. the rate charged on a short-term land contract of sale.

C. a variable interest rate.

D. a fluctuating money market rate.

Answer: D. The "price" of borrowed money is most commonly expressed as interest rates. These rates are set by the forces of supply and demand interacting in the open money market. The term fluctuating money market rate describes this "price" of borrowed money.

64. The document used when the seller extends credit to the buyer and the buyer receives equitable title is identified as:

A. a mortgage.

B. a conditional/installment contract.

C. none of these.

D. a grant deed.

Answer: B. A conditional/installment sales contract transfers equitable title to the buyer but the seller keeps the legal title until the contract has been fulfilled.

65. A deed of reconveyance would be signed by the:

A. grantee.

B. trustor.

C. trustee.

D. beneficiary.

Answer: C. The trustee holds the legal title in trust. The one who conveys the title must sign the instrument. When the loan is paid in full, the trustee conveys legal title to the trustor using a deed of reconveyance, and therefore must sign.

66. A person who is an innocent purchaser of a negotiable note for value without knowledge of any defect is customarily called a(n):

A. receiver in trust.

B. holder in due course.

C. assignor.

D. endorser in blank.

Answer: B. Holder in due course: One who has taken a note, check, or bill of exchange in due course (1) before it was overdue, (2) in good faith and for value, and (3) without knowledge that it has been previously dishonored and without notice of any defect at the time it was negotiated.

67. What is included in an FHA loan?:

A. Secondary financing

B. Mortgage life insurance

C. Prepayment penalty

D. Schedule of payments

Answer: D. The borrower would need to know the schedule of payments for the loan. FHA loans do not have prepayment penalties. Secondary financing is not normally permitted at the origination of the first loan. Mortgage life insurance is not a requirement of an FHA-insured loan (although mutual mortgage insurance is a requirement to protect the lender against default of the borrower).

68. Of which two types of financing are synonymous?:

A. Take-out lease-Secondary financing

B. Construction loan-Take-out loan

C. Obligatory advances-Installment loan

D. Interim loan-Construction loan

Answer: D. A construction loan is an interim loan that is in effect during the construction period. Once the building is completed, the long-term financing or take-out loan is negotiated.

69. The quickness with which assets can be converted into cash is known as:

A. risk.

B. yield.

C. leverage.

D. liquidity.

Answer: D. Liquidity is the ability to convert assets into cash at a price close to true value. Stocks that are traded publicly are a relatively liquid investment. Real estate is considered to be a longer-term investment as it is not highly liquid.

70. When a home is mortgaged, the equity belongs to:

A. none of these.

B. the beneficiary.

C. the trustor.

D. the trustee.

Answer: C. This question uses the word mortgaged in its generic sense, so a mortgage is any device that puts property up as security for a loan. In that sense it is correct to say that in California we commonly use the trust deed as our form of mortgage. The equity in a mortgaged home belongs to the owner, or borrower. When a trust deed is used, the borrower is the trustor.

71. When is there a late charge permitted on a mortgage payment on a home?:

A. When 15 days late

B. After 10 days beyond the due date

C. On the 10th day

D. Right after the due date

Answer: B. Civil Code Section 2954.4 states: "No late charge may be imposed on any installment which is paid...within 10 days after due date."

72. What is the maximum period of time an owner might be able to stay in possession after judicial foreclosure?:

A. 90 days

B. None of these

C. 1 year

D. 120 days

Answer: C. A "judicial foreclosure" means that the foreclosure was held in court. This is the typical procedure for a mortgage. In some circumstances, court-held foreclosures entitle the delinquent borrower to a maximum of one year in which to remain in possession and to redeem (equity of redemption).

73. An owner wishes to sell the home and has arranged with a lender to finance the purchase, but has not yet obtained a buyer. This situation would be termed a(n):

A. option.

B. firm commitment.

C. conditional commitment.

D. interim commitment.

Answer: C. A loan commitment given before a buyer is obtained and subject to approval of the buyer by the lender is termed a conditional commitment.

74. Lenders frequently will lend up to 95% on conventional residential mortgages due to the availability of:

A. Fannie Mae insurance.

B. private mortgage guaranty insurance.

C. guaranteed mortgage insurance.

D. mortgage cancellation insurance.

Answer: B. Private mortgage guaranty insurance (more commonly called private mortgage insurance, or PMI) protection is available to lenders approved by a mortgage insurance company as additional security for low-down-payment home loans. It guarantees the lender that should the borrower default in loan repayment, the insurer will reimburse the lender for the dollar loss suffered or for the insured amount, whichever is less.

75. Mr. and Mrs. Snyder have sold their home to the Binghams using a real property sales contract. From a financing standpoint, the Snyders' relationship to the Binghams is like a:

A. beneficiary to trustor.

B. grantor to grantee.

C. renter to tenant.

D. lessor to lessee.

Answer: A. From a financing standpoint, the Snyders are extending credit to the Binghams. A beneficiary does the same to a trustor.

76. Mrs. Jones had Broker Smith negotiate a new $2,500 second trust deed on a home with a term of two years. What are the maximum costs and commission Mrs. Jones will have to pay?:

A. $640

B. $250

C. $415

D. $195

Answer: A. Maximum costs: 5% or $390, whichever is greater $390

Maximum commission: Junior TDs of 2 years or more $250

Total costs and commission $640

77. A primary source of funds for residential financing is the:

A. Federal Housing Administration.

B. Federal Home Loan Bank.

C. Federal Savings and Loan Insurance Corporation.

D. Federal Savings and Loan Association.

Answer: D. Of the four listed, the Federal Savings and Loan Association is the only one operating in the primary loan market. Today, more residential loans are made by commercial banks than S&Ls.

78. Which would hold equitable title?:

A. Both trustor under a deed of trust and vendee under a land sales contract

B. Trustor under a deed of trust

C. Neither trustor under a deed of trust nor vendee under a land sales contract

D. Vendee under a land sales contract

Answer: A. Equitable title is the right to any equity in the property. Both the vendee (buyer) and trustor (buyer) would hold or retain equitable title.

79. An individual is employed by a lending institution to procure first deed of trust loans and is compensated on a commission basis by the lending institution for each loan he procures. This requires:

A. a real property securities dealer license.

B. none of these.

C. an active real estate broker's license.

D. a $5,000 surety bond.

Answer: D. Any person or employee doing business under any law of this state, or any other state relating to banks, trust companies, savings and loan associations, industrial loan companies, pension trusts, credit unions, or insurance companies are not required to have a license.

80. When referring to real estate finance, the term impounds most nearly means:

A. moratorium.

B. attachment.

C. penalty.

D. reserves.

Answer: D. In real estate finance, the term impounds means reserves, which is a trust-type account established by lenders for the accumulation of a borrower's funds to meet periodic payment of taxes and insurance as they become due.

81. Which loan costs are NOT required to be disclosed as a finance charge to the customer under federal Truth-in-Lending Act?:

A. Time-price differential

B. Credit investigation fees when part of an application fee

C. Buyer's points

D. Finder's fees

Answer: B. Under the Truth-in-Lending Act, buyer's points, time-price differential, and finder's fees must be disclosed in the finance charge. Exempted charges on residential mortgage transactions include title insurance, document costs, recording and notary fees, credit investigation fees when part of an application fee, and appraisal fees.

82. The National Housing Act of 1934, in addition to providing for the insuring of loans, has had a number of secondary benefits, including all of these EXCEPT:

A. establishing maximum standards of construction.

B. instituting scientific subdivision planning to reduce neighborhood deterioration.

C. stimulating mortgage investment on a nationwide basis.

D. creating a comprehensive system of valuing property and rating mortgage risk.

Answer: A. The National Housing Act of 1934 created the FHA. The other three choices are all secondary benefits plus establishing minimum standards of construction, not maximum.

83. Which lender participates and supervises construction loans, solicits loans from anyone, involves itself in the secondary money market, and represents other lending institutions?:

A. Savings and loan association

B. Mortgage company

C. Insurance company

D. Commercial bank

Answer: B. Mortgage companies characteristically: (1) participate and supervise construction loans (and "take-out" loans); (2) solicit loans from anyone (institutional or noninstitutional lenders), represent them, and also seek out borrowers for such loans; (3) sometimes have money of their own to lend; (4) accumulate loans ("warehousing") that can be sold in groups and that are readily saleable in the secondary money market; and (5) service loans that are arranged by their correspondents.

84. A person borrowed $1,968 for 3 years, 10 months, and 20 days at 8.5% interest per annum. What is the amount of interest paid to the lender?:

A. $501

B. $650

C. $739

D. $399

Answer: B. (Rate x Time) x Principal = Interest

Interest = 0.085 x $1,968 = $167.28 (one year)
3 years: $167.28/yr x 3 years = $501.84
10 months: $167.28/yr ÷ 12 mo. = $13.94/mo.
10 mo. x $13.94/mo. = +139.40
20 days: $13.94/mo. ÷ 30 days = $0.465/day
20 days x $0.465/day = 9.29
Total interest for the period = $650.53

85. How much can a lender legally charge a borrower for the preparation of the Closing Disclosure form?:

A. 1%

B. 1/2 of 1%

C. Nothing

D. $25

Answer: C. Under TILA-RESPA rules, the lender is not permitted to charge for the preparation of either the Closing Disclosure form or the Loan Estimate form.

86. The minimum crawl space under a single-family residence according to FHA regulations is:

A. 16″.

B. 18″.

C. 20″.

D. 24″.

Answer: B. 18″ crawl space is an "MPR," that is, a minimum property requirement under FHA requirements. There are exceptions, such as

for houses on slab foundations

87. Under which loan would the borrower be required to apply for term life insurance?:

A. Savings and loan company

B. Cal-Vet

C. VA

D. FHA

Answer: B. The California Department of Veterans Affairs requires each borrower under the Cal-Vet plan to apply for life and disability insurance.

88. A trustor, under a deed of trust, defaults on a note and refuses to reinstate the loan. The most expedient thing for the beneficiary to do is to institute a:

A. judicial foreclosure.

B. lien sale.

C. foreclosure sale.

D. sheriff's sale.

Answer: C. A trustee's foreclosure takes approximately four months and is referred to as foreclosure sale. A sheriff's sale would be a court foreclosure known as a judicial foreclosure and could take up to four years.

89. A purchase money mortgage may be defined as one:

A. taken on all or part of the purchase price.

B. taken on several parcels.

C. that includes chattels, such as household appliances, as additional collateral.

D. that provides for additional advances to the mortgagor without the necessity of writing a new mortgage.

Answer: A. A purchase money mortgage applies to any money used to purchase the ownership of property, either from credit extended by the

seller ("soft money") or a cash loan from a lender ("hard money").

90. In qualifying a borrower for an FHA loan the lender would be most interested in:

A. credit characteristics of the borrower.

B. marital status of the borrower.

C. purchase price of the property.

D. ethnic background of the borrower.

Answer: A. Many lenders have established standards to evaluate a borrower's ability to repay. These standards are usually tied to the borrower's income. In addition to the ability to pay, the question of willingness to pay is a central point in credit analysis.

91. A woman purchases a home for $80,000 and executes a note for $78,000 secured by a first trust deed. The balance she pays in cash. Subsequently, a period of economic inflation sets in. This would benefit:

A. the beneficiary.

B. neither the beneficiary nor the trustor.

C. the trustor.

D. the trustee.

Answer: C. Inflation will cause the trustor's (borrower's) equity to increase faster than it would from principal payments alone. Since inflation will not affect the interest rate on the note, this is an advantage to the trustor but a definite disadvantage to the beneficiary (lender). The trustee is not affected in any measurable way.

92. Most real estate syndicates in California are:

A. joint ventures.

B. limited partnerships.

C. real estate investment trusts.

D. corporations.

Answer: B. Investors usually find the limited partnership to be the best means of forming a syndicate. A corporation is subject to double taxation and the investment trust requires at least 100 members.

93. There was a second trust deed for $5,000. The holder sold it to a friend for $3,500. In the language of real estate practice, this would be known as:

A. liquidating.

B. hypothecation.

C. discounting.

D. depreciation.

Answer: C. Notes that are sold for less than the face amount or less than the unpaid balance are said to be sold at a discount.

94. In a purchase of real property in which a land sales contract is used, the buyer has:

A. possessory rights.

B. all of these.

C. a fee simple estate.

D. an estate of inheritance.

Answer: A. A land sales contract is a form of financing the sale of real property in which the buyer (vendee) is given possession of the property, but the legal title is held by the seller (vendor) until the full purchase price is paid. The buyer has only equitable title to the property, which is not the fee simple estate. While many property interests are capable of being inherited, only the fee estate is properly classified as an estate of inheritance.

95. Which term relates specifically to the secondary money market?:

A. First mortgages

B. Junior loans

C. Purchase money

D. Discounting of mortgages

Answer: D. Mortgages (including notes and trust deeds) are frequently sold and exchanged in the secondary money market. They are usually sold at a discount.

96. When a trust deed is properly prepared and executed, the power of sale of the secured property is given by:

A. beneficiary to seller.

B. trustor to trustee.

C. trustee to lender.

D. buyer to trustor.

Answer: B. The owner of the property (trustor) conveys the bare legal title to the trustee with the provision that in the event of default the trustee can sell the property.

97. A buyer seeking an FHA loan would be LEAST likely to:

A. agree to make amortized payments.

B. go to the nearest FHA office for an appraisal.

C. agree to pay mutual mortgage insurance.

D. find a lender willing to give him the loan.

Answer: B. FHA appraisals are ordered from FHA by the lender who has agreed to make the loan, not by the buyer. This appraisal is actually a commitment by FHA to insure a loan in a certain amount if made by the ordering lender.

98. A broker who negotiates a real estate loan to which the Brokers Loan Law is applicable must deliver the mortgage loan disclosure statement to the borrower:

A. after close of escrow.

B. within 24 hours.

C. three days previous to signing.

D. at signing.

Answer: D. A Mortgage Loan Disclosure Statement must be presented, and the borrower's signature obtained, before the borrower becomes

obligated.

99. Interest rates will normally decline when:

A. inflationary trends accelerate.

B. the federal budget deficit is high.

C. there is an excess of mortgage funds available.

D. the Federal Reserve Board increases reserve requirements.

Answer: C. When mortgage money is plentiful, lenders tend to drop interest rates to attract more borrowers (the law of supply and demand).

100. A developer wants to purchase land and later secure financing for improvements. What clause is most beneficial to the developer in the original trust deed used to purchase the land?:

A. Subordination clause

B. Exculpatory clause

C. Alienation clause

D. Acceleration clause

Answer: A. Since construction lenders require first priority, the previously recorded trust deed must have a clause that requires it to relinquish priority to a subsequent trust deed.

101. A developer built a home on speculation, selling it for $90,000 with $18,000 cash and a note for $72,000. Later he used the $72,000 note as security to borrow $50,000 to build another house. The note in this instance is a:

A. pledge.

B. holding agreement.

C. chattel mortgage.

D. purchase money mortgage.

Answer: A. A pledge consists of transferring to the lender the possession of personal property (in this case the note) as security for the loan.

102. The person who would benefit the most from appreciation of a mortgaged property would be:

A. the trustor.

B. none of these.

C. the trustee.

D. the beneficiary.

Answer: A. The trustor is the owner-borrower of a property mortgaged by the use of a trust deed. As the property appreciates, the trustor's equity increases and the trustor therefore benefits more than the other parties indicated.

103. Which definition best describes an "open-end mortgage"?:

A. One under which several parcels of land are included under one mortgage

B. One in which the mortgage represents a partial payment for the parcel of the land

C. One in which additional financing could be obtained without rewriting the contract

D. One in which personal property is held for added collateral

Answer: C. An open-end mortgage is one containing a clause that permits the mortgagor to borrow additional money after the loan has been reduced without rewriting the mortgage.

104. Mr. and Mrs. Crest purchased a home two years ago, financing it with a long-term first trust deed and note. They encountered some financial difficulty and were unable to make their payment for two consecutive months. As a result, the beneficiary initiated foreclosure proceedings and the Crests received a copy of the notice of default that had been recorded. Their best course of action at this time is to exercise their right of:

A. refinancing.

B. redemption.

C. reinstatement.

D. loan moratorium.

Answer: C. Their right of reinstatement permits them to make up the delinquent payments plus any penalties during the three months following notification of default. Redemption refers to the right to pay the entire loan off, plus penalties, costs, and charges in order to keep the property.

105. Reserves or impound accounts are borrowers' funds held by lenders in a reserve account to assure future payments for all of the followingEXCEPT:

A. specific improvements/annual assessments.

B. city/county taxes.

C. insurance premium.

D. monthly interest on a mortgage.

Answer: D. The interest portion of a mortgage payment becomes the lender's money upon receipt. It is never a part of an impound account. The other payments mentioned are at times placed into impound accounts held by the lender for the benefit of the borrower.

106. The amount of interest most likely paid on a straight loan of $26,500 for 20 years at 15% interest is:

A. $33,500.00

B. $90,365.00

C. $79,500.00

D. $35,000.00

Answer: C. A straight note is one in which the principal is repaid in one lump sum at maturity. Therefore, the interest is calculated on the entire original principal amount for the entire time of the loan.

0.15 x $26,500 = $3,975 interest per year
$3,975 per year x 20 years = $79,500 total interest

107. A lender, speaking of a loan in his portfolio, said it was "seasoned." The lender was referring to the:

A. quarter of the fiscal year in which the loan was taken out.

B. pattern of payments of the trustor.

C. maturity date of the loan.

D. type of market in which the loan could be sold.

Answer: B. A seasoned loan is one that has been on the books for a time and the payment record of the borrower is a known quantity.

108. Liquidation of a financial obligation on an installment basis is:

A. conventional.

B. amortization.

C. conversion.

D. acceleration.

Answer: B. Amortization is (1) the liquidation of a financial obligation on an installment basis or (2) recovery of cost or value over a period of time.

109. What is the most important influence affecting the interest rates on trust deed loans?:

A. None of these

B. Supply and demand of funds

C. Exchange rate overseas

D. Gross national product

Answer: B. The "price" of money, commonly expressed as interest rates, is determined in the market, where the principle of supply and demand is the dominant factor.

110. When a deed of trust is foreclosed by court sale, the action:

A. bars the possibility of a deficiency judgment.

B. provides for a one-year redemption period in some cases.

C. is the same as a foreclosure by trustee's sale.

D. is not legal in California.

Answer: B. A trust deed foreclosed through court (judicial sale) follows the same proceedings as a mortgage foreclosure. In some cases, the borrower would have one year after the sale to redeem the property.

111. The lenders that invest a major portion of their assets in long-term real estate loans, do not like to service their own loans, and like large loans on newer high-priced homes as well as large loans on commercial property would be:

A. commercial banks.

B. mutual mortgage companies.

C. savings and loan associations.

D. insurance companies.

Answer: D. These are the characteristics of insurance companies.

112. An investor purchased a property at 20% less than the listed price and later sold the property for the original listed price. What was the percentage of profit based on his cost?:

A. 25%

B. 10%

C. 20%

D. 40%

Answer: A. Percentage of profit in real estate is based on cost, not selling price. Since he bought at 80% of the listed price, when he sold, he sold for more than he paid for it. (20 is 25% of 80).

% x Paid = Made
% x 80% = 20%
20% ÷ 80% = 0.25 = 25%

113. An agreement with a lender that prohibits early payoff of a loan is known as a(n):

A. prepayment penalty.

B. open-end mortgage.

C. lock-in clause.

D. exculpatory clause.

Answer: C. A lock-in clause is a clause that may appear in a note or land contract that prohibits the lendee from paying off the indebtedness before the date set forth in the contract.

114. In which situation could a beneficiary of a trust deed acquire an interest in an after-acquired title?:

A. Trustor purchased additional property

B. All of these

C. Trustor added improvements to the property

D. Personal property later became affixed to the real property

Answer: B. "Title acquired by the mortgagor subsequent to the execution of the mortgage inures to the mortgagee as security for the debt in like manner as if acquired before the execution" (Civil Code § 2930). Also, the parties may agree to create a lien on property not yet acquired (Civil Code § 2883).

115. Which would be covered by the Real Estate Settlement Procedures Act (RESPA)?:

A. A commercial building

B. An addition of a room in a single-family residence

C. An initial lien on a one- to four-unit residential building

D. Land for development

Answer: C. RESPA states that coverage is restricted to first mortgage purchase-money loans secured by one- to four-unit residential properties made by federally regulated or insured lenders.

116. A clause in a second trust deed that permits the first trust deed to be refinanced without affecting its priority would be known as:

A. an acceleration clause.

B. none of these.

C. a submortgage.

D. an alienation clause.

Answer: B. A subordination clause is a clause that allows for such a change in lien priority.

117. Some real estate loans are written so that, if there are changes in the money market, the interest rate on the loan may be changed. This is a(n):

A. variable interest rate loan.

B. interim loan.

C. fluctuating money market loan.

D. loan secured by a short-term land contract of sale.

Answer: A. Variable interest rate (VIR) or variable mortgage rate (VMR) is an interest rate on a real estate loan which, by the terms of the note, varies upward or downward over the term of the loan depending on market conditions. The fluctuation is based on an index such as the Consumer Price Index (CPI). The most commonly used now is the adjustable-rate mortgage (ARM).

118. A bank will usually make a conventional loan and charge a higher interest rate than the interest rate charged on an FHA loan on the same property. What would be the determining factor in choosing to make an FHA loan instead of a conventional loan?:

A. Higher return

B. Degree of risk

C. Number of properties sold by the seller

D. Needs of the borrower for lower interest

Answer: B. One of the features of an FHA loan is the mortgage insurance. This protects the lender against possible loss and reduces the risk to the lender.

119. Most lending institutions are limited as to the amount they can lend, the types of loans they offer, and the length of loans. Because of certain limitations, some lenders are not interested or are unable to give construction loans, but are willing to issue long-term financing after the construction is completed. Long-term loans, to be issued by one lender upon completion of the interim construction financing by another lender, are known as:

A. take-out loans.

B. discount loans.

C. redemption loans.

D. renewal loans.

Answer: A. A take-out loan literally takes the construction lender out of the financing picture and their construction loan is replaced with a long-term conventional loan.

120. Under a power of sale clause, the trustee has a minimum of three months from recording a Notice of Default before:

A. deed of reconveyance is made to the beneficiary.

B. taking possession.

C. publication of sale.

D. foreclosure is final.

Answer: C. The law states that a minimum of three months must elapse after the recording of the Notice of Default before the

publication phase of the foreclosure proceedings can begin.

121. A promise by the lender to make a permanent loan on the demand of a borrower is known as:

A. standby loan commitment.

B. backup loan commitment.

C. interim loan commitment.

D. incremental loan commitment.

Answer: A. A standby loan commitment is a commitment to issue a permanent loan after completion of construction.

122. Discount points on financing under the California Farm and Home Purchase Act are paid by:

A. the seller.

B. no one.

C. the state.

D. the buyer.

Answer: B. No discount points are charged on a Cal-Vet loan.

123. A broker negotiated a loan for a client. The beneficiary did not specifically instruct the broker to record. The broker is obligated to record:

A. immediately after funds are disbursed.

B. within 10 days of the date funds are disbursed.

C. before funds are disbursed.

D. at same time funds are disbursed.

Answer: C. Article 5 of the Real Estate Law stipulates: Unless a lender has given written authorization to the broker, the broker may not disburse the loan funds until after recording the trust deed securing the note evidencing the loan. If the lender has given the broker authority to release funds prior to recordation, the securing trust deed must be recorded, or delivered to the lender with a written recommendation for immediate recordation, within 10 days, following the disbursement of loan funds.

124. A portfolio risk manager (financial manager) would be most concerned with:

A. reserves.

B. diversification.

C. any of these.

D. liquidity.

Answer: D. A prudent investor would want some investments in a liquid position, that is, easily converted into cash in the event of need. Cash reserves would also be desirable as operating capital to help avoid the need to liquidate a profitable investment in the event of an emergency. Diversification assists in spreading the risk by not having all your eggs in one basket. Any one investor might be most concerned with any one of these.

125. Under the Real Estate Settlement Procedures Act (RESPA) lenders are required to give borrowers:

A. the amount of mortgage interest.

B. a good-faith estimate.

C. the amount of mortgage interest.

D. a bill of sale.

Answer: B. RESPA requires the lender to furnish the borrower the following two items by delivering them in person or placing them in the mail not later than three business days after the application of the borrower is received: (1) a Special Information Booklet prepared or approved by HUD that explains settlement costs; and (2) a good-faith estimate of the settlement costs.

126. In which situation would a package mortgage be used?:

A. When including the obligations of a first and second trust deed under one instrument

B. When securing additional financing from the lender at a later date without rewriting the mortgage

C. When covering more than one parcel of land in a subdivision

D. When encumbering real property and using personal property as additional collateral

Answer: D. A package mortgage covers both real and personal property. Including the obligations of a first and second trust deed under one instrument is an all-inclusive deed of trust. Covering more than one parcel of land in a subdivision is a blanket encumbrance and securing additional financing from the lender at a later date without rewriting the mortgage is an open-end mortgage.

127. In the event a trustor defaults on loan payments under a trust deed note, the lender has the right to call the entire loan due and payable. Should a lender take such an action, he would exercise the:

A. release clause.

B. acceleration clause.

C. alienation clause.

D. subordination clause.

Answer: B. The beneficiary obtains the power to declare the entire amount of an obligation due and payable upon default of the trustor by using an acceleration clause.

128. What is NOT a result of a subordination clause?:

A. Allows for a construction loan to take priority

B. Causes hardship on the buyer by placing the lender of a larger sum in the favored position

C. More of a risk to seller and may cause increased cost of the land and more stringent release clause

D. Permits a first trust deed to be refinanced and extended without losing priority

Answer: B. The other three choices are all conditions that may result from a subordination clause. Causes hardship on the buyer by placing the lender of a larger sum in the favored position is incorrect because it does not create a hardship for the buyer but would assist the buyer in obtaining a construction loan.

129. The interest rate for an FHA loan is negotiated by:

A. FHA.

B. agreement between seller and buyer.

C. agreement between borrower and lender.

D. the lender.

Answer: C. The interest rate for an FHA loan is negotiated by agreement between the borrower and the lender. FHA no longer sets limits as they once did in years past.

130. If a person paid $220 interest on an $8,000 loan for 90 days, the interest rate was:

A. 12%.

B. 11%.

C. 9%.

D. 10%.

Answer: B. (R x T) x P = I

(%/yr.) x $8,000 = $880 Interest/yr.
$880 ÷ $8,000 = 0.11 = 11%/yr.
$220 Interest/90 days x 4 Quarters
$880 Interest/yr.

131. Which would NOT likely cause a loss to a lender?:

A. Unemployment

B. Prepayment without a penalty

C. Inflation

D. Recession

Answer: B. When a lender gets his principal back in full, he suffers no direct loss, even though he may not gain as much as expected in terms of future interest not paid. Inflation can result in a lender's being paid back with money of lower buying power. Recession and unemployment can result in borrower's going into default with loss to a lender.

132. A buyer purchasing real property using a conditional sales contract (also called a real property sales contract) would acquire:

A. an estate of inheritance.

B. all of these.

C. a freehold estate.

D. a possessory interest.

Answer: D. The buyer (vendee), under the terms of a conditional sales contract, receives an (1) "equitable" title together with (2) possession of the property. In addition the vendee receives the (3) right to acquire the fee title after all of the conditions of the contract have been met.

133. If the Federal Reserve Bank tightens reserve requirements of member banks, it would usually result in:

A. a fewer number of private second trust deeds.

B. favorable news from a broker's standpoint.

C. making more marginal loans available.

D. a greater number of private second trust deeds.

Answer: D. By tightening the reserve requirements, the Federal Reserve Bank can decrease the amount of money that is available for loans. This action would create a demand for more private loans in the form of second trust deeds.

134. In a real estate transaction, a prepayment penalty may be paid by:

A. the buyer.

B. the seller.

C. the lender.

D. none of these.

Answer: B. Institutional and private lenders sometimes charge a penalty fee if a conventional loan is paid off in the early years of the loan. A VA or FHA loan may be repaid in full at any time without penalty.

135. A buyer assumes an FHA mortgage with the lender's approval and pays the seller's equity in cash. The lender charges the buyer a $30 fee. This fee is known as:

A. a novation.

B. an assumption fee.

C. an origination fee.

D. points.

Answer: B. An assumption fee is the lender's charge for changing over and processing new records for a new owner who is assuming an existing loan.

136. The term default in most mortgages commonly means that the mortgagor:

A. failed to maintain the property.

B. is not using the property for its intended purpose.

C. is delinquent in monthly payments.

D. did any of these.

Answer: D. A default constitutes a failure to perform either (1) a duty or (2) an obligation. In order to protect their security, most deeds of trust contain agreements between the mortgagor and mortgagee, which if breached, constitutes a default. Among these agreements are not to be delinquent in payments, not to use the property for other than its intended purpose, and not to fail to maintain the property. Be

careful: If the question asked, "The term default, in most mortgages, MOST commonly means that the mortgagor", choose "is delinquent in monthly payments."

137. What is an advantage to the seller of real property in using a conditional sales contract in the sale of property instead of giving a grant deed and taking back a large trust deed?:

A. The seller can prohibit the vendor from recording the contract if the contract includes a clause prohibiting such recording.

B. Foreclosure proceedings are faster thereby permitting the vendor to recover possession quickly from the buyer.

C. A deficiency judgment can be obtained in the event of default.

D. None of these

Answer: D. The other three choices do not offer a benefit to a seller using a land contract. There are probably no advantages since law changes in 1985.

138. If a person wanted to transfer equitable title and retain legal title, he or she would use a:

A. mortgage.

B. grant deed.

C. land contract.

D. security agreement.

Answer: C. A conditional/installment sales contract, commonly called a land contract, transfers equitable title to the buyer, but the seller keeps the legal title until the contract has been fulfilled.

139. Points are NOT charged on which type of home loans?:

A. None of these

B. Veterans Administration

C. Federal Housing Administration

D. California Department of Veterans Affairs

Answer: D. The Department of Veterans Affairs is the state department that handles Cal-Vet loans. Since the state is handling the transaction no discount points are charged.

140. A man listed a property for $760,000 and was willing to take back a trust deed and note for $20,000. FHA appraised the property for $700,000 and the broker secured a buyer who wanted to secure an FHA loan for $700,000, pay $40,000 cash and execute a second trust deed and note in favor of the seller. The broker should counsel the seller to:

A. write up the offer "subject to better financing."

B. write up the offer subject to FHA loan and second trust deed.

C. write up the offer subject to a $70,000 FHA loan and a personal loan for $6,000.

D. refuse to accept the offer.

Answer: D. FHA will not permit secondary financing on the initial purchase of the home. Since the buyer does not have enough cash to use FHA financing, it will be impossible to secure FHA financing and the broker should counsel the seller to refuse to accept this offer.

141. What is included as part of the finance charge in a Truth-in-Lending Disclosure Statement?:

A. Assumption fee

B. Appraisal fee

C. Title insurance fees

D. Recording and document fees

Answer: A. An assumption fee is one of many fees that must be included in the finance charge to determine the annual percentage rate as part of a Truth-in-Lending Disclosure Statement. Among other fees not required are appraisal fees, recording and document fees, and title insurance fees.

142. Annual percentage rate is defined as:

A. all loan costs, direct or indirect, expressed as a percentage rate.

B. relative amount of credit costs expressed as a dollar total.

C. direct and indirect costs plus taxes and closing costs.

D. direct loan costs only.

Answer: A. The annual percentage rate represents the relationship of the total finance charge to the total amount financed. The total finance charge includes the total of all costs paid directly or indirectly by the borrower. However, there are certain costs that are exempt including, but not limited to, appraisal fees and credit reports.

143. If interest is paid at a rate of $60 a month and the rate of interest is 8% per annum, the principal amount of the loan is:

A. $4,000.00

B. $12,000.00

C. $9,000.00

D. $7,000.00

Answer: C. (R x T) x P = I

0.08 x P = $720 (12 mo. x $60/mo.)
P = $720 ÷ 0.08 = $9,000

144. Which statement regarding a prepayment penalty in Cal-Vet financing is correct effective 1998?:

A. The prepayment is 2% of the current loan balance.

B. If a Cal-Vet loan is paid off within two years of inception it requires a 2% penalty based on the current loan balance.

C. There is no prepayment penalty for an early payoff on a Cal-Vet loan.

D. If a Cal-Vet loan is paid off within the first five years there is a prepayment penalty based on the original loan amount.

Answer: C. There is no prepayment penalty on a Cal-Vet loan, effective 1998.

145. To prevent investment erosion through inflation, an investor would place his funds in:

A. government bonds.

B. mortgages and trust deeds.

C. equities.

D. savings accounts.

Answer: C. An asset that can increase in real value builds the owner's equity and is a hedge against inflation (when money loses value).

146. The factor that exerts the greatest influence on mortgage interest rates is the:

A. value of the property.

B. offsetting influence of conservative vs. nonconservative lenders.

C. condition of the money market.

D. term of the loan.

Answer: C. The proportion of the nation's surplus money that will enter the real estate market depends largely on conditions in the mortgage market, which may be divided into supply and demand factors. Mortgage interest rates increase when mortgage money is in short supply relative to demand for this money. Higher interest rates in nonmortgage markets attract mortgage lenders away from mortgages to other types of investments and as a result financial institutions have fewer funds to make mortgage loans.

147. What is the lender's best protection against default if the purchaser makes no down payment?:

A. Length of loan

B. Low interest rate

C. Appreciation of the property

D. Low monthly payments

Answer: C. If market prices rise, then the property value appreciates and the borrower's equity rises. An increased equity increases the owner's interest in protecting the investment, making that borrower less likely to default on the loan.

148. In setting up a release schedule under a blanket encumbrance the beneficiary will usually require a disproportionate amount of money to release a particular lot:

A. for all of these reasons.

B. because the best lots usually sell first.

C. to have better security on the remaining lots.

D. to protect the investment as individual lots are sold.

Answer: A. All the choices are all legitimate reasons for the release schedule to be disproportionate in favor of the beneficiary.

149. A person purchased a property for $70,000 and made a $14,000 down payment. If the person borrowed the balance of the purchase price, it would be considered a purchase money trust deed if the borrower received this amount from:

A. a lender.

B. the seller.

C. a friend.

D. any of these.

Answer: D. If a deed of trust (or mortgage) is executed in the act of and for the purpose of purchasing property that is the security, it is a purchase money deed of trust (or mortgage), regardless of whether the beneficiary (lender) is the seller or a third party.

150. Brewer wants to purchase a home, but is denied financing because of an agency's credit report. Brewer has repeatedly tried to get a copy of this report, but the agency refuses to give it to him. Brewer can bring action under the California Civil Code to:

A. recover enough money to compensate him for damage to his credit.

B. recover attorney fees and equitable damages.

C. recover punitive damages up to $5,000.

D. do any or all of these.

Answer: D. The Consumer Credit Reporting Agencies Act (Civil Code Section 1785.1–35) requires that, upon request, a consumer credit reporting agency must provide to a consumer disclosures of the files about that consumer. The Code further specifies penalties of actual damages, punitive damages up to $5,000, and reasonable attorney's fees.

151. When a trust deed is foreclosed in judicial foreclosure and the trustor fails to exercise his or her right to redeem, possession during the period of redemption would be held by the:

A. trustee.

B. beneficiary.

C. trustor.

D. mortgagor.

Answer: C. The trustor is the borrower, the one who has the right to the possession of the property during any redemption period that may exist in judicial foreclosure. Even though the security instrument is a trust deed, the lender has the option of foreclosing in a judicial proceeding, giving the borrower the right of redemption. Most lenders exercise the "power of sale" in the trust deed to avoid the expense and time involved in a judicial foreclosure.

152. Mr. Applegate purchased a home in a subdivision through Broker Able. Applegate applied for a loan and on the loan application there were two boxes that he was asked to check. One box was for marital status and the other for race. Applegate may:

A. sue the broker arranging the loan and the loan officer for asking these questions on the loan application.

B. refuse to answer the questions on race and marital status.

C. file a complaint with the real estate commissioner.

D. be required to answer these two questions by the lender in order for the loan to be processed.

Answer: B. The applicant may refuse to answer about race since the information is optional on the typical real estate loan application. Both federal and California law prohibit discrimination on the basis of marital status. Therefore, marital status cannot be considered by the lender to be a material fact. The borrower, then, may refuse to answer the question.

153. Savings and loan institutions obtain most of their money for making loans from:

A. corporation profits.

B. FNMA.

C. corporation savings.

D. individual savings.

Answer: D. Individuals constitute the largest percentage of savings and loan depositors.

154. The term default in most mortgages means that the mortgagor:

A. is delinquent in monthly payments.

B. is not using the property for its intended purpose.

C. failed to maintain the property.

D. did any of these.

Answer: D. A default constitutes a failure to perform either (a) a duty or (b) an obligation. Careful: If the question asks for the most common cause of default, then choose "is delinquent in monthly payments."

155. Which factor would be least likely to influence the level and movement of mortgage rates?:

A. Inflation

B. Demand for funds

C. Tight money

D. Unemployment

Answer: D. Inflation, tight money, and demand for funds are all factors that directly influence interest rates. Unemployment has the least effect among the choices presented.

156. Which word(s) placed in a promissory note would commit all the borrowers for repayment?:

A. Individually and severally

B. Individually

C. Jointly

D. Jointly and severally

Answer: D. Jointly means the creditor can look to all of the signers as a group; severally means the creditor can look to any one signer for the entire amount due. Co-signers on a note are "jointly and severally" liable.

157. What does NOT represent a demand source of mortgage money?:

A. FNMA

B. Sales financing

C. Construction

D. Refinancing

Answer: A. The demand sources of mortgage money are entities or activities that borrow money or cause money to be borrowed for mortgage loans. Sales financing, construction, and refinancing all create a demand for mortgage money. Fannie Mae (FNMA) does not borrow mortgage money, but is a supply source.

158. A buyer bought a unit of real property for $300,000 with a $75,000 down payment and a $225,000 mortgage. The value of the property soon increased by 10%. The owner's equity increased by 40% due to the use of:

A. leverage.

B. influence.

C. amortization.

D. inflation.

Answer: A. Leverage is the use of debt financing of an investment to maximize the return per dollar of equity invested. In this example the equity invested is $75,000. The dollar increase in the value of the property is $30,000. $30,000 is 40% of the $75,000 equity investment.

159. The maximum amount of commission and loan costs that may be charged for a second trust deed of $4,000 for a four-year term is:

A. $725.00

B. $990.00

C. $850.00

D. $550.00

Answer: B. Under Article 7, the maximum commission and fee is:

$4,000 2nd T.D. × 0.15 15% of the principal of a loan of three years or more)

600 Maximum commission × 390 (5% or $390—whichever is greater)
$990 Maximum commission and fees

Transfer of Property

1. A fire insurance policy began March 1, 20XX and cost $316.80 for three years of coverage. The insured cancelled the policy as of November 16 of the same year. What is the amount of the unused policy?:

A. $74.80

B. $316.80

C. $242.00

D. $121.00

Answer: C. Step 1: Canceled: Nov. 16, 20XX
Began: Mar. 1, 20XX
Used: 8.5 months leaving 27.5 months unused
Step 2: $316.80 premium ÷ 36 mo. = $8.80/mo.
Step 3: $8.80/month x 27.5 months = $242.00

2. All of these costs qualify for itemized deductions by the owner-occupant of a single-family residence in the appropriate tax year EXCEPT:

A. real property taxes.

B. the unreimbursed portion of a casualty or theft loss in excess of 10% of the adjusted gross income.

C. the cost of painting a bedroom.

D. interest on a deed of trust.

Answer: C. Real estate taxes, interest on loans, and the unreimbursed portion of casualty or theft losses are acceptable deductions on an owner-occupied residence, while the cost of painting a bedroom is not tax deductible.

3. When Atkins is selling his trade fixtures, which instrument must he execute?:

A. Chattel real

B. None of these

C. Warranty deed

D. Bill of sale

Answer: D. Since trade fixtures are personal property, a bill of sale would be the proper instrument to use to convey the title. A chattel real describes a lease. A warranty deed conveys title to real property.

4. Smith sold a house under an installment sales agreement. The main advantage of this method is the ability to:

A. declare the gain in the year of sale.

B. prorate the gain over the term of the installment contract.

C. postpone declaring the gain until the debt is fully repaid.

D. choose which years in which to declare the gain.

Answer: B. Smith can prorate the gain over the term of the installment contract.

5. Escrow companies are subject to the Corporations Commissioner's Regulations. Who would NOT be exempt?:

A. Attorney at law

B. Broker not accepting a fee and handling his own escrow

C. Broker escrowing property of other brokers

D. Broker accepting a fee and handling his own escrow

Answer: C. A real estate broker who is not a party to the transaction would not be exempt from the Regulations of the Corporations Commissioner. A broker who is an agent for one of the parties to the transaction may handle the escrow without being licensed by the Corporations Commissioner whether the broker charges a fee or not. (Other exemptions include attorneys, banks, savings and loans, title companies, and related entities.)

6. A broker lists and negotiates the sale of a home for Mr. B, a young married man. At the time of the sale the broker was not concerned with the age of his client. After the deed had been signed and escrow closed, the title company informs the broker that the seller is under 18 years of age. The deed is:

A. outlawed.

B. valid.

C. illegal.

D. voidable.

Answer: B. The deed would be valid. A married person under 18 is an emancipated minor and has the legal capacity to deal in real property.

7. Who would not be applicable to a will?:

A. Testator

B. Executor

C. Administrator

D. Devisee

Answer: C. An administrator is appointed by the court when the deceased has died without a will. Executor, devisee, and testator refer to a will.

8. When handling an escrow for both parties, the escrow holder is acting as a(n):

A. employee.

B. advocate.

C. independent contractor.

D. agent.

Answer: D. The escrow holder acts as the agent for both the seller and buyer, a dual agency. The holder would also be an independent contractor, but "agent" is the more significant of the two choices and is the "best" answer.

9. When a business is sold with real property:

A. one deposit receipt must be used.

B. two deposit receipts may be used.

C. an escrow need not be used in the sale of the business.

D. the same escrow and title company must be used for both the sale of the business and the sale of the real property.

Answer: B. When real property, such as the building housing the business, is also being sold to the same purchaser, the agent usually treats the sale of the business and the sale of the building as two separate and concurrent transactions, and the transfers may be completed through two concurrent and contingent escrows.

10. When standard coverage is extended by the coverage of an ALTA policy, the insurer is liable for all of these EXCEPT:

A. unrecorded mechanics' liens.

B. liens of record.

C. unrecorded easements.

D. zoning restrictions.

Answer: D. No title insurance is available to protect the owner against adverse zoning restrictions.

11. A man owns property free and clear valued at $320,000 with a book value of $220,000. If he exchanges for another property, also free and clear valued at $365,000, and pays no boot, the book value on the second property will be:

A. $220,000.00

B. Cannot be computed with the facts given

C. $585,000.00

D. $365,000.00

Answer: A. A tax-free exchange is accomplished by transferring the old cost basis to the newly acquired property. Since the taxpayer paid no boot, his book value on the second property would remain $220,000.

12. A capital gain exclusion on a principal residence is:

A. $250,000 for an individual or $500,000 for a married couple once in a lifetime if one of them is over 55 years of age.

B. $250,000.00

C. $250,000 for an individual or $500,000 for a married couple once in a lifetime.

D. $250,000 for an individual or $500,000 for a married couple every two out of the last five years.

Answer: D. A married couple is currently entitled to a maximum exclusion from capital gains of $500,000. There is no limit on the number of times a couple or individual can take this exclusion as long as they meet the current IRS requirement.

13. Jones purchased a four-acre parcel for $2,000 per acre in 2004. He subdivided this parcel into four lots and years later sold each lot for $10,000. What was Jones's capital gain?:

A. $32,000

B. $46,000

C. Cannot be computed from the information given

D. $6,000

Answer: A. Sales price $40,000 (4 lots at the rate of $10,000 each)

Less cost basis – 8,000 (4 acres at the rate of $2,000 per acre)

Long-term capital gain $32,000

14. A broker who is selling property on which he or she holds an option must inform the buyer that he is a(n):

A. agent.

B. grantor.

C. principal.

D. optionor.

Answer: C. A broker who holds an option to purchase real property is a principal. He or she is not representing a seller but is dealing on his or her own behalf, a fact which must be disclosed to a purchaser.

15. Alienation expresses a meaning most nearly opposite to:

A. ad valorem.

B. acquisition.

C. acceleration.

D. amortization.

Answer: B. Acquisition is the act of acquiring; alienation is the act of transferring or conveying title.

16. Jones bought two lots for $18,000 each and divided them into three equal lots, which he sold for $15,000 each. His percentage of profit was:

A. 40%.

B. 20%.

C. 15%.

D. 25%.

Answer: D. Step 1: $15,000/Lot x 3 Lots = $45,000 Selling price
$18,000/Lot x 2 Lots = 36,000 Paid
$ 9,000 Made

Step 2: % x Paid = Made
% x$36,000 = $9,000
$9,000 ÷ $36,000 = 25%

17. Who is normally in the weakest position against loss of property due to a claim by an outsider?:

A. Holder of an unrecorded quitclaim deed who does not occupy the property

B. Holder of an unrecorded deed who occupies the property

C. Holder of a recorded deed who rents the property

D. Holder of a certificate of title

Answer: A. An unrecorded deed is considered void as against a subsequent good-faith purchaser who is without notice and who does record or take possession. The two methods of giving constructive notice of a claim of interest are (1) recording and (2) occupying the property. A holder of an unrecorded quitclaim deed who does not occupy the property has done neither. For a holder of a certificate of title, the certificate is indicative that the named holder is the owner of the record.

18. An escrow company can:

A. request funding of the buyer's loan.

B. order a termite report and authorize the work to be done.

C. change the amount of the broker's commission.

D. tell the buyers where to obtain the best available financing.

Answer: A. While escrow procedures vary somewhat according to local custom, one of the steps that comes after preparing escrow instructions, ordering the title search, and accepting the structural pest

control reports is for the escrow officer to call for the closing funds that are deposited into the escrow. The escrow could not authorize work to be done, change the broker's commission, or tell the buyers where to obtain financing.

19. What is a benefit of extended coverage title insurance over standard coverage?:

A. Protection against forged deeds

B. Protection against lack of capacity

C. Protection against recorded instruments

D. Protection against capital improvements being on your neighbor's property

Answer: D. A survey and physical inspection of property is required in an extended coverage policy and would show correct survey lines and any encroachment.

20. The county maintains an assessment roll that includes the assessed value of property. The purpose of this assessment roll is:

A. establishment of the tax amount.

B. setting of the tax rate.

C. establishment of the assessment for the tax base.

D. equalizing of assessments.

Answer: C. Between March 1 and July 1, the county tax assessors compile a list showing the assessed value of all taxable property in the county (the tax rolls) as of March 1. This total is the tax base. Using this, and the budget to run the county, the Board of Supervisors sets the tax rate needed to meet the budget, within the limits set by Proposition 13. The county tax collector applies the rate to each property's assessed value to determine that year's individual property tax.

21. A buyer of a piece of property fails to examine public records on the property. The buyer is considered to have:

A. assumed notice.

B. actual notice.

C. constructive notice.

D. conditional notice.

Answer: C. Recording gives constructive notice "to the world," and anyone dealing with the property has constructive notice even though the public records have not been inspected.

22. Recording a deed:

A. insures possession.

B. gives actual notice.

C. raises presumption of delivery.

D. transfers title.

Answer: C. A deed must be acknowledged to be recorded. The fact that it has been recorded indicates that the grantor signed it, acknowledged it, and let it out of his or her hands; therefore, a presumption of delivery is made, albeit a rebuttable presumption.

23. In California, the abstract of title has ultimately been replaced by the:

A. certificate of title.

B. policy of title insurance.

C. title guarantee.

D. trust deed.

Answer: B. Title insurance companies evolved from abstract companies, which first issued "abstracts of title." The industry was eventually regulated by the insurance commissioner and the best protection is now afforded by means of the title insurance policy which insures against both "off-record" and "on-record" risks.

24. Which statement is incorrect?:

A. A deed of reconveyance must be recorded.

B. A trust deed can be recorded in more than one county.

C. A trust deed does not have to be recorded.

D. A promissory note is not eligible for recording.

Answer: A. Documents that affect title or interests in real property are eligible to be recorded to obtain the protection that recording affords (constructive notice to the world of the contents of the document) but most are not required to be recorded to be effective. "A deed of reconveyance must be recorded" is a false statement and therefore the correct choice. It may be foolish not to record a deed of reconveyance, but recording is not required.

25. The purchase price of a property amounted to $50,000 with the buyer assuming an existing $30,000 loan. If the documentary transfer tax is $0.55 for each $500 or fraction thereof, what was the tax paid on the transaction?:

A. $33

B. $55

C. $44

D. $22

Answer: D. $50,000 Purchase price

–30,000 Loan
$20,000 Equity
$20,000 ÷ $500 = 40
× $0.55
$22

26. When transferring fee simple title to real property that has been financed by a first deed of trust, you must first:

A. pay the beneficiary in full.

B. receive permission from the beneficiary.

C. have the grantor sign the deed.

D. do none of these.

Answer: C. To transfer fee simple title, encumbered or unencumbered, the grantor must sign the deed. If this is done in violation of a due-on-sale clause, the beneficiary (lender) may call the loan, but cannot prevent the transfer.

27. What is an example of "boot" received for income tax purposes?:

A. Net debt relief in a tax-deferred exchange

B. Increase in depreciation taken

C. Decrease in depreciation

D. All of these

Answer: A. "Boot" is something that is not of a like-kind received in a tax-deferred exchange. It includes cash or equivalent, such as a note and trust deed, other personal property, and net debt relief (mortgage relief). It is unrelated to depreciation.

28. Since land is unique in character and often cannot be substituted for another parcel, the courts have made available the right to request specific performance. Who could NOT request such action in a court?:

A. The seller of a single-family residence

B. A broker acting as an agent of the seller

C. The buyer of a single-family residence

D. The seller of a large tract of land

Answer: B. Since the broker is not a party to the contract, the broker cannot request an action for specific performance.

29. To alienate title to real property, an individual:

A. records a homestead.

B. conveys title

C. clouds a title.

D. secures an ALTA policy of title insurance.

Answer: B. To alienate means title is conveyed from one owner to another. Alienation is the opposite of acquisition.

30. All of these instruments are used to transfer an interest in real property EXCEPT a(n):

A. trust deed.

B. agreement of sale.

C. bill of sale.

D. mortgage.

Answer: C. A bill of sale is a written instrument by which one person sells, assigns, or transfers an interest in personal property to another.

31. A buyer purchased a property at 20% less than the listed price and later sold it for the original listed price. What was the percentage of profit based on his cost?:

A. 40%

B. 20%

C. 25%

D. 10%

Answer: C. Percentage of profit in real estate is based on cost, not selling price. Since he bought at 80% of the listed price, he sold for 1/4th more than he paid for it (20 is 25% of 80).

% x Paid = Made
% x 80% = 20%
20% ÷ 80% = 0.25 = 25%

32. A property owner had the following monthly payments: principal $402; interest $202; real property taxes $104; fire insurance $21. For federal income tax purposes, how much could be deducted as expenses of ownership?:

A. $202

B. $306

C. $104

D. $3,672

Answer: D. Only two items are deductible to the property owner.

(1) Interest $202 per month

(2) Real Estate Taxes $104 per month

$306 per month x 12 months = $3,672/yr

33. A seller of a condominium must provide a buyer with copies of:

A. the bylaws.

B. the CC&Rs.

C. all of these.

D. the latest financial statement.

Answer: C. In common interest developments such as a condominium project, the builder or seller is required to give to each prospective purchaser copies of the CC&Rs, articles of incorporation, bylaws, a current financial statement of the association, and a statement from the association describing any outstanding delinquent assessments.

34. Smith buys an apartment building for $100,000. He keeps it for 10 years and sells it for $100,000. He had depreciated the improvements $40,000 over his period of ownership. As to his income tax position:

A. his gain may be deferred.

B. his gain is taxable as ordinary income.

C. he has to pay capital gains on the amount of the depreciation.

D. he has no recognized gain.

Answer: C. Depreciation reduces the original cost basis, thereby increasing the difference between the selling price and the new (or

"adjusted") cost basis. That difference is a long-term capital gain on which the taxpayer will pay taxes. In this case, Smith's gain equaled the depreciation taken.

35. Who would provide a quitclaim deed to quiet a title?:

A. Grantor

B. Grantee

C. Trustor

D. None of these

Answer: A. Quitclaim deeds are executed by grantors to clear up conflicting claims or deficiencies in titles, in favor of grantees.

36. The person who receives personal property through a will is called a(n):

A. legatee.

B. testator.

C. devisee.

D. administrator.

Answer: A. A legatee is the receiver of a legacy, which is a willed gift of personal property. A devisee is the receiver of a devise, which is a willed gift ofreal property.

37. James, an 11-year-old minor, owned a farm and asked his father to contract a broker to sell the farm. The father listed the property with a broker. The farm was sold and the deed was signed. James later changed his mind and wanted the farm. This transaction was:

A. void because James was a minor.

B. valid because the father was acting for his son.

C. rescinded simply because James changed his mind.

D. void because the father arranged the sale through a broker.

Answer: A. Since the grantor was a minor, the deed is void at inception.

38. All of these statements are correct concerning probate sales of real property EXCEPT:

A. the representative of the estate may enter into an exclusive listing with the broker with the approval of the court.

B. commissions for brokers negotiating sales are determined by the probate code according to prearranged schedules based on selling price.

C. the first bid in a probate sale must not be less than 90% of the court's appraisal.

D. an offer can be accepted by the representative of the estate with the approval of the court.

Answer: B. The probate code does not have a prearranged commission schedule. Commissions are set at the discretion of the court. The representative of the estate may, with the court's approval, give a broker an exclusive listing, not to exceed 90 days; an offer must be at least 90% of the court's appraisal. The court may then approve the sale and set the commission.

39. A home sold for $337,000 with a fair market value of $335,000. The seller took a purchase money second trust deed for $325,000 and sold it "without recourse" at a discount of $323,500. The buyer defaulted before the first payment was made. The holder of the second trust deed can:

A. foreclose for $323,500.

B. foreclose for $325,000.

C. look to the seller since "without recourse" has no effect.

D. look to the seller since the note was usurious.

Answer: B. The seller was not liable on the trust deed note and would not be liable for the default of the trustor. He or she further assured against liability by stating that the sale was "without recourse." (This means that the buyer could not look to the seller of the note for satisfaction of the buyer's default.) The buyer of the note is entitled to foreclose on the face value of the note for $325,000, not the $323,500 he paid for it.

40. There are different types of title insurance. The major differences between the owner's title insurance policy and the lender's title insurance policy include:

A. an owner's insurance covers the water and mining rights that the owner can claim.

B. a lender's insurance covers the interests of the mortgagee.

C. a lender's insurance extends coverage on easements and possession that is difficult to ascertain at time of purchase.

D. a lender's insurance covers the interest of the seller but owner's insurance covers the title.

Answer: B. A lender's insurance policy (an ALTA policy) insures the interests of that lender, or mortgagee. An owner's policy (a CLTA policy) insures the owner against risks of record and some off-record hazards such as forgery and lack of capacity. Only the ALTA policy extends coverage to water and mining rights. An ALTA policy does extend coverage to off-record easements and rights of parties in possession, but not because the information is difficult to ascertain.

41. In determining whether to insure title, the title company would rely most on documents found in the:

A. title report.

B. title guarantee.

C. chain of title.

D. title search.

Answer: D. A title search is an examination of matters disclosed by the public records, including the county recorder's office and such other sources as the county clerk, various tax agencies, federal court clerk, and the Secretary of State. The standard policy of title insurance, in addition to protecting against risks of record, protects against off-record hazards such as forgery, lack of capacity, nondelivery of a deed or federal estate taxes, et cetera.

42. A grants an estate to B for the life of X. B dies. The estate:

A. vests in X in trust until A dies.

B. reverts to the original owner.

C. passes to the heirs or devisees of B.

D. ceases to exist.

Answer: C. Since the life estate is based upon the life of X, it is not terminated by the death of B. B's interest would descend to his heirs, who would retain the life estate until the death of X.

43. Which item would most likely be short rated in escrow?:

A. Interest

B. Trust deed

C. Real estate taxes

D. Insurance

Answer: D. Taxes and interest in an assumption are usually prorated in escrow. If the seller's insurance is taken over by the buyer, the seller will be credited proportionately (pro rata) for the portion of the premium the buyer is debited for. When the buyer gets new insurance, the seller's policy will be canceled and the premium returned to the seller by the insurance company short-rated on a uniform schedule approved by the insurance commissioner.

44. A property is deeded to "John Jones, et ux." The Latin phrase et ux means:

A. amount over and above.

B. and others.

C. without recourse.

D. and wife.

Answer: D. Et ux, a Latin abbreviation for Et Uxor, means and wife.

45. A deed was given by "A" to "B" with oral instructions not to record the deed until "A's" death. The deed was:

A. voidable.

B. illegal.

C. valid.

D. void.

Answer: C. Recording is not a requirement for a valid deed. To effectively convey title with a deed, there must be (1) Delivery with the intention to convey and (2) Acceptance by the grantee.

46. What would never appear as a debit to the buyer on a closing statement?:

A. Tax prorations

B. FHA discount points on an FHA loan

C. Interest on an assumed loan

D. Insurance prorations

Answer: C. Interest payments are paid in arrears, that is, the payments are made to the lender only for the period during which the borrower had full use of the funds. Therefore, when a loan is taken over by the buyer, let's say in the middle of the interest-paying period, one half would be owed by the seller and the remaining one half by the buyer. Since the buyer will be obligated to pay the lender at the end of the scheduled payment period, and for the whole amount even though he owes only for one half of it, the debit made to the seller in escrow will therefore be credited to the buyer. Discount points on a new FHA loan would likely be a debit on the buyer's closing statement. Prepaid insurance premiums could be prorated and would be a debit to the buyer. Tax prorations could go either way.

47. The requisites of a grant deed differ from those of a land contract in which way?:

A. Designation of price

B. Warranties to purchaser

C. All of these

D. Signature of principals

Answer: C. A grant deed carries a warranty to the purchaser; a land contract does not. The grant deed requires the signature of the grantor only; a land contract requires the signature of the vendor and the vendee. A grant deed does not require a designation of the price; a land contract does.

48. A man owns a property free and clear valued at $660,000 with a book value of $440,000. If he exchanges for another property, also free and clear, valued at $730,000 and pays no boot, the book value of the second property will be:

A. $730,000.00

B. Cannot be determined with the facts given

C. $440,000.00

D. $660,000.00

Answer: C. In an exchange, if a party pays no boot, the basis in the property acquired is the same as in the property traded away. Both parties keep the basis they started with if no boot is given by either side.

49. If a seller received a check from escrow in the amount of $111,561.30 and escrow had deducted a commission of 6% of the selling price and other expenses of $1,210.50, the gross selling price was:

A. $111,277.80.

B. $110,067.30.

C. $111,561.30.

D. $119,970.00.

Answer: D. $111,561.30 + $1,210.50 = $112,771.80

(100% – Commission %) × GSP = NET (EEC) (Everything except commission)

(1.00 – 0.06) × GSP = $112,771.80

0.94 × GSP = $112,771.80

GSP = $112,771.80 ÷ 0.94 = $119,970

50. In making a title search, a title company would most likely search the records of:

A. the Federal Land Office.

B. all of these.

C. the county clerk.

D. the county recorder's office.

Answer: B. Since the policy of title insurance affords protection against matters of record, the title company would search all public records, not only the county recorder's office.

51. What is NOT a method for providing for depreciation?:

A. Sinking fund

B. Obsolescence

C. Straight-line

D. Sum-of-the-years' digits

Answer: B. Straight-line, sinking fund, and sum-of-the-years' digits are all accepted methods of providing for depreciation. Obsolescence is not a method, but a type of depreciation.

52. What would make a deed void?:

A. Signature of grantor is spelled differently from the typed spelling on the deed

B. Made to a fictitious grantee

C. Grantee is not named but is sufficiently described

D. Grantor is set forth and has signed under a name not his own

Answer: B. A deed made to a fictitious person, one that does not exist, is void. The other choices are acceptable.

53. A man purchased a lot for $100,000 cash. In order to construct a building valued at $500,000, he took out a loan of $400,000 at 11% per annum and put down $100,000 in cash. For income tax purposes, what amount could he depreciate over the life of the building?:

A. $100,000

B. $500,000

C. $600,000

D. $400,000

Answer: B. $500,000 building cost is the depreciable asset regardless of the amount financed.

54. The first installment of real property taxes had been paid by the seller for the current fiscal year. Property taxes for the current fiscal year amounted to $1,200. If escrow closed on February 1, what amount of prorated taxes would the seller be required to pay?:

A. $200

B. $600

C. $1,200

D. $100

Answer: D. The date of the item (DI) is January 1. The close of escrow (COE) is February 1. Since the DI is short of COE, the seller owes for this one month. One month's taxes would be $100.

55. Carson acquired title to several properties before his arrest. While in prison, he wanted to convey one property to his son and sell another. How would being in prison affect his ability to convey?:

A. His conveyance must be approved by an officer of the Department of Corrections.

B. He must first get permission from the California Adult Authority.

C. He can dispose of his property as he pleases.

D. It would be hard to acquire title insurance.

Answer: C. A prisoner is not automatically deprived of his civil rights (including his right to contract or deed his property) unless he has been sentenced to death or to life in prison.

56. During escrow, if an unresolved dispute should arise between the seller and buyer preventing the close of escrow, the escrow holder may legally:

A. act as a neutral arbitrator.

B. sue for specific performance.

C. enter court action with buyer and seller in an action of interpleader.

D. rescind the transaction and return all monies to both parties.

Answer: C. The escrow holder is really only a stakeholder, not legally concerned with controversies between the parties, and is entitled to enjoin such parties in an action of interpleader to require them to litigate controversies between themselves.

57. An ALTA extended coverage policy of title insurance would:

A. protect a lessee who moved onto the property after the date of issuance of title insurance.

B. cover encroachments after the date of issuance.

C. be limited to stated conditions and title as of the date of issuance.

D. cover easements created during the term of the policy.

Answer: C. A policy of title insurance is a contract to indemnify against loss through defects in the title or against liens or encumbrances that may affect the title at the time the policy is issued.

58. In California a buyer of real property is most likely to seek title protection through:

A. abstract of title.

B. policy of title insurance.

C. certificate of title.

D. recording of title.

Answer: B. In California title protection against future claims is through a policy of title insurance. Recording of a deed gives protection against past claims against title. The certificate of title and the abstract of title are ancient forerunners of the title insurance policy.

59. A homeowner may take advantage of an exclusion from capital gains on the sale of her principal residence:

A. only if she reinvests the proceeds into a new personal residence within a two-year period.

B. if the homeowner is over 55 years of age.

C. never.

D. if she has lived there two out of the last five years.

Answer: D. A homeowner may take advantage of an exclusion from capital gains on the sale of her personal residence multiple times, as long as they meet this current IRS criteria.

60. A deed is void at its inception if:

A. the grantee takes title under an assumed name.

B. the grantor is legally incompetent.

C. the grantee is a minor.

D. none of these are true.

Answer: B. There are six essential elements to a valid deed. One essential element is a competent grantor. If the grantor has been declared by a court to be incompetent, then a deed is void at its inception. Whether the grantee is a minor or whether the grantee takes title under an assumed name do not make a deed void at inception.

61. In the absence of a special agreement to the contrary, a trust deed normally having highest priority is one that was:

A. executed and delivered first.

B. executed first.

C. a construction mortgage.

D. recorded first.

Answer: D. Generally, recording establishes the priority of a trust deed. "First to record is first in right." An exception would result from the existence of a subordination clause. Other exceptions may exist in relation to mechanics' liens and judgment liens.

62. A buyer purchased a property using a recorded conditional sales contract and later defaulted on the payments. If a quitclaim deed was used to clear the cloud on title, it would be executed by:

A. both buyer and seller.

B. the seller

C. none of these.

D. the buyer.

Answer: D. This quitclaim deed would be executed by the buyer.

63. How much boot is necessary to effect the following exchange: NE 1/4 of the NE 1/4 of Section 9 at $800 per acre for the S 1/2 of the NE ¼ of Section 2 at $500 per acre. (Both parcels are owned free and clear.):

A. $8,000

B. $24,000

C. $18,000

D. $40,000

Answer: A. NE 1/4 of the NE 1/4 of Section 9 = 40 acres × $800/acre = $32,000

S 1/2 of the NE 1/4 of Section 2 = 80 acres × $500/acre = $40,000

$40,000 – $32,000 = $8,000 boot

64. An escrow closing statement that refers to "recurring costs" could be describing:

A. escrow charges.

B. title insurance.

C. impound accounts for taxes and insurance.

D. deed transfer taxes.

Answer: C. The term recurring costs describes the expenses that the buyer can expect year after year. These include property taxes and fire insurance, which are frequently impounded by the lender.

65. Ms. Johnson owns two personal residences. If she sells one residence, under what circumstances could she defer her gain?:

A. She could defer her gain if she sold either residence.

B. She could defer her gain only if the property sold was her principle residence.

C. She must sell both residences to defer the gain.

D. She could defer her gain on the residence of greater value.

Answer: B. The residence for deferring income tax on capital gain applies only to a person's one principal residence.

66. What best defines adjusted basis of a property for income tax purposes?:

A. Acquisition cost plus capital improvements plus depreciation

B. Acquisition cost plus capital improvements

C. Acquisition cost plus capital improvements minus depreciation

D. Acquisition cost

Answer: C. The most complete and accurate statement for adjusted basis is acquisition cost plus capital improvements minus depreciation.

67. For federal income tax purposes, a taxpayer could adjust the cost basis of the personal residence on income tax records for which item?:

A. The addition of a concrete patio

B. Interest on a loan

C. Depreciation

D. Fire insurance premiums paid

Answer: A. Cost basis is the same as tax basis. The addition of a capital improvement would constitute an increase to cost basis.

68. Seizure of property for payment of money before judgment is known as a(n):

A. attachment.

B. writ of execution.

C. lis pendens.

D. condemnation.

Answer: A. An attachment is a legal seizure prior to a court action. The instrument employed is a writ of attachment. A lis pendens effectively puts a "hold" on property, but it is not a seizure

69. For federal income tax purposes a property owner can deduct all of these expenses in computing annual net income EXCEPT:

A. the manager's salary.

B. interest paid on a mortgage.

C. depreciation.

D. a wooden fence.

Answer: D. nterest, depreciation, and manager's salary (an operating expense) are all allowable deductions for income tax purposes.

70. An escrow can be terminated by:

A. an attorney-in-fact acting for one of the principals.

B. mutual consent of the parties.

C. revocation by the broker.

D. incapacity or death of either party.

Answer: B. An escrow may be terminated by mutual consent of the parties. An escrow may not be terminated unilaterally by incapacity or death of either party, an attorney-in-fact acting for one of the parties, or revocation by the broker.

71. The trustee will deliver to the trustor a:

A. reconveyance deed.

B. quitclaim deed.

C. grant deed.

D. trustee's deed.

Answer: A. In a deed of trust arrangement, the trustor is the owner-borrower who has placed bare legal title in trust with a third neutral party called the trustee. When the debt to the lender (beneficiary) is satisfied, the trustee reconveys the title back to the trustor by using a reconveyance deed. A trustee's deed would be used in case of foreclosure and would not be delivered to the trustor.

72. Unless otherwise specifically stated, a grant deed presumes to convey:

A. an estate for years.

B. a fee simple defeasible estate.

C. in fee simple.

D. a life estate.

Answer: C. While a fee simple defeasible and a life estate can be transferred by a grant deed, they must be specified. An estate for years is transferred by a lease. A fee simple (absolute) is one that is not qualified, and is presumed if nothing else is specified.

73. A deed made and delivered, but not recorded, is:

A. valid as between the parties and invalid as to subsequent recorded interests without notice.

B. invalid as between the parties.

C. valid as between the parties and valid as to subsequent recorded interests.

D. invalid as between the parties and valid as to third parties with constructive notice.

Answer: A. Recording a deed gives constructive notice to the world of the contents of the deed. The recording laws were enacted to protect innocent third parties. In this instance, the grantee did not record the deed; therefore, he or she cannot expect the courts to protect the title against third parties or subsequent recorded interests that have no knowledge of the document. The deed itself is valid between the

grantor and the grantee, but invalid as against an innocent purchaser without notice.

74. If a change of ownership is not recorded, how many days after the change does an owner have to inform the county tax assessor about a change of ownership?:

A. 15 days

B. 30 days

C. 60 days

D. 45 days

Answer: D. A Change of Ownership Statement must be filed with the county recorder or county tax assessor at the time of recording, or if the transfer is not recorded, within 45 days of the change of ownership.

75. A summary and digest of all transfers, conveyances, legal proceedings, and any other facts relied on as evidence of title, showing continuity of ownership, together with any other elements of record which impair title, is a definition of a(n):

A. certificate of title.

B. abstract of title.

C. chain of title.

D. boilerplate form.

Answer: B. The stem of this question gives us a good definition of abstract of title. The part of the question that suggests abstract of title rather than chain of title is the phrase "…facts relied on as evidence of title…"

76. Escrow companies normally base their prorations on a year of:

A. 355 days.

B. 350 days.

C. 360 days.

D. 365 days.

Answer: C. Escrow companies prorate on the basis of a 30-day month and 360-day year, unless instructed otherwise.

77. A Standard Policy of Title Insurance would insure against:

A. all of these.

B. items that the insured knew were faulty.

C. forgery in the chain of title.

D. validity of a tenant's lease to be free of all liens and encumbrances.

Answer: C. The standard policy of title insurance insures against (1) matters of record; (2) forgery and fraud; (3) lack of capacity; and (4) improper delivery. Insurance for validity of a tenant's lease to be free and clear of all liens and encumbrances requires a special endorsement. Insurance against items that the insured knew were faulty is incorrect because no policy will insure against that.

78. The main purpose of a deed is to:

A. provide evidence of a change of title or transfer of an interest in real property.

B. show a change of real property transfer.

C. identify the parties in the transfer of title of real property.

D. provide a legal document eligible for recording.

Answer: A. A deed is a written instrument that conveys title to or an interest in real property.

79. Which statement regarding a tax-free exchange is TRUE?:

A. A party to the exchange can deduct a loss on the exchange.

B. A rented house cannot be exchanged for an office building.

C. To be eligible, a property must be held for income or investment or for use in trade or business.

D. Each party must trade for like property of equal value with a smaller mortgage and receive boot.

Answer: C. To be eligible for a Section 1031 exchange, a property must be held for income or investment or be property held for productive use in trade or business. "Each party must trade for like property of equal value with a smaller mortgage and receive boot" is incorrect as boot would not be received in the trade for property of equal value with a smaller mortgage. "A party to the exchange can deduct a loss on the

exchange" is incorrect as the loss is not attributable at time of exchange. "A rented house cannot be exchanged for an office building" is incorrect as rental property can be exchanged for an office building.

80. A person who has been judicially declared incompetent and who was bequeathed three properties by his brother:

A. cannot receive title to real property but can receive title to personal property.

B. can accept title to real property given to him in a will.

C. can accept title only if it is placed with a trustee.

D. cannot receive title to real property because of his incompetency.

Answer: B. A grantee of a deed or the beneficiary of a will is required only to be alive to have capacity to hold title. Therefore, the person judicially declared incompetent can receive title to both real and personal property.

81. Green paid $77,000 for a home in a real estate transaction. The lender would lend 80% of the $75,000 value. If the buyer was

charged 3% of the selling price for closing costs and made a $1,200 cash down payment, what additional amount of money would the buyer need in order to complete the transaction?:

A. $13,490

B. None of these

C. $18,110

D. $15,800

Answer: C. Total cost to buyer
Purchasing price = $77,000
Closing costs (3% × $77,000) + 2,310 = $79,310
Less proceeds to offset costs
Loan (0.80 × $75,000) = $60,000
Down payment
+ 1,200
−61,200
To complete transaction
$18,110

82. A proper acknowledgment may be taken by a notary public who is:

A. the grantee of a deed.

B. an employee of a corporation for which the instrument needs to be acknowledged if he has no interest in the property.

C. the mortgagee of a mortgage.

D. the grantor of a deed.

Answer: B. An employee or officer of a corporation may take an acknowledgment if such individual is not personally interested and does not execute the instrument as an officer of the corporation. Duties as a notary public or as an officer of the corporation are distinct.

83. A standard policy of title insurance insures against:

A. defects in the title known to the purchaser but not to the title company as of the date of the policy.

B. unrecorded easements.

C. eminent domain.

D. lack of capacity of persons having to do with title.

Answer: D. Among the risks listed, a standard coverage policy of title insurance protects against only lack of capacity of persons conveying

or holding interests in the property.

84. Tooly, a 15-year-old minor, inherited some land that he deeded to a nonprofit organization. The organization recorded the deed and put a building on the land. At 18, Tooly changed his mind and decided he wanted the property back. Which statement is TRUE?:

A. Because of the time lapse between 15 and 18, Tooly was unable to reclaim the property.

B. The deed was void because Tooly was a minor.

C. Tooly could claim the property if he reimbursed the organization for the cost of the building.

D. Recording created an estoppel and prevented Tooly from having claim to the property.

Answer: B. This choice is clearly a correct statement, as there is no evidence that Tooly was emancipated when he deeded.

85. In the event there is no provision in the escrow instructions with regard to a termination date, the parties to the escrow have:

A. 60 days.

B. 30 days.

C. a reasonable time.

D. 10 days.

Answer: C. When the escrow closing date has not been set, it then falls to a reasonable time, which may be 5 days, 90 days, or 1 year. The type of transaction would dictate the limit when there is no agreement. Escrow instructions normally include a default time limit.

86. Realized gain includes:

A. all of these.

B. that portion of the gain that does not have to be declared in the present.

C. that portion of the gain that is attributable to that tax year.

D. the total gain.

Answer: A. The realized gain is the total gain, which would include both the recognized gain and the deferred gain.

87. By which means can a person gain title to real property?:

A. Appurtenance

B. Riparian rights

C. Accession

D. Littoral rights

Answer: C. Title to real property can be acquired by accession-the addition to property through the efforts of man or by natural forces. Riparian and littoral rights are water rights, which are appurtenances to real property.

88. In accordance with the Real Estate Settlement Procedures Act, the lender must supply the borrower with a Uniform Settlement Statement:

A. at or before closing.

B. 1 day prior to settlement.

C. 10 days after loan commitment.

D. 3 days prior to settlement.

Answer: A. Under RESPA, the lender must deliver to the borrower a Uniform Settlement Statement at or before settlement. If requested by the borrower the Uniform Settlement Statement may be inspected during the business day immediately preceding the date of settlement. The HUD-1 Settlement Statement is a standard form that clearly shows all charges imposed on borrowers and sellers in connection with the settlement (closing).

89. Mr. Newton owned a six-unit dental building and lot valued at $225,000. The adjusted cost basis was $185,000 and the property was mortgaged for $137,000. He exchanged with the owner of a store building valued at $198,000 with a $125,000 mortgage. Newton also received $25,000 cash boot. What is Newton's actual and taxable gain?:

A. $73,000-$43,000

B. $50,000-$37,000

C. $78,000-$54,000

D. $50,000-$13,000

Answer: B. Step 1: Newton's Dental Building Store Building
$225.000 Market value $198,000
–137,000 Mortgage –125,000
$ 88,000 Equity $ 73,000
Cash 25,000

Step 2: Newton "gets" $198,000 Property (like-kind)
+ 12,000 Mortgage relief
+ 25,000 Cash 37,000 Boot
$235,000 Total

Step 3: Less his basis
in dental bldg. –185,000
50,000 realized (actual gain)

Step 4: Of which 37,000 is recognized (taxable now)

Step 5: Leaving $ 13,000 Deferred gain

90. Which would NOT be covered by a CLTA policy but would be covered by an ALTA policy?:

A. Property lines accurately established by a survey

B. Mistakes in liens and documents of record

C. Discrepancies found in documents of record

D. Capacity of the grantee of a deed of reconveyance

Answer: A. Facts appearing in a correct survey would be one of many risks covered by an ALTA policy not covered in a CLTA policy.

91. Able died leaving no heirs but had willed Blackacre Ranch to Baker. Talbot was in possession of Blackacre under an existing lease that had two years to run. During the probate of Able's estate, the court found the will to be invalid. Under these circumstances, title to Blackacre would:

A. pass by statutory provisions by a court of proper jurisdiction.

B. pass to Baker since it was Able's intent.

C. pass through an action by one or more of the heirs for declaratory relief.

D. pass to Talbot since he is in possession.

Answer: A. The court would follow the law of the state because the will failed. Therefore, with no heirs claiming the property, it would escheat to the state after a five-year period.

92. Points paid in obtaining a loan are treated in what manner on the federal income tax return?:

A. Points are always deductible if used for interest but not for specific services by a lender.

B. Points are always deductible.

C. Points are deductible only if the loan is obtained through a state or federal bank.

D. The manner in which they are treated depends on what they are being used for.

Answer: D. If points are paid to a lender solely for the use of the money borrowed (discount points) they may be deducted in full by the borrower as an interest expense. If they are paid for specific services of the lender, they are not deductible as interest. Points paid for interest are not always deductible if paid for interest; an example of an exception is points paid by a seller.

93. Without being licensed by the corporations commissioner as an escrow company, a real estate broker may:

A. handle only those escrows pertaining to property which broker owns or has an interest.

B. never act as an escrow agent.

C. handle escrows for all brokers in an area where there is no established escrow company.

D. handle escrows in connection with real estate transactions in which broker acted as an agent.

Answer: D. The law exempts a real estate broker from the license requirement while performing acts in the course of a real estate transaction in which the broker is performing an act for which a real estate license is required. The broker may not hold escrows for other brokers or for individuals acting without a broker.

94. A buyer of a business opportunity would obtain a Certificate of Clearance from the:

A. Secretary of State.

B. State Board of Equalization.

C. County Tax Assessor.

D. Franchise Tax Board.

Answer: B. The Board will issue the Certificate of Clearance if the seller of a business has paid his sales tax in full.

95. Buyer and seller sign escrow instructions that the broker takes to the escrow agent. The escrow agent discovered discrepancies between the escrow instructions and purchase contract. Which statement is TRUE?:

A. The escrow instructions generally prevail because it is the most recent document.

B. The escrow agent and the broker must resolve the conflict.

C. The purchase contract would prevail because it is the original document.

D. The purchase contract must be redrafted to agree with the escrow instructions.

Answer: A. A subsequent document (such as escrow instructions) will prevail over an earlier document (the deposit receipt).

96. A quitclaim deed releases present claim, rights, and title of the:

A. grantee.

B. grantor.

C. servient tenement.

D. property.

Answer: B. The grantor is the owner of whatever rights are to be conveyed, whether by grant deed or quitclaim deed.

97. Smith buys an apartment building for $300,000. She keeps it for 10 years and sells it for $300,000 since the land and the building value did not increase. She had depreciated $110,000 over her period of ownership. As to her tax position:

A. her gain is taxable as ordinary income.

B. her gain may be deferred.

C. she has no recognized gain.

D. he has to pay capital gains on the amount of the depreciation.

Answer: D. Original cost $300,000 To acquire property

Recaptured –110,000 by sheltering his income from tax ("Took depreciation" or recapture of investment)
Remaining book value $190,000
Sold for $300,000
Less cost basis –190,000
Equals total $110,000 Long-term capital gain
Note: In this example, by coincidence the long-term capital gain is the same as the amount of the depreciation taken.

98. All of these are required for acquiring title by adverse possession EXCEPT:

A. confrontation with the owner.

B. hostile to the true owner's title.

C. it must be under a claim of right or color of title.

D. open and notorious use.

Answer: A. There are five essentials for acquiring title by adverse possession: (1) Open and notorious occupation (residence not required); (2) Continuous use for five consecutive years; (3) held under claim of right or color of title; (4) payment of the taxes for five

consecutive years; and (5) hostile to true owner, that is, without any degree of permission. A confrontation with the owner is not a requirement.

99. In the absence of court approval, a minor or incompetent can:

A. receive a deed to a property through gift or inheritance.

B. do all of these.

C. encumber real property through a power of attorney.

D. convey property through a guardian.

Answer: A. A minor can receive property through gift or inheritance, but because a minor is incapable of appointing an agent, such delegation of authority as appointing a power of attorney is void. Negotiating in real property with or for a minor is permitted through a court-appointed guardian (parents if living). Each transaction requires court approval.

100. What would appear as a credit to the seller on a closing statement?:

A. Cash charge for a quitclaim deed

B. Proration of prepaid taxes

C. Cash charge for recording buyer's deed

D. Proration of prepaid rents

Answer: B. The proration of prepaid taxes will be a credit to the seller (and a debit to the buyer) since the buyer will be in title and benefit from that prepayment. Proration of prepaid rents will be a debit to the seller (and a credit to the buyer) since the seller will not be in title during the period for which the prepaid rents were paid. Cash charge for recording buyer's deed is a buyer's expense and therefore a debit to the buyer only. Cash charge for a quitclaim deed will be a seller's expense and therefore a debit to the seller only.

101. If a home sold for $76,000, which represented a 17% profit over the original purchase price, the original purchase price was:

A. $63,500.00

B. $63,250.00

C. $65,431.00

D. $64,957.00

Answer: D. (1.00 + Profit) x Cost = Selling price

(1.00 + 0.17) x Cost = $76,000

Cost = $76,000 ÷ 1.17 = $64,957

102. If a seller received a check from escrow in the amount of $37,187.10 and escrow had deducted a commission of 6% of the selling price and other expenses of $403.50, the gross selling price was:

A. $39,990.00.

B. $31,609.00.

C. $38,182.40.

D. $37,590.60.

Answer: A. (1.00 – Comm.) × GSP = Net (Everything except commission)

(1.00 – 0.06) × GSP = $37,187.10 + 403.50

0.94 ×GSP = $37,590.60

GSP = $37,590.60 ÷ 0.94 = $39,990

103. Buyer purchased a property from Seller on August 15, 2006. Buyer was to take possession as of September 30, 2006, with all prorations to be as of the same date. On November 1, 2005, Seller had paid the taxes for the fiscal year of 2005-2006. The escrow closing statement would show:

A. Buyer pays Seller for nine months' taxes.

B. Seller pays Buyer for three months' taxes.

C. Seller pays Buyer for nine months' taxes.

D. Buyer pays Seller for three months' taxes.

Answer: B. The taxes have been paid to July 1, 2006, which is three months short of the close of escrow, September 30, 2006. The seller is obligated to pay the buyer for the taxes for the months of July, August, and September.

(1) C.O.E.: September 30, 2006

(2) D.I.: July 1, 2006 (Date of item: Taxes paid to July 2006)

(3) Short of C.O.E. 3 mos. Therefore, seller owes 3 mos.

104. What is most frequently employed to ensure title to real property for a grantee?:

A. Title insurance

B. Warranty deed

C. Recordation of deed

D. Certificate of title

Answer: A. The best and most common protection to ensure title to real property is afforded by means of a title insurance policy.

Real Estate Practice

1. A lessor is renting a furnished apartment from period to period. Under the Fair Housing Act, the lessor may do all of these things EXCEPT:

A. obtain credit checks on married couples.

B. check with former landlords for references.

C. collect the first, second, and last month's rent.

D. require only single tenants to have a co-signor for the lease.

Answer: D. A lessor may not discriminate based on marital status as would be the case in requiring a single tenant to have a co-signor.

2. At the time an owner offers to list his or her property with a broker, the owner makes it a condition that it may not be disclosed that the home is in a slide area. What should the broker do?:

A. The broker should not take the listing.

B. The broker should recommend that the owner list his property with someone else.

C. The broker should advise the owner to sell the property himself.

D. The broker should accept the listing but disclose this information orally to any initial buyers.

Answer: A. ker's fiduciary obligation to the client requires obedience to all lawful instructions. It would be a violation of law for the seller or the seller's agent to withhold from a prospective buyer material facts about the property. For the broker to accept a listing under such terms would be to participate in a conspiracy to violate the law. To advise the owner to proceed alone or with someone else would be to advise the owner to violate the law.

3. An agent would be guilty of fraudulent misrepresentation when:

A. the misrepresentation caused the purchaser to enter into a contract.

B. all of these happened.

C. the representation was material and inconsistent with fact.

D. the misrepresentation was given with knowledge of the truth.

Answer: B. Fraud exists when these three factors are present: (1) when a person misrepresents a material fact (2) while knowing it is not true, and (3) the purchaser relies thereon in entering into the contract.

4. Robert Smith signed an offer and gave the broker his personal check made payable to an escrow company as a deposit. He stipulated that the broker was to hold the check until his offer was accepted by the seller. The listing agreement specified that any deposit money must be a cashier's check made payable to the seller. Under these circumstances, the broker should:

A. refuse to accept a deposit that does not conform to the precise terms of the listing.

B. hold the check but do not reveal to the seller that he has accepted the check until the seller accepts the offer.

C. submit the offer and deposit the check in escrow.

D. submit the offer and hold the check.

Answer: D. The Real Estate Law permits a broker to hold the check when he has been ordered to do so by a principal. Since he was not authorized by the seller to accept a personal check, his acceptance of such a check makes him the agent of the buyer for the amount of the check.

5. A licensed real estate salesperson has been selling unimproved lots through the employing broker and receiving a finder's fee from a lender for referring the buyers to the lender. The broker discovers this and fires the salesperson and warned all the other salespeople not to be involved in this type of practice. If these facts come to the attention of the real estate commissioner:

A. the salesperson alone is subject to disciplinary action.

B. both the broker and the salesperson may be disciplined.

C. the commissioner has no cause for disciplinary action even though it may be unethical.

D. the broker and not the salesperson is subject to disciplinary action.

Answer: B. The broker could be disciplined for not notifying the commissioner of the violation and the salesperson could be disciplined for receiving commissions from someone other than the employing broker.

6. Williams owned 40 acres of land in 1955, which she subdivided into 65 lots and placed a restriction in each deed that said these

lots may "not be sold to non-Caucasians." This restriction is:

A. prohibited by local, state, and federal statutes and regulations of all real estate commissions.

B. unenforceable through court action because it is a violation of the U.S. Constitution.

C. valid until Williams died.

D. none of these.

Answer: B. Restrictions prohibiting the use of property on the basis of race, color, sex, religion, ancestry, or national origin are unenforceable because enforcement undertaken by the state would violate the 14th Amendment of the U.S. Constitution. Even if there is some area where they are not specifically prohibited, they are still unenforceable.

7. A seller asked his listing broker the ethnic background of a prospective buyer. In this situation,:

A. the broker should ask the buyer's broker if it is all right to advise the seller of the buyer's ethnic background.

B. disclosure may be made but the broker must tell the seller it cannot affect his decision because of the California Fair Housing Law.

C. the broker must disclose this information.

D. disclosure is against the Rumford Act.

Answer: D. The Rumford Act prohibits discrimination due to race, religion, color, sex, marital status, physical handicap, national origin, or ancestry in the sale, rental, lease, or financing of housing.

8. A landlord and tenant mutually agree to terminate a lease. This is often referred to as:

A. release.

B. abandonment.

C. rescission.

D. surrender.

Answer: C. Surrender is a mutual agreement between the landlord and tenant to terminate a lease. Rescission is a mutual agreement to release each other from any contractbefore performance, under which the parties must restore each other to their former positions.

9. When a structural pest control report is a condition of a transfer by the buyer, the report must be delivered to the:

A. broker.

B. buyer.

C. escrow company.

D. lender.

Answer: B. If it is a condition placed in the contract by the buyer, then he or she must receive a copy of the report. Typically the lender will make it a condition of financing, but this question specifically addresses the issue of the buyer, not the lender.

10. A man was going to build a home on a 50′ by 150′ lot and wanted it to fit in relation to its surroundings. This placement would be known as:

A. orientation.

B. elevation.

C. topography.

D. plottage.

Answer: A. Orientation is the placing or positioning of a structure on the lot with regard to exposure to the sun, prevailing winds, privacy, and protection from noise.

11. A kiosk is a:

A. small open sided structure.

B. roof style.

C. method of home cooling.

D. popular garden ornament.

Answer: A. A kiosk is a small open-sided structure.

12. In an advertisement, only the annual percentage rate is mentioned. What else must also be disclosed in the ad?:

A. No further disclosures necessary

B. Monthly payments required

C. Amount of down payment required

D. Amount of loan

Answer: A. If only the APR is given, no additional disclosures are required. Don't confuse that with the following rule:

If any one of the following is given:

1. Amount or percentage of any down payment
2. Number of payments or period of repayment
3. Amount of any payment
4. Amount of any finance charge

Then, the ad must disclose:

1. Amount or percentage of the down payment
2. Terms of repayment
3. APR, and if the rate may be increased, that fact

13. Mr. Borg purchased a new mobile home two months ago and contacted broker Wilson to take a listing on it. With respect to this information, Wilson:

A. could take a listing anytime but could not sell the mobile home for one year.

B. could not list the mobile home unless she was also licensed by the Department of Motor Vehicles as a Vehicle Dealer.

C. could not list the mobile home if it had not been registered with the Department of Housing and Community Development.

D. could not take a listing and sell the mobile home unless it was installed on a foundation and properly registered with the county recorder.

Answer: C. Real estate brokers are not allowed to list mobile homes that are "new," which means those not registered with the DMV or H&CD. An exception is allowed if the mobile home is bought to be installed on a "regular" lot and is handled as real property by a proper recordation with the county recorder. When a manufactured home is properly installed on a permanent foundation on the owner's lot, it becomes real property and is no longer a mobile home.

14. Metal that is used in a roof to prevent water from seeping through is called:

A. flashing.

B. lath.

C. soffit.

D. mud sill.

Answer: A. Flashing is sheet metal (or sometimes composition material) that is used to protect, cover, and deflect water from joints or angles, such as roof valleys, or above window and door openings.

15. What will have an impact on the real estate market in years to come?:

A. Land-use regulation

B. All of these

C. Consumerism

D. The real estate industry

Answer: B. Changes in the real estate market are currently being brought about by growing land-use regulation, the growth of the philosophy of consumerism, and extended legislative and judicial regulation of the real estate industry.

16. A Mortgage Loan Disclosure Statement (Broker's Loan Statement) is required by law to be retained by the broker for:

A. three years.

B. two years.

C. four years.

D. five years.

Answer: A. According to the Real Estate Law, the Mortgage Loan Disclosure Statement (Broker's Loan Statement) must be kept by the broker for three years.

17. Under most normal competitive conditions, what would be most likely to influence vacancy:

A. Availability of housing units

B. Size and number of units

C. Cost of construction funds

D. Rent schedule

Answer: A. When overbuilding results in oversupply, the amount of space may exceed the demand, producing a general increase in vacancies.

18. To manage properties for the general public an individual must be:

A. anyone; nothing is required.

B. a member of a rental service that lists apartments for rent.

C. a certified property manager (CPM).

D. a licensed broker.

Answer: D. Code Section 10131 (b) requires a broker's licensee of anyone who, for others and for compensation, leases or rents real

property or a business opportunity.

19. The federal Fair Housing Law was enacted for the purpose of:

A. providing fair housing opportunity for all persons throughout the United States.

B. providing fair housing for minority groups.

C. elimination of prejudice throughout the United States.

D. equal but separate housing within the states.

Answer: A. This is the law's basic purpose: to provide all persons in the United States with fair housing opportunities.

20. Wall studs are placed on and secured to:

A. subflooring.

B. girders.

C. joists.

D. sole plates.

Answer: D. A sole plate is a member (piece of lumber), usually a 2 x 4, on which wall and partition studs rest.

21. A conduit in a new building would be installed by a(n):

A. carpenter.

B. plumber.

C. roofer.

D. electrician.

Answer: D. Conduit is used in the electrical trade.

22. A property that is referred to as "turn key" is likely to be:

A. parcels on which the planning is complete and ready for building.

B. an illegal ranch subdivision.

C. a government-subsidized low-income housing project.

D. a contractor's package that is completed and ready for occupancy.

Answer: D. A "turn key" project is defined as a construction project in which the builder delivers a completed facility, including all items necessary for occupancy. The occupant only "turns the key" and takes possession.

23. A plot plan:

A. shows exterior of structures to be built.

B. is used as an exact guide for construction of improvements.

C. is used as a guide to the placement of structures and related improvements on the lot.

D. shows contour of the land.

Answer: C. A plot plan shows the layout of improvements on a property site (a plot). The plot plan usually includes location, dimensions, parking areas, landscaping, and the like.

24. A real estate agent's license will be suspended when the real estate fund pays a judgment creditor of the agent and will not be reinstated until the agent:

A. pays back the recovery account with interest.

B. pays the judgment creditor all funds that were not paid from the recovery account, plus interest.

C. pays the judgment creditor and the recovery account plus interest.

D. reimburses the recovery account for one-half of all funds paid to the judgment creditor, plus interest.

Answer: A. The Real Estate Law (B&P Code Section 10475) provides that no broker's or salesperson's license suspended under these circumstances can be reinstated until the recovery account has been repaid in full, plus interest at the prevailing legal rate.

25. What could create an interest in property with possessory rights but no form of title?:

A. Land contract

B. Easement

C. Mortgage

D. Sublease

Answer: D. A sublease is a transfer of less than the leasehold with the reversion in the sublessor and would create no form of title in the sublessee. A land contract transfers (1) possession, (2) equitable title, and (3) the right to acquire the fee title after all the conditions of the contract have been met. A mortgage does not convey any possessory interest; it is a security device.

26. What is prima facie evidence of deceptive or misleading advertising in the sale of real estate?:

A. A poorly drawn map that would make it difficult to find the location of the subdivision

B. The omission of the purchase price or financial terms

C. Any guaranteed yield or return on a promissory note that does not agree with the advertised interest rate

D. The misspelling of the subdivision's name

Answer: C. In real estate law there is an express prohibition against implying any yield or return on a promissory note different from the interest rate in the note itself unless the advertisement sets forth both the actual rate and the difference between the outstanding balance of the note and the price at which it is being offered for sale, that is, the discount.

27. Under California law, it is necessary to give notice to terminate:

A. estate for years.

B. estate at sufferance.

C. None of these.

D. estate at will.

Answer: D. Under common law, an estate at will is one that is terminable at the will or unilateral decision of either party. By statute, California has modified the abrupt conclusion of such estates and requires advance 30-day notice of termination by each party. If this

question had referred to common law, the answer would have been "None of these."

28. Considering the nature of real estate investments in that they are made over a long period of time, require a considerable amount of money, are harder to care for, and generally have a slower turnover, the return on these investments should be:

A. more than bonds and first trust deeds.

B. the same as first trust deeds.

C. the same as bonds.

D. higher than bonds but lower than first trust deeds.

Answer: A. Most investors in real estate demand a greater return than is customary with bonds or trust deeds because the risk of ownership is higher and the investment does not have the same degree of liquidity.

29. An owner of a small investment company advertised and sold properties for a commission. In his advertisements he did not

indicate that he was a licensee, and in fact, he was not. He also made false statements in his advertising. Since he failed to disclose material facts, who would prosecute this person?:

A. Local law agencies

B. Attorney general

C. Real estate commissioner

D. District attorney

Answer: D. The district attorney prosecutes violators of the real estate license law. Without a license one cannot receive compensation, a commission, or fee for the performance of any of the acts defined as being within the purview of a licensed broker or salesperson. Since the person in the question is not licensed, the real estate commissioner would not have the authority to discipline this individual.

30. A salesperson, canvassing a Caucasian neighborhood that was located near a minority neighborhood, contacted prospective sellers and informed them they should sell now before their property lost value due to minorities entering into the area. Using these tactics he was successful in obtaining several listings. This action is considered to be:

A. panic peddling.

B. steering.

C. both panic peddling and blockbusting.

D. blockbusting.

Answer: C. The technique described as a means of obtaining listings is called "inducement to panic selling" or "blockbusting"—a certain violation of law. The word peddling is used as a slang expression for "selling"—thus "panic peddling."

31. A real estate licensee is canvassing an area in order to secure listings for an office. The agent tells the prospective sellers that minority groups are moving into the area and it would be advantageous to sell at this time. If the licensee canvasses in this manner, she:

A. would not be disciplined by the real estate commissioner since this is a legitimate selling tactic.

B. would not be disciplined by the real estate commissioner if the broker had instructed her to canvass in this manner.

C. would be disciplined by the real estate commissioner for canvassing in this manner.

D. would not be disciplined by the real estate commissioner if the prospective sellers were members of a minority group.

Answer: C. The Real Estate Law prohibits any solicitation based upon the entry into a neighborhood of a person of another race, color, sex, religion, ancestry, physical status, marital status, or national origin. This practice is called blockbusting or panic selling.

32. A seller sued a real estate broker for misrepresentation of a material fact that the broker had made to him during the sale transaction. In defending the suit, the broker was able to prove that the listing contract with the seller had been an oral agreement. Under these circumstances:

A. the statute of frauds is not a bar in any real estate transaction litigation.

B. this defense is not a bar because it was not the issue.

C. this is a valid defense based on the statute of frauds.

D. the broker is only liable for misrepresentation to buyers.

Answer: B. The broker cannot use the statute of frauds as a defense in this situation. The statute requires that the listing contract be in

writing to be enforceable in court but has nothing to do with misrepresentation.

33. An escrow company received two termite reports in which the estimates of cost of the work differed. Under these circumstances:

A. the seller and broker should present both reports to the buyer.

B. the most expensive report should be used.

C. the least expensive report should be used.

D. the seller and broker must decide which report to use.

Answer: A. The results of a pest control inspection report, including the cost of corrective work, would be material facts to a buyer and must be disclosed. If two or more inspections are made, all reports must be disclosed

34. Under what circumstances may a broker fill out the seller's Real Estate Transfer Disclosure Statement?:

A. If authorized by the escrow agent

B. When instructed to do so by the seller

C. Never

D. When the seller is out of town

Answer: C. The Seller's Real Estate Transfer Disclosure Statement must be completed by the seller.

35. A buyer made an earnest money offer to purchase property, and the broker placed the funds in his trust account. After the seller's acceptance but prior to opening of escrow, the buyer informs the broker that he has revoked his offer and demands the return of the deposit. The broker, not wanting to be involved in the conflict with respect to the disposition of the deposit funds, deposited them with the appropriate court. This would be an example of:

A. assignment.

B. equitable disposition.

C. surrender.

D. interpleader.

Answer: D. Interpleader is a court proceeding by the stakeholder of property who claims no proprietary interest in it, for the purpose of deciding who among claimants is legally entitled to the property.

36. The owner of an apartment building wished to rent to married couples only and planned to inquire on the rental application about the marital status of prospective tenants. The inclusion of this question on the application:

A. is acceptable if the property is unencumbered.

B. is acceptable if the loan on the property was given by a private investor.

C. would be acceptable since there is no law prohibiting this.

D. is illegal.

Answer: D. Many state, federal, and local laws make it illegal for the owner of any housing accommodation to make or to cause to be made any written or oral inquiry concerning the race, color, religion, sex, marital status, national origin, or ancestry of any person seeking to purchase, rent, or lease any housing accommodation.

37. In a transaction in which the sale of a property has resulted, the broker must keep a copy of the deposit receipt for three years from the date of:

A. closing of transaction.

B. acceptance of offer.

C. deposit receipt.

D. recording of grant deed.

Answer: A. The Real Estate Law dictates that the broker must keep a copy for three years starting from the date of closing if such occurs. The date of the contract is used if the escrow does not close.

38. A percolation test is used to determine:

A. size of the cistern needed for a given building.

B. depth of footings.

C. capacity of soil to absorb water.

D. quantity and potability of water.

Answer: C. Percolation tests are used to determine the ground's ability to pass fluids through the soil and remove impurities.

39. In the purchase of a residence, the buyer conditioned the sale upon the seller's providing the buyer with a certified inspection report from a licensed pest control operator showing the property to be free of wood-destroying organisms. The seller contracted the Apex Termite Control Company who, upon inspection, reported termite damage and estimated the repairs would cost $500. The seller then had Apex repair the damage and the seller made payment directly to the contractor for the work that had been done. With respect to the report of work accomplished, which statement is TRUE?:

A. The escrow officer would ensure the buyer has received a copy of the report since escrow cannot close until this has been accomplished.

B. The Apex Termite Company would be required to deliver a copy to the buyer.

C. No report need be made to the buyer since the seller had the work done and paid for it, and the residence is now free of termites.

D. Either the broker or the seller would be responsible for delivering a copy to the buyer.

Answer: D. Either the seller or broker must ensure that the buyer receives a copy of the report showing that the repairs were

accomplished and that the property is free of termites.

40. Johnson, who owns a ranch, gave Broker Otis an exclusive listing to sell the property. Johnson also advanced Otis $100 to advertise the sale of this ranch in a brochure published by Otis. The real estate law requires that brokers must account for such funds by placing the $100:

A. in the broker's trust account in order that the money may be returned to the seller if the property is not sold.

B. in the broker's trust account in case the seller defaults.

C. in the broker's personal office account and spend it only for advertising the property.

D. in the broker's trust account, expend from the trust account only for advertising the property, and provide a report to the seller that will itemize all expenditures made.

Answer: D. The $100 collected by the broker is an "advance fee" because the money to pay for it is collected from the principal in advance, distinguished from advertising in a newspaper and paying for the advertising after the fact out of the commission collected. By law, in order to avoid possible misuse or errors, such advance fees must be placed in the broker's trust account and expended only for advertising the property, and brokers must provide a report to the seller itemizing all expenditures made.

41. A licensee who has negotiated the sale of a mobile home would NOT be subject to discipline by the commissioner of real estate if he or she:

A. sent a check to the Department of Housing and Community Development drawn on an account that has insufficient funds.

B. failed to deliver the certificate of registration to the Department of Motor Vehicles.

C. advertised a mobile home as being new when it is not new.

D. sold a mobile home that is greater than 8 feet in width and 32 feet in length.

Answer: D. The first three choices are all grounds for discipline of a licensee. Under the provisions of Business & Professions Code Section 10131.6, licensees may "sell or offer to sell, buy or offer to buy, solicit prospective purchasers of, obtain listings of, or negotiate the purchase, sale or exchange of any mobile home if it has been registered." There are no size limitations.

42. When dealing with the public, a broker may NOT:

A. receive a commission from both buyer and seller.

B. delegate any of the broker's duties to other persons.

C. do any of these.

D. remain silent as to material facts concerning the property known only to the broker.

Answer: D. A broker has a duty to disclose material facts; failure to disclose material facts to the parties involved could be considered negative fraud.

43. In the general field of real estate advertising, you may encounter the terms classified, display, and reading notice. These terms apply to which advertising medium?:

A. Direct mail

B. Newspapers

C. Magazines

D. TV

Answer: B. These three terms apply to newspaper advertising.

44. Quiet enjoyment and possession usually refer to which circumstance?:

A. Possessory interest of a tenant given by the owner of the paramount title

B. Noise abatement

C. Neighbors creating a nuisance

D. None of these

Answer: A. For every lease, the law implies a covenant (promise) on the part of the lessor ("owner of the paramount title") to the "quiet enjoyment" and possession of the property by the lessee during the term of the lease. It is a warranty by the lessor against the lessor's own acts, not those of strangers (neighbors and the like).

45. The federal Fair Housing Law contains provisions to prevent discrimination due to race, color, religion, sex, or national origin. A violation of this law would be considered:

A. All of these.

B. unlawful.

C. against public policy.

D. illegal.

Answer: A. Discrimination is illegal, unlawful, and against public policy.

46. If a developer requested backfill he or she would be using it for:

A. replacing excavated earth against foundation walls.

B. garden landscaping.

C. driveways.

D. roadways.

Answer: A. Backfill is used in construction to replace excavated earth into a hole or against a structure.

47. According to Title VIII of the Civil Rights Act of 1968 and an 1866 law enacted by Congress, a person discriminated against in the purchase of a home because of race could go into court and the court could determine all of these rulings EXCEPT:

A. money damages and punitive damage to prevent a recurrence.

B. money damages for humiliation and embarrassment.

C. revocation and suspension of broker or salesperson's license if the court concludes he has discriminated.

D. money damages and specific performance

Answer: C. Only the real estate commissioner has the legal authority to suspend or revoke a license.

48. The objective of the Subdivided Lands Law is to protect purchasers of property in new subdivisions from fraud, misrepresentation, or deceit in the marketing of subdivided lots, parcels, units, and undivided interests in the State of California. An owner of land wants to subdivide his property. What is the

minimum number of parcels he would have to create in his new subdivision in order to fall under the Subdivided Lands Law?:

A. Four

B. Five

C. Three

D. Two

Answer: B. The Subdivided Lands Act applies to subdivisions of five or more parcels.

49. It is improper for a salesperson to:

A. show the property only on sunny days.

B. keep the client's secret that the property has a leaky roof.

C. submit verbal offers to the principal.

D. tell his principal that he has the nicest farm in the county.

Answer: B. It is improper (illegal) for a real estate licensee to keep from a prospective buyer a client's secret about a flaw in real property. Full disclosure of material facts about the property are required by law. Telling the principal that he has the nicest farm in the county would likely be considered "puffing." A real estate licensee is required to submit all offers, even oral offers, unless patently frivolous, until close of escrow.

50. A landlord sued his tenant in small claims court because his tenant did not give notice before leaving. The tenant said that he had told the landlord of plumbing problems that the landlord did not repair. Which statement is TRUE?:

A. The landlord would not get money from the court because either party could rescind the contract.

B. The failure to repair the plumbing was a default on the landlord's part.

C. The tenant would be compensated by the court.

D. The landlord would get money from the court because the tenant should have repaired the plumbing and deducted it from his rent.

Answer: B. The landlord would get money from the court because the tenant should have repaired the plumbing and deducted it from his rent.

51. Who is entitled to examine the records of the county recorder, without being an employee of the county recorder's office?:

A. Any of these

B. A bank employee

C. Employees of the Office of the County Recorder

D. Any interested citizen

Answer: A. The records of the Office of the County Recorder are public records, with access available to all persons.

52. A, an unlicensed person, offers B $1,000 an acre for 10 acres. B accepts the offer not knowing that A already has an offer of $2,000 an acre for the same parcel. The deal goes through as stated. B can:

A. let the deal go through but A has to give B the excess profit.

B. sue and get the land back.

C. do nothing; the transaction stands.

D. report A to the real estate commissioner.

Answer: C. There is nothing in the Real Estate Law that prohibits an unlicensed individual from purchasing land at one price and later selling it for a higher price.

53. If an apartment owner is converting the building to a condominium project, each tenant must receive advance notice of intention to convert. What is the notice time requirement for this phase of conversion?:

A. 90 days

B. 120 days

C. 180 days

D. 30 days

Answer: C. Each of the tenants will be given 180 days written notice of intention to convert prior to termination of tenancy.

54. A broker was intentionally renting only to members of the Caucasian race. Under the Unruh Civil Rights Act, he or she would be:

A. liable to pay the aggrieved person $250 in penalties.

B. all of these.

C. subject to suspension or revocation of his real estate license.

D. held liable for actual damages incurred by the aggrieved party.

Answer: B. The Unruh Act covers the civil rights of persons in business establishments. By renting only to members of the Caucasian race, the broker is in violation of this act and is liable for actual damages plus $250. The broker also would be subject to suspension or revocation of his or her real estate license.

55. A minority prospect came to you and requested to see a specific house in a minority neighborhood. You can lawfully assume the prospect is:

A. trying to test you.

B. interested in a house with a particular type of architectural style.

C. interested in a house in a minority neighborhood.

D. unable to qualify for VA or FHA housing and you should refuse to show prospect any houses.

Answer: B. Questions that deal with discrimination should be answered with a color-blind attitude and without bias. Any choice that hints at discrimination is probably the wrong choice. It is incorrect that you can lawfully assume the prospect is interested in a house in a minority neighborhood because although the house the minority prospect wants is in that neighborhood, it does not mean he wants the house because of its proximity to other minorities. Although it may be overreaching to assume the prospect desires a particular type of architectural style, it is not discriminatory.

56. Percolation test refers to:

A. sewage.

B. soil analysis.

C. flood control.

D. water wells.

Answer: B. A percolation test is a hydraulic engineer's test of soil to determine the ability of the ground to absorb and drain water. This information helps to determine the suitability of a site for certain kinds of development, and for the installation of septic tanks or injection wells for sewage treatment plants. A subdivider registering a subdivision with HUD must include a percolation report in the application.

57. The real estate commissioner may require impounding of a purchaser's deposit in a subdivision when the blanket mortgage does not contain an unconditional release clause. This is for the benefit of the:

A. lender.

B. mortgage holder.

C. purchaser.

D. owner of the subdivision.

Answer: C. In the event there is no release clause in a subdivision that is subject to a blanket encumbrance, one alternative for the real estate commissioner is to require an escrow for all or a part of the purchaser's money as indicated in Section 11032 (a) of the Business and Professions Code.

58. Which situation, where an extension of credit for more than four installments is made, would be exempt from the federal Truth-in-Lending Act?:

A. Loan from a consumer finance company

B. $20,000 household loan from a credit union

C. Purchase of agricultural land

D. 20,000 personal loan from a commercial institution

Answer: C. Regulation Z (of the Federal Truth-in-Lending Act) does not apply to(a) business, commercial, organization, and agricultural credit (not withstanding any dollar amounts); and (b) credit over $25,000 not secured by real property or dwelling. Regulation Z does apply to individuals and businesses who (a) offer or extend credit regularly that is (b) subject to finance charge or is (c) payable by a written agreement in more than four installments and is (d) primarily for personal, family, or household purposes.

59. George Greedy owns a subdivision in Roughacres and intends to mail a promotional brochure to 1,000 persons. The brochure

will offer gifts and prizes and state that winners will be property owners. The brochure does not state that a person must attend a sales seminar and tour the subdivision in order to be eligible for a gift or prize. Would this brochure be in violation of any law?:

A. No, it is not unlawful since each person who wins a prize is also a property owner

B. Yes, it is unlawful since you cannot win a prize and be a property owner

C. No, it is not unlawful since he is not required to disclose that a person must attend a sales seminar in order to become eligible for a gift or prize

D. Yes, it is unlawful since he did not disclose that a person must be present and attend a sales seminar to be eligible for a gift or prize

Answer: D. Commissioner's Regulation 2799.1(3a) states: "Complete rules and procedures for any contest or drawing advertised in connection with the marketing of subdivision interests shall be included in the advertisement…"

60. Mr. and Mrs. Jenkins own a home worth $533,000 on which there is a $519,000 loan. Mrs. Jenkins alone filed a Declaration of Homestead. If there were a judgment lien filed against them:

A. the exemption would be for $10,000 since Mrs. Jenkins filed it without her husband's signature.

B. the home could be sold to satisfy the judgment.

C. the homestead is invalid since only Mrs. Jenkins filed it.

D. the home would not be sold because there is insufficient equity over and above the exemption and the secured lien to satisfy the creditor.

Answer: D. The property is held by the husband and wife. She may file a homestead exemption of $75,000. The property would not be sold because the $519,000 loan and the $75,000 exemption exceed the $533,000 market value of the property.

61. The receipt for a subdivision final report must be kept on file by the subdivider or his agent for:

A. four years.

B. one year.

C. three years.

D. two years.

Answer: C. The broker must retain all documents for at least three years, including the receipt for a final public report. (A few documents must be retained for four years, including the disclosure statements from Articles 5, 6, and 7 of the Real Estate Law.)

62. To an investor in real property, cash flow means:

A. gross income less an allowance for vacancies.

B. monies left after deducting operating expenses, interest, and principal payments from gross income.

C. net income used for capitalization purposes.

D. income left after deducting taxes from net income.

Answer: B. Cash flow refers to the money the investor has at the end of the year after deducting all out-of-pocket expenses from gross income. Do not confuse with net spendable, which is computed by deducting income tax from cash flow.

63. With regards to blind advertising, it is:

A. not permitted. The advertisement must include the name and address of the broker and the address of the property being offered for sale.

B. not permitted. In an advertisement, a licensee must reveal licensed status.

C. permitted when a broker deems that it will increase exposure of the property to potential buyers.

D. permitted with the owner's permission.

Answer: B. Blind advertising refers to not revealing the licensed status of a salesperson or broker, and is never permitted. It is not a requirement that an ad include the address of the property for sale.

64. A broker refers all of his clients and customers to West Hills Title Insurance Company. The title company gives the broker a $10 fee for each referral. This practice is:

A. permissible.

B. acceptable if both buyer and seller are aware that broker is receiving a fee and agree.

C. forbidden.

D. acceptable if the seller is paying for the policy and agrees.

Answer: C. The Real Estate Settlement Procedures Act (RESPA) forbids kickbacks, referral fees, or any other unearned fees. Any title company that pays a referral fee is in violation of RESPA.

65. A lessee may be justified in abandoning a rented dwelling if there is constructive eviction by the landlord. All of these would be constructive eviction EXCEPT:

A. failure of the landlord to repair excessive wear and tear to property caused by the tenant.

B. unwarranted delays by the landlord after notice to make repairs of damages that have made the property unfit for occupancy.

C. condemnation of the entire property in eminent domain proceedings.

D. an eviction notice is tendered by the landlord.

Answer: A. A landlord would not likely be found guilty of constructive eviction for failing to repair excessive wear and tear caused by the

tenant. The three other circumstances would be classified as constructive eviction.

66. When is the best time for a seller to obtain a termite report?:

A. Before putting the house on the market

B. After the lender's appraisal

C. Before opening escrow

D. Before determining the sales price

Answer: A. A prudent seller, after consulting with the broker, obtains a structural pest control inspection report before putting the property on the market. The report can help in determining the pricing of the property.

67. To find the size of footings, the size and dimensions of concrete piers, construction measurements, and the details of the subfloor area, a real estate broker would look at the:

A. plot plan.

B. elevation plan.

C. foundation plan.

D. floor plan.

Answer: C. A foundation plan shows the details of the foundation, which includes footings, piers, and subflooring.

68. A tenant who transfers an entire leasehold interest does so by:

A. alienation.

B. sublease.

C. transfer.

D. assignment.

Answer: D. Assignment of leasehold means the entire interest is transferred and includes the remaining term and the entire premises. Subleasing is transferring part of the premises or less than the entire term.

69. A broker and a buyer went to Western Hills Title Company. The buyer made out a $1,000 deposit check to Western Hills Title Company. What record, if any, does the broker have to keep of this deposit?:

A. Make a record in his trust account but not his general ledger

B. Make an entry in his journal of the entry and exit

C. Not make any record of this in his trust account

D. Keep separate records for each beneficiary

Answer: C. Since the buyer went with the broker to the escrow company and the buyer made out the check there and handed it directly to the escrow, the check did not pass through the broker's hands and is not a trust fund. The broker is not required to make any record of this.

70. A Fictitious Business Name Statement must be renewed and filed with the county clerk in the county where the business is located and operated:

A. every five years, by December 31 of said year.

B. one year from original filing.

C. never, unless abandoned.

D. by June 30.

Answer: A. A Fictitious Business Name Statement expires at the end of five years from December 31 of the year in which it was filed in the Office of the County Clerk.

71. In a real estate office, worker's compensation should be carried on:

A. secretaries.

B. sales agents.

C. all of these.

D. bookkeepers.

Answer: C. Legally, employees need to be covered by worker's compensation. As the law is not clear on the relationship between a broker and a salesperson, the broker would be prudent to cover their salespersons also.

72. When a tenant is delinquent in his rent under a written lease, the landlord may evict the tenant by:

A. bringing a court action.

B. giving a written three-day notice.

C. doing all of these.

D. filing a notice of default.

Answer: C. When the tenant has breached the contract by not paying rent, the landlord must institute an unlawful detainer action in court. Part of this procedure is to give the tenant a three-day written notice and the action has to go through court.

73. The purpose of a trust account is to:

A. do none of these.

B. provide easy disbursement of funds.

C. keep the broker's funds and trust funds separated.

D. provide for the commingling of the trust funds and the broker's funds.

Answer: C. A trust account is set up as a means to separate trust funds from non-trust funds. A trust account protects principals' trust funds in situations in which legal action is taken against the broker or the broker dies or becomes incapacitated.

74. A real estate licensee went into a neighborhood and attempted to solicit a listing by stating to the property owner that "non-whites" would be moving into the neighborhood and that property values would thereby go down. Such conduct would be considered all of these things EXCEPT:

A. legal but unethical.

B. panic selling.

C. illegal conduct.

D. blockbusting.

Answer: A. Blockbusting and panic selling are terms to describe the illegal conduct of the licensee's activities in this question.

75. The remedy of unlawful detainer is most commonly used by offended:

A. holders of notes in default.

B. lessors.

C. grantors.

D. trustors.

Answer: D. When preceded by a three-day notice to quit or pay rent, the unlawful detainer is the proper procedure designed by law by which the lessor can have the tenant evicted.

76. A salesperson unlawfully takes kickbacks in connection with licensed real estate activities. The employing broker finds out about the kickbacks, fires the salesperson, and warns others in the office not to do this. Under these circumstances:

A. only the broker could be disciplined by the real estate commissioner.

B. only the salesperson could be disciplined by the real estate commissioner.

C. both the salesperson and the broker could be disciplined by the real estate commissioner.

D. a court could revoke the salesperson's real estate license.

Answer: C. A broker is responsible for supervision of employed salespersons. A failure to supervise salespersons which might contribute to the salesperson's violation of laws could lead to disciplinary action against the broker as well as against the salesperson. Only the real estate commissioner can revoke a real estate license, never the court.

77. Which transaction requires the Real Estate Transfer Disclosure Statement?:

A. All of these

B. Sales transaction of one to four residential units

C. Foreclosure of one to four residential units

D. Transfer of one to four residential units in bankruptcy

Answer: B. Civil Code Section 1102, which requires the Real Transfer Disclosure Statement, applies to any sale of real property with up to four dwelling units. Transfers in foreclosure and in bankruptcy are specifically exempt.

78. In California, estates at will are created by:

A. a properly written and executed document.

B. either express agreement or operation of law.

C. express agreement.

D. operation of law.

Answer: D. Under common law, an estate at will is one that can be terminated at the will of either party without advance notice. The Civil Code of California, however, requires that any estate created by agreement except an estate for years requires advance notice to terminate. Therefore, an estate at will can be created only by operation of law in California.

79. Mr. Able obtained a loan to build an apartment building. (1) He planned to charge a higher deposit to single males, and (2) his only source of advertising was to ask his tenants, predominantly white, to refer their friends as prospective tenants. With reference to fair housing laws, Mr. Able's actions would be correct in which choice(s)?:

A. 2 only

B. 1 only

C. Neither 1 nor 2

D. Both 1 and 2

Answer: A. Requiring higher deposits from single males would be unlawful discrimination on the basis of sex and marital status. Limiting advertising to referrals from present tenants would not be in violation of any antidiscrimination law. Not all of the tenants were of any one racial group, and there is no indication that their friends would all be of any one race, color, creed, et cetera.

80. The degree of angle of a roof, or slope, is termed:

A. pitch

B. hip

C. shingle

D. span

Answer: A. Pitch is the slope or inclination of the roof.

81. When a real estate broker submitted an offer at the full listed price to the seller, the seller inquired as to the ethnic background of the buyer. Under these circumstances the broker should:

A. answer the question but caution the seller that the ethnic background of the buyer cannot be used as a basis for discrimination

B. contact the buyer's broker and obtain permission to disclose this information.

C. refuse to answer the question since it violates the Rumford Act.

D. answer the seller's question since this is a material fact.

Answer: C. The Rumford Act prohibits discrimination due to race, religion, color, sex, marital status, physical handicap, national origin, or ancestry in the sale, rental, lease, or financing of housing.

82. An investor purchases an investment property. An appraisal of the property showed a 12% return. The broker gives the buyer a financial report on the property but fails to take into consideration vacancies and management fees. The broker is guilty of:

A. fraud

B. false promises.

C. misrepresentation.

D. caveat emptor.

Answer: C. If the vacancies and management fees had been taken into account, the property would return less than 12%. Therefore, a false statement of fact, or misrepresentation, was made by the broker. (Misrepresentations may be either "fraudulent" or "negligent." Since the facts in the question are silent about any fraudulent intent, the act is presumed to be "negligent misrepresentation.")

83. A licensee who is guilty of "conversion" is one who is:

A. commingling.

B. misappropriating the funds of clients.

C. misrepresenting.

D. failing to make full disclosure.

Answer: B. onversion is to change from one use to another as in the case of misappropriating funds entrusted to a licensee. Commingling is mixing funds of the agent with those of the client, and failure to make full disclosure can be referred to as negative fraud.

84. What is the minimum amount of time that a broker must keep signed copies of listings, deposit receipts, et cetera?:

A. Two years

B. Four years

C. Three years

D. One year

Answer: C. The Real Estate Law requires most documents to be kept for a minimum of three years.

85. According to the Government Code, a person discriminated against when buying a home may:

A. be awarded punitive and actual damages.

B. do any of these.

C. purchase the home if it is still available.

D. purchase a similar home from the owner if one is available.

Answer: B. Government Code Section 12987 provides that a person who has been discriminated against in the sale or rental of housing accommodations may be entitled to the sale or rental of the home if it is still available, or to the sale or rental of a like housing accommodation if one is available. Punitive damages of up to $1,000 may be awarded, as well as actual damages.

86. Mr. Able borrowed money to build an apartment building and wanted to place advertising in the newspaper that would solicit the

following: (1) Married Couples Only (2) No Minorities. He was correct in his advertising in:

A. 1 only

B. 2 only

C. Both 1 and 2

D. Neither 1 nor 2

Answer: D. Government Code Section 12955: "It shall be unlawful…for any person to make, print, or publish, any notice, statement, or advertisement, with respect to the sale or rental of any housing accommodation that indicates any preference, limitation, or discrimination based on race, color, religion, sex, marital status, national origin, or ancestry or any intention to make any such preference, limitation, or discrimination." Title VIII, Section 804 (Federal Fair Housing Act) is almost the identical wording.

87. In the negotiation for the purchase of a property, the broker failed to mention the installation of a septic tank. If the buyer finds that this material fact makes the property unacceptable, the buyer should:

A. demand a percolation test and soil analysis.

B. report this to the real estate commissioner.

C. report this to the Health Department.

D. ask for a rescission of the contract.

Answer: D. If a buyer enters into a contract based on false or incorrect information given, the buyer has a basis for rescinding the contract.

88. In comparing real estate investments to other types of investments, the turnover is:

A. slightly slower than an average of other investments.

B. faster than stocks.

C. faster than other commodities.

D. slower than other investments.

Answer: D. The liquidity of an investment is the ease with which it can be immediately converted to cash. Compared to stocks and commodity investments, real estate is less liquid so its turnover is slower than other investments.

89. What would create an interest in property with possessory rights but no form of title?:

A. Land contract

B. Easement

C. Mortgage

D. Sublease

Answer: D. A sublease is a transfer of less than the leasehold with the reversion in the sublessor and would create no form of title in the sublessee. A land contract transfers (1) possession, (2) equitable title, and (3) the right to acquire the fee title after all the conditions of the contract have been met. A mortgage does not convey any possessory interest; it is a security device.

90. A written statement that is sworn to or affirmed in the presence of a notary is a(n):

A. ratification.

B. allocation.

C. affidavit.

D. estoppel.

Answer: C. An affidavit is defined as a statement of facts sworn to or affirmed before an authorized official (usually a notary public).

91. The required written agreement of broker-salesperson is a regulation of:

A. the Real Estate Board.

B. no one.

C. the real estate commissioner.

D. NAR.

Answer: C. The real estate commissioner's Regulation 1726 requires that every real estate broker have a written agreement with each employed salesperson and broker.

92. Which act or statement might be a cause for disciplining a licensee?:

A. A statement to the buyer that this is the lowest offer a seller will accept

B. A statement made to the seller that this is the highest offer the buyer will make

C. Misrepresentation that did not result in a loss to the principal

D. A statement to a buyer, "This is the best house on the street."

Answer: C. The Bureau of Real Estate may take disciplinary action against an agent's license if the agent has been guilty of making any substantial misrepresentation.

93. An agent is showing the home of an owner who has AIDS. Concerning the fact that the owner has AIDS, the agent should:

A. disclose the fact only if someone inquires.

B. disclose the fact whether asked or not.

C. never disclose the fact without consent of the owner.

D. disclose the fact if the buyer expects to obtain an FHA loan.

Answer: C. Civil Code Section 1710.2 provides that neither the owner nor the agent shall be liable to the transferee for failing to disclose that an occupant was afflicted with or died of AIDS.

94. The year in which the U.S. Supreme Court barred racial discrimination, both public and private, in the sale or rental of real property was:

A. 1972

B. 1984

C. 1968

D. 1960

Answer: C. In 1968 the U.S. Supreme Court, in the case of Jones v. Mayer, established an all-encompassing set of federal rules prohibiting unlawful discrimination in the sale or rental of property.

95. A seller's transfer disclosure statement provides that a broker:

A. inspect condominium common areas.

B. pay for the pest control inspections.

C. visually inspect the property and advise of any pertinent information.

D. physically inspect inaccessible areas and report findings to the buyer.

Answer: C. California Civil Code Section 2079 provides that a real estate broker has a duty to the buyer of residential real property of one to four units to conduct a reasonably competent and diligent visual inspection of property offered for sale, and to disclose to the buyer all facts materially affecting the value or desirability of the property. This does not include areas that are normally and reasonably inaccessible to such an inspection, nor does it include the common areas of a condominium unit.

96. A contract between two or more persons where one grants the other the right to sell, offer to sell, or exchange goods or services under a marketing plan designed by the grantor is a:

A. franchise agreement.

B. financing agreement.

C. securities and exchange agreement.

D. business opportunity.

Answer: A. A franchise agreement is set forth in the Franchise Investment Law as: "A contract between two or more persons where one grants the other the right to sell, offer to sell, or exchange goods or services under a marketing plan designed by a grantor."

97. he housing and construction industry in California is governed by which three laws?:

A. State Housing Act, local building codes, Real Estate Law

B. Contractor's license law, local building codes, State Housing Act

C. Health and Safety Code, State Housing Act, Real Estate Law

D. Housing and Community Development Act, Real Estate Law, Health and Safety Code

Answer: B. The housing and construction industry is governed by the contractor's license law, local building codes, and the State Housing Act

98. The balancing of a broker's trust account record to the bank balance is known as:

A. closing out the books.

B. reconciliation.

C. posting.

D. trial balance.

Answer: B. Reconciliation is the balancing of the broker's trust account record with the balance as indicated on the bank statement.

99. A broker told a customer that if he purchased a lot "it was a gold mine," and that it could be sold for four times what he paid for it by the end of two years. The customer bought the lot but did not attempt to sell it for four years. At that time, he discovered that the broker who had sold him the lot was now selling similar lots for less than the original price of his lot. What course of action could be taken against the broker?:

A. Nothing could be done about such oral statements, as the real estate market is speculative and always involves some risks for the purchaser.

B. Civil and disciplinary action could be taken against the broker.

C. Nothing could be done, as the statute of limitations has expired.

D. The broker was only "puffing" a common practice in selling real estate, and could not be held liable to the buyer; however, the broker could be disciplined by the Bureau of Real Estate.

Answer: B. The agent went beyond allowable "puffing" (putting things in their best light) in selling the property. While buyers do take risks, the agent made specific promises not substantiated. The buyer did not become aware of the misrepresentation until four years later, and the time for taking actions starts from this point. Civil liability and the possibility of disciplinary action by the Bureau of Real Estate exist in this situation.

Diagnostic Post-Test

1. Mr. Ferguson purchased a property for $125,000 with 12% cash down. He financed the balance with equal monthly payments of $1,048, which included 11% interest, and the loan would be fully amortized in 30 years. Mr. Ferguson sold the property for $139,750 before making any payments on the loan. What was his equity at the time of sale?:

A. $15,000

B. None of these

C. $29,750

D. $24,750

Answer: C. Purchase Price $125,000 (Equity at purchase)
Less Down Payment – 15,000 (0.12 cash down × $125,000)
Loan $110,000
Selling Price $139,750
Less Loan –110,000
Equity $29,750 (At time of sale)

2. Which statement would be TRUE with regard to bearing walls of a building?:

A. They can be built at any angle to doors or windows.

B. They are usually built sturdier than other walls.

C. All of these

D. They are seldom moved during remodeling.

Answer: C. Bearing walls support the weight of a part of a structure in addition to its own weight.

3. Mr. John Lee owned a ranch and gave Ms. Joan Kimball an option to purchase it at a figure of $92,500 down and the balance payable in annual installments of $14,000 plus interest at 7% per annum. The term of the option was 60 days and Ms. Kimball gave Mr. Lee a personal check for $10. This constitutes a(n):

A. contract to keep an offer open.

B. offer to execute a contract in the future.

C. lien on Mr. Lee's ranch.

D. fiduciary agreement.

Answer: A. An option is defined as a contract under which the optionor (owner) promises to hold open for a specified time an offer to sell or lease property to the optionee. The optionee is not obligated to purchase. The $10 paid is the consideration given for the contract to keep an offer open.

4. In an assignment of a lease, the assignee becomes the:

A. sublessee.

B. vendee.

C. vendor.

D. tenant.

Answer: D. With the assignment of a contract (such as a lease) the assignee takes the position that was held by the assignor. The assignor of the lease was the tenant; therefore the assignee becomes the tenant.

5. In the negotiation for the purchase of a property, the broker failed to mention the installation of a septic tank. If the buyer finds

that this material fact makes the property unacceptable, the buyer should:

A. report this to the Health Department.

B. report this to the real estate commissioner.

C. ask for a rescission of the contract.

D. demand a percolation test and soil analysis.

Answer: C. If a buyer enters into a contract based on false or incorrect information given, the buyer has a basis for rescinding the contract.

6. In the capitalization of net income, the most difficult item for an appraiser to establish is the:

A. selection of a capitalization rate.

B. determination of gross income.

C. determination of net income.

D. effective gross income.

Answer: C. Net income is more difficult to determine than gross income or effective gross income because it involves attaining information on both fixed and variable expenses. Capitalization rates are often based on comparative data readily available to an appraiser.

7. A court order affecting all the property held in the county by an owner is called a(n):

A. lis pendens.

B. attachment.

C. general lien.

D. specific lien.

Answer: C. A general lien is directed against the individual debtor and attached to all of that person's real property in the county in which the abstract of judgment is recorded. The other choices all relate to specific properties.

8. The Real Estate Settlement Procedures Act lists services a lender may charge for as settlement-connected costs. Accordingly, as

appropriate, the buyer and seller may be charged for all of these EXCEPT:

A. credit reports.

B. uniform disclosure/settlement statements.

C. loan documents.

D. appraisals.

Answer: B. Under RESPA, a lender cannot charge a fee for any services performed in connection with the dissemination of information required under this law. This would include the truth-in-lending statement and the uniform disclosure/settlement statement.

9. Brewer wants to purchase a home, but is denied financing because of an agency's credit report. Brewer has repeatedly tried to get a copy of this report, but the agency refuses to give it to him. Brewer can bring action under the California Civil Code to:

A. recover punitive damages up to $5,000.

B. do any or all of these.

C. recover attorney fees and equitable damages.

D. recover enough money to compensate him for damage to his credit.

Answer: B. The Consumer Credit Reporting Agencies Act (Civil Code Section 1785.1–35) requires that, upon request, a consumer credit reporting agency must provide to a consumer disclosures of the files about that consumer. The Code further specifies penalties of actual damages, punitive damages up to $5,000, and reasonable attorney's fees.

10. Which agreement would NOT be required to be in writing under the statute of frauds?:

A. An agreement to rent for more than one year

B. A partnership agreement to buy or sell property

C. An agreement that would not be completed within one year

D. An agreement between a principal and agent to buy or sell real property

Answer: B. An agreement between a principal and agent to buy or sell real property, an agreement that would not be completed within one year, and an agreement to rent for more than one year must be in writing according to the statute of frauds. However, an agreement

between two partners to purchase or sell an apartment building need not be in writing.

11. A broker and a buyer went to Western Hills Title Company. The buyer made out a $1,000 deposit check to Western Hills Title Company. What record, if any, does the broker have to keep of this deposit?:

A. Keep separate records for each beneficiary

B. Make a record in his trust account but not his general ledger

C. Not make any record of this in his trust account

D. Make an entry in his journal of the entry and exit

Answer: C. Since the buyer went with the broker to the escrow company and the buyer made out the check there and handed it directly to the escrow, the check did not pass through the broker's hands and is not a trust fund. The broker is not required to make any record of this.

12. A contract providing for the payment of commission to the broker regardless of who sells the property, including the owner, is a(n):

A. open listing.

B. net listing.

C. exclusive-authorization-and-right-to-sell listing.

D. exclusive-agency listing.

Answer: C. Under the exclusive-right-to-sell listing, the owner promises to pay a commission even if he sells the property himself.

13. In a transaction in which the sale of a property has resulted, the broker must keep a copy of the deposit receipt for three years from the date of:

A. deposit receipt.

B. acceptance of offer.

C. recording of grant deed.

D. closing of transaction.

Answer: D. The Real Estate Law dictates that the broker must keep a copy for three years starting from the date of closing if such occurs. The date of the contract is used if the escrow does not close.

14. A broker who negotiates a real estate loan to which the Brokers Loan Law is applicable must deliver the mortgage loan disclosure statement to the borrower:

A. at signing.

B. within 24 hours.

C. after close of escrow.

D. three days previous to signing.

Answer: A. A Mortgage Loan Disclosure Statement must be presented, and the borrower's signature obtained, before the borrower becomes obligated.

15. The Subdivision Map Act provides primary responsibility for the physical aspects of the subdivision to the:

A. State Land Commissioner.

B. governing bodies of cities and counties.

C. State Department of Public Health.

D. real estate commissioner.

Answer: B. The Subdivision Map Act is primarily a statewide enabling act giving local governments authority to control the physical characteristics of subdivisions within their jurisdictions, and outlining map filing procedures on a statewide basis.

16. When a tenant is delinquent in his rent under a written lease, the landlord may evict the tenant by:

A. giving a written three-day notice.

B. doing all of these.

C. bringing a court action.

D. filing a notice of default.

Answer: B. When the tenant has breached the contract by not paying rent, the landlord must institute an unlawful detainer action in court. Part of this procedure is to give the tenant a three-day written notice and the action has to go through court.

17. Under what circumstances may a broker fill out the seller's Real Estate Transfer Disclosure Statement?:

A. When instructed to do so by the seller

B. If authorized by the escrow agent

C. Never

D. When the seller is out of town

Answer: C. The Seller's Real Estate Transfer Disclosure Statement must be completed by the seller.

18. Under most normal competitive conditions, what would be most likely to influence vacancy factors in apartment buildings?:

A. Cost of construction funds

B. Availability of housing units

C. Rent schedule

D. Size and number of units

Answer: B. When overbuilding results in oversupply, the amount of space may exceed the demand, producing a general increase in vacancies.

19. For purposes of federal income tax, the taxpayer would be able to deduct which expenses for a personal residence?:

A. Mortgage payment, premium payments on a fire insurance policy, real estate taxes

B. Payment of broker's commission, late charges, mortgage interest

C. Mortgage payment, capital improvements, real estate tax

D. Mortgage interest payments, prepayment penalties, real estate taxes

Answer: D. Mortgage interest payments, prepayment penalties, and real estate taxes are all deductible expenses. Of the other choices, payment of broker's commission, late charges, and mortgage interest; mortgage payment and capital improvements; and mortgage payment and premium payments on a fire insurance policy, are not deductible. From mortgage payments only the interest is deductible, not the entire payment.

20. A landlord sued his tenant in small claims court because his tenant did not give notice before leaving. The tenant said that he had told the landlord of plumbing problems that the landlord did not repair. Which statement is TRUE?:

A. The landlord would not get money from the court because either party could rescind the contract.

B. The landlord would get money from the court because the tenant should have repaired the plumbing and deducted it from his rent.

C. The tenant would be compensated by the court.

D. The failure to repair the plumbing was a default on the landlord's part.

Answer: D. Civil Code Section 1942 provides that a landlord must make repairs within a reasonable time after written or oral notice of dilapidations that make premises untenantable. Otherwise the tenant may "repair and deduct" or vacate the premises, owing no further rent.

21. According to the Government Code, a person discriminated against when buying a home may:

A. purchase the home if it is still available.

B. purchase a similar home from the owner if one is available.

C. be awarded punitive and actual damages.

D. do any of these.

Answer: D. Government Code Section 12987 provides that a person who has been discriminated against in the sale or rental of housing accommodations may be entitled to the sale or rental of the home if it is still available, or to the sale or rental of a like housing accommodation if one is available. Punitive damages of up to $1,000 may be awarded, as well as actual damages.

22. Buyer purchased a property from Seller on August 15, 2006. Buyer was to take possession as of September 30, 2006, with all prorations to be as of the same date. On November 1, 2005, Seller had paid the taxes for the fiscal year of 2005-2006. The escrow closing statement would show:

A. Buyer pays Seller for three months' taxes.

B. Buyer pays Seller for nine months' taxes.

C. Seller pays Buyer for nine months' taxes.

D. Seller pays Buyer for three months' taxes.

Answer: D. The taxes have been paid to July 1, 2006, which is three months short of the close of escrow, September 30, 2006. The seller is obligated to pay the buyer for the taxes for the months of July, August, and September.

(1) C.O.E.: September 30, 2006

(2) D.I.: July 1, 2006 (Date of item: Taxes paid to July 2006)

(3) Short of C.O.E. 3 mos. Therefore, seller owes 3 mos.

23. Private restrictions placed by a landowner may be in the form of covenants or conditions restricting or limiting the use of the land. Private restrictions may be created by:

A. deed or written ordinance.

B. written agreement or zoning ordinance.

C. deed or written agreement.

D. deed only.

Answer: C. Private restrictions are those created by an individual and not the government. These may be in the form of a written agreement or placed in a deed.

24. In determining the value of income-producing property, an appraiser may use which appraisal technique?:

A. Land residual technique

B. All of these

C. Building residual technique

D. Property residual technique

Answer: D. All three techniques are used in the appraisal of income property.

25. A broker had several agents working in his office. Two of his agents brought in offers on the same listing, one in the morning and one in the afternoon. The second agent's offer was $1,000 less than the first agent's. The broker held the second offer until the first offer was accepted or rejected. This was:

A. forbidden in these circumstances.

B. permissible because of the relationship between the broker and his sales agents.

C. permissible because the second offer was lower.

D. forbidden because of the fiduciary relationship to both buyers.

Answer: A. All offers must be submitted. By withholding the offer, the broker is withholding a material fact and could be disciplined by the real estate commissioner. The broker has a fiduciary relationship with his client, in this case the seller who gave him the listing.

26. For federal income tax purposes, a taxpayer could adjust the cost basis of the personal residence on income tax records for which of the following items?:

A. Interest on a loan

B. Depreciation

C. Fire insurance premiums paid

D. The addition of a concrete patio

Answer: D. Cost basis is the same as tax basis. The addition of a capital improvement would constitute an increase to cost basis.

27. A man listed a property for $760,000 and was willing to take back a trust deed and note for $20,000. FHA appraised the property for $700,000 and the broker secured a buyer who wanted to secure an FHA loan for $700,000, pay $40,000 cash and execute a second trust deed and note in favor of the seller. The broker should counsel the seller to:

A. write up the offer subject to FHA loan and second trust deed.

B. write up the offer subject to a $70,000 FHA loan and a personal loan for $6,000.

C. write up the offer "subject to better financing."

D. refuse to accept the offer.

Answer: D. FHA will not permit secondary financing on the initial purchase of the home. Since the buyer does not have enough cash to

use FHA financing, it will be impossible to secure FHA financing and the broker should counsel the seller to refuse to accept this offer.

28. The factor that exerts the greatest influence on mortgage interest rates is the:

A. value of the property.

B. condition of the money market.

C. offsetting influence of conservative vs. nonconservative lenders.

D. term of the loan.

Answer: B. The proportion of the nation's surplus money that will enter the real estate market depends largely on conditions in the mortgage market, which may be divided into supply and demand factors. Mortgage interest rates increase when mortgage money is in short supply relative to demand for this money. Higher interest rates in nonmortgage markets attract mortgage lenders away from mortgages to other types of investments and as a result financial institutions have fewer funds to make mortgage loans.

29. Eminent domain and police power are governmental rights established by law. Which action would NOT be considered police power?:

A. Subdivision development regulations

B. Building regulations

C. Condemnation

D. Zoning laws

Answer: C. The use of the power of eminent domain is often referred to as condemnation. Building regulations, zoning laws, and subdivision development regulations are all examples of police power.

30. An order by a court directing an officer to sell real property to satisfy a judgment is a(n):

A. deficiency judgment.

B. abstract of judgment.

C. writ of execution.

D. injunction.

Answer: C. A writ of execution is an order from the court to an officer, such as a sheriff, directing a sale of property to satisfy a judgment.

31. In California a buyer of real property is most likely to seek title protection through:

A. recording of title.

B. abstract of title.

C. certificate of title.

D. policy of title insurance.

Answer: D. In California title protection against future claims is through a policy of title insurance. Recording of a deed gives protection against past claims against title. The certificate of title and the abstract of title are ancient forerunners of the title insurance policy.

32. Under which loan would the borrower be required to apply for term life insurance?:

A. Cal-Vet

B. FHA

C. VA

D. Savings and loan company

Answer: A. The California Department of Veterans Affairs requires each borrower under the Cal-Vet plan to apply for life and disability insurance.

33. Two parties entered into a contract, but one of the parties had previously been adjudged incompetent. The other party to the contract was not aware of this fact. What is the status of this contract?:

A. Voidable

B. Illegal

C. Void

D. Enforceable if the seller could prove there was no coercion involved

Answer: C. The party who had been adjudged incompetent thus lacked capacity to contract (one of the four essential elements of any contract). This apparent contract would be void, and all void contracts are unenforceable.

34. The owner of an apartment building wished to rent to married couples only and planned to inquire on the rental application about the marital status of prospective tenants. The inclusion of this question on the application:

A. is acceptable if the property in unencumbered.

B. is acceptable if the loan on the property was given by a private investor.

C. would be acceptable since there is no law prohibiting this.

D. is illegal.

Answer: D. Many state, federal, and local laws make it illegal for the owner of any housing accommodation to make or to cause to be made any written or oral inquiry concerning the race, color, religion, sex, marital status, national origin, or ancestry of any person seeking to purchase, rent, or lease any housing accommodation.

35. A broker refers all of his clients and customers to West Hills Title Insurance Company. The title company gives the broker a $10 fee for each referral. This practice is:

A. acceptable if the seller is paying for the policy and agrees.

B. forbidden.

C. acceptable if both buyer and seller are aware that broker is receiving a fee and agree.

D. permissible.

Answer: B. The Real Estate Settlement Procedures Act (RESPA) forbids kickbacks, referral fees, or any other unearned fees. Any title company that pays a referral fee is in violation of RESPA.

36. An investment property is appraised at $400,000 based on a net income of $36,000 and a 9% capitalization rate. The value of the property based on a 12% capitalization rate would be:

A. $423,000.00

B. $250,000.00

C. $300,000.00

D. $450,000.00

Answer: C. R x V = I

0.12 x V = $36,000

V = $36,000 ÷ 0.12 = $300,000

37. Which situation, where an extension of credit for more than four installments is made, would be exempt from the federal Truth-in-Lending Act?:

A. $20,000 household loan from a credit union

B. $20,000 personal loan from a commercial institution

C. Loan from a consumer finance company

D. Purchase of agricultural land

Answer: D. Regulation Z (of the Federal Truth-in-Lending Act) does not apply to (a) business, commercial, organization, and agricultural credit (not withstanding any dollar amounts); and (b) credit over $25,000 not secured by real property or dwelling. Regulation Z does apply to individuals and businesses who (a) offer or

extend credit regularly that is (b) subject to finance charge or is (c) payable by a written agreement in more than four installments and is (d) primarily for personal, family, or household purposes.

38. A recommendation for the best appraisal method to be used to estimate the value of a vacant parcel of land would be:

A. the income approach.

B. an average of the first two methods.

C. the cost approach.

D. the sales comparison approach.

Answer: D. The sales comparison approach lends itself well to the appraisal of land, residences, and other types of improvements that exhibit a high degree of similarity, and for which a ready market exists.

39. Under authority of a signed exclusive-agency listing, Broker Davis diligently advertised for sale the $165,000 home of owner Johnson. Prior to the expiration date of the listing, the home was sold by Johnson to a friend. Davis was refused payment of any

commission whatsoever. Davis is legally entitled to receive from Johnson:

A. all expenses incurred in advertising the home.

B. no commission.

C. one-half commission.

D. full commission.

Answer: B. The broker is entitled to no commission. An exclusive-agency listing is one that employs a broker as the sole agent for the seller of real property under the terms of which the broker is entitled to a commission if the property is sold through any other broker, but not if a sale is negotiated by the owner without the services of an agent.

40. Some contracts are printed and some contracts are handwritten. Most contracts are a combination of printed and handwritten material. If litigation arose over this kind of contract, which statement would be TRUE?:

A. The handwritten part takes precedence.

B. Each is given equal consideration and evaluated on its own merits.

C. Written material copied from printed material takes precedence over other written portions.

D. The printed part takes precedence.

Answer: A. Handwriting takes precedence over printing. The handwritten part would indicate the portions of the printed contract that they wanted to change or emphasize. The parties may accidentally have overlooked printed matter and failed to strike it out.

41. An owner has a 100-unit apartment house. Which item would be deductible from the gross income in determining net operating income?:

A. Depreciation

B. Mortgage payments of principal and interest

C. Income tax

D. Wages for part time gardeners and maintenance personnel

Answer: D. For appraisal purposes, mortgage payments and income tax are not allowable deductions to arrive at net operating income. Depreciation adjusts the cost basis but is not an expense for appraisal

purposes. Wages paid for gardeners and maintenance personnel are deductible from gross income as operating expenses.

42. Johnson, who owns a ranch, gave Broker Otis an exclusive listing to sell the property. Johnson also advanced Otis $100 to advertise the sale of this ranch in a brochure published by Otis. The real estate law requires that brokers must account for such funds by placing the $100:

A. in the broker's trust account, expend from the trust account only for advertising the property, and provide a report to the seller that will itemize all expenditures made.

B. in the broker's personal office account and spend it only for advertising the property.

C. in the broker's trust account in order that the money may be returned to the seller if the property is not sold.

D. in the broker's trust account in case the seller defaults.

Answer: A. The $100 collected by the broker is an "advance fee" because the money to pay for it is collected from the principal in advance, distinguished from advertising in a newspaper and paying for the advertising after the fact out of the commission collected. By law, in order to avoid possible misuse or errors, such advance fees must be placed in the broker's trust account and expended only for advertising

the property, and brokers must provide a report to the seller itemizing all expenditures made.

43. Which statement is NOT true regarding an option?:

A. A separate sales agreement must be binding.

B. An option on a business opportunity can also include the site on which the business operates.

C. If the optionee does not exercise the option, he forfeits the thing of value given to the optionor as consideration.

D. An optionee must give valuable consideration.

Answer: A. The option to purchase real estate is a written agreement in which the owner agrees that the buyer shall have the right to purchase the property at a fixed price within a certain time. A separate sales agreement is not necessary for the option to be binding.

44. Able died leaving no heirs but had willed Blackacre Ranch to Baker. Talbot was in possession of Blackacre under an existing lease that had two years to run. During the probate of Able's estate,

the court found the will to be invalid. Under these circumstances, title to Blackacre would:

A. pass by statutory provisions by a court of proper jurisdiction.

B. pass through an action by one or more of the heirs for declaratory relief.

C. pass to Baker since it was Able's intent.

D. pass to Talbot since he is in possession.

Answer: A. The court would follow the law of the state because the will failed. Therefore, with no heirs claiming the property, it would escheat to the state after a five-year period.

45. A person who has been judicially declared incompetent and who was bequeathed three properties by his brother:

A. can accept title to real property given to him in a will.

B. cannot receive title to real property because of his incompetency.

C. cannot receive title to real property but can receive title to personal property.

D. can accept title only if it is placed with a trustee.

Answer: A. A grantee of a deed or the beneficiary of a will is required only to be alive to have capacity to hold title. Therefore, the person judicially declared incompetent can receive title to both real and personal property.

46. Escrow companies normally base their prorations on a year of:

A. 360 days.

B. 365 days.

C. 355 days.

D. 350 days.

Answer: A. Escrow companies prorate on the basis of a 30-day month and 360-day year, unless instructed otherwise.

47. A quitclaim deed releases present claim, rights, and title of the:

A. servient tenement.

B. property.

C. grantor.

D. grantee.

Answer: C. The grantor is the owner of whatever rights are to be conveyed, whether by grant deed or quitclaim deed.

48. When the Federal Reserve Board raises the discount rate to their borrowers, it has what effect on the money market?:

A. Makes money more available

B. Makes money less available

C. Makes more marginal loans available

D. Has no effect

Answer: B. When the discount rate increases, interest rates increase, making money more costly and harder to get.

49. A real estate broker, as an agent, must follow the lawful instructions of his principal in a real estate transaction. Failing to do so, the broker is:

A. any of these.

B. liable for damages to the principal as a result.

C. subject to loss of license in a court of jurisdiction.

D. subject to a fine or imprisonment according to the law.

Answer: B. When an agent acts "beyond the scope of authority," the agent is personally liable for any loss suffered by the principal as a result. Violation of the law of agency does not subject the agent to fine or imprisonment, and courts do not have jurisdiction over suspension or revocation of a license.

50. According to the Federal Reserve System Regulation Z, which would be the proper usage in an advertisement relating to housing?:

A. Assume a 7.5% annual percentage rate mortgage

B. Assume a 7.5% mortgage

C. Take over a 7.5% mortgage

D. Any of these

Answer: A. Federal Reserve System Regulation Z, also known as the Truth-in-Lending Act, requires that advertising shall state financing charge expressed as an annual percentage rate.

51. The balancing of a broker's trust account record to the bank balance is known as:

A. reconciliation.

B. trial balance.

C. closing out the books.

D. posting.

Answer: A. Reconciliation is the balancing of the broker's trust account record with the balance as indicated on the bank statement.

52. Jones signed a listing agreement with Broker Brown stating that he would pay 6% commission to Brown upon the sale of his house. Broker Brown promised to use diligence in attempting to find a buyer. This contract is:

A. unilateral executory.

B. bilateral executory.

C. unilateral executed.

D. bilateral executed.

Answer: B. An exchange of promises creates a bilateral contract. Since a listing is for a period of time, the contract is executory during the listing term.

53. A real estate broker could be held liable to a buyer if he or she:

A. acts in excess of the authority given by the seller under a listing agreement.

B. unknowingly makes a misrepresentation to the buyer based on false information given by the seller.

C. executes an agreement with the buyer on behalf of the seller under a power of attorney granted by seller.

D. retains the buyer's check at the seller's request after an offer has been accepted by the seller and acceptance has been communicated to the buyer.

Answer: A. The principal is liable for the acts of his agent performed "within the scope of authority." The agent is liable for the agent's own acts performed "beyond the scope of authority."

54. A kiosk is a:

A. roof style.

B. popular garden ornament.

C. method of home cooling.

D. small open-sided structure.

Answer: D. A kiosk is a small open-sided structure.

55. Andrew purchased Bliss's ranch on May 1, 2006. The real property taxes for 2006-2007 are:

A. a personal obligation of Bliss.

B. added to the purchase price for Andrew.

C. a personal obligation of Andrew.

D. a lien on the ranch.

Answer: D. Taxes become a lien on real property on January 1 prior to the beginning of the fiscal tax year (July 1 to June 30). Property taxes are liens on property, not personal obligations.

56. A tenant would be justified in abandoning a property in all of these situations EXCEPT when:

A. dilapidated conditions are created by the tenant.

B. excessive or unwarranted changes or alterations in the property are made by the landlord.

C. the landlord threatens expulsion.

D. property is taken by eminent domain or condemnation.

Answer: A. A tenant is an owner of an interest in real property and therefore is subject to eminent domain and condemnation proceedings. In every lease or rental agreement the landlord implies (by law) that his tenant will have the quiet possession and enjoyment of the premises during the tenancy. The landlord shall not unlawfully interfere with this covenant by threatening expulsion or by excessive or unwarranted changes. In the event he does breach this covenant it may be deemed constructive eviction and the tenant would be justified in terminating the lease and abandoning the premise.

57. "Duress" is most closely associated with matters of:

A. commissions.

B. adverse possession.

C. easements.

D. contracts.

Answer: D. Duress is defined as unlawful constraint exercised upon a person who is forced to do some act, such as sign a contract, against his will.

58. The trustee will deliver to the trustor a:

A. trustee's deed.

B. reconveyance deed.

C. grant deed.

D. quitclaim deed.

Answer: B. In a deed of trust arrangement, the trustor is the owner-borrower who has placed bare legal title in trust with a third neutral party called the trustee. When the debt to the lender (beneficiary) is satisfied, the trustee reconveys the title back to the trustor by using a reconveyance deed. A trustee's deed would be used in case of foreclosure and would not be delivered to the trustor.

59. A broker used the following phraseology in his listing contract: "In consideration of the execution of the foregoing, the

undersigned broker agrees to use diligence in procuring a purchaser." This is best described as:

A. a necessary item in the creation of a unilateral contract.

B. an agreement to advertise the property.

C. a necessary element in the creation of a bilateral contract.

D. uperfluous in such contracts.

Answer: C. In exchange for the seller's promise to pay a commission, the broker promises to use diligence. This mutual exchange of promises makes it a bilateral contract. A unilateral contract requires a promise from only one party and performance from the other.

60. The expansion and contraction of available space is due to market fluctuations of:

A. permanence of residence.

B. financing terms.

C. prices and rents.

D. elasticity of demand.

Answer: C. Before a building is constructed, assurance should be gained from an analysis of the market that the space can be rented at a price that will obtain a reasonable return on an investment. After the decision is made to proceed with construction, all that can be done is hope that other parties will analyze the market and take space supply into consideration and refrain from glutting the market.

61. What decides the amount of commission received from the sale of property of a deceased person?:

A. Administrator or executor of the estate

B. Court order

C. Real estate board

D. Real estate commissioner

Answer: B. The probate court usually must approve the sale as well as the amount of the commission.

62. A dual agency in the negotiation of a sale of real property is lawful if:

A. the escrow agent agrees.

B. the broker of the seller agrees.

C. both buyer and seller agree.

D. both brokers agree.

Answer: C. An agent can lawfully act for two principals in negotiation with each other provided that both principals have knowledge of and consent to the dual agency.

63. An easement is a(n):

A. equitable restriction on real property.

B. specific lien on real property.

C. general lien on real property.

D. encumbrance on real property.

Answer: D. An easement is an encumbrance, but not a lien or a restriction. Liens and restrictions are other types of encumbrances.

64. The principle of substitution applies to:

A. structural design.

B. use.

C. income.

D. all of these.

Answer: D. The principle of substitution states that when several similar commodities, goods, or services are available, the one with the lowest price attracts the greatest demand and widest distribution. The substitution of one property for another may be in terms of use, structural design, or earnings.

65. In order for a contract for the transfer of real property to be binding on the buyer and seller, it must:

A. be acknowledged.

B. have an offer, acceptance, and communication to the offeror.

C. be recorded.

D. satisfy all of these.

Answer: B. A contract, to be valid, must have offer, acceptance, and communication to the offeror. Either party may withdraw from the contract any time prior to communication. Neither recording nor acknowledgment is required for a contract or for a deed.

66. A listing agent gave part of his commission to the buyer. He:

A. is guilty of committing a civilly wrong act.

B. must disclose this to the seller.

C. is guilty of criminal action.

D. may be disciplined by the real estate commissioner.

Answer: B. That an agent "gave part of his commission to the buyer" would be considered a material fact. The fiduciary relationship of the agent to the principal required full disclosure of all material facts. The

agent would not be disciplined by the real estate commissioner unless the broker failed to disclose this material fact to the principal.

67. An escrow closing statement that refers to "recurring costs" could be describing:

A. title insurance.

B. impound accounts for taxes and insurance.

C. deed transfer taxes.

D. escrow charges.

Answer: B. The term recurring costs describes the expenses that the buyer can expect year after year. These include property taxes and fire insurance, which are frequently impounded by the lender.

68. A home is being sold for $800,000 and has been appraised for $780,500. If the lender is willing to lend the maximum permitted by the Veterans Administration, the GI buyer is required to put up what amount in cash?:

A. $20,000

B. $19,500

C. $20,500

D. $25,000

Answer: B. Under a VA loan, the veteran is required to pay cash for any excess of the purchase price over the appraisal (certificate of reasonable value). No down payment is normally required unless the price exceeds the appraisal.

69. The broker who most likely has earned a commission is the one who has:

A. communicated the buyer's offer to the seller.

B. secured acceptance of an offer.

C. communicated acceptance by the seller to the buyer.

D. secured a substantial deposit with an offer.

Answer: C. In order for the offer to become a contract, the acceptance of the offer must be communicated from the offeree to the offeror. Once the broker has achieved a contract between a buyer and seller, the broker has earned a commission, even though there are usually contingencies that must be met before the broker can bepaid the commission.

70. Two pest control inspection companies submitted pest control reports on the same property during escrow. The escrow officer should:

A. return the reports to the broker and have him get written instructions from the seller and buyer as to which report to use.

B. return the reports to the broker and request written instructions from the seller as to which report to use.

C. request one of the pest control companies to withdraw its report.

D. use the report that requires the least work to be done.

Answer: A. The escrow officer should return both reports to the broker because a licensee must disclose to any and all purchasers and sellers any knowledge he may have of any infestation on the premises.

71. An owner of property located near a local airport was constantly bothered by the noise of low-flying aircraft. If the owner were to bring suit to force the city to condemn his or her property because of the noise, this would be an example of:

A. equitable severance.

B. inverse condemnation.

C. eminent domain.

D. condemnation.

Answer: B. If noise from low-flying aircraft damages the owner in the use of his or her land, this may be a "taking" of property, for which compensation must be paid by the government. This remedy is called inverse condemnation because it is started by an owner who seeks compensation from the agency causing the situation.

72. Local zoning ordinances determining use of land and building may also determine:

A. location of buildings.

B. all of these.

C. setbacks.

D. size.

Answer: B. The governing authority of a city or county has the power to adopt ordinances establishing zones within which structures must conform to size, set back, and location limitations.

73. Which act or statement might be a cause for disciplining a licensee?:

A. A statement made to the seller that this is the highest offer the buyer will make

B. epresentation that did not result in a loss to the principal

C. A statement to a buyer, "This is the best house on the street"

D. A statement to the buyer that this is the lowest offer a seller will accept

Answer: B. The Bureau of Real Estate may take disciplinary action against an agent's license if the agent has been guilty of making any substantial misrepresentation.

74. All of these are essential elements of a simple contract EXCEPT:

A. legal object.

B. competent parties.

C. proper writing.

D. mutual assent.

Answer: C. The four essential elements of a simple contract are consideration, competent parties, a lawful object, and mutual assent. The statute of frauds requires that only certain contracts must be in writing to be enforceable in court, not all.

75. A lease for a period of years that is held by the lessor is an example of:

A. freehold estate.

B. none of these.

C. personal property.

D. real property.

Answer: C. While in fact the lessor (landlord) has a freehold estate on the property, she has given a tenant the right to possess the property for a period of time using an instrument called a lease. This lease is a piece of paper and it is the personal property of the landlord (lessor).

76. Brown hired a broker to find a warehouse for lease. Green hired the same broker to find a lessee for a warehouse. Each agreed to pay a commission. The broker negotiated a lease between Brown and Green. Brown knew the broker was representing Green, but Green did not know the broker was representing Brown. Which statement is correct?:

A. Brown is liable for the commission.

B. Green is liable for the commission.

C. Both Brown and Green are liable for commissions.

D. Neither is liable for a commission.

Answer: D. Since the broker has a fiduciary relationship with both Brown and Green, this failure to get consent from both parties creates

an undisclosed dual agency, or divided agency, and denies the broker's right to collect from either party.

77. The year in which the U.S. Supreme Court barred racial discrimination, both public and private, in the sale or rental of real property was:

A. 1968

B. 1984

C. 1960

D. 1972

Answer: A. In 1968 the U.S. Supreme Court, in the case of Jones v. Mayer, established an all-encompassing set of federal rules prohibiting unlawful discrimination in the sale or rental of property.

78. A deed to an unlocated easement is:

A. void.

B. invalid.

C. valid.

D. void for lack of certainty.

Answer: C. A deed conveying the fee title to an indefinite parcel of land would be void because of uncertainty of description, but a deed to an unlocated easement is valid because the exact location could be determined later. Unlocated means it is not visually apparent.

79. Which term relates to time, title, interest, and possession?:

A. Tenancy in common

B. Survivorship

C. Severalty

D. Mortgage

Answer: B. Time, title, interest, and possession are the unities of a joint tenancy. The right of survivorship exists under a joint tenancy.

80. A fire insurance policy can be canceled by the insurance company:

A. only after the company has given written notice and the insured has signed an acceptance.

B. without notice if the buyer has had excessive losses.

C. if the company gives the insured notice within a reasonable time prior to cancellation.

D. at any time without notice.

Answer: C. A fire insurance policy can be canceled only after written notice has been given to the insured with a reasonable time for cancellation to take effect.

81. In California, estates at will are created by:

A. either express agreement or operation of law.

B. operation of law.

C. express agreement.

D. a properly written and executed document.

Answer: B. Under common law, an estate at will is one that can be terminated at the will of either party without advance notice. The Civil Code of California, however, requires that any estate created by agreement except an estate for years requires advance notice to terminate. Therefore, an estate at will can be created only by operation of law in California.

82. Mr. Sharp lists his house with Agent Long, who finds a buyer and induces Mr. Sharp to accept the buyer's offer by making a verbal promise to find Sharp another suitable residence before escrow closes on the sale. Escrow closed, and Long was unable to perform. It is most likely that:

A. Sharp will complain and charge Long with criminal negligence.

B. Sharp will withdraw his acceptance of the buyer's offer and not be liable.

C. Sharp will initiate civil court action.

D. since Long only made a verbal promise, he has no liability to perform.

Answer: C. The seller cannot rescind his contract with the buyer, but may institute civil action for damages sustained for the unfulfilled promise of the broker that induced him to enter the purchase contract.

83. A broker advertises in the paper that if a seller lists his property with the broker, the seller would be credited by the broker with $50 toward the commission to be paid. Also included in the advertisement is the statement that if a prospective buyer brings a copy of the advertisement to the broker, the buyer would be credited in the amount of $50 in escrow that would be applied to the purchase price of the property. Would the broker be subject to the discipline of the real estate commissioner with regard to this advertisement?:

A. The broker can credit the buyer but not the seller.

B. The broker can credit the seller but cannot credit the buyer.

C. The broker would be disciplined because his promises to sellers and buyers in the advertisement would constitute payments to unlicensed persons.

D. The broker may pay the $50 to the seller and to the buyer.

Answer: D. Neither of these promises by the broker would be a violation of law or regulations. The courts have also ruled that disclosed payments by the broker to either the seller or buyer would

not be a violation of the Real Estate Settlement Procedures Act (RESPA).

84. Mr. Jones made application to Federal Pacific Bank for a loan November 1. The loan was approved on November 5. Mr. Jones waived his right to a Uniform Settlement Statement under RESPA in writing and escrow closed on November 15. The lender must supply the Uniform Settlement Statement:

A. three days after the settlement date.

B. as soon as practical after the close of escrow.

C. on November 15, the settlement date.

D. to FHA only.

Answer: B. The borrower may waive the right to delivery of the completed Uniform Settlement Statement no later than at settlement (closing). In such case, the completed Uniform Settlement Statement shall be mailed or delivered to the borrower and seller as soon as practicable after settlement.

85. The clause that provides that the broker is eligible for a commission after the termination of an authorization to sell is the:

A. protection clause.

B. anti-theft clause.

C. probate clause.

D. liquidated damages clause.

Answer: A. A protection clause (also called a safety clause) in a listing agreement binds the seller to the payment of a commission to the broker if the property is sold within a period of so many days after the expiration of the listing to a person with whom the broker negotiated during the listing period.

86. An estate that will continue for a period of six months only, fixed in advance by contractual agreement of the parties, is an:

A. estate at will.

B. estate from period to period.

C. estate for years.

D. estate at sufferance.

Answer: C. Any lease for a definite period of time creates an estate for years, regardless of the period of time for which it was established.

87. To find the details of the subfloor, such as size and dimensions of concrete piers, footings, and other detailed construction measurements, a real estate licensee would examine the:

A. floor plan.

B. elevation plan.

C. foundation plan.

D. plot plan.

Answer: C. A foundation plan will show all the details of the subfloor, such as the size and dimensions of concrete piers footings and other detailed construction measurements. A floor plan is a drawing made to scale showing floor dimensions, room sizes, placement of windows, doors, and partitions, and so forth. A plot plan is a drawing made to scale that reveals lot dimensions, placement of improvements, walks and driveways, and so forth. An elevation plan is a sketch that shows exteriors of a building as it will appear when completed.

88. Joint tenancy and community property interests have what in common?:

A. Both involve the husband and wife

B. Survivorship

C. Same conveyance

D. Equal interests

Answer: D. In order to create a joint tenancy and community property, there must always be equal interest. In community property, the interests are equal but without the right of survivorship, unless it is specifically indicated as "community property with right of survivorship." A joint tenancy may or may not involve a husband and wife.

89. An apartment house under construction has many prospective renters. The city now wants to widen the street. This change results in a 10% loss of renters. This loss would be an example of:

A. economic obsolescence.

B. physical deterioration.

C. functional obsolescence.

D. physical obsolescence.

Answer: A. Economic obsolescence is a loss in value due to factors outside of the subject property that adversely affect its value.

90. A seller sued a real estate broker for misrepresentation of a material fact that the broker had made to him during the sale transaction. In defending the suit, the broker was able to prove that the listing contract with the seller had been an oral agreement. Under these circumstances:

A. the broker is only liable for misrepresentation to buyers.

B. this defense is not a bar because it was not the issue

C. this is a valid defense based on the statute of frauds.

D. the statute of frauds is not a bar in any real estate transaction litigation.

Answer: B. The broker cannot use the statute of frauds as a defense in this situation. The statute requires the listing contract be in writing to be enforceable in court but has nothing to do with misrepresentation.

91. When dealing with the public, a broker must:

A. disclose all material facts known only to himself or herself.

B. delegate responsibilities to another person.

C. not refuse to take a listing.

D. do all of these.

Answer: A. A broker has a duty to disclose material facts; failure to disclose material facts to the parties involved could be considered negative fraud. As long as there is no illegal discrimination involved, there are many reasons why a broker may refuse to take a listing. For example, many brokers will refuse to take an unreasonably overpriced listing.

92. In a sales transaction, an agent is paid by both parties but he did not reveal his dual agency. What could happen in these circumstances?:

A. The sale could be rescinded.

B. The agent would be subject to discipline by the real estate commissioner.

C. All of these

D. The agent may not be able to enforce payment of his commission.

Answer: C. Acting for more than one party in a transaction without the knowledge and consent of all parties thereto is a violation of California Real Estate Law and the Civil Code and could therefore result in all the penalties recited.

93. George Nordling subdivided a large section of a hillside location. In the deeds to individual lots, he placed a restriction requiring a 15,000-square-feet minimum lot size. Subsequently, the local authorities succeeded in reducing the requirements of the zoning laws to a minimum requirement of a 10,000-square-feet minimum lot size. Which requirement for minimum lot size takes precedence?:

A. Zoning laws take precedence because they are based on police power.

B. The subdivider would be compelled to amend his restriction to conform to zoning laws.

C. Precedence would require arbitration by local planning commission.

D. The original deed restriction takes precedence.

Answer: D. Where there is a conflict between deed restrictions and zoning restrictions, the more stringent of the two would apply.

94. Which is NOT essential in the creation of an agency?:

A. Fiduciary relationship

B. Capacity of parties

C. Payment of consideration

D. Lawful object

Answer: C. While it can be created by actions, words, and conduct, an agency relationship is typically created by a listing contract or buyer representation agreement. All parties are required to have capacity and the object of the relationship must be that which is considered lawful. A broker owes a fiduciary duty to the principal. Payment of consideration is not essential to create an agency.

95. When dealing with the public, a broker may NOT:

A. remain silent as to material facts concerning the property known only to the broker.

B. do any of these.

C. delegate any of the broker's duties to other persons.

D. receive a commission from both buyer and seller.

Answer: A. A broker has a duty to disclose material facts; failure to disclose material facts to the parties involved could be considered negative fraud.

96. In the sales comparison approach, the adjusted sales price of the comparable property is:

A. the only indication of the market value.

B. a direct relationship to market value.

C. an estimate of value of the comparable property with similar prominent characteristics to the subject property.

D. indicated by agreement between the buyer and the seller.

Answer: C. Sales prices of "comps" are adjusted to reflect what the comparable property might have sold for had it been more nearly identical to the subject property-or had similar prominent characteristics to the subject property.

97. In real estate financing, lenders will sometimes refer to "nominal rate" when granting a loan. This means:

A. that the rate of interest in the final granting of the loan will be greater than the commitment.

B. points will be required, as the rate required by the lender would exceed the legal rate of interest.

C. the maximum rate of interest allowed by law is obtainable on financing a property.

D. the rate of interest specified in the promissory note.

Answer: D. The word nominal stems from the word "name" and is the rate named in the note.

98. A real estate agent's license will be suspended when the real estate fund pays a judgment creditor of the agent and will not be reinstated until the agent:

A. pays the judgment creditor and the recovery account plus interest.

B. pays the judgment creditor all funds that were not paid from the recovery account, plus interest.

C. reimburses the recovery account for one-half of all funds paid to the judgment creditor, plus interest.

D. pays back the recovery account with interest.

Answer: D. The Real Estate Law (B&P Code Section 10475) provides that no broker's or salesperson's license suspended under these circumstances can be reinstated until the recovery account has been repaid in full, plus interest at the prevailing legal rate.

99. Impounds are used as a safety measure to insure payment of certain recurring bills. A lender might require a borrower to make deposits into an impound account with each monthly payment. Which payment would least likely be part of the impound deposit?:

A. Mortgage interest

B. Homeowners' association fees

C. Assessment bond payments

D. Property taxes

Answer: A. Mortgage interest is paid to the lender as income to the lender and is not held in an impound account. Property taxes, homeowners' association fees, and assessment bond payments are owed to someone other than the lender and might result in a default if not paid. To protect against that risk the lender might ask that deposits for each of these be made into an impound account controlled by the lender to ensure that such obligations be paid.

100. Mr. Able borrowed money to build an apartment building and wanted to place advertising in the newspaper that would solicit the following: (1) Married Couples Only (2) No Minorities. He was correct in his advertising in:

A. 1 only.

B. 2 only.

C. both 1 and 2.

D. neither 1 nor 2.

Answer: D. Government Code Section 12955: "It shall be unlawful…for any person to make, print, or publish, any notice, statement, or advertisement, with respect to the sale or rental of any housing accommodation that indicates any preference, limitation, or discrimination based on race, color, religion, sex, marital status, national origin, or ancestry or any intention to make any such preference, limitation, or discrimination." Title VIII, Section 804 (Federal Fair Housing Act) is almost the identical wording.

101. In establishing an estimate of value by appraisal, it is very important to differentiate between the purpose of the appraisal and the:

A. appraisal process.

B. function for which the appraisal is being made.

C. amenities to the owner.

D. principles of appraisal.

Answer: B. The purpose of the appraisal determines the type of value being sought. It is not the same as function or use. The function of the appraisal is the reason for which the appraisal is made or is intended to be used. It relates to the character of the decision to be based on the

appraisal, for example, price at which to buy or sell, amount of mortgage to be made, et cetera. The appraiser under USPAP must state the intended use of users.

102. The customary procedure used to enforce private restrictions on real property is:

A. judgment.

B. injunction.

C. desist and refrain order.

D. indictment.

Answer: B. An injunction is a court order restraining or requiring performance by a party (e.g., performing acts required by property covenants or refraining from acts restricted by such covenants).

103. What is prima facie evidence of deceptive or misleading advertising in the sale of real estate?:

A. The misspelling of the subdivision's name

B. Any guaranteed yield or return on a promissory note that does not agree with the advertised interest rate

C. A poorly drawn map that would make it difficult to find the location of the subdivision

D. The omission of the purchase price or financial terms

Answer: B. In real estate law there is an express prohibition against implying any yield or return on a promissory note different from the interest rate in the note itself unless the advertisement sets forth both the actual rate and the difference between the outstanding balance of the note and the price at which it is being offered for sale, that is, the discount.

104. What is a benefit of extended coverage title insurance over standard coverage?:

A. Protection against lack of capacity

B. Protection against capital improvements being on your neighbor's property

C. Protection against recorded instruments

D. Protection against forged deeds

Answer: B. A survey and physical inspection of property is required in an extended coverage policy and would show correct survey lines and any encroachment.

105. The person who would benefit the most from appreciation of a mortgaged property would be:

A. the beneficiary.

B. the trustee.

C. none of these.

D. the trustor.

Answer: D. The trustor is the owner-borrower of a property mortgaged by the use of a trust deed. As the property appreciates, the trustor's equity increases and the trustor therefore benefits more than the other parties indicated.

106. What is the indicated value of a property that produces a gross monthly income of $2,400 and an appropriate (annual) multiplier of 10.72?:

A. $225,000

B. $308,000

C. $108,000

D. $25,000

Answer: B. Gross monthly income $2,400 x 12 months = $28,800/year

Gross multiplier x Gross income = Value estimate

10.72 x $28,800 = $308,736 Closest $308,000

107. The written employment agreement, required by the Commissioner's Regulations, between an employing broker and salesperson is an example of:

A. bilateral executory contract.

B. ratification.

C. unilateral contract.

D. unilateral contract.

Answer: A. A bilateral agreement is one in which promises are exchanged. An executory contract is related to performance and something remaining to be done by one or both parties. The agreement between broker and salesperson is an example of a bilateral executory contract.

108. The term associated with urban renewal programs, when existing structures are demolished and new ones built, is:

A. renovation.

B. relocation.

C. reclamation.

D. redevelopment.

Answer: D. Redevelopment is a term associated with clearing and rebuilding a slum or blighted area.

109. At 10:00 AM a broker receives an offer that meets full price and all terms of the listing. At noon, before he or she could submit the first offer, he or she receives a second offer on the same property for less money but all cash. The broker decides to submit the first offer and, if it is rejected, to submit the second offer. Which statement is TRUE?:

A. This is proper since the second offer was for less than the listed price.

B. This is improper since the broker owes a fiduciary relationship to both buyers.

C. This is proper since one should submit offers in the order received.

D. The broker could be disciplined by the real estate commissioner.

Answer: D. All offers should be submitted. For withholding material facts, a broker could be disciplined by the real estate commissioner. While it is correct in that the action is improper, the listing broker owes fiduciary duties to the seller, not to the buyer.

110. When a structural pest control report is a condition of a transfer by the buyer, the report must be delivered to the:

A. buyer.

B. broker.

C. escrow company.

D. lender.

Answer: A. If it is a condition placed in the contract by the buyer, then he or she must receive a copy of the report. Typically the lender will make it a condition of financing, but this question specifically addresses the issue of the buyer, not the lender.

111. To an investor in real property, cash flow means:

A. gross income less an allowance for vacancies.

B. monies left after deducting operating expenses, interest, and principal payments from gross income.

C. net income used for capitalization purposes.

D. income left after deducting taxes from net income.

Answer: B. Cash flow refers to the money the investor has at the end of the year after deducting all out-of-pocket expenses from gross income. Do not confuse with net spendable, which is computed by deducting income tax from cash flow.

112. An appraiser is employed to advise an apartment owner of the economic feasibility of construction of a swimming pool. The appraiser would be most concerned with which valuation principle?:

A. Integration

B. Regression

C. Substitution

D. Contribution

Answer: D. The principle of contribution is applied to a portion of the property (in this case the added swimming pool) and affirms that the value of an additional improvement is measured by its contribution to the net return of the combined enterprise.

113. Which would be covered by the Real Estate Settlement Procedures Act (RESPA)?:

A. 40 acres of land for development

B. An addition to a duplex

C. An initial lien on a one- to four-family dwelling

D. A commercial building project

Answer: C. RESPA states: Coverage is restricted to first mortgage loans secured by one- to four-family residential properties made by a federally regulated or insured lender.

114. Metal that is used in a roof to prevent water from seeping through is called:

A. lath.

B. mud sill.

C. flashing.

D. soffit.

Answer: C. Flashing is sheet metal (or sometimes composition material) that is used to protect, cover, and deflect water from joints or angles, such as roof valleys, or above window and door openings.

115. If a person paid $220 interest on an $8,000 loan for 90 days, the interest rate was:

A. 9%.

B. 12%.

C. 10%.

D. 11%.

Answer: D. (R x T) x P = I

(%/yr.) x $8,000 = $880

$880 ÷ $8,000 = 0.11 = 11%/yr.

$220 Interest/90 days x 4 Quarters

$880 Interest/yr.

116. The economic life of improved property is _____ in relation to the physical life of the property.:

A. greater

B. lesser

C. the same

D. dependent on the type of improvement

Answer: B. The economic life is the period in which the building earns sufficient income to support itself. The building will still be standing even though its economic life may have expired.

117. An agent is showing the home of an owner who has AIDS. Concerning the fact that the owner has AIDS, the agent should:

A. disclose the fact only if someone inquires.

B. disclose the fact whether asked or not.

C. disclose the fact if the buyer expects to obtain an FHA loan.

D. never disclose the fact without consent of the owner.

Answer: D. Civil Code Section 1710.2 provides that neither the owner nor the agent shall be liable to the transferee for failing to disclose that

an occupant was afflicted with or died of AIDS.

118. A builder submitted building plans that included design, specifications, and materials for approval. When reviewing these plans, the building inspector determined some of the proposed materials were not in accordance with local building codes but that the use of these materials would not constitute a safety hazard and therefore approved the plans. This is an example of a(n):

A. infraction.

B. variance.

C. permit.

D. exception.

Answer: D. This is an example of an exception made by a building inspector. The term variance applies to permission to use land for a purpose that does not strictly conform to a zoning restriction. If approved by a building inspector it is not an infraction.

119. All of these are secondary benefits of the Federal Housing Administration as established by the National Housing Act of 1934 EXCEPT:

A. elimination of short-term financing.

B. establishment of improved building standards.

C. mortgage guarantee insurance with low premiums to protect the borrower.

D. a loan amount appropriate for the borrower's income.

Answer: C. FHA insurance is for the benefit of lenders, not borrowers. A loan amount appropriate for the borrower's income, elimination of short-term financing, and establishment of improved building standards are all advantages developed by the FHA plan.

120. A wife signs an agreement to sell community real property. The contract as it applies to her and her husband is:

A. illegal.

B. voidable.

C. void.

D. enforceable.

Answer: B. An agreement to sell would be unenforceable against the marital community if signed by one spouse only. It would be voidable by the nonconsenting spouse for one year. This type of contract is not considered void, because there is consent of one of the parties.

121. Real property taxes on a condominium:

A. are billed to the entire project and prorated by the project manager.

B. are billed to the individual unit owners.

C. do not include the value of common areas in assessment.

D. are a lien on the individual unit owner, but not on the individual unit.

Answer: B. The assessor issues separate tax bills to each owner of a condominium. The bill includes an assessment for the unit in which the owner has fee title and a prorated assessment to correspond to the owner's interest in the common area.

122. To achieve planning goals, local, state, and federal governments have the authority to regulate the use of or to purchase private property. In its broadest definition the source of this authority is known as:

A. eminent domain.

B. zoning.

C. master planning.

D. police power.

Answer: D. To achieve planning goals, local, state, and federal government have the authority to regulate the use of private property provided such right is used only to promote the public health, safety, and general welfare. Government also can negotiate to purchase private property for public use. The source of this authority is the police power of the state. Note: The three other powers inherent in the state are (1) eminent domain: Taking (not purchase) of private property for a public use, with compensation; (2) escheat: reversion of property to the state upon death of an owner without heirs; and (3) taxation.

123. In the narrative form of appraisal report, where would the property value be stated?:

A. Purpose of the appraisal

B. Description of use

C. Description of the neighborhood

D. Legal description of the property

Answer: A. The beginning or cover letter in a narrative form of appraisal sets forth the purpose of the appraisal and the final opinion of value. Everything that follows in this most comprehensive form of appraisal is the appraiser's data to support the appraiser's conclusion.

124. Which would have the least effect on property taxes in a community?:

A. Number of commercial buildings and high-priced homes

B. Homestead exemptions

C. Compactness of the community

D. Zoning and private restrictions

Answer: B. Homesteads will not protect the owners from property taxes and would have the least effect on them.

125. A selling agent who is the exclusive agent for the buyer can do all of these things EXCEPT:

A. personally submit the buyer's offer to the seller.

B. withhold negative information about the buyer.

C. submit his client's offer to the seller and seller's agent with the seller's approval.

D. act as the seller's agent since the seller is the one paying the commission.

Answer: D. An agent who is the "exclusive agent for the buyer" cannot also act as the seller's agent. If the buyer's agent also acts as the seller's agent, there is a dual agency (if disclosed) or a divided agency (if not disclosed) and the agent cannot then be the "exclusive agent for the buyer." The buyer's agent can withhold negative information about his client, the buyer, as long as it is not a material fact that the seller might reasonably take into consideration in deciding to accept an offer.

126. When Atkins is selling his trade fixtures, which instrument must he execute?:

A. Bill of sale

B. Warranty deed

C. None of these

D. Chattel real

Answer: A. Since trade fixtures are personal property, a bill of sale would be the proper instrument to use to convey the title. A chattel real describes a lease. A warranty deed conveys title to real property.

127. A woman purchased a home for $80,000 and executed a mortgage for $70,000. She paid the balance in cash. Subsequently, a period of economic inflation sets in. This would benefit:

A. the trustor.

B. the trustee.

C. the beneficiary.

D. neither the beneficiary nor the trustor.

Answer: A. Inflation will cause the borrower's equity to increase faster than it would from principal payments alone. Since inflation will not affect the interest rate on the mortgage, this is an advantage to the borrower but a definite disadvantage to the beneficiary (lender). The trustee is not affected in any measurable way.

128. In a period of inflation, the Federal Reserve Board would take which action to curb inflation?:

A. Raise reserve requirements and sell bonds

B. Reduce reserve requirements

C. Lower discount rates

D. Raise discount rates and buy bonds

Answer: A. To curb inflation, the Federal Reserve Board would raise the reserve requirements for its member banks and enter into the bond market in a selling capacity. If the Federal Reserve Board reduced reserve requirements, lowered discount rates, or bought bonds, it would make more money available and create greater inflation.

129. A conduit in a new building would be installed by a(n):

A. plumber.

B. carpenter.

C. electrician.

D. roofer.

Answer: C. Conduit is used in the electrical trade.

130. In setting up a release schedule under a blanket encumbrance the beneficiary will usually require a disproportionate amount of money to release a particular lot:

A. to have better security on the remaining lots.

B. because the best lots usually sell first.

C. to protect the investment as individual lots are sold.

D. for all of these reasons.

Answer: D. All the choices are all legitimate reasons for the release schedule to be disproportionate in favor of the beneficiary.

131. Which statement is NOT true with respect to depreciation as determined by an appraiser?:

A. It is inherent in the property and not created by outside influences.

B. It can be determined by more than one method of appraisal.

C. It is loss of value from any cause.

D. It can be computed for both past and future.

Answer: A. Depreciation can be from either inherent or extraneous causes. Economic/social obsolescence is an outside factor that can have a great impact on value. Examples include an increase in interest rates, and increase in crime in the neighborhood, zoning, and rent control.

132. The required written agreement of broker-salesperson is a regulation of:

A. the real estate commissioner.

B. no one.

C. the Real Estate Board.

D. NAR.

Answer: A. The real estate commissioner's Regulation 1726 requires that every real estate broker have a written agreement with each employed salesperson and broker.

133. A broker refers all his clients and customers to the West Hills Title Insurance Company. The title company gives the broker a $10 fee for each referral. This practice is:

A. permissible.

B. acceptable if the seller is paying for the policy and agrees.

C. acceptable if both buyer and seller are aware that broker is receiving a fee and agree.

D. forbidden.

Answer: D. The Real Estate Settlement Procedures Act (RESPA) forbids kickbacks, referral fees, or any other unearned fees. Referral fees between real estate brokers and agents are permissible but not between real estate agents and nonlicensees.

134. An investor purchases an investment property. An appraisal of the property showed a 12% return. The broker gives the buyer a financial report on the property but fails to take into consideration vacancies and management fees. The broker is guilty of:

A. caveat emptor.

B. fraud.

C. misrepresentation.

D. false promises.

Answer: C. If the vacancies and management fees had been taken into account, the property would return less than 12%. Therefore, a false statement of fact, or misrepresentation, was made by the broker. (Misrepresentations may be either "fraudulent" or "negligent." Since the facts in the question are silent about any fraudulent intent, the act is presumed to be "negligent misrepresentation.")

135. The purpose of a trust account is to:

A. provide for the commingling of the trust funds and the broker's funds.

B. keep the broker's funds and trust funds separated.

C. provide easy disbursement of funds.

D. do none of these.

Answer: B. A trust account is set up as a means to separate trust funds from non-trust funds. A trust account protects principals' trust funds in situations in which legal action is taken against the broker or the broker dies or becomes incapacitated.

136. Which approach to a value estimate tends to set the upper limit of value?:

A. Replacement cost

B. Market comparison

C. Income

D. Comparative sales

Answer: A. The cost to replace a like property usually sets the upper limit of value.

137. All of these are exemptions from local real property taxes EXCEPT:

A. senior citizens' tax exemption.

B. homeowners' exemption.

C. low-income homeowners' exemption.

D. veterans' exemption.

Answer: C. Under state law limited exemptions from local real property taxes for individuals who qualify are senior citizens (and blind and disabled persons), who may defer their taxes; Veterans, who receive $4,000 off assessed value; and homeowners, who receive $7,000 off assessed value.

138. Annual property taxes for a personal residence are:

A. determined by the assessments of the county assessor.

B. 1% of appraised value.

C. 1% of the assessed value plus additional cost for bond indebtedness.

D. 2% of cash value plus additional cost for bond indebtedness.

Answer: C. n 13 limits the annual property tax rate to 1% of assessed value plus an additional amount to pay for voter-approved bond indebtedness.

139. The real estate commissioner may require impounding of a purchaser's deposit in a subdivision when the blanket mortgage does not contain an unconditional release clause. This is for the benefit of the:

A. lender.

B. owner of the subdivision.

C. purchaser.

D. mortgage holder.

Answer: C. In the event there is no release clause in a subdivision that is subject to a blanket encumbrance, one alternative for the real estate commissioner is to require an escrow for all or a part of the purchaser's money as indicated in Section 11032 (a) of the Business and Professions Code.

140. According to Title VIII of the Civil Rights Act of 1968 and an 1866 law enacted by Congress, a person discriminated against in the purchase of a home because of race could go into court and the court could determine all of these rulings EXCEPT:

A. revocation and suspension of broker or salesperson's license if the court concludes he has discriminated.

B. money damages and punitive damage to prevent a recurrence.

C. money damages for humiliation and embarrassment.

D. money damages and specific performance.

Answer: A. Only the real estate commissioner has the legal authority to suspend or revoke a license.

141. Which is a freehold estate?:

A. Estate at will

B. Estate in fee

C. Estate for years

D. Estate at sufferance

Answer: B. Freehold estates are either (1) fee simple estates or (2) life estates. The wrong answer choices here are all less-than-freehold estates: (1) Estates for years (2) Periodic tenancies (3) Estates at will (4) Estates at sufferance.

142. In order to comply with the statute of frauds, certain contracts must be:

A. accompanied by a deposit.

B. acknowledged by a notary public.

C. created by a lawyer.

D. in writing and signed.

Answer: D. The statute of frauds requires real estate contracts (except leases for one year or less) to be in writing and signed by the parties in order to be enforceable.

143. If a change of ownership is not recorded, how many days after the change does an owner have to inform the County Tax Assessor about a change of ownership?:

A. 45 days

B. 15 days

C. 30 days

D. 60 days

Answer: A. A Change of Ownership Statement must be filed with the County Recorder or County Tax Assessor at the time of recording, or if the transfer is not recorded, within 45 days of the change of ownership.

144. Smith had the XYZ Swimming Pool Company install a pool. After completion of construction, a lien was filed on behalf of the XYZ Company to collect the amount of the contract. The lien filed was:

A. a voluntary lien.

B. none of these.

C. a specific lien.

D. a general lien.

Answer: C. A lien placed by a mechanic, materialman, artisan, or laborer for the furnishing of work or material is termed a specific lien; such a lien burdens only the particular property upon which the construction occurred. Mechanics' liens are involuntary.

145. A broker was intentionally renting only to members of the Caucasian race. Under the Unruh Civil Rights Act, he or she would be:

A. subject to suspension or revocation of his real estate license.

B. liable to pay the aggrieved person $250 in penalties.

C. held liable for actual damages incurred by the aggrieved party.

D. all of these.

Answer: D. The Unruh Act covers the civil rights of persons in business establishments. By renting only to members of the Caucasian race, the broker is in violation of this act and is liable for actual damages plus $250. The broker also would be subject to suspension or revocation of his or her real estate license.

146. Berg sells Mann a property, using a conditional sales contract. The contract is recorded and a deposit is made. Mann continues to live on the property but stops making payments and avoids Berg. He then abandons the property one night. In this situation:

A. the new buyer would not be concerned with Mann.

B. marketability of title is not affected.

C. the sale has no effect on the title.

D. there is a cloud on the title.

Answer: D. The recording of the contract or taking possession of the property gives constructive notice and therefore creates a cloud on the title under the circumstances outlined. Unless the vendee could be found and persuaded to deliver a valid quitclaim deed to the vendor, a successful quiet title court action would be necessary to make the title marketable. FYI, a conditional sales contract is also known as a land contract, contract of sale, and real property sales contract.

147. A man who owned a large tract of land wanted to subdivide it. Into how many interests would he have to divide the land before the subdivision comes under the Subdivision Map Act?:

A. Five

B. One

C. Two

D. Three

Answer: C. The Subdivision Map Act applies to subdivisions of two or more parcels or units.

148. An increase in value, resulting from improved usability where one or more contiguous lots are joined together under single ownership, would be a definition most appropriately applied to:

A. appurtenance.

B. assemblage.

C. plottage.

D. severalty ownership.

Answer: C. lottage increment is the increase in value after combining lots. Assemblage is the act of combining one or more contiguous lots under single ownership.

149. Mr. and Mrs. Jenkins own a home worth $533,000 on which there is a $519,000 loan. Mrs. Jenkins alone filed a Declaration of Homestead. If there were a judgment lien filed against them:

A. the homestead is invalid since only Mrs. Jenkins filed it.

B. the home would not be sold because there is insufficient equity over and above the exemption and the secured lien to satisfy the creditor.

C. the home could be sold to satisfy the judgment.

D. the exemption would be for $10,000 since Mrs. Jenkins filed it without her husband's signature.

Answer: B. The property is held by the husband and wife. She may file a homestead exemption of $75,000. The property would not be sold because the $519,000 loan and the $75,000 exemption exceed the $533,000 market value of the property.

150. Unless otherwise specifically stated, a grant deed presumes to convey:

A. an estate for years.

B. a life estate.

C. a fee simple defeasible estate.

D. in fee simple.

Answer: D. While a fee simple defeasible and a life estate can be transferred by a grant deed, they must be specified. An estate for years is transferred by a lease. A fee simple (absolute) is one that is not qualified, and is presumed if nothing else is specified.

Test Section

In this section there will be no answers to the questions. You will be able to test yourself here by answering the questions on a separate sheet of paper. Number your papers 1 through 138 (Vocabulary Exam) 1 through 150 (Diagnostic Pre-Test Exam) 1 through 172 (Property Ownership Exam), etc. and write down the letter of the answer you think is correct. Score yourself at the end by using the correct answers in the **Study Section** to see how you did. If you did not score at least 90%, go back to the Study Section and read through the exam again and continue to study and memorize the answers until you are scoring 90% or better. This will insure you pass your actual exam on the 1st try.

Real Estate Vocabulary Exam

1. An executory contract is a:

A. written contract that cannot be altered by oral agreement.

B. contract with an executor of an estate.

C. contract that has been fully performed.

D. contract that is yet to be performed by one or both parties.

2. Mr. Applegate purchased a home in a subdivision through Broker Able. Applegate applied for a loan and on the loan application there were two boxes that he was asked to check. One box was for marital status and the other for race. Applegate may:

A. sue the broker arranging the loan and the loan officer for asking these questions on the loan application.

B. be required to answer these two questions by the lender in order for the loan to be processed.

C. file a complaint with the real estate commissioner.

D. refuse to answer the questions on race and marital status.

3. A landlord and tenant mutually agree to terminate a lease. This is often referred to as:

A. rescission

B. abandonment

C. release

D. surrender

4. Under the Truth-in-Lending Act, a "Notice of Cancellation" could be given when the loan was:

A. secured by a commercial building.

B. used for business expansion.

C. secured by the owner's residence.

D. more than $25,000 and was not secured.

5. What would create an interest in property with possessory rights but no form of title?:

A. Sublease

B. Land contract

C. Mortgage

D. Easement

6. An appraiser received a $300 fee from Jones for appraising Brown's property. The appraiser may discuss the details of the appraisal with:

A. Jones

B. no one

C. Brown

D. anyone

7. In the planning and engineering of a tract for subdivision purposes, a "cul-de-sac" is frequently employed. This term is in reference to the installation of:

A. recreation areas

B. sewage disposal

C. streets

D. drainage

8. A broker who is not authorized to accept deposits in his listing agreement must inform the offeror that:

A. no deposits will be accepted.

B. an agent must accept all deposits.

C. the risk of loss lies solely with the buyer. The seller will not be liable in event of loss of the deposit.

D. it is implied by law that if authorized by the seller, deposits can be accepted.

9. A clause in a second trust deed that permits the first trust deed to be refinanced without affecting its priority would be known as:

A. an acceleration clause.

B. a submortgage.

C. none of these.

D. an alienation clause.

10. When an existing contract is replaced by an entirely new contract, this is an act of:

A. subrogation

B. novation

C. hypothecation

D. rescission

11. The distinguishing characteristic of real property as opposed to personal property is that real property:

A. can be depreciated over useful life.

B. is a long-term asset.

C. is immovable.

D. has a high cost of acquisition.

12. All of these people can sue for specific performance EXCEPT:

A. an attorney-in-fact acting for the principal.

B. the purchaser of a residential property.

C. the seller of a large tract of land.

D. a broker acting as the agent for the principal.

13. An agreement with a lender that prohibits early payoff of a loan is known as a(n):

A. exculpatory clause.

B. lock-in clause.

C. open-end mortgage.

D. prepayment penalty.

14. The quickness with which assets can be converted into cash is known as:

A. risk

B. yield

C. leverage

D. liquidity

15. A licensee can legally do all of these things EXCEPT:

A. use an open listing without a final and definite termination date.

B. collect a commission or service a mortgage loan that he did not negotiate.

C. claim an income tax deduction for a commission paid for the sale of his own property.

D. fail to use a termination date on an exclusive listing.

16. lessee may be justified in abandoning a rented dwelling if there is constructive eviction by the landlord. All of these would be constructive eviction EXCEPT:

A. an eviction notice is tendered by the landlord.

B. unwarranted delays by the landlord after notice to make repairs of damages that have made the property unfit for occupancy.

C. condemnation of the entire property in eminent domain proceedings.

D. failure of the landlord to repair excessive wear and tear to property caused by the tenant.

17. An investor purchased an apartment building with a very small down payment and was able to secure financing for the balance. A year later, he sold the property for profit with no increase in his investment. This is an example of:

A. leverage

B. inflation

C. appreciation

D. debt reduction

18. Franklin offered to perform all of the obligations in a purchase contract. This act is considered a:

A. demand

B. covenant

C. condition

D. tender

19. An escrow company received two termite reports in which the estimates of cost of the work differed. Under these circumstances:

A. the seller and broker should present both reports to the buyer.

B. the least expensive report should be used.

C. the seller and broker must decide which report to use.

D. the most expensive report should be used.

20. A contract signed under duress would be:

A. void

B. voidable

C. illegal

D. unenforceable

21. A listing agent gave part of his commission to the buyer. He:

A. must disclose this to the seller.

B. may be disciplined by the real estate commissioner.

C. is guilty of criminal action.

D. is guilty of committing a civilly wrong act.

22. Amenities of residential real estate are:

A. related to its capacity to provide shelter effectively.

B. not considered by appraisers because they are intangible qualities.

C. measurable on the market.

D. the property's physical attributes.

23. Mr. Ferguson purchased a property for $125,000 with 12% cash down. He financed the balance with equal monthly payments of $1,048, which included 11% interest, and the loan would be fully amortized in 30 years. Mr. Ferguson sold the property for $139,750 before making any payments on the loan. What was his equity at the time of sale?:

A. $15,000

B. $29,750

C. None of these

D. $24,750

24. hich loan costs are NOT required to be disclosed as a finance charge to the customer under federal truth-in-lending rules?:

A. Finder's fees

B. Credit investigation

C. Buyer's points

D. Time-price differential

25. A seller sued a real estate broker for misrepresentation of a material fact that the broker had made to him during the sale transaction. In defending the suit, the broker was able to prove that the listing contract with the seller had been an oral agreement. Under these circumstances:

A. this defense is not a bar because it was not the issue.

B. the broker is only liable for misrepresentation to buyers.

C. the statute of frauds is not a bar in any real estate transaction litigation.

D. this is a valid defense based on the statute of frauds.

26. Which document is NOT a means of creating an interest in real property?:

A. Lease

B. Bill of sale

C. Deed

D. Mortgage

27. A broker who is selling property on which he holds an option must inform the buyer that he is a(n):

A. principal

B. agent

C. grantor

D. optionor

28. Which would have the least effect on property taxes in a community?:

A. Homestead exemptions

B. Number of commercial buildings and high-priced homes

C. Compactness of the community

D. Zoning and private restrictions

29. A lease for a period of years that is held by the lessor is an example of:

A. freehold estate.

B. none of these.

C. personal property.

D. real property.

30. The federal Fair Housing Law was enacted for the purpose of:

A. providing fair housing for minority groups.

B. providing fair housing opportunity for all persons throughout the United States.

C. equal but separate housing within the states.

D. elimination of prejudice throughout the United States.

31. An agency agreement may be terminated by all of these occurrences EXCEPT:

A. destruction by fire of the property that is the subject matter of the agency agreement.

B. the principal's refusal of an offer to purchase presented in the name of a third person.

C. renunciation of the agreement by the agent.

D. mutual termination by both the principal and agent prior to the original termination period.

32. The most distinguishable characteristic of personal property is:

A. mobility.

B. being affixed to land as a permanent part of the land.

C. all of these.

D. being incidental or appurtenant to land.

33. Jones is using Smith's swimming pool and suffers an injury. If Jones instituted court action and obtained a judgment against Smith for $2,500, it would be a(n):

A. voluntary lien.

B. abstract lien.

C. general lien.

D. specific lien.

34. An appraiser is called upon to appraise a property on which there was a building of no value. The appraiser should:

A. appraise for highest and best use and disregard the cost of demolition.

B. add the salvage value of the building.

C. appraise for highest and best use and deduct the cost of demolition.

D. ignore the building.

35. Liquidation of a financial obligation on an installment basis is:

A. conversion

B. acceleration

C. conventional

D. amortization

36. Mr. Able obtained a loan to build an apartment building. (1) He planned to charge a higher deposit to single males, and (2) his only source of advertising was to ask his tenants, predominantly white, to refer their friends as prospective tenants. With reference to fair housing laws, Mr. Able's actions would be correct in which choice(s)?:

A. 1 only

B. 2 only

C. Both 1 and 2

D. Neither 1 nor 2

37. The remedy of unlawful detainer is most commonly used by offended:

A. grantors

B. lessors

C. holders of notes in default

D. trustors

38. Which is NOT a specific lien?:

A. Judgment lien

B. Mechanic's lien

C. Blanket mortgage

D. Unrecorded property tax lien delinquent from prior years

39. An agent may collect a commission for a negotiated sale after the term of the listing contract expired if:

A. the agent signs a release clause.

B. the contract contains a protection period clause.

C. the agent sues the principal for liquidated damages.

D. there is an alienation clause.

40. A quitclaim deed releases present claim, rights, and title of the:

A. property

B. grantor

C. servient tenement

D. grantee

41. What will have an impact on the real estate market in years to come?:

A. Land-use regulation

B. Consumerism

C. The real estate industry

D. All of these

42. What is the first step in the appraisal process?:

A. Define the appraisal problem

B. Make a preliminary survey and appraisal plan

C. Organize the data program

D. Classify the data

43. The amount an appraiser charges for an appraisal is established by the:

A. real estate commissioner.

B. agreement between the appraiser and the client.

C. Federal Housing Authority.

D. Office of Real Estate Appraisers.

44. What is the best definition of company dollar with regard to a real estate office?:

A. Gross income minus commissions

B. Gross income minus operating expenses

C. Office expenses

D. Cost to set up the business for a specific length of time

45. The gross multiplier is LEAST likely to be used in the appraisal of:

A. a residence.

B. commercial property.

C. apartment buildings.

D. vacant land.

46. A dual agency in the negotiation of a sale of real property is lawful if:

A. both buyer and seller agree.

B. both brokers agree.

C. the escrow agent agrees.

D. the broker of the seller agrees.

47. In the matter of a broker's commission to be paid by a seller, which statement is TRUE?:

A. The broker's commission earned but not paid creates a lien on the seller's property.

B. The seller and buyer may rescind sale, thus relieving the seller of the obligation to pay the broker's commission.

C. Action for the broker's commission must be brought within four years of earning the commission.

D. A listing agreement signed only by the seller is unenforceable.

48. Broker Wilson sells a house, and a loan for the buyer is secured through a savings and loan association. Wilson carefully explains all loan costs to the buyer. According to the Real Estate Settlement Procedures Act (RESPA), which statement is TRUE?:

A. Broker Wilson would not have to provide an estimate of settlement costs to the buyer because he had explained all costs.

B. The lender must provide the buyer with an estimate of settlement costs within three days.

C. The lender must provide an estimate of settlement costs to the buyer immediately.

D. Broker Wilson must provide the buyer with an estimate of settlement costs within one week.

49. To alienate title to real property, an individual:

A. records a homestead.

B. clouds a title.

C. conveys title.

D. secures an ALTA policy of title insurance.

50. A real estate agent's license will be suspended when the real estate fund pays a judgment creditor of the agent and will not be reinstated until the agent:

A. reimburses the recovery account for one-half of all funds paid to the judgment creditor, plus interest.

B. pays the judgment creditor all funds that were not paid from the recovery account, plus interest.

C. pays back the recovery account with interest.

D. pays the judgment creditor and the recovery account plus interest.

51. A plot plan:

A. is used as a guide to the placement of structures and related improvements on the lot.

B. shows exterior of structures to be built.

C. is used as an exact guide for construction of improvements.

D. shows contour of the land.

52. Considering the nature of real estate investments in that they are made over a long period of time, require a considerable amount of money, are harder to care for, and generally have a slower turnover, the return on these investments should be:

A. the same as first trust deeds.

B. higher than bonds but lower than first trust deeds.

C. more than bonds and first trust deeds.

D. the same as bonds.

53. The gross rent multiplier is developed by dividing the:

A. gross monthly income by the assessed value.

B. gross monthly income by the sales price.

C. sales price by the gross monthly income.

D. gross monthly income by the market value.

54. Which are considered artificial monuments?:

A. Trees and fences

B. Fences and rock

C. Canals and streets

D. Streets and trees

55. When dealing with the public, a broker must:

A. delegate responsibilities to another person.

B. do all of these.

C. disclose all material facts known only to himself or herself.

D. not refuse to take a listing.

56. What best describes an attorney-in-fact?:

A. A lawyer acting as an attorney for a client

B. A lawyer appointed by the court

C. A person with a dual agency

D. A legally competent person appointed to represent another person through a power of attorney

57. A broker was to receive a 6% commission from the sale of a property. Her salesperson was to receive 45% of the 6% commission. The salesperson received $8,100. What was the selling price of the property?:

A. $135,000

B. $40,000

C. $300,000

D. $435,000

58. Under the Real Estate Settlement Procedures Act (RESPA) lenders are required to give borrowers:

A. a bill of sale.

B. the amount of mortgage interest.

C. a good-faith estimate.

D. an invoice not exceeding $10 for the special information booklet.

59. An executed contract is a contract:

A. under the jurisdiction of the probate court.

B. to be rewritten.

C. completed and fully performed by both parties.

D. signed, notarized, and recorded.

60. The best definition of capitalization is:

A. the relationship between value and net worth.

B. the result of dividing net income by a percentage rate of return to determine value.

C. the highest rate of return on an investment.

D. the minimum rate of return on an investment.

61. All of these statements about depreciation are true EXCEPT:

A. it always is concerned with intrinsic factors but never with extraneous factors.

B. it is a loss of value from any cause.

C. it includes all influences that reduce the value of property below replacement cost.

D. it can be a loss of value due to wear and tear.

62. A real estate licensee negotiated the sale of a farm for a seller. The agent's commission can be paid in which form?:

A. Check or cash

B. Assignment of existing note

C. Any of these

D. Assignment of funds from buyer to seller

63. In comparing real estate investments to other types of investments, the turnover is:

A. faster than stocks.

B. slightly slower than an average of other investments.

C. faster than other commodities.

D. slower than other investments.

64. The main purpose of a deed is to:

A. show a change of real property transfer.

B. provide evidence of a change of title or transfer of an interest in real property.

C. identify the parties in the transfer of title of real property.

D. provide a legal document eligible for recording.

65. A broker negotiated a loan for a client. The beneficiary did not specifically instruct the broker to record. The broker is obligated to record:

A. at same time funds are disbursed.

B. before funds are disbursed.

C. within 10 days of the date funds are disbursed.

D. immediately after funds are disbursed.

66. An owner of a small investment company advertised and sold properties for a commission. In his advertisements he did not indicate that he was a licensee, and in fact, he was not. He also made false statements in his advertising. Since he failed to disclose material facts, who would prosecute this person?:

A. Real estate commissioner

B. Attorney general

C. Local law agencies

D. District attorney

67. All of these are necessary for the creation of an agency agreement EXCEPT:

A. fiduciary relationship.

B. consideration.

C. mutual agreement of the parties.

D. competency of the seller.

68. In the purchase of a residence, the buyer conditioned the sale upon the seller's providing the buyer with a certified inspection report from a licensed pest control operator showing the property to be free of wood-destroying organisms. The seller contracted the Apex Termite Control Company who, upon inspection, reported termite damage and estimated the repairs would cost $500. The seller then had Apex repair the damage and the seller made payment directly to the contractor for the work that had been done. With respect to the report of work accomplished, which statement is TRUE?:

A. No report need be made to the buyer since the seller had the work done and paid for it, and the residence is now free of termites.

B. Either the broker or the seller would be responsible for delivering a copy to the buyer.

C. The Apex Termite Company would be required to deliver a copy to the buyer.

D. The escrow officer would ensure the buyer has received a copy of the report since escrow cannot close until this has been accomplished.

69. Recording a deed:

A. raises presumption of delivery.

B. transfers title.

C. gives actual notice.

D. insures possession.

70. If an apartment owner is converting the building to a condominium project, each tenant must receive advance notice of intention to convert. What is the notice time requirement for this phase of conversion?:

A. 90 days

B. 120 days

C. 30 days

D. 180 days

71. A contract between two or more persons where one grants the other the right to sell, offer to sell, or exchange goods or services under a marketing plan designed by the grantor is a:

A. franchise agreement.

B. securities and exchange agreement.

C. financing agreement.

D. business opportunity.

72. In an advertisement, only the annual percentage rate is mentioned. What else must also be disclosed in the ad?:

A. Monthly payments required

B. Amount of down payment required

C. No further disclosures necessary

D. Amount of loan

73. How much can a lender legally charge a borrower for the preparation of the Closing Disclosure form?:

A. 1%

B. $25.00

C. 1/2 of 1%

D. Nothing

74. Which criterion would NOT be used to determine net income for an income property?:

A. Maintenance costs

B. Management fees

C. Mortgage interest

D. Vacancies

75. There are several reasons why a contract can be voidable. However, a voidable contract is binding on the parties until it is:

A. qualified.

B. invalidated.

C. rescinded.

D. discovered.

76. Functional utility in a dwelling is dependent upon:

A. zoning in the area.

B. its floor plan and equipment.

C. the condition of heating system.

D. the desires of its occupants.

77. Property is:

A. personal if not real.

B. personal if a fixture.

C. all of these.

D. real if tangible.

78. George Greedy owns a subdivision in Roughacres and intends to mail a promotional brochure to 1,000 persons. The brochure will offer gifts and prizes and state that winners will be property owners. The brochure does not state that a person must attend a sales seminar and tour the subdivision in order to be eligible for a gift or prize. Would this brochure be in violation of any law?:

A. No, it is not unlawful since each person who wins a prize is also a property owner

B. No, it is not unlawful since he is not required to disclose that a person must attend a sales seminar in order to become eligible for a gift or prize

C. Yes, it is unlawful since he did not disclose that a person must be present and attend a sales seminar to be eligible for a gift or prize

D. Yes, it is unlawful since you cannot win a prize and be a property owner

79. An agency contract can be created by all of these EXCEPT:

A. an implied contract in law.

B. appointment by the principal.

C. a voluntary offer by the agent.

D. an oral contract.

80. A real estate licensee went into a neighborhood and attempted to solicit a listing by stating to the property owner that "non-whites" would be moving into the neighborhood and that property values would thereby go down. Such conduct would be considered all of these things EXCEPT:

A. legal but unethical.

B. panic selling.

C. blockbusting.

D. illegal conduct.

81. Recording a deed would give:

A. actual notice.

B. right of possession.

C. effective notice.

D. constructive notice.

82. In real estate financing, lenders will sometimes refer to "nominal rate" when granting a loan. This means:

A. the rate of interest specified in the promissory note.

B. that the rate of interest in the final granting of the loan will be greater than the commitment.

C. the maximum rate of interest allowed by law is obtainable on financing a property.

D. points will be required, as the rate required by the lender would exceed the legal rate of interest.

83. An individual is purchasing a parcel of real property. The provisions of the contract require the seller to convey title to the property when the buyer pays the full amount of the contract to the seller. When the buyer has fulfilled his part of the contract and requests the seller to convey title, the seller refuses to fulfill his contractual obligation. Under these circumstances the seller has done what?:

A. Tender

B. Covenant

C. Demand

D. Breach

84. Which entity has the responsibility for determining property values for real property tax purposes?:

A. Assessor's office

B. Board of Supervisors

C. Board of Equalization

D. Tax commissioner

85. A deed was given by "A" to "B" with oral instructions not to record the deed until "A's" death. The deed was:

A. voidable

B. illegal

C. valid

D. void

86. Which "runs with the land"?:

A. Covenants

B. All of these

C. Appurtenant easements

D. Stock in a mutual water company

87. A lessor is renting a furnished apartment from period to period. Under the Fair Housing Act, the lessor may do all of these things EXCEPT:

A. obtain credit checks on married couples.

B. collect the first, second, and last month's rent.

C. check with former landlords for references.

D. require only single tenants to have a co-signor for the lease.

88. In accordance with the Real Estate Settlement Procedures Act, the lender must supply the borrower with a Uniform Settlement Statement:

A. 1 day prior to settlement.

B. 3 days prior to settlement.

C. at or before closing.

D. 10 days after loan commitment.

89. What would make a deed void?:

A. Made to a fictitious grantee

B. Grantee is not named but is sufficiently described

C. Signature of grantor is spelled differently from the typed spelling on the deed

D. Grantor is set forth and has signed under a name not his own

90. A percolation test is used to determine:

A. size of the cistern needed for a given building.

B. depth of footings.

C. capacity of soil to absorb water.

D. quantity and potability of water.

91. A money judgment of the court when recorded is always a(n):

A. equitable lien.

B. voluntary lien.

C. superior lien.

D. involuntary lien.

92. The state fiscal year falls between the dates:

A. June 30 to July 1.

B. December 31 to January 1, midnight.

C. July 1 to June 30, midnight.

D. January 1 to December 31.

93. The lien of a recorded deed of trust is removed from the records:

A. when a reconveyance deed is recorded.

B. when final payment has been made by the trustor.

C. by recordation of a grant deed.

D. by posting of a surety bond.

94. A fire insurance policy can be canceled by the insurance company:

A. only after the company has given written notice and the insured has signed an acceptance.

B. at any time without notice.

C. if the company gives the insured notice within a reasonable time prior to cancellation.

D. without notice if the buyer has had excessive losses.

95. The Jacksons bought a residence with a first trust deed loan from a savings and loan. The Londons bought a residence with a first trust deed loan from a bank. The Londons refinanced, obtaining a first trust deed loan from a savings and loan, to get money for a business opportunity. Which statement is correct?:

A. Both have the right of rescission.

B. Neither has the right of rescission.

C. The Jacksons do not have the right of rescission, the Londons do.

D. The Londons do not have the right of rescission, the Jacksons do.

96. What essential element is necessary between a broker and a principal when dealing with the title, right, or interest in real property?:

A. Broker has the right to accept a deposit

B. The rights of commission between the parties are established

C. Written contract of employment

D. Broker has the right to draw up a purchase offer

97. The maximum amount of commission and loan costs that may be charged for a second trust deed of $4,000 for a four-year term is:

A. $850.00

B. $990.00

C. $725.00

D. $550.00

98. A broker advertises in the paper that if a seller lists his property with the broker, the seller would be credited by the broker with $50 toward the commission to be paid. Also included in the advertisement is the statement that if a prospective buyer brings a copy of the advertisement to the broker, the buyer would be credited in the amount of $50 in escrow that would be applied to the purchase price of the property. Would the broker be subject to the discipline of the real estate commissioner with regard to this advertisement?:

A. The broker can credit the seller but cannot credit the buyer.

B. The broker would be disciplined because his promises to sellers and buyers in the advertisement would constitute payments to unlicensed persons.

C. The broker may pay the $50 to the seller and to the buyer.

D. The broker can credit the buyer but not the seller.

99. A minority prospect came to you and requested to see a specific house in a minority neighborhood. You can lawfully assume the prospect is:

A. interested in a house in a minority neighborhood.

B. interested in a house with a particular type of architectural style.

C. unable to qualify for VA or FHA housing and you should refuse to show prospect any houses.

D. trying to test you.

100. Smith built a $250,000 house in a neighborhood in which houses are valued between $75,000 and $85,000. Any resulting loss of value would be an example of:

A. physical depreciation.

B. functional obsolescence.

C. physical obsolescence.

D. economic and functional obsolescence.

101. At the time an owner offers to list his or her property with a broker, the owner makes it a condition that it may not be disclosed that the home is in a slide area. What should the broker do?:

A. The broker should accept the listing but disclose this information orally to any initial buyers.

B. The broker should advise the owner to sell the property himself.

C. The broker should recommend that the owner list his property with someone else.

D. The broker should not take the listing.

102. Percolation test refers to:

A. water wells.

B. flood control.

C. soil analysis.

D. sewage.

103. Who would provide a quitclaim deed to quiet a title?:

A. None of these

B. Grantee

C. Grantor

D. Trustor

104. A buyer purchased a property using a recorded conditional sales contract and later defaulted on the payments. If a quitclaim deed was used to clear the cloud on title, it would be executed by:

A. none of these.

B. the seller.

C. both buyer and seller.

D. the buyer.

105. Williams owned 40 acres of land in 1955, which she subdivided into 65 lots and placed a restriction in each deed that said these lots may "not be sold to non-Caucasians." This restriction is:

A. none of these.

B. valid until Williams died.

C. prohibited by local, state, and federal statutes and regulations of all real estate commissions.

D. unenforceable through court action because it is a violation of the U.S. Constitution.

106. Middleton is a 15-year-old emancipated minor who hired a broker to sell her property. Middleton gave this broker her emancipation documents. After the broker procured a buyer, to whom should the broker deliver these documents?:

A. The title insurer

B. The escrow company

C. The buyer

D. The buyer's lender

107. It is improper for a salesperson to:

A. submit verbal offers to the principal.

B. tell his principal that he has the nicest farm in the county.

C. show the property only on sunny days.

D. keep the client's secret that the property has a leaky roof.

108. A lease based on gross income of the lessee is a:

A. gross lease.

B. net lease.

C. ground lease.

D. percentage lease.

109. If you, as a broker, are the buyer's agent, you will want others to know:

A. after you get your commission.

B. as soon as possible.

C. before the close of escrow.

D. after the offer is accepted.

110. The date of priority of a mechanic's lien on any construction project is the date of:

A. acceptance by owner.

B. commencement of construction.

C. completion of construction.

D. occupation by owner.

111. Which element is NOT necessary in the formation of a contract?:

A. Consideration

B. Acceptance

C. Performance

D. Offer

112. A real estate salesperson who advertises a property must provide in the advertisement:

A. at least the salesperson's name.

B. the broker's name.

C. both the broker's name and address and the salesperson's name.

D. the broker's name and address.

113. An apartment house under construction has many prospective renters. The city now wants to widen the street. This change results in a 10% loss of renters. This loss would be an example of:

A. functional obsolescence.

B. physical deterioration.

C. economic obsolescence.

D. physical obsolescence.

114. What is the minimum amount of time that a broker must keep signed copies of listings, deposit receipts, et cetera?:

A. One year

B. Three years

C. Four years

D. Two years

115. A broker lists and negotiates the sale of a home for Mr. B, a young married man. At the time of the sale the broker was not concerned with the age of his client. After the deed had been signed and escrow closed, the title company informs the broker that the seller is under 18 years of age. The deed is:

A. outlawed.

B. valid.

C. illegal.

D. voidable.

116. The capitalization rate in the valuation of income property would least likely provide for:

A. depreciation.

B. return of investment.

C. taxes.

D. return on investment.

117. A real estate licensee is canvassing an area in order to secure listings for an office. The agent tells the prospective sellers that minority groups are moving into the area and it would be advantageous to sell at this time. If the licensee canvasses in this manner, she:

A. would not be disciplined by the real estate commissioner if the broker had instructed her to canvass in this manner.

B. would be disciplined by the real estate commissioner for canvassing in this manner.

C. would not be disciplined by the real estate commissioner if the prospective sellers were members of a minority group.

D. would not be disciplined by the real estate commissioner since this is a legitimate selling tactic.

118. Which definition best describes an "open-end mortgage"?:

A. One in which personal property is held for added collateral

B. One in which additional financing could be obtained without rewriting the contract

C. One in which the mortgage represents a partial payment for the parcel of the land

D. One under which several parcels of land are included under one mortgage

119. An investor purchases an investment property. An appraisal of the property showed a 12% return. The broker gives the buyer a financial report on the property but fails to take into consideration vacancies and management fees. The broker is guilty of:

A. misrepresentation.

B. false promises.

C. caveat emptor.

D. fraud.

120. The power of eminent domain can be exercised by:

A. all of these.

B. public education institutions.

C. public utilities.

D. cities.

121. What is the best definition of economic rent?:

A. The amounts the owner actually receives in rents

B. The amount the property would rent for if it was available in today's market

C. Payment for use of property designated in a lease

D. The amount left after the lessor pays expenses

122. When is there a late charge permitted on a mortgage payment on a home?:

A. Right after the due date

B. After 10 days beyond the due date

C. When 15 days late

D. On the 10th day

123. Involuntary alienation of an estate means:

A. aliens are forbidden to own estates in fee simple in California.

B. no one can be compelled to transfer title without giving consent.

C. ownership of estates may be transferred by operation of law.

D. the estate cannot be transferred without the consent of the owner.

124. Unless otherwise specifically stated, a grant deed presumes to convey:

A. a life estate.

B. in fee simple.

C. an estate for years.

D. a fee simple defeasible estate.

125. Alienation expresses a meaning most nearly opposite to:

A. acceleration

B. acquisition

C. ad valorem

D. amortization

126. A salesperson, canvassing a Caucasian neighborhood that was located near a minority neighborhood, contacted prospective sellers and informed them they should sell now before their property lost value due to minorities entering into the area. Using these tactics he was successful in obtaining several listings. This action is considered to be:

A. steering

B. blockbusting

C. both panic peddling and blockbusting

D. panic peddling

127. James, an 11-year-old minor, owned a farm and asked his father to contract a broker to sell the farm. The father listed the property with a broker. The farm was sold and the deed was signed. James later changed his mind and wanted the farm. This transaction was:

A. rescinded simply because James changed his mind.

B. void because James was a minor.

C. valid because the father was acting for his son.

D. void because the father arranged the sale through a broker.

128. A commercial acre is best defined as:

A. an acre zoned for commercial purposes.

B. any acre located outside of "R" zoning.

C. an acre after deductions for streets and alleys.

D. any parcel of 43,560 square feet.

129. A specified charge against real property that is used as security is defined as:

A. subdivision restrictions.

B. an easement.

C. zoning and planning.

D. a lien.

130. Which word is most closely associated with the term rider?:

A. Amendment

B. Person

C. Lien

D. Accretion

131. A balloon payment would be a characteristic of a(n):

A. standing loan.

B. self-liquidating loan.

C. partially amortized loan.

D. amortized loan.

132. Alex led Carly to believe that he had the authority to act for Brian. Brian went along with Alex. The agency created was by:

A. ostensible.

B. ratification.

C. expressed contract.

D. estoppel.

133. Two houses were built on two adjacent lots of equal value. Construction costs and maintenance were the same. One house is appraised to be of higher value. What is most likely the reason?:

A. One house had more wear and tear.

B. Both houses were across the street from a nonconforming house that resulted in economic obsolescence.

C. One house was considered to have functional obsolescence.

D. One house had more economic obsolescence.

134. In planning a shopping center in a suburban community, which would be the most important consideration?:

A. Amenities

B. Purchasing power

C. Weather

D. Proximity of shipping and warehousing facilities

135. A roof that slopes upward from all four sides and is joined at the ridge is called a:

A. gambrel roof.

B. hip roof.

C. mansard roof.

D. gable roof.

136. The most important factor to a lender who is contemplating a loan to a developer of a shopping center would be the:

A. number of tenants.

B. credit of the purchaser.

C. long-term leases.

D. anchor tenant.

137. A licensee put a blind ad in a local newspaper. A blind ad does NOT:

A. identify the advertiser as an agent.

B. give the address of the licensee.

C. give the address of the property.

D. disclose the selling price.

138. Rescind most nearly means:

A. rewrite

B. terminate

C. reject

D. annul

Diagnostic Pre-Test

1. In the purchase of a residence, the buyer conditioned the sale upon the seller's providing the buyer with a certified inspection report from a licensed pest control operator showing the property to be free of wood-destroying organisms. The seller contracted the Apex Termite Control Company who, upon inspection, reported termite damage and estimated the repairs would cost $500. The seller then had Apex repair the damage and the seller made payment directly to the contractor for the work that had been done. With respect to the report of work accomplished, which statement is TRUE?:

A. The escrow officer would ensure the buyer has received a copy of the report since escrow cannot close until this has been accomplished.

B. No report need be made to the buyer since the seller had the work done and paid for it, and the residence is now free of termites.

C. Either the broker or the seller would be responsible for delivering a copy to the buyer.

D. The Apex Termite Company would be required to deliver a copy to the buyer.

2. Which is considered real property?:

A. A stud in the wall of a house

B. Shrubs to be planted around a yard

C. Fruit that was to be picked after the sale, as agreed upon by both the buyer and seller

D. Fixtures removable by a tenant

3. The most common way for local planners to designate zoning for multiple residential units is:

A. C-3.

B. A-3.

C. M-3.

D. R-3.

4. Under the Truth-in-Lending Act, the three-day right of rescission would begin with which event, if they occurred on different days in the sequence stated?:

A. The date the funds are disbursed

B. The date the disclosure statement is delivered

C. The date the note is signed

D. The date the loan application is made

5. Whatever the purpose of a land survey, the resultant description should contain:

A. all of these.

B. a specific length and direction of the sides of the property.

C. the area in accepted units of measure contained within the described boundaries.

D. a definite point of beginning and definite parcel corners.

6. Mr. Adams purchased an income property for $380,000. The market value of the property was $390,000 and the tax assessor placed a value of $370,000 on it. If he paid $80,000 down and financed the balance, his basis for income tax purposes would be:

A. $390,000.00

B. $370,000.00

C. $380,000.00

D. $80,000.00

7. With regards to blind advertising, it is:

A. not permitted. The advertisement must include the name and address of the broker and the address of the property being offered for sale.

B. permitted when a broker deems that it will increase exposure of the property to potential buyers.

C. not permitted. In an advertisement, a licensee must reveal licensed status.

D. permitted with the owner's permission.

8. Davidson has an easement on Parkins's property. If Davidson is not a property owner, her easement is a(n):

A. easement in gross.

B. nonpossessory encroachment.

C. restrictive easement.

D. appurtenant easement.

9. John and Mary Jackson gave Broker Jones a $500 deposit to cover closing costs and signed an offer to purchase a home for $65,000 provided they could obtain a loan for the full price of the home. Included in the offer to purchase was a clause that read, "Subject to buyers obtaining a VA loan in the amount for $65,000, secured by subject property, payable over a period of 30 years at 11.5% interest with monthly payments to be approximately $644 per month, plus taxes and insurance." Which statement most nearly represents what was intended by the clause?:

A. If the full $65,000 loan is not obtainable, buyer and seller may renegotiate the sale on different terms.

B. Any of these

C. If the maximum loan available is $63,000, the buyer may pay the difference of $2,000 and proceed with the purchase.

D. If the $65,000 loan is not obtainable, the buyers may cancel their offer and recover the $500 deposit.

10. An appraiser determines the accrual for depreciation in the use of:

A. the income approach.

B. the sales comparison approach.

C. none of these.

D. the cost approach.

11. An increase in value, resulting from improved usability where one or more contiguous lots are joined together under single ownership, would be a definition most appropriately applied to:

A. plottage.

B. severalty ownership.

C. assemblage.

D. appurtenance.

12. Mr. Martin contacted Broker Katz to list a property for sale for $200,000. Martin indicated to the broker that he needed a quick

sale of the property. The broker contacted a prospective buyer and told him that Martin would sell the property for $180,000. The buyer made an offer in the amount of $180,000, which Mr. Martin did accept when the broker presented it to him. Under these conditions, Katz:

A. violated the fiduciary relationship but did no harm as the offer was accepted.

B. did not violate the fiduciary relationship as Katz was employed by Martin and acted under such authority.

C. violated the fiduciary relationship as he acted in excess of authority given him.

D. did not violate the fiduciary relationship as the offer was accepted.

13. Which item would most likely be short-rated in escrow?:

A. Interest

B. Trust deed

C. Insurance

D. Real estate taxes

14. A roof that inclines from four sides is a:

A. gambrel roof.

B. hip roof.

C. trussed roof.

D. gable roof.

15. In the sale of real property, all of these statements concerning financing are true EXCEPT:

A. an owner who borrows and executes a trust deed is a trustor.

B. selling a note for less than its face value is known as discounting.

C. a mortgage is a lien on real property; an execution of a mortgage does not transfer title.

D. a promissory note is security for the trust deed.

16. Brown hired a broker to find a warehouse for lease. Green hired the same broker to find a lessee for a warehouse. Each agreed to pay a commission. The broker negotiated a lease between Brown and Green. Brown knew the broker was representing Green, but Green did not know the broker was representing Brown. Which statement is correct?:

A. Both Brown and Green are liable for commissions.

B. Green is liable for the commission.

C. Neither is liable for a commission.

D. Brown is liable for the commission.

17. The most common listing agreement allows the broker to:

A. convey title.

B. find a purchaser, obtain an offer, and bind the principal to that offer.

C. find a purchaser, fill out the deposit receipt, obtain an offer, and present the offer.

D. guarantee the purchaser will accept.

18. When a structural pest control report is a condition of a transfer by the buyer, the report must be delivered to the:

A. buyer

B. lender

C. broker

D. escrow company

19. A buyer made an earnest money offer to purchase property, and the broker placed the funds in his trust account. After the seller's acceptance but prior to opening of escrow, the buyer informs the broker that he has revoked his offer and demands the return of the deposit. The broker, not wanting to be involved in the conflict with respect to the disposition of the deposit funds, deposited them with the appropriate court. This would be an example of:

A. equitable disposition.

B. interpleader.

C. assignment.

D. surrender.

20. Broker Hardy received a listing from Watson to sell Watson's commercial property, along with an option for Hardy to purchase within 30 days. After 27 days, Hardy decided to exercise his option and purchase the property. Hardy must:

A. present all outstanding offers to Watson.

B. inform Watson of all material facts concerning the property.

C. do all of these.

D. disclose his potential profit and obtain the written consent of the principal approving the amount of such profit.

21. Who is entitled to examine the records of the county recorder, without being an employee of the county recorder's office?:

A. Any interested citizen

B. Employees of the Office of the County Recorder

C. A bank employee

D. Any of these

22. The housing and construction industry in California is governed by which three laws?:

A. State Housing Act, local building codes, Real Estate Law

B. Contractor's license law, local building codes, State Housing Act

C. Housing and Community Development Act, Real Estate Law, Health and Safety Code

D. Health and Safety Code, State Housing Act, Real Estate Law

23. The maximum possible income an income property can yield is:

A. net spendable income.

B. effective gross income.

C. net income.

D. gross scheduled income.

24. What essential element is necessary between a broker and a principal when dealing with the title, right, or interest in real property?:

A. Broker has the right to draw up a purchase offer

B. The rights of commission between the parties are established

C. Written contract of employment

D. Broker has the right to accept a deposit

25. An owner of a parcel of real property may have all of these rights EXCEPT:

A. eminent domain.

B. riparian rights.

C. littoral rights.

D. severance.

26. What is the difference between real property taxes and assessment bonds?:

A. Special assessments are used for local improvements.

B. Assessments have superiority over property taxes.

C. Special assessments are levied by special improvement districts only.

D. Assessments are subordinate to real estate taxes.

27. A contract between two or more persons where one grants the other the right to sell, offer to sell, or exchange goods or services under a marketing plan designed by the grantor is a:

A. business opportunity.

B. franchise agreement.

C. financing agreement.

D. securities and exchange agreement.

28. What is always considered real property?:

A. Cultivated crops sold but not yet harvested

B. Extracted minerals

C. Grapes on vines sold under contract

D. Stock in a mutual water company

29. A broker advertises in the paper that if a seller lists his property with the broker, the seller would be credited by the broker with $50 toward the commission to be paid. Also included in the advertisement is the statement that if a prospective buyer brings a copy of the advertisement to the broker, the buyer would be credited in the amount of $50 in escrow that would be applied to the purchase price of the property. Would the broker be subject to the discipline of the real estate commissioner with regard to this advertisement?:

A. The broker would be disciplined because his promises to sellers and buyers in the advertisement would constitute payments to unlicensed persons.

B. The broker can credit the seller but cannot credit the buyer.

C. The broker may pay the $50 to the seller and to the buyer.

D. The broker can credit the buyer but not the seller.

30. If a minority buyer comes into a broker's office and asks to see a specific listed home, the broker should refuse to show it to him under which condition?:

A. When the seller is out of town and has instructed the broker that his house is not to be shown in his absence

B. When the property is listed with a co-op broker

C. Never

D. When the agent sincerely believes it will produce panic selling

31. What is included as part of the finance charge in a Truth-in-Lending Disclosure Statement?:

A. Title insurance fees

B. Recording and document fees

C. Appraisal fee

D. Assumption fee

32. A contract signed under duress would be:

A. unenforceable.

B. void.

C. illegal.

D. voidable.

33. A, an unlicensed person, offers B $1,000 an acre for 10 acres. B accepts the offer not knowing that A already has an offer of $2,000 an acre for the same parcel. The deal goes through as stated. B can:

A. sue and get the land back.

B. let the deal go through but A has to give B the excess profit.

C. do nothing; the transaction stands.

D. report A to the real estate commissioner.

34. When a railroad needs specific land and the owner objects, the railroad may exercise the right of:

A. injunction.

B. writ of replevin.

C. caveat emptor.

D. eminent domain.

35. When a lender sells a promissory note for less than its face value, it is known as:

A. yield loss.

B. reinstatement.

C. discounting.

D. deficiency.

36. The personal, revocable, and unassignable permission or authority to do one or more acts on the land of another without possessing any interest therein is the definition of:

A. encroachment.

B. license.

C. easement.

D. option.

37. A broker lists and negotiates the sale of a home for Mr. B, a young married man. At the time of the sale the broker was not concerned with the age of his client. After the deed had been signed and escrow closed, the title company informs the broker that the seller is under 18 years of age. The deed is:

A. illegal.

B. outlawed.

C. voidable.

D. valid.

38. Broker Fenton has a property listed for $400,000 and submits an offer of $390,500 the next day, with a three-day acceptance period. The seller makes a counteroffer of $395,500. One day after the acceptance period, the seller accepts the buyer's original offer of $390,500. The buyer decided that he no longer wants the property. In these circumstances the acceptance is:

A. not a contract.

B. enforceable because of the original offer.

C. voidable.

D. valid.

39. A licensee who is guilty of "conversion" is one who is:

A. misrepresenting.

B. misappropriating the funds of clients.

C. failing to make full disclosure.

D. commingling.

40. Under the Real Estate Settlement Procedures Act (RESPA) lenders are required to give borrowers:

A. the amount of mortgage interest.

B. a good-faith estimate.

C. an invoice not exceeding $10 for the special information booklet.

D. a bill of sale.

41. A joint tenancy can be created by deeds conveying undivided interests by:

A. transfer from joint tenants deeding their interests to themselves and others as joint tenants.

B. transfer from tenants in common deeding to themselves as joint tenants.

C. transfer from a wife deeding her separate property to herself and husband as joint tenants.

D. all of these.

42. A deed is void at its inception if:

A. the grantee takes title under an assumed name.

B. none of these are true.

C. the grantee is a minor.

D. the grantor is legally incompetent.

43. All of these costs qualify for itemized deductions by the owner-occupant of a single-family residence in the appropriate tax year EXCEPT:

A. real property taxes.

B. the cost of painting a bedroom.

C. the unreimbursed portion of a casualty or theft loss in excess of 10% of the adjusted gross income.

D. interest on a deed of trust.

44. An appurtenant easement involves two parcels of land. The owner of the dominant tenement may:

A. transfer the interest independently of the land.

B. have ingress and egress only.

C. not retain easement rights with the transfer of the parcel.

D. retain the benefits and the burdens of the easement.

45. How many square miles are there in half of a standard township?:

A. 36

B. 9

C. 24

D. 18

46. What would create an interest in property with possessory rights but no form of title?:

A. Land contract

B. Sublease

C. Easement

D. Mortgage

47. A salesperson unlawfully takes kickbacks in connection with licensed real estate activities. The employing broker finds out about the kickbacks, fires the salesperson, and warns others in the office not to do this. Under these circumstances:

A. both the salesperson and the broker could be disciplined by the real estate commissioner.

B. only the salesperson could be disciplined by the real estate commissioner.

C. a court could revoke the salesperson's real estate license.

D. only the broker could be disciplined by the real estate commissioner.

48. A seller asked his listing broker the ethnic background of a prospective buyer. In this situation,:

A. the broker should ask the buyer’s broker if it is all right to advise the seller of the buyer's ethnic background.

B. the broker must disclose this information.

C. disclosure may be made but the broker must tell the seller it cannot affect his decision because of the California Fair Housing Law.

D. disclosure is against the Rumford Act.

49. When property tax increases and all other items remain the same, an income property:

A. decreases in value by more than the amount of the taxes.

B. increases in value by the amount of the taxes.

C. increases in value by more than the amount of the taxes.

D. decreases in value by the amount of the taxes.

50. A contract providing for the payment of commission to the broker regardless of who sells the property, including the owner, is a(n):

A. exclusive-agency listing.

B. net listing.

C. exclusive-authorization-and-right-to-sell listing.

D. open listing.

51. In accordance with the Truth-in-Lending law, what must be included in the advertisement for a graduated payment mortgage loan?:

A. The name of the broker

B. The amounts of different monthly payments

C. The location of the property

D. The address of the lender

52. A final, specific, and definite termination date is required by law on all agreements between seller and real estate agent EXCEPT a(n):

A. written instrument giving one agent the right to sell property for a specified time but reserving the right of the owner to sell the property himself without paying a commission.

B. written authorization given by a property owner to a real estate agent wherein said agent is given the right along with other brokers to secure a purchaser.

C. agreement in writing wherein it is provided that an agent appointed in an exclusive capacity may retain as compensation for his services all sums received over and above a net price to the owner.

D. written agreement between owner and agent giving the agent the right to collect a commission if the property is sold by anyone during the term of his agreement.

53. If an appraiser were appraising a residence built in 1910, which data would she use?:

A. Today's cost of replacement

B. Original cost adjusted to today’s cost-of-living-index

C. Cost-of-living index for 1910

D. Original cost of materials in 1910

54. Price is the amount:

A. that a property might bring on the open market.

B. that a property actually does bring in the open market.

C. an informed seller asks for a property.

D. an informed buyer offers for a property.

55. A due-on-sale clause, whether it is enforceable or not, contained in a mortgage or trust deed is a type of:

A. defeasible clause.

B. acceleration clause.

C. legally enforceable clause.

D. executed clause.

56. The second installment of real property taxes would become due and delinquent on which date?:

A. December 10 and February 1

B. December 10 and April 10

C. November 1 and February 1

D. February 1 and April 10

57. A licensed real estate salesperson has been selling unimproved lots through the employing broker and receiving a finder's fee from a lender for referring the buyers to the lender. The broker discovers this and fires the salesperson and warned all the other salespeople not to be involved in this type of practice. If these facts come to the attention of the real estate commissioner:

A. the broker and not the salesperson is subject to disciplinary action.

B. the salesperson alone is subject to disciplinary action.

C. both the broker and the salesperson may be disciplined.

D. the commissioner has no cause for disciplinary action even though it may be unethical.

58. A listing agreement in which the owner promises to pay a commission under all circumstances of sale, except if he or she sells the property himself, is known as:

A. an exclusive-agency listing.

B. an exclusive-right-to-sell listing.

C. none of these.

D. a net listing.

59. In November, a storm caused damage in Able's house due to a leaky tile roof. In April, Able listed the house with Broker Baker. Broker Baker showed the house to Smith, but did not mention the leaky roof, although Able had mentioned it. After close of escrow, Smith sustained damage to the interior of the house due to this leaky roof. Under these circumstances, buyer Smith:

A. could take legal action against Broker Baker but not against Able.

B. had no recourse under the doctrine of caveat emptor.

C. had no recourse since escrow had closed.

D. could take legal action against Able, and if successful, Able could most likely recover the loss from Broker Baker.

60. George Greedy owns a subdivision in Roughacres and intends to mail a promotional brochure to 1,000 persons. The brochure will offer gifts and prizes and state that winners will be property owners. The brochure does not state that a person must attend a sales seminar and tour the subdivision in order to be eligible for a gift or prize. Would this brochure be in violation of any law?:

A. Yes, it is unlawful since he did not disclose that a person must be present and attend a sales seminar to be eligible for a gift or prize

B. No, it is not unlawful since he is not required to disclose that a person must attend a sales seminar in order to become eligible for a gift or prize

C. No, it is not unlawful since each person who wins a prize is also a property owner

D. Yes, it is unlawful since you cannot win a prize and be a property owner

61. In an advertisement, only the annual percentage rate is mentioned. What else must also be disclosed in the ad?:

A. No further disclosures necessary

B. Amount of down payment required

C. Monthly payments required

D. Amount of loan

62. A licensee can legally do all of these things EXCEPT:

A. collect a commission or service a mortgage loan that he did not negotiate.

B. claim an income tax deduction for a commission paid for the sale of his own property.

C. use an open listing without a final and definite termination date.

D. fail to use a termination date on an exclusive listing.

63. Which statement regarding a prepayment penalty in Cal-Vet financing is correct effective 1998?:

A. If a Cal-Vet loan is paid off within the first five years there is a prepayment penalty based on the original loan amount.

B. There is no prepayment penalty for an early payoff on a Cal-Vet loan.

C. If a Cal-Vet loan is paid off within two years of inception it requires a 2% penalty based on the current loan balance.

D. The prepayment is 2% of the current loan balance.

64. The secondary money market creates a marketplace for the transfer of mortgages between which parties?:

A. Trustors and mortgagees

B. Mortgagees and mortgagors

C. Mortgagees and mortgagees

D. Mortgagors and mortgagors

65. Under California law, it is necessary to give notice to terminate:

A. estate for years.

B. estate at sufferance.

C. none of these.

D. estate at will.

66. To manage properties for the general public an individual must be:

A. anyone; nothing is required.

B. a member of a rental service that lists apartments for rent.

C. a licensed broker.

D. a certified property manager (CPM).

67. Which area is the largest?:

A. 10% of a township

B. Two sections

C. 5,280′ × 10,560′

D. Four square miles

68. Carson acquired title to several properties before his arrest. While in prison, he wanted to convey one property to his son and sell another. How would being in prison affect his ability to convey?:

A. He can dispose of his property as he pleases.

B. He must first get permission from the California Adult Authority.

C. His conveyance must be approved by an officer of the Department of Corrections.

D. It would be hard to acquire title insurance.

69. Broker A had a listing and cooperated with Broker B on an offer from a buyer procured by Broker B. The seller accepted the buyer's offer and the transaction was placed in escrow. It is due to close within two or three days when Broker A learns that Broker B has arranged a sale of similar acreage at a considerably higher price to the same buyer. In these circumstances, what should Broker A do?:

A. Notify the seller of the higher price

B. Attempt to renegotiate a higher price

C. Nothing because of the imminent closing

D. File an interpleader action and obtain a writ of replevin

70. An investment property is appraised at $400,000 based on a net income of $36,000 and a 9% capitalization rate. The value of the property based on a 12% capitalization rate would be:

A. $423,000.00

B. $250,000.00

C. $450,000.00

D. $300,000.00

71. Which is NOT an element of value?:

A. Scarcity

B. Transferability

C. Utility

D. Expectation

72. A licensee who has negotiated the sale of a mobile home would NOT be subject to discipline by the commissioner of real estate if he or she:

A. advertised a mobile home as being new when it is not new.

B. sent a check to the Department of Housing and Community Development drawn on an account that has insufficient funds.

C. failed to deliver the certificate of registration to the Department of Motor Vehicles.

D. sold a mobile home that is greater than 8 feet in width and 32 feet in length.

73. The federal Fair Housing Law contains provisions to prevent discrimination due to race, color, religion, sex, or national origin. A violation of this law would be considered:

A. against public policy.

B. unlawful.

C. illegal.

D. all of these.

74. A one-acre parcel is divided into four equal rectangular lots parallel to each other and each 240 feet in depth. What is the approximate width of each lot?:

A. 87.8′

B. 280.0′

C. 181.5′

D. 45.4′

75. A deed made and delivered, but not recorded, is:

A. invalid as between the parties and valid as to third parties with constructive notice.

B. valid as between the parties and invalid as to subsequent recorded interests without notice.

C. valid as between the parties and valid as to subsequent recorded interests.

D. invalid as between the parties.

76. Riparian rights differ from littoral rights in which way?:

A. Riparian rights deal with streams and watercourses, while littoral rights deal with oceans and lakes.

B. Littoral is a possessory right, riparian is a nonpossessory right.

C. Riparian rights are associated with water and littoral rights are associated with land.

D. Riparian is a possessory right, littoral is a nonpossessory right.

77. Johnson, who owns a ranch, gave Broker Otis an exclusive listing to sell the property. Johnson also advanced Otis $100 to advertise the sale of this ranch in a brochure published by Otis. The real estate law requires that brokers must account for such funds by placing the $100:

A. in the broker's trust account in order that the money may be returned to the seller if the property is not sold.

B. in the broker's personal office account and spend it only for advertising the property.

C. in the broker's trust account in case the seller defaults.

D. in the broker's trust account, expend from the trust account only for advertising the property, and provide a report to the seller that will itemize all expenditures made.

78. An appraiser using the land residual approach is attempting to determine:

A. building value.

B. capitalization rate.

C. income.

D. land value.

79. A property is sold in accordance with the listing terms and conditions. After the transaction is in escrow, the seller decides that he doesn't wish to complete the transaction and refuses to complete the sale. Under the Statute of Limitations, the buyer must

bring any action against the seller for failure to perform under the deposit receipt within:

A. two years.

B. one year.

C. 90 days.

D. four years.

80. Mr. Borg purchased a new mobile home two months ago and contacted broker Wilson to take a listing on it. With respect to this information, Wilson:

A. could take a listing anytime but could not sell the mobile home for one year.

B. could not list the mobile home unless she was also licensed by the Department of Motor Vehicles as a Vehicle Dealer.

C. could not take a listing and sell the mobile home unless it was installed on a foundation and properly registered with the county recorder.

D. could not list the mobile home if it had not been registered with the Department of Housing and Community Development.

81. An owner has a 100-unit apartment house. Which item would be deductible from the gross income in determining net operating income?:

A. Income tax

B. Wages for part time gardeners and maintenance personnel

C. Depreciation

D. Mortgage payments of principal and interest

82. A broker told a customer that if he purchased a lot "it was a gold mine," and that it could be sold for four times what he paid for it by the end of two years. The customer bought the lot but did not attempt to sell it for four years. At that time, he discovered that the broker who had sold him the lot was now selling similar lots for less than the original price of his lot. What course of action could be taken against the broker?:

A. Nothing could be done, as the statute of limitations has expired.

B. The broker was only "puffing," a common practice in selling real estate, and could not be held liable to the buyer; however, the broker could be disciplined by the Bureau of Real Estate.

C. Civil and disciplinary action could be taken against the broker.

D. Nothing could be done about such oral statements, as the real estate market is speculative and always involves some risks for the purchaser.

83. The objective of the Subdivided Lands Law is to protect purchasers of property in new subdivisions from fraud, misrepresentation, or deceit in the marketing of subdivided lots, parcels, units, and undivided interests in the State of California. An owner of land wants to subdivide his property. What is the minimum number of parcels he would have to create in his new subdivision in order to fall under the Subdivided Lands Law?:

A. Two

B. Five

C. Three

D. Four

84. A voidable contract is:

A. enforceable

B. unenforceable

C. illegal

D. valid until some action is taken to void it

85. Certain contracts to be held enforceable in court under the statute of frauds must be in writing. Which of these would be required to be in writing?:

A. Employment of a real estate broker to find a business to purchase

B. Employment of a real estate broker to negotiate one-year leases on business property

C. Any agreement not to be performed within one year

D. Employment of a real estate broker to sell stock-in-trade and goodwill of a business

86. Before the purchaser is advised of the seller's acceptance of an offer, the purchaser can withdraw his offer:

A. for any reason.

B. provided the offer is not irrevocable.

C. provided the offeree has breached the offer.

D. provided the offer is breached by the seller.

87. On FHA loans, mutual mortgage insurance:

A. is paid for by the mortgagee.

B. pays off the mortgage if the mortgagor dies.

C. insures the mortgagee against loss through foreclosure.

D. insures mortgagees against fire.

88. Robert Smith signed an offer and gave the broker his personal check made payable to an escrow company as a deposit. He stipulated that the broker was to hold the check until his offer was accepted by the seller. The listing agreement specified that any deposit money must be a cashier's check made payable to the seller. Under these circumstances, the broker should:

A. submit the offer and deposit the check in escrow.

B. refuse to accept a deposit that does not conform to the precise terms of the listing.

C. hold the check but do not reveal to the seller that he has accepted the check until the seller accepts the offer.

D. submit the offer and hold the check.

89. A buyer of a piece of property fails to examine public records on the property. The buyer is considered to have:

A. conditional notice.

B. constructive notice.

C. assumed notice.

D. actual notice.

90. A seller's transfer disclosure statement provides that a broker:

A. inspect condominium common areas.

B. visually inspect the property and advise of any pertinent information.

C. pay for the pest control inspections.

D. physically inspect inaccessible areas and report findings to the buyer.

91. The broker's desk fee would most likely be paid:

A. by a new licensee.

B. in a 100% brokerage.

C. in property management.

D. by an appraiser.

92. A broker who is selling property on which he holds an option must inform the buyer that he is a(n):

A. principal

B. agent

C. optionor

D. grantor

93. An appraiser is employed to advise an apartment owner of the economic feasibility of construction of a swimming pool. The appraiser would be most concerned with which valuation principle?:

A. Integration

B. Substitution

C. Regression

D. Contribution

94. An offer is terminated by:

A. revocation by the offeror.

B. revocation by the offeree.

C. rejection by the offeror.

D. a change in the offer made by the offeror.

95. When Atkins is selling his trade fixtures, which instrument must he execute?:

A. Chattel real

B. Bill of sale

C. None of these

D. Warranty deed

96. An attorney-in-fact is:

A. a principal in a transaction.

B. a legally competent person acting on behalf of another.

C. all of these.

D. an attorney or executor of an estate.

97. A written statement that is sworn to or affirmed in the presence of a notary is a(n):

A. ratification

B. estoppel

C. allocation

D. affidavit

98. The primary responsibility for reporting a real estate transaction to the IRS is on the:

A. real estate agent.

B. appraiser.

C. escrow company.

D. lender.

99. An agency contract can be created by all of these EXCEPT:

A. appointment by the principal.

B. an implied contract in law.

C. an oral contract.

D. a voluntary offer by the agent.

100. An agent would be guilty of fraudulent misrepresentation when:

A. the representation was material and inconsistent with fact.

B. the misrepresentation caused the purchaser to enter into a contract.

C. all of these happened.

D. the misrepresentation was given with knowledge of the truth.

101. The customary procedure used to enforce private restrictions on real property is:

A. indictment.

B. judgment.

C. injunction.

D. desist and refrain order.

102. What was the purpose of the enactment of the Equal Credit Opportunity Act?:

A. To minimize the cost of credit

B. To prohibit discrimination by lenders based on sex or marital status

C. To regulate the amount of credit extended by a lender

D. To standardize the minimum requirement for obtaining credit

103. A person who is an innocent purchaser of a negotiable note for value without knowledge of any defect is customarily called a(n):

A. assignor.

B. receiver in trust.

C. holder in due course.

D. endorser in blank.

104. The year in which the U.S. Supreme Court barred racial discrimination, both public and private, in the sale or rental of real property was:

A. 1968

B. 1972

C. 1960

D. 1984

105. Which instrument requires a list of inventory of buildings on real property to be sold, conveyed, or insured?:

A. ALTA

B. None of these

C. Grant deed

D. Land contract

106. A tenant who transfers an entire leasehold interest does so by:

A. transfer.

B. alienation.

C. sublease.

D. assignment.

107. On hot days, customers prefer to walk in the shade. Certain locations, due to the sun's fading effect on display window clothing, are the least desirable. Which is the least desirable side of the street for a clothing retailer?:

A. Southwest

B. Northwest

C. Northeast

D. Southeast

108. The amount an appraiser charges for an appraisal is established by the:

A. Office of Real Estate Appraisers.

B. Federal Housing Authority.

C. agreement between the appraiser and the client.

D. real estate commissioner.

109. A commercial acre is best defined as:

A. an acre after deductions for streets and alleys.

B. an acre zoned for commercial purposes.

C. any acre located outside of "R" zoning.

D. any parcel of 43,560 square feet.

110. The highest member of the frame in a conventionally constructed home is the:

A. ridge board.

B. collar beam.

C. girder.

D. rafter.

111. Which document is of importance in filing a mechanic's lien?:

A. Notice of Cessation of Labor

B. Any of these

C. Notice of Nonresponsibility

D. Notice of Completion

112. In most cases, the least satisfactory place to obtain a legal description of property is:

A. a real property tax bill.

B. a preliminary title report.

C. a deed.

D. escrow instructions.

113. If a person paid $220 interest on an $8,000 loan for 90 days, the interest rate was:

A. 11%.

B. 12%.

C. 9%.

D. 10%.

114. Which is real property?:

A. Land and buildings

B. Natural and artificial barriers immovable by law

C. Easements and rights-of-way to an adjoining property

D. Any of these

115. What statement must be specifically stated in a purchase option agreement?:

A. A statement that the optionee has the right to purchase the subject property

B. A statement that the optionee has the right to purchase the subject property and a statement to the effect that the optionor can retain the price paid for the option

C. A statement to the effect that the agreement is irrevocable

D. A statement to the effect that the optionor can retain the price paid for the option

116. Amenities of residential real estate are:

A. the property's physical attributes.

B. related to its capacity to provide shelter effectively.

C. measurable on the market.

D. not considered by appraisers because they are intangible qualities.

117. The legal term laches is best described as:

A. a deficiency judgment.

B. a court with no jurisdiction.

C. a writ of attachment.

D. inexcusable delay in asserting a legal right.

118. Silverman is going to make extensive improvements on an old apartment building. Which is MOST important for Silverman to take into account?:

A. Cost

B. Net income

C. Land value

D. Area

119. What is the minimum amount of time that a broker must keep signed copies of listings, deposit receipts, et cetera?:

A. Four years

B. Two years

C. One year

D. Three years

120. Quiet enjoyment and possession usually refer to which circumstance?:

A. Neighbors creating a nuisance

B. Noise abatement

C. None of these

D. Possessory interest of a tenant given by the owner of the paramount title

121. Riparian rights refer to:

A. subterranean cavities.

B. bays and arms of the ocean.

C. rivers and streams.

D. all of these.

122. A deed was given by "A" to "B" with oral instructions not to record the deed until "A's" death. The deed was:

A. voidable

B. valid

C. illegal

D. void

123. When is the best time for a seller to obtain a termite report?:

A. Before determining the sales price

B. Before opening escrow

C. Before putting the house on the market

D. After the lender's appraisal

124. A licensed real estate salesperson takes a listing that does not authorize her to take a deposit. The salesperson finds a buyer, however, who gives her a personal check as a deposit with an offer on the property. With regard to the deposit, the salesperson's broker would be:

A. the agent of the seller.

B. required to place the check in escrow.

C. the agent of the buyer.

D. the agent of the bank.

125. A broker shows a house to a buyer after listing the house. The broker does not disclose the agency relationship the broker has with the seller. The buyers are under the impression the broker is representing them. The agency is:

A. undisclosed dual agency.

B. ostensible agency.

C. listing only.

D. voidable.

126. Broker Wilson did not present a second offer on a particular property but rather held it as a backup offer while the seller was considering the first offer. This is:

A. permissible.

B. not permissible since an agent should present all offers.

C. not permissible as the second offer should be returned so the offeror might look at other property.

D. not permissible as the second offer should be returned so the offeror can make a larger offer.

127. Which constitutes a lien?:

A. Easement

B. Mortgage

C. All of these

D. Homestead

128. A person borrowed $1,968 for 3 years, 10 months, and 20 days at 8.5% interest per annum. What is the amount of interest paid to the lender?:

A. $650

B. $399

C. $501

D. $739

129. Which type of financing would LEAST likely create a need for a cash down payment from a borrower?:

A. VA

B. Cal-Vet

C. Conventional

D. FHA

130. A 17-year-old divorced woman wants to list her part of what had been community property with a broker. With regard to the listing, the broker:

A. should wait for court approval.

B. can proceed with the listing request.

C. may take the listing when she becomes 18 years old.

D. may not take the listing because the divorced woman is a minor.

131. Joe wants to purchase property but does not have the cash to pay the $85,000. He contacts Harris, who purchases the property and offers it for sale to Joe for $98,000 on a land contract. The contract is:

A. a valid sale and resale.

B. voidable by Joe.

C. disguised as a mortgage.

D. voidable by Harris.

132. Which is a requirement of joint tenancy?:

A. The words "taken in joint tenancy" must be next to the names of the joint tenants.

B. All parties must have the same right of possession.

C. All parties must have equal interests.

D. All of these

133. Mr. Applegate purchased a home in a subdivision through Broker Able. Applegate applied for a loan and on the loan application there were two boxes that he was asked to check. One box was for marital status and the other for race. Applegate may:

A. sue the broker arranging the loan and the loan officer for asking these questions on the loan application.

B. refuse to answer the questions on race and marital status.

C. file a complaint with the real estate commissioner.

D. be required to answer these two questions by the lender in order for the loan to be processed.

134. Which is a correct statement?:

A. The effective interest rate is the interest rate paid and the nominal interest rate is the minimal rate that is charged.

B. The nominal interest rate is the percentage of interest that is actually paid by the borrower and the effective interest rate is the percentage of interest that is stated in the loan.

C. The nominal interest rate is the same as the annual percentage rate (APR).

D. The effective interest rate is the percentage of interest that is actually paid by the borrower and the nominal interest rate is the percentage of interest that is stated in the loan.

135. In a sales transaction, an agent is paid by both parties but he did not reveal his dual agency. What could happen in these circumstances?:

A. The agent would be subject to discipline by the real estate commissioner.

B. The agent may not be able to enforce payment of his commission.

C. All of these

D. The sale could be rescinded.

136. In order for a contract for the transfer of real property to be binding on the buyer and seller, it must:

A. be acknowledged.

B. be recorded.

C. have an offer, acceptance, and communication to the offeror.

D. satisfy all of these.

137. The principle of value that affirms that a purchaser will buy goods and services at the lowest cost available is:

A. regression

B. retribution

C. inflation

D. substitution

138. If a developer requested backfill he or she would be using it for:

A. garden landscaping.

B. roadways.

C. replacing excavated earth against foundation walls.

D. driveways.

139. An estate in real property for a definite and specified period of time with an agreement for the payment of rent is known as:

A. month-to-month tenancy.

B. estate for years.

C. freehold estate.

D. periodic tenancy.

140. In a transaction in which the sale of a property has resulted, the broker must keep a copy of the deposit receipt for three years from the date of:

A. deposit receipt.

B. closing of transaction.

C. recording of grant deed.

D. acceptance of offer.

141. If an appraiser does not adhere to appraisal standards (USPAP) for the purpose of defrauding an FDIC insured lender, the appraiser could be guilty of:

A. an ethics violation.

B. a felony.

C. a misdemeanor.

D. violating Bureau of Real Estate rules and regulations.

142. The real property taxes for the current fiscal tax year had been paid and amounted to $1,380. The property was sold and the escrow closed on May 1. How much did the buyer have to pay in escrow?:

A. $460

B. $115

C. $1,150

D. $230

143. In a real estate office, worker's compensation should be carried on:

A. secretaries

B. all of these

C. bookkeepers

D. sales agents

144. The length of distance of a parcel abutting a thoroughfare would be considered the:

A. frontage of a lot.

B. width of a lot.

C. front foot of a lot.

D. taxable width.

145. The maximum amount of commission and loan costs that may be charged for a second trust deed of $4,000 for a four-year term is:

A. $725.00

B. $550.00

C. $990.00

D. $850.00

146. A listing agreement is:

A. a promise for a promise.

B. all of these.

C. a bilateral executory contract.

D. an employment contract.

147. In a sales transaction, the broker acted as an agent for both the buyer and the seller and collected a commission from each. He failed to disclose to either that he was receiving a commission from

the other party. In this case, after the close of escrow, what could happen?:

A. Any of these could happen.

B. The broker could be denied any commission.

C. The broker could be disciplined by the Bureau of Real Estate.

D. The buyer could rescind the purchase.

148. Which word(s) placed in a promissory note would commit all the borrowers for repayment?:

A. Jointly and severally

B. Jointly

C. Individually and severally

D. Individually

149. If the Federal Reserve Board wanted to create a tight money market, it would:

A. lower discount rates and sell bonds.

B. raise discount rates and buy bonds.

C. lower discount rates.

D. raise discount rates.

150. Tooly, a 15-year-old minor, inherited some land that he deeded to a nonprofit organization. The organization recorded the deed and put a building on the land. At 18, Tooly changed his mind and decided he wanted the property back. Which statement is TRUE?:

A. Recording created an estoppel and prevented Tooly from having claim to the property.

B. Tooly could claim the property if he reimbursed the organization for the cost of the building.

C. Because of the time lapse between 15 and 18, Tooly was unable to reclaim the property.

D. The deed was void because Tooly was a minor.

Property Ownership

1. A builder submitted building plans that included design, specifications, and materials for approval. When reviewing these plans, the building inspector determined some of the proposed materials were not in accordance with local building codes but that the use of these materials would not constitute a safety hazard and therefore approved the plans. This is an example of a(n):

A. variance

B. exception

C. infraction

D. permit

2. An appurtenant easement involves two parcels of land. The owner of the dominant tenement may:

A. transfer the interest independently of the land.

B. have ingress and egress only.

C. not retain easement rights with the transfer of the parcel.

D. retain the benefits and the burdens of the easement.

3. A property that is referred to as "turn key" is:

A. an illegal ranch subdivision.

B. a contractor's package that is complete and ready for occupancy.

C. government-subsidized low-income housing projects.

D. parcels on which the planning is complete and ready for building.

4. In regard to property taxes, a tax lien would be:

A. inferior to other private parties.

B. superior to mortgages.

C. on par with all others.

D. inferior to mortgages.

5. Which type of estate represents the greatest interest a person can have in real property?:

A. Less-than-freehold estate

B. Easement

C. Life estate

D. Fee simple estate

6. Why is a legal description recommended in a sales contract?:

A. To help cooperating salespersons to find the property

B. For the title company to locate the property

C. The lender requests it

D. The seller may have other properties in the area

7. Which lien would most likely have had priority?:

A. A public improvement assessment created April 15, 2004

B. A trust deed executed March 27, 1998 and recorded March 29, 2004

C. A trust deed executed and recorded March 28, 2004

D. A mechanic's lien resulting from work started March 27, 2004

8. Less-than-freehold estates consist of estates owned by:

A. beneficiaries of trust deeds.

B. holders of easements.

C. lessees.

D. grantees of life estates.

9. A residential property is reassessed:

A. every three years.

B. when the property is destroyed by fire and then reconstructed.

C. every time the property is sold.

D. when the county government needs the money.

10. Annual property taxes for a personal residence are:

A. determined by the assessments of the county assessor.

B. 2% of cash value plus additional cost for bond indebtedness.

C. 1% of the assessed value plus additional cost for bond indebtedness.

D. 1% of appraised value.

11. Under a tenancy in common relationship,:

A. tenants have same rights of survivorship as in joint tenancy.

B. each has equal half interest.

C. if one leases her half, she must pay rent to the other.

D. there must be a unity of possession.

12. Zoning regulations are legally enforceable because:

A. they do not affect interstate commerce.

B. of the ease of enforcement.

C. of local planning agencies.

D. of the police power of government.

13. Jones is using Smith's swimming pool and suffers an injury. If Jones instituted court action and obtained a judgment against Smith for $2,500, it would be a(n):

A. specific lien.

B. voluntary lien.

C. abstract lien.

D. general lien.

14. A document deposited with the county recorder to indicate pending litigation is a:

A. pending deed.

B. trust deed.

C. promissory note.

D. lis pendens.

15. A city has sold an assessment bond for the improvement of streets in a certain area. Properties within that area are assessed:

A. in proportion to services or benefits that the land would receive.

B. by the area.

C. by the number of lots in the subdivision.

D. by the size of the lot.

16. Co-ownership of property with undivided interests without the right of survivorship would be:

A. tenancy in common.

B. severalty.

C. joint tenancy.

D. life estate.

17. A husband and wife hold title to some real property as community property. They wish to change their title to a mode that will provide the right of survivorship. To achieve this objective they could deed the property to themselves to hold in:

A. either community property with right of survivorship or joint tenancy.

B. severalty.

C. community property with right of survivorship.

D. joint tenancy.

18. The most common way for local planners to designate zoning for multiple residential units is:

A. M-3.

B. A-3.

C. C-3.

D. R-3.

19. The Subdivision Map Act provides primary responsibility for the physical aspects of the subdivision to the:

A. governing bodies of cities and counties.

B. State Department of Public Health.

C. state land commissioner.

D. real estate commissioner.

20. A commercial acre is best defined as:

A. any acre located outside of "R" zoning.

B. an acre after deductions for streets and alleys.

C. an acre zoned for commercial purposes.

D. any parcel of 43,560 square feet.

21. The personal, revocable, and unassignable permission or authority to do one or more acts on the land of another without possessing any interest therein is the definition of:

A. option.

B. encroachment.

C. easement.

D. license.

22. In administering the Subdivision Map Act, a local planning commission would be responsible for ensuring:

A. adequacy of sewers, street design, and drainage.

B. adequacy of sewers, street design, and drainage.

C. adequacy of sewers, street design, and drainage.

D. all of these.

23. The term potable refers to:

A. water.

B. septic tanks.

C. earth fill.

D. trust deeds.

24. Mr. Able owned an unencumbered lot and decided to build. On May 2, the lumber company delivered $1,000 worth of lumber to the property. On May 3, he obtained a construction loan for $30,000 from People's Savings and Loan Association. The loan was recorded after the lumber was delivered. In June, more lumber was delivered and the completed structure was painted. In August, Mr. Able moved into the house. The lumber company could not collect its balance of $2,000 and the painter could not collect $4,000 for the painting. They each filed a mechanic's lien. If the property is sold at a foreclosure sale and nets $30,000, the amount received by People's Savings and Loan would be:

A. $24,000.00

B. $30,000.00

C. $29,000.00

D. nothing.

25. Which are considered artificial monuments?:

A. Trees and fences

B. Canals and streets

C. Fences and rock

D. Streets and trees

26. An owner of property located near a local airport was constantly bothered by the noise of low-flying aircraft. If the owner were to bring suit to force the city to condemn his or her property because of the noise, this would be an example of:

A. inverse condemnation.

B. condemnation.

C. equitable severance.

D. eminent domain.

27. A zoning designation that allowed multiple dwellings was changed. What effect would this have on an existing apartment building in the area?:

A. It would be in violation of the zoning law.

B. It would be a variance.

C. It would be a nonconforming use.

D. It would be violation of the zoning law with regard to municipal and local ordinances.

28. A corporation cannot hold title to real property as a joint tenant because:

A. it is a violation of the Securities Act.

B. of its perpetual existence.

C. a corporation cannot convey title to real property.

D. it is difficult to list all stockholders in the deed.

29. In the absence of expressed provisions in the deed restrictions and plans, which of these is part of a condominium unit?:

A. None of these

B. Bearing walls

C. Elevator

D. Central heating system

30. A brother and sister owned property in joint tenancy. All his other affairs were separate. The brother died penniless, leaving many unsecured debts. The creditor could:

A. appeal to the probate court, which would be able to pay creditors out of the sale of the sister's property.

B. attach the property that was owned in joint tenancy.

C. place a lien against the sister's property.

D. obtain no satisfaction since the property is owned by the sister.

31. Real property taxes for the 2005-2006 fiscal year become a lien on:

A. November 1, 2005.

B. January 1, 2005.

C. December 10, 2005.

D. February 10, 2006.

32. To achieve planning goals, local, state, and federal governments have the authority to regulate the use of or to purchase private property. In its broadest definition the source of this authority is known as:

A. master planning.

B. zoning.

C. eminent domain.

D. police power.

33. In a subdivision, who is generally responsible for assuring the installation of curbs, streets, and public utilities?:

A. Developer

B. Department of Parks and Recreation

C. An incorporated group of homeowners

D. City or county

34. A deed to an unlocated easement is:

A. void.

B. void for lack of certainty.

C. valid.

D. invalid.

35. The highest member of the frame in a conventionally constructed home is the:

A. collar beam.

B. rafter.

C. girder.

D. ridge board.

36. In ridding an area of nonconforming uses, rezoning ordinances may require that certain conditions be met. These would include all of theseEXCEPT:

A. allowing a reasonable time (amortized period) within which the abuses may be eliminated.

B. retroactive zoning ordinances.

C. prohibition of rebuilding.

D. prohibition of expansion.

37. The customary procedure used to enforce private restrictions on real property is:

A. indictment.

B. judgment.

C. injunction.

D. desist and refrain order.

38. An easement could be terminated by:

A. both abandonment and nonuse.

B. abandonment.

C. prescription.

D. nonuse.

39. A man who owned a large tract of land wanted to subdivide it. Into how many interests would he have to divide the land before the subdivision comes under the Subdivision Map Act?:

A. Five

B. Two

C. Three

D. One

40. All of these are subject to property taxes EXCEPT:

A. possessory interest of lessees in tax-exempt publicly owned properties, such as the rights to leases of mineral, oil, and gas interests.

B. a mobile home that is on a permanent foundation.

C. intangible personal property.

D. real property in unincorporated areas.

41. With respect to easements appurtenant, which statement is correct?:

A. All encumbrances are liens but all liens are not encumbrances.

B. The dominant tenement is the land burdened and benefited by the easement.

C. An easement always gives the rights of ingress and egress.

D. If the grantor conveys title to property, the easement passes automatically with the land.

42. A builder bought a parcel of real estate that had an old home on it. The builder later removed the dilapidated old home, had the lot graded, and immediately obtained a construction loan secured by a deed of trust. During the construction period a painter was unpaid and filed a mechanic's lien. Which statement is correct?:

A. The mechanic's lien applies secondarily to the trust deed.

B. The mechanic's lien takes priority over the trust deed because the priority dates back to the time of start of construction.

C. The trust deed takes priority because it was recorded before construction was completed.

D. Mechanics' liens always take priority over trust deeds.

43. A fee simple estate, held in severalty, is real property in which the tenancy is:

A. simple and absolute.

B. defeasible.

C. held in common with others.

D. sole ownership.

44. On or before June 30 each year, property for which owners are delinquent in their taxes is declared in default. This date is important because:

A. the occupant of the property must vacate the premises within 90 days.

B. interest on the delinquent taxes will begin from December 10.

C. all of these are true.

D. the power of sale on or before June 30 starts the five-year period of redemption.

45. Escheat is a legal term meaning:

A. an agent's license has been revoked.

B. property under a trust deed may be reconveyed.

C. that a fraud has been committed.

D. property has reverted to the state.

46. The most distinguishable characteristic of personal property is:

A. being affixed to land as a permanent part of the land.

B. mobility.

C. being incidental or appurtenant to land.

D. all of these.

47. Police power is a governmental right and would result in:

A. judgments.

B. the taking of private property for the construction of a highway.

C. zoning standards.

D. deed restrictions in a subdivision.

48. Which is a correct statement in respect to encumbrances on real property?:

A. Encumbrances are liens but not all liens are encumbrances.

B. It is common practice for a buyer to accept a deed to encumbered property.

C. Title companies will not insure encumbered property.

D. A specific lien is always a voluntary lien.

49. Andrew purchased Bliss's ranch on May 1, 2006. The real property taxes for 2006-2007 are:

A. added to the purchase price for Andrew.

B. a personal obligation of Bliss.

C. a personal obligation of Andrew.

D. a lien on the ranch.

50. Involuntary alienation of an estate means:

A. ownership of estates may be transferred by operation of law.

B. aliens are forbidden to own estates in fee simple in California.

C. the estate cannot be transferred without the consent of the owner.

D. no one can be compelled to transfer title without giving consent.

51. Which is NOT a type of soil or soil condition?:

A. Alkaline

B. Deciduous

C. Expansive

D. Adobe

52. A wife signs an agreement to sell community real property. The contract as it applies to her and her husband is:

A. enforceable

B. voidable

C. illegal

D. void

53. An easement may be terminated by all of these EXCEPT:

A. nonuse of a prescriptive easement for five years.

B. revocation by the owner of the servient tenement.

C. written release by the owner of the dominant tenement.

D. destruction of the servient tenement.

54. A planned development could be:

A. residential.

B. industrial.

C. commercial.

D. any of these.

55. Mr. Jones owned two pieces of property and sold the front property to Mr. Smith, reserving an easement in the deed for access to the rear property. Jones was gone for 31 years. When he returned, Smith claimed Jones no longer had an easement because of nonuse. The easement is:

A. valid because easements created by deed do not terminate.

B. invalid because of nonuse for over 30 years.

C. invalid because of nonuse for over 20 years.

D. invalid because an owner cannot grant himself an easement.

56. Which document is of importance in filing a mechanic's lien?:

A. Any of these

B. Notice of Nonresponsibility

C. Notice of Completion

D. Notice of Cessation of Labor

57. An easement on real property may be terminated by the owner of the dominant tenement by filing a:

A. quitclaim deed.

B. defeasance clause.

C. statement of nonresponsibility.

D. deed of reconveyance.

58. One who takes in severalty most generally takes title:

A. in joint tenancy.

B. in partnership.

C. as sole owner.

D. in common.

59. An owner of a parcel of real property may have all of these rights EXCEPT:

A. eminent domain.

B. littoral rights.

C. severance.

D. riparian rights.

60. State-enabling legislation gives cities and counties various controls over real property. The enabling legislation gives to cities and counties all but:

A. subdivision and land-use regulations.

B. local planning and zoning ordinances.

C. rent control and city codes.

D. lien and attachment laws.

61. transfer from a wife deeding her separate property to herself and husband as joint tenants.:

A. transfer from a wife deeding her separate property to herself and husband as joint tenants.

B. all of these.

C. transfer from joint tenants deeding their interests to themselves and others as joint tenants.

D. transfer from tenants in common deeding to themselves as joint tenants.

62. An order by a court directing an officer to sell real property to satisfy a judgment is a(n):

A. deficiency judgment.

B. injunction.

C. writ of execution.

D. abstract of judgment.

63. An owner of a five-unit apartment complex intends to sell each unit to different individuals. He wants each to own an estate in each unit with ownership of structures and land in joint ownership. Under these circumstances, this plan would be considered a:

A. partition.

B. lot-splitting.

C. subdivision.

D. variance.

64. In most cases, the least satisfactory place to obtain a legal description of property is:

A. a deed.

B. a preliminary title report.

C. escrow instructions.

D. a real property tax bill.

65. The second installment of real property taxes would become due and delinquent on which date?:

A. November 1 and February 1

B. February 1 and April 10

C. December 10 and February 1

D. December 10 and April 10

66. Three persons hold undivided interests in real property as tenants in common. This most likely means that they:

A. hold equal shares.

B. hold unequal shares.

C. took title at the same time.

D. cannot locate their particular interests in the property.

67. Local zoning ordinances determining use of land and building may also determine:

A. size.

B. all of these.

C. location of buildings.

D. setbacks.

68. George Nordling subdivided a large section of a hillside location. In the deeds to individual lots, he placed a restriction requiring a 15,000-square-feet minimum lot size. Subsequently, the local authorities succeeded in reducing the requirements of the zoning laws to a minimum requirement of a 10,000-square-feet minimum lot size. Which requirement for minimum lot size takes precedence?:

A. Zoning laws take precedence because they are based on police power.

B. The original deed restriction takes precedence.

C. The subdivider would be compelled to amend his restriction to conform to zoning laws.

D. Precedence would require arbitration by local planning commission.

69. Which does NOT constitute an estate in real property?:

A. Leasehold

B. Deed of trust

C. Remainder

D. Reversion

70. In real estate, the word tenancy means:

A. a method or mode of holding title.

B. a device.

C. a tenacious person.

D. two or more people joined in an enterprise.

71. The term associated with urban renewal programs, when existing structures are demolished and new ones built, is:

A. renovation.

B. relocation.

C. reclamation.

D. redevelopment.

72. A commercial property no longer has a conforming use because it exists in an area where the zoning has been changed. The owner of this property has suffered a hardship because of the zoning change. What could the owner obtain as an exception to this new zoning that would be a benefit to him?:

A. A variance

B. Spot zoning

C. A conditional use permit

D. Any of these

73. A recorded notice of lis pendens:

A. can be filed on any type of lawsuit.

B. does not directly affect the title to property of a person not directly a party to the court action.

C. would make it difficult to convey title.

D. can be removed from the records only by an order of the court.

74. A holder of a life estate can do all of these things with the estate EXCEPT:

A. rent or lease it.

B. sell it.

C. encumber it further.

D. will it.

75. How many square miles are there in half of a standard township?:

A. 18

B. 36

C. 9

D. 24

76. What is the difference between real property taxes and assessment bonds?:

A. Special assessments are used for local improvements.

B. Assessments are subordinate to real estate taxes.

C. Special assessments are levied by special improvement districts only.

D. Assessments have superiority over property taxes.

77. An owner believes that his property has been overassessed. He can appeal the assessment to the:

A. Board of Supervisors.

B. Bureau of Real Estate.

C. county tax collector's office.

D. Assessor's Appeals Board.

78. In a subdivision, what is considered an "offsite" improvement?:

A. Streets and curbs

B. Private well

C. Septic tank

D. Barn

79. What type of organization is formed in order to create a real estate investment trust (REIT)?:

A. Syndication

B. Corporation

C. General partnership

D. Limited partnership

80. The Assessment Roll reflects California policy of establishing real property assessed values as what percent of full cash value?:

A. 100%

B. 25%

C. 10%

D. 1%

81. Which document is NOT a means of creating an interest in real property?:

A. Deed

B. Lease

C. Mortgage

D. Bill of sale

82. A farm where a crop of corn was growing was sold. During the entire transaction, neither the buyer nor seller discussed who was going to harvest the corn. The man who purchased the property assumed that the corn was his but the seller had plans to harvest the crop at a later time. Under these circumstances,:

A. the seller has the right to harvest the corn because his intention is the controlling factor.

B. the corn is considered real property; therefore the seller had no right to it.

C. if the buyer wanted the corn, he should have specified this in the sales agreement.

D. the seller does not have a right to harvest the corn because he left the property even though his intentions were there.

83. What does NOT affect the physical nature or use of real property?:

A. Conditions that benefit the property

B. Covenants

C. A specific lien

D. Restrictions

84. Which form of ownership consists of an undivided interest with the right of survivorship?:

A. Severalty

B. Life estate

C. Joint tenancy

D. Tenancy in common

85. The date of priority of a mechanic's lien on any construction project is:

A. occupation by owner.

B. commencement of construction.

C. acceptance by owner.

D. completion of construction.

86. Which of these are NOT liens?:

A. Judgments

B. Private restrictions

C. Trust deeds

D. Taxes

87. What does ad valorem mean?:

A. For life

B. At will

C. According to value

D. To the use and benefit

88. With regard to general and specific liens, which group of words does NOT contain any general liens?:

A. Attachment, mechanic's lien, mortgage, property taxes

B. Mortgage, attachment, judgment, corporation tax lien

C. Inheritance taxes, mortgages, assessment, mechanic's lien

D. Judgment, trust deed, attachment, taxes

89. The lien of a recorded deed of trust is removed from the records:

A. when a reconveyance deed is recorded.

B. by recordation of a grant deed.

C. by posting of a surety bond.

D. when final payment has been made by the trustor.

90. Which expense on a personal residence may be deducted from ordinary income for tax purposes?:

A. Property taxes and mortgage interest

B. Depreciation

C. General upkeep

D. Wear and tear

91. Assessed value for property tax purposes in California is the full cash value as of the tax roll for 1975-1976, plus a maximum annual inflationary factor increase up to:

A. 5%.

B. 2%.

C. 1%.

D. 100%.

92. What would be included in local building codes?:

A. Protecting the health and safety of the city

B. All of these

C. The establishment of building materials that may be used and the costs of materials

D. Architectural design of buildings as well as size and height

93. The Pacific and Great Western Telephone Company has an easement on a property being sold by Broker Root, but is not mentioned in the deed. The easement is a(n):

A. specific lien.

B. attachment.

C. encumbrance.

D. general lien.

94. How many square miles are there in one township?:

A. 24

B. 36

C. 1

D. 6

95. Which statement is correct with regard to an estate?:

A. More than one estate can exist in the same property.

B. An estate cannot be created by a lease.

C. A life estate is a less-than-freehold estate.

D. Title to an estate must be transferred by deed.

96. Which would NEVER be a way an individual could acquire an interest or estate in real property?:

A. Escheat

B. Succession

C. Accession

D. Prescription

97. The length of distance of a parcel abutting a thoroughfare would be considered the:

A. front foot of a lot.

B. width of a lot.

C. frontage of a lot.

D. taxable width.

98. All of these are exemptions from local real property taxes EXCEPT:

A. homeowners' exemption.

B. senior citizens' tax exemption.

C. veterans' exemption.

D. low-income homeowners' exemption.

99. Which is a requirement of joint tenancy?:

A. All of these

B. All parties must have the same right of possession.

C. All parties must have equal interests.

D. The words "taken in joint tenancy" must be next to the names of the joint tenants.

100. What is a difference between a mechanic's lien and a judgment lien?:

A. Mechanics' liens may take priority before the recording date.

B. Judgment liens are involuntary liens.

C. Mechanics' liens are created by statute.

D. Judgment liens are not effective until recorded.

101. Which criterion has the LEAST effect in determining whether an item is personal property?:

A. Manner of annexation

B. Relationship between the parties

C. Time of annexation

D. Intention of the parties

102. In the event of a business failure, the creditors would look to the personal assets of any of the principals of:

A. none of these.

B. a corporation.

C. a partnership.

D. a limited partnership.

103. Businesses operating in California can take the form of an individual proprietorship, partnership, or corporation. Each form has its advantages and disadvantages. One of the advantages of operating as a general partnership is that:

A. management of the business can be left to the other partner with little concern or care.

B. each partner has the use of the assets of the other partners.

C. the personal assets of a partner cannot be touched by creditors of the business.

D. there is less responsibility and more time can be spent away from the business.

104. The sidewalks in a condominium are:

A. tarmacs.

B. common areas.

C. made at least four feet wide.

D. all of these.

105. Which would be LEAST likely to make the title of real property unmarketable?:

A. Cloud on title through adverse possession of the property

B. A lis pendens filed by the wife of the owner

C. Private restrictions in a deed

D. Public restrictions under zoning ordinances and building codes

106. Riparian rights differ from littoral rights in which way?:

A. Riparian is a possessory right, littoral is a nonpossessory right.

B. Riparian rights are associated with water and littoral rights are associated with land.

C. Riparian rights deal with streams and watercourses, while littoral rights deal with oceans and lakes.

D. Littoral is a possessory right, riparian is a nonpossessory right.

107. The California sales tax applies to:

A. ad valorem taxation.

B. real and personal property.

C. tangible personal property.

D. all of these.

108. With what type of estate is the phrase "of indefinite duration" most usually associated?:

A. Estate from period-to-period

B. Estate for years

C. Estate of inheritance

D. Less-than-freehold estate

109. What is always considered real property?:

A. Extracted minerals

B. Stock in a mutual water company

C. Grapes on vines sold under contract

D. Cultivated crops sold but not yet harvested

110. Which constitutes a lien?:

A. Mortgage

B. All of these

C. Homestead

D. Easement

111. Anderson, Baker, and Carroll own property as joint tenants. After Anderson dies,:

A. none of these occur.

B. Anderson's interest terminates.

C. Baker and Carroll receive Anderson's share through succession.

D. Baker and Carroll receive Anderson's share through survivorship as tenants in common.

112. Condominium projects are expected to grow in demand in the future primarily because of which factor?:

A. Comfort of unit owners

B. Demand for sociability

C. Land value

D. Increased real property taxes

113. When a railroad needs specific land and the owner objects, the railroad may exercise the right of:

A. injunction.

B. caveat emptor.

C. eminent domain.

D. writ of replevin.

114. All of these are characteristics of a fee simple estate EXCEPT that it is:

A. freely transferable.

B. freely inheritable.

C. free of all encumbrances.

D. of indefinite duration.

115. Mr. Green owned stock in a mutual water company. This interest was appurtenant to the land. Green sold his property to Smith. Under these circumstances,:

A. a separate contract must be written for the purchase of the stock.

B. none of these are true.

C. nothing additional would have to be done regarding this purchase because stock in a mutual water company is an appurtenance to the land.

D. property cannot be purchased in California without water rights.

116. Private restrictions placed by a landowner may be in the form of covenants or conditions restricting or limiting the use of the land. Private restrictions may be created by:

A. written agreement or zoning ordinance.

B. deed only.

C. deed or written ordinance.

D. deed or written agreement.

117. Joint tenancy and community property interests have what in common?:

A. Equal interests

B. Survivorship

C. Same conveyance

D. Both involve the husband and wife

118. Real property taxes on a condominium:

A. are a lien on the individual unit owner, but not on the individual unit.

B. are billed to the entire project and prorated by the project manager.

C. are billed to the individual unit owners.

D. do not include the value of common areas in assessment.

119. A property in which the owner was delinquent in the real estate taxes will become a tax defaulted property as of:

A. April 10.

B. January 1.

C. December 10.

D. July 1.

120. Which would be the best and most nearly complete definition of the term encumbrance?:

A. Anything that affects or limits the fee simple title to property

B. Degree, quantity, nature, and extent of interest a person has in property

C. Any action taken relative to a property other than an acquisition

D. The use of property by a debtor to offer a creditor security for debt

121. A money judgment given by a court is effective to create a lien:

A. if recorded in the county where the defendant's property is located.

B. anywhere in the United States.

C. in the entire state by filing with the clerk of the court.

D. in the county where the judgment is obtained.

122. John Jones is a proprietary lessee in a stock cooperative apartment and makes monthly payments that include principal, interest, taxes, insurance, maintenance, and association fees. Which statement is correct?:

A. If other lessees fail to make payments, the owner can lose his equity through a foreclosure sale.

B. The city will divide the cost of an assessment bond against the property among the owners.

C. The tax collector will always issue a separate tax bill to each owner.

D. The owner may not deduct the amount of his property tax on his income tax return.

123. The words ingress and egress are related to:

A. streams.

B. fee title.

C. utilities.

D. easements.

124. Deed restrictions for a subdivision are created by:

A. local building statutes.

B. the developer or grantor.

C. the planning commission.

D. the local building commission.

125. Which would cause an owner of a fee simple estate to convert her interest to a less-than-freehold estate?:

A. Leasing for the purpose of agricultural use for a period of five years

B. Granting oil and mineral rights to a third party

C. Both granting oil and mineral rights to a third part and leasing for the purpose of agricultural use for a period of five years

D. A sale-leaseback

126. Whatever the purpose of a land survey, the resultant description should contain:

A. all of these.

B. the area in accepted units of measure contained within the described boundaries.

C. a specific length and direction of the sides of the property.

D. a definite point of beginning and definite parcel corners.

127. An easement is a(n):

A. equitable restriction on real property.

B. specific lien on real property.

C. encumbrance on real property.

D. general lien on real property.

128. Which statement would be TRUE with regard to bearing walls of a building?:

A. All of these

B. They can be built at any angle to doors or windows.

C. They are seldom moved during remodeling.

D. They are usually built sturdier than other walls.

129. Which is NOT a characteristic of a fee simple estate?:

A. Can be transferred with or without consideration

B. Generally free of all encumbrances

C. Indefinite duration

D. Transferable by will or intestacy

130. Under the 1911 Street Improvement Act, funds may be raised by the local government, benefiting a subdivider, for all these purposes EXCEPT:

A. payment for a drainage system.

B. payment for streets, walks, and curbs.

C. purchase of land for development.

D. payment for sewers and water mains.

131. Which is real property?:

A. Land and buildings

B. Natural and artificial barriers immovable by law

C. Easements and rights-of-way to an adjoining property

D. Any of these

132. For purposes of federal income tax, the taxpayer would be able to deduct which expenses for a personal residence?:

A. Mortgage payment, premium payments on a fire insurance policy, real estate taxes

B. Mortgage interest payments, prepayment penalties, real estate taxes

C. Payment of broker's commission, late charges, mortgage interest

D. Mortgage payment, capital improvements, real estate tax

133. The basic legal tool a city will use for a layout plan is:

A. zoning.

B. a conditional use permit.

C. exceptions to general land usage.

D. a variance.

134. A specified charge against real property that is used as security is defined as:

A. subdivision restrictions.

B. zoning and planning.

C. an easement.

D. a lien.

135. An estate in real property consisting of an undivided interest in common in a portion of a parcel of real property, together with a separate interest in space in a residential, industrial, or commercial building is a partial definition of a:

A. stock cooperative.

B. community apartment.

C. planned development.

D. condominium.

136. With regard to local building codes (for example in Los Angeles) versus the Federal Uniform Building Code, which would prevail?:

A. Local building codes always take precedence over the Federal Uniform Building Code.

B. Federal codes always take precedence.

C. The Federal Uniform Building Code applies only to general codes while local codes are more specific.

D. Whichever has the higher standards of health and safety will prevail.

137. An estate in real property consisting of an undivided interest in the common areas together with a separate interest in the unit could be:

A. residential.

B. industrial.

C. any of these.

D. commercial.

138. Four people own a property as joint tenants. If two joint tenants die, what would be a TRUE statement?:

A. A separate legal title to a tenancy in common would be held

B. One title will be held by the remaining joint tenants

C. Each survivor would own a separate and divided interest

D. The devisees and heirs could rent the property as tenants in common with the other two

139. In the planning and engineering of a tract for subdivision purposes, a "cul-de-sac" is frequently employed. This term is in reference to the installation of:

A. sewage disposal.

B. drainage.

C. recreation areas.

D. streets.

140. Which is considered real property?:

A. Shrubs to be planted around a yard

B. Fixtures removable by a tenant

C. Fruit that was to be picked after the sale, as agreed upon by both the buyer and seller

D. A stud in the wall of a house

141. When there is a gradual build-up of land as the result of action of water, it is termed:

A. avulsion.

B. dereliction.

C. erosion.

D. accretion.

142. Conduit in a new building would be installed by a(n):

A. roofer.

B. electrician.

C. plumber.

D. carpenter.

143. Which would be the best description of a fee simple absolute estate?:

A. Estate for years

B. Owning property

C. Estate of inheritance

D. Greatest interest held in land

144. A quiet-title action is defined as a:

A. procedure through court action to remove cloud on title.

B. foreclosure by court.

C. result of a "dummy" transaction.

D. quitclaim deed.

145. The right to use and enjoy another's property short of an estate is an example of a(n):

A. subordination clause.

B. easement.

C. leasehold.

D. deed.

146. The S 1/2 of the NW 1/4 of the NE 1/4 of Section 11 was listed for sale at $350 per acre with the broker to get a 10% commission. The broker brought in an offer of $6,100 for the property. The owner said he would accept it if the buyer would pay the broker's commission based on 10% of the offered amount. If the buyer were to agree, the difference between the original price and the amount as paid by the buyer would be:

A. $295.00

B. $670.00

C. $290.00

D. $900.00

147. Which instrument requires a list of inventory of buildings on real property to be sold, conveyed, or insured?:

A. Grant deed

B. ALTA

C. None of these

D. Land contract

148. "Soil pipe" relates to:

A. irrigation pipes.

B. gas lines.

C. sewer pipes.

D. hot water lines.

149. Which would have the least effect on property taxes in a community?:

A. Number of commercial buildings and high-priced homes

B. Homestead exemptions

C. Zoning and private restrictions

D. Compactness of the community

150. To restore an old home to its original condition without making any changes in the floor plan or style is referred to as:

A. reclamation.

B. remodeling.

C. rehabilitation.

D. modernization.

151. Which is the highest form of ownership?:

A. Fee simple absolute

B. Fee simple defeasible

C. Tenancy at will

D. Incorporeal freehold

152. Deed restrictions are:

A. general liens.

B. encumbrances.

C. all of these.

D. constructive liens.

153. Jones bought two lots for $36,000 each and divided them into three equal lots, which she sold for $30,000 each. Her percentage of profit was:

A. 15%.

B. 40%.

C. 25%.

D. 20%.

154. Which is the largest parcel of land?:

A. 5,280′ × 10,560′

B. 1/10 of a township

C. Four square miles

D. One mile by two miles

155. "A charge imposed upon real property as security for a specific act" is a definition of:

A. restrictive covenant.

B. lien.

C. easement.

D. encumbrance.

156. Percolation refers to the:

A. ability of a buyer to qualify for a loan.

B. depth of the foundation.

C. ability of the soil to absorb water.

D. size of the water tank.

157. Which is NOT a specific lien?:

A. Judgment lien

B. Blanket mortgage

C. Unrecorded property tax lien delinquent from prior years

D. Mechanic's lien

158. Eminent domain and police power are governmental rights established by law. Which action would NOT be considered police power?:

A. Condemnation

B. Zoning laws

C. Building regulations

D. Subdivision development regulations

159. In addition to municipal or county controls imposed through zoning ordinances and the Subdivision Map Act, other government controls are exercised by:

A. all of these.

B. the California Bureau of Real Estate.

C. health, fire, and safety requirements.

D. agencies that insure and guarantee FHA and VA loans.

160. Items that a landlord-owned apartment building and a condominium project would have in common would be:

A. separate tax bills sent to each tenant.

B. occupants of both have estates in real property.

C. occupants of both have a fee interest.

D. after development of five units both would come under the subdivision law.

161. All of these statements are true regarding an appurtenant easement EXCEPT:

A. the dominant tenement would benefit and the servient tenement would be burdened.

B. the dominant tenement must abut the servient tenement at the border.

C. there must be at least two tracts of land under separate ownership.

D. the easement would run with the land.

162. Which is a freehold estate?:

A. Estate at will

B. Estate for years

C. Estate in fee

D. Estate at sufferance

163. Property is:

A. real if tangible.

B. personal if a fixture.

C. all of these.

D. personal if not real.

164. A "title plant" is:

A. none of these.

B. a false document found in title records that is intended to give wrong information.

C. the ownership and lien records of property maintained by a title company.

D. a collection of instruments affecting real estate ownership that is kept in the county recorder's office.

165. A money judgment of the court when recorded is always a(n):

A. equitable lien.

B. voluntary lien.

C. involuntary lien.

D. superior lien.

166. Davidson has an easement on Parkins's property. If Davidson is not a property owner, her easement is a(n):

A. easement in gross.

B. nonpossessory encroachment.

C. appurtenant easement.

D. restrictive easement.

167. The housing and construction industry in California is governed by laws that include the:

A. Contractor License Law, Local Building Code, and State Housing Act.

B. Health and Safety Code, State Housing Law, and Real Estate Law.

C. Housing and Community Development Act, Real Estate Law, and Health and Safety Code.

D. State Housing Law, Local Building Code, and Real Estate Law.

168. With regard to a limited partnership, which statement is NOT correct?:

A. A limited partner's liability is limited to the debts of the partnership.

B. A limited partner can lose all she invested in the partnership.

C. It must consist of one or more limited partners and one or more general partners.

D. A limited partner cannot make decisions affecting management policies.

169. Personal property presents certain problems to a broker. It becomes difficult to ascertain its ownership because it can:

A. do all of these.

B. become real property.

C. be hypothecated.

D. be alienated.

170. The power of eminent domain can be exercised by:

A. cities.

B. all of these.

C. public education institutions.

D. public utilities.

171. Which "runs with the land"?:

A. Stock in a mutual water company

B. Appurtenant easements

C. Covenants

D. All of these

172. The distinguishing characteristic of real property as opposed to personal property is that real property:

A. is a long-term asset.

B. has a high cost of acquisition.

C. is immovable.

D. can be depreciated over useful life.

Agency and Contracts

1. A young person, single and unemancipated, sold a home and the transaction was completed and escrow closed. There was no court-appointed guardian. In order for the transaction to be valid the young person must be at least _____ years old.:

A. 19

B. 21

C. 16

D. 18

2. When dealing with the public, a broker must:

A. not refuse to take a listing.

B. disclose all material facts known only to himself or herself.

C. do all of these.

D. delegate responsibilities to another person.

3. An offer is terminated by:

A. revocation by the offeree.

B. a change in the offer made by the offeror.

C. rejection by the offeror.

D. rejection by the offeree.

4. A listing agreement is:

A. a bilateral executory contract.

B. all of these.

C. an employment contract.

D. a promise for a promise.

5. When an existing contract is replaced by an entirely new contract, this is an act of:

A. novation.

B. rescission.

C. subrogation.

D. hypothecation.

6. A licensee can legally do all of these things EXCEPT:

A. use an open listing without a final and definite termination date.

B. claim an income tax deduction for a commission paid for the sale of his own property.

C. fail to use a termination date on an exclusive listing.

D. collect a commission or service a mortgage loan that he did not negotiate.

7. In an assignment of a lease, the assignee becomes the:

A. vendor.

B. vendee.

C. tenant.

D. sublessee.

8. Berg sells Mann a property, using a conditional sales contract. The contract is recorded and a deposit is made. Mann continues to live on the property but stops making payments and avoids Berg. He then abandons the property one night. In this situation:

A. marketability of title is not affected.

B. the new buyer would not be concerned with Mann.

C. the sale has no effect on the title.

D. there is a cloud on the title.

9. All of these are necessary for the creation of an agency agreement EXCEPT:

A. a fiduciary relationship.

B. mutual agreement of the parties.

C. consideration.

D. competency of the seller.

10. A voidable contract is:

A. unenforceable.

B. enforceable.

C. illegal.

D. valid until some action is taken to void it.

11. A lease based on gross income of the lessee is a:

A. ground lease.

B. net lease.

C. percentage lease.

D. gross lease.

12. Jones signed a listing agreement with Broker Brown stating that he would pay 6% commission to Brown upon the sale of his house. Broker Brown promised to use diligence in attempting to find a buyer. This contract is:

A. bilateral executory.

B. unilateral executed.

C. bilateral executed.

D. unilateral executory.

13. What binds buyer and seller in a contract?:

A. Offer, acceptance, and communication

B. Acknowledgment

C. Recording

D. Title insurance

14. An agency contract can be created by all of these EXCEPT:

A. a voluntary offer by the agent.

B. an implied contract in law.

C. an oral contract.

D. appointment by the principal.

15. All of these are ways by which an offer to purchase real estate would be terminated EXCEPT:

A. failure to communicate revocation of the offer before the other party communicates his acceptance.

B. death or incompetency of either offeror and offeree without notice thereof.

C. conditional acceptance of offer by offeree.

D. failure to accept the offer within a prescribed period of time.

16. An estate that will continue for a period of six months only, fixed in advance by contractual agreement of the parties, is an:

A. estate from period to period.

B. estate at sufferance.

C. estate for years.

D. estate at will.

17. A broker was instructed not to present any offers unless accompanied by a deposit. A buyer brings in an offer without a deposit. With regard to the offer, the broker:

A. cannot present it.

B. should not present it.

C. should go back to the offeror and request the deposit.

D. must present it.

18. What is the best definition of company dollar with regard to a real estate office?:

A. Gross income minus operating expenses

B. Office expenses

C. Gross income minus commissions

D. Cost to set up the business for a specific length of time

19. In November, a storm caused damage in Able's house due to a leaky tile roof. In April, Able listed the house with Broker Baker. Broker Baker showed the house to Smith, but did not mention the leaky roof, although Able had mentioned it. After close of escrow, Smith sustained damage to the interior of the house due to this leaky roof. Under these circumstances, buyer Smith:

A. had no recourse under the doctrine of caveat emptor.

B. could take legal action against Able, and if successful, Able could most likely recover the loss from Broker Baker.

C. had no recourse since escrow had closed.

D. could take legal action against Broker Baker but not against Able.

20. Which element is NOT necessary in the formation of a contract?:

A. Offer

B. Acceptance

C. Performance

D. Consideration

21. A 17-year-old divorced woman wants to list her part of what had been community property with a broker. With regard to the listing, the broker:

A. should wait for court approval.

B. can proceed with the listing request.

C. may take the listing when she becomes 18 years old.

D. may not take the listing because the divorced woman is a minor.

22. Harris, an unlicensed person, wanted to purchase 300 acres of land for $85,000 from Stevens, and Harris intended to subdivide

the land in the future. Harris did not have the money for the purchase and convinced a friend, Williams, to purchase the property, and Harris immediately entered into a land sales contract with Williams to purchase the property for $98,000. With respect to the above facts, which statement is correct?:

A. The second transaction is illegal.

B. The original transaction is valid but the subsequent sale is invalid.

C. The original purchase and subsequent sale are both valid.

D. Both transactions would be considered unenforceable.

23. A dual agency in the negotiation of a sale of real property is lawful if:

A. the broker of the seller agrees.

B. both buyer and seller agree.

C. both brokers agree.

D. the escrow agent agrees.

24. Some contracts are printed and some contracts are handwritten. Most contracts are a combination of printed and handwritten material. If litigation arose over this kind of contract, which statement would be TRUE?:

A. The handwritten part takes precedence.

B. Written material copied from printed material takes precedence over other written portions.

C. The printed part takes precedence.

D. Each is given equal consideration and evaluated on its own merits.

25. The written employment agreement, required by the Commissioner's Regulations, between an employing broker and salesperson is an example of:

A. implied contract.

B. ratification.

C. unilateral contract.

D. bilateral executory contract.

26. Joe wants to purchase property but does not have the cash to pay the $85,000. He contacts Harris, who purchases the property and offers it for sale to Joe for $98,000 on a land contract. The contract is:

A. a valid sale and resale.

B. disguised as a mortgage.

C. voidable by Harris.

D. voidable by Joe.

27. John and Mary Jackson gave Broker Jones a $500 deposit to cover closing costs and signed an offer to purchase a home for $65,000 provided they could obtain a loan for the full price of the home. Included in the offer to purchase was a clause that read, "Subject to buyers obtaining a VA loan in the amount for $65,000, secured by subject property, payable over a period of 30 years at 11.5% interest with monthly payments to be approximately $644 per month, plus taxes and insurance." Which statement most nearly represents what was intended by the clause?:

A. If the full $65,000 loan is not obtainable, buyer and seller may renegotiate the sale on different terms.

B. If the maximum loan available is $63,000, the buyer may pay the difference of $2,000 and proceed with the purchase.

C. Any of these

D. If the $65,000 loan is not obtainable, the buyers may cancel their offer and recover the $500 deposit.

28. Certain contracts to be held enforceable in court under the statute of frauds must be in writing. Which of these would be required to be in writing?:

A. Employment of a real estate broker to find a business to purchase

B. Employment of a real estate broker to sell stock-in-trade and goodwill of a business

C. Any agreement not to be performed within one year

D. Employment of a real estate broker to negotiate one year leases on business property

29. Middleton is a 15-year-old emancipated minor who hired a broker to sell her property. Middleton gave this broker her emancipation documents. After the broker procured a buyer, to whom should the broker deliver these documents?:

A. The escrow company

B. The title insurer

C. The buyer

D. The buyer's lender

30. A lessee assigns all of the leasehold interest. The receiver becomes:

A. landlord.

B. tenant.

C. sublessor.

D. assignor.

31. A broker who is not authorized to accept deposits in his listing agreement must inform the offeror that:

A. the risk of loss lies solely with the buyer. The seller will not be liable in event of loss of the deposit.

B. it is implied by law that if authorized by the seller, deposits can be accepted.

C. an agent must accept all deposits.

D. no deposits will be accepted.

32. A buyer purchased a single-family dwelling in a subdivision using a land sales contract that provided for monthly payments and prohibited prepayment. Two years later the buyer decided to pay off the balance of the contract, but the vendor refused to accept it. Which statement is correct?:

A. The buyer can ignore the clause prohibiting prepayment and pay off the loan after two years.

B. The buyer must abide by the terms of the land sales contract.

C. The buyer can make equal monthly interest payments but can pay nothing on the principal before the due date.

D. The inclusion of this clause makes the contract void.

33. A broker who is selling property on which he holds an option must inform the buyer that he is a(n):

A. agent.

B. principal.

C. optionor.

D. grantor.

34. At what point would an individual be considered incapable of handling his own affairs because of mental incompetence?:

A. An individual goes to work every day and visits a psychiatrist twice a week, but is unable to perform his duties at work.

B. A conservator is appointed by a court to oversee an individual's business affairs.

C. An individual voluntarily commits himself to a mental institution for psychiatric treatment.

D. After proper procedures are followed, an individual is committed to a mental hospital for psychiatric treatment.

35. The clause that provides that the broker is eligible for a commission after the termination of an authorization to sell is the:

A. probate clause.

B. protection clause.

C. liquidated damages clause.

D. anti-theft clause.

36. If a minority buyer comes into a broker's office and asks to see a specific listed home, the broker should refuse to show it to him under which condition?:

A. When the property is listed with a co-op broker

B. When the seller is out of town and has instructed the broker that his house is not to be shown in his absence

C. When the agent sincerely believes it will produce panic selling

D. Never

37. A lease for a period of years that is held by the lessor is an example of:

A. freehold estate.

B. personal property.

C. real property.

D. none of these.

38. Brown hired a broker to find a warehouse for lease. Green hired the same broker to find a lessee for a warehouse. Each agreed to pay a commission. The broker negotiated a lease between Brown and Green. Brown knew the broker was representing Green, but Green did not know the broker was representing Brown. Which statement is correct?:

A. Both Brown and Green are liable for commissions.

B. Brown is liable for the commission.

C. Green is liable for the commission.

D. Neither is liable for a commission.

39. An individual is purchasing a parcel of real property. The provisions of the contract require the seller to convey title to the property when the buyer pays the full amount of the contract to the seller. When the buyer has fulfilled his part of the contract and requests the seller to convey title, the seller refuses to fulfill his contractual obligation. Under these circumstances the seller has done what?:

A. Covenant

B. Tender

C. Demand

D. Breach

40. An offer to buy becomes a binding purchase contract:

A. at any of these times.

B. when the offer is accepted and the acceptance is communicated to the offeror.

C. when the offer is accepted and the acceptance is communicated to the offeree.

D. the instant the offer is accepted.

41. Rescind most nearly means:

A. annul.

B. reject.

C. rewrite.

D. terminate.

42. An executed contract is a contract:

A. signed, notarized, and recorded.

B. under the jurisdiction of the probate court.

C. that has been signed.

D. to be rewritten.

43. In order for a contract for the transfer of real property to be binding on the buyer and seller, it must:

A. be recorded.

B. be acknowledged.

C. have an offer, acceptance, and communication to the offeror.

D. satisfy all of these.

44. A salesperson wrote up an offer to purchase a home and took a "pay to bearer" note from the buyer as a deposit with the offer in the amount of $1,000. When his broker saw the "pay to bearer" note, she would be most likely to tell the salesperson that:

A. in real estate transactions a "pay to bearer" note is the same as cash.

B. the note cannot be accepted because the deposit must be cash, personal check, or cashier's check.

C. the seller must be told of the note before he agrees to accept the offer to purchase.

D. the seller's permission must be obtained before a note of this type could be accepted as a deposit.

45. In real estate transactions, the term reversion most nearly relates to:

A. the right of a mortgagee in event of default.

B. the right of a lessor under a lease.

C. title to land acquired by action of flow of water.

D. the action of the state under law of escheat.

46. In a sales transaction, an agent is paid by both parties but he did not reveal his dual agency. What could happen in these circumstances?:

A. The agent may not be able to enforce payment of his commission.

B. All of these

C. The sale could be rescinded.

D. The agent would be subject to discipline by the real estate commissioner.

47. Broker Fenton has a property listed for $400,000 and submits an offer of $390,500 the next day, with a three-day acceptance period. The seller makes a counteroffer of $395,500. One day after the acceptance period, the seller accepts the buyer's original offer of $390,500. The buyer decided that he no longer wants the property. In these circumstances the acceptance is:

A. voidable.

B. valid.

C. not a contract.

D. enforceable because of the original offer.

48. A listing agreement in which the owner promises to pay a commission under all circumstances of sale, except if he or she sells the property himself, is known as:

A. an exclusive-agency listing.

B. an exclusive-right-to-sell listing.

C. a net listing.

D. none of these.

49. A broker had several agents working in his office. Two of his agents brought in offers on the same listing, one in the morning and one in the afternoon. The second agent's offer was $1,000 less than the first agent's. The broker held the second offer until the first offer was accepted or rejected. This was:

A. permissible because of the relationship between the broker and his sales agents.

B. permissible because the second offer was lower.

C. forbidden in the above circumstances.

D. forbidden because of the fiduciary relationship to both buyers.

50. All of these occurrences would terminate an offer EXCEPT:

A. a party to the offer dies.

B. a counteroffer by the offeree.

C. revocation of the offer by the offeror after the offeree posted legal notice of acceptance.

D. the offeror revokes the offer before acceptance is communicated to him.

51. A final, specific, and definite termination date is required by law on all agreements between seller and real estate agent EXCEPT:

A. an agreement in writing wherein it is provided that an agent appointed in an exclusive capacity may retain as compensation for his services all sums received over and above a net price to the owner.

B. a written instrument giving one agent the right to sell property for a specified time but reserving the right of the owner to sell the property himself without paying a commission.

C. a written agreement between owner and agent giving the agent the right to collect a commission if the property is sold by anyone during the term of his agreement.

D. a written authorization given by a property owner to a real estate agent wherein said agent is given the right along with other brokers to secure a purchaser.

52. At 10:00 AM a broker receives an offer that meets full price and all terms of the listing. At noon, before he or she could submit the first offer, he or she receives a second offer on the same property for less money but all cash. The broker decides to submit the first offer and, if it is rejected, to submit the second offer. Which statement is TRUE?:

A. This is proper since one should submit offers in the order received.

B. This is improper since the broker owes a fiduciary relationship to both buyers.

C. The broker could be disciplined by the real estate commissioner.

D. This is proper since the second offer was for less than the listed price.

53. Which word is most closely associated with the term rider?:

A. Lien

B. Person

C. Accretion

D. Amendment

54. A fire insurance policy can be canceled by the insurance company:

A. if the company gives the insured notice within a reasonable time prior to cancellation.

B. without notice if the buyer has had excessive losses.

C. only after the company has given written notice and the insured has signed an acceptance.

D. at any time without notice.

55. A real estate broker could be held liable to a buyer if he or she:

A. acts in excess of the authority given by the seller under a listing agreement.

B. retains the buyer's check at the seller's request after an offer has been accepted by the seller and acceptance has been communicated to the buyer.

C. unknowingly makes a misrepresentation to the buyer based on false information given by the seller.

D. executes an agreement with the buyer on behalf of the seller under a power of attorney granted by seller.

56. A home was sold for $162,500 and the two brokers who cooperated in the sale agreed to a 50/50 split of a 4.5% commission. One of the broker's salespersons was to receive 50% of the broker's commission. What amount did the salesperson receive?:

A. $1,828.13

B. $7,312.50

C. None of these

D. $3,656.26

57. When a buyer revokes an offer prior to the acceptance by the seller:

A. the broker may sue the buyer for specific performance.

B. the broker must refund to the buyer any earnest money deposit.

C. the seller may sue the buyer for specific performance.

D. the broker is entitled to one half of the earnest money deposit.

58. Broker Hardy received a listing from Watson to sell Watson's commercial property, along with an option for Hardy to purchase within 30 days. After 27 days, Hardy decided to exercise his option and purchase the property. Hardy must:

A. inform Watson of all material facts concerning the property.

B. present all outstanding offers to Watson.

C. disclose his potential profit and obtain the written consent of the principal approving the amount of such profit.

D. do all of these.

59. A listing agent gave part of his commission to the buyer. He:

A. must disclose this to the seller.

B. is guilty of committing a civilly wrong act.

C. may be disciplined by the real estate commissioner.

D. is guilty of criminal action.

60. An estate in real property for a definite and specified period of time with an agreement for the payment of rent is known as:

A. periodic tenancy.

B. month-to-month tenancy.

C. estate for years.

D. freehold estate.

61. A prospective buyer pays $2,000 for a four-month option to purchase a $300,000 property. All of these statements are true EXCEPT:

A. the agreement imposes no obligation on the optionee to purchase the property.

B. a unilateral contract has been established.

C. the optionee has acquired a legal interest in the property.

D. the optionor's temporary surrender of the right to sell is valuable consideration.

62. Broker A had a listing and cooperated with Broker B on an offer from a buyer procured by Broker B. The seller accepted the buyer's offer and the transaction was placed in escrow. It is due to close within two or three days when Broker A learns that Broker B has arranged a sale of similar acreage at a considerably higher price to the same buyer. In these circumstances, what should Broker A do?:

A. Notify the seller of the higher price

B. Attempt to renegotiate a higher price

C. Nothing because of the imminent closing

D. File an interpleader action and obtain a writ of replevin

63. A fire insurance policy began March 1, 20XX, and cost $316.80 for three years of coverage. The insured cancelled the policy as of November 16 of the same year. What is the amount of the unused policy?:

A. $316.80

B. $121.00

C. $74.80

D. $242.00

64. Which statement is NOT true regarding an option?:

A. An option on a business opportunity can also include the site on which the business operates.

B. An optionee must give valuable consideration.

C. A separate sales agreement must be binding.

D. If the optionee does not exercise the option, he forfeits the thing of value given to the optionor as consideration.

65. A licensed real estate salesperson takes a listing that does not authorize her to take a deposit. The salesperson finds a buyer, however, who gives her a personal check as a deposit with an offer on the property. With regard to the deposit, the salesperson's broker would be:

A. required to place the check in escrow.

B. the agent of the seller.

C. the agent of the bank.

D. the agent of the buyer.

66. The legal term laches is best described as:

A. inexcusable delay in asserting a legal right.

B. a deficiency judgment.

C. a writ of attachment.

D. a court with no jurisdiction.

67. The most common listing agreement allows the broker to:

A. guarantee the purchaser will accept.

B. find a purchaser, fill out the deposit receipt, obtain an offer, and present the offer.

C. convey title.

D. find a purchaser, obtain an offer, and bind the principal to that offer.

68. Which document does not qualify for recording?:

A. A conditional sales contract

B. A promissory note secured by a deed of trust

C. A trustee's deed

D. A notice of completion

69. A real estate broker, as an agent, must follow the lawful instructions of his principal in a real estate transaction. Failing to do so, the broker is:

A. any of these.

B. subject to a fine or imprisonment according to the law.

C. liable for damages to the principal as a result.

D. subject to loss of license in a court of jurisdiction.

70. If you, as a broker, are the buyer's agent, you will want others to know:

A. as soon as possible.

B. before the close of escrow.

C. after the offer is accepted.

D. after you get your commission.

71. The broker's desk fee would most likely be paid:

A. by an appraiser.

B. in property management.

C. in a 100% brokerage.

D. by a new licensee.

72. Since land is unique in character and often cannot be substituted for another parcel, the courts have made available the right to request specific performance. Who would least likely request such an action?:

A. A broker acting as an agent of the seller

B. The buyer of a single-family residence

C. The seller of a single-family residence

D. The seller of a large tract of land

73. Smith signed an offer to buy Brown's property and gave it to the broker. The broker took it to Brown, who signed Smith's offer, giving an unqualified acceptance of it. Before the broker could deliver the accepted offer back to Smith, Smith died of a heart attack. Which statement is correct?:

A. The offer is void since the deed could not be delivered to Smith.

B. Delivery of the offer to the administrator binds Smith's heirs.

C. The offer and unqualified acceptance constitute a valid contract.

D. Smith's death created a revocation of the offer.

74. A broker refers all his clients and customers to the West Hills Title Insurance Company. The title company gives the broker a $10 fee for each referral. This practice is:

A. acceptable if both buyer and seller are aware that broker is receiving a fee and agree.

B. permissible.

C. forbidden.

D. acceptable if the seller is paying for the policy and agrees.

75. A real estate broker is most likely to receive a commission from both parties when involved in which transaction?:

A. The negotiation of a loan

B. The selling of a business opportunity

C. A tax-free exchange

D. A short-term lease

76. A seller sued a real estate broker for misrepresentation of a material fact that the broker had made to him during the sale transaction. In defending the suit, the broker was able to prove that the listing contract with the seller had been an oral agreement. Under these circumstances:

A. this is a valid defense based on the statute of frauds.

B. the broker is only liable for misrepresentation to buyers.

C. this defense is not a bar because it was not the issue.

D. the statute of frauds is not a bar in any real estate transaction litigation.

77. A property is sold in accordance with the listing terms and conditions. After the transaction is in escrow, the seller decides that he doesn't wish to complete the transaction and refuses to complete the sale. Under the Statute of Limitations, the buyer must bring any action against the seller for failure to perform under the deposit receipt within:

A. four years.

B. one year.

C. two years.

D. 90 days.

78. What decides the amount of commission received from the sale of property of a deceased person?:

A. Court order

B. Administrator or executor of the estate

C. Real estate commissioner

D. Real estate board

79. The broker who most likely has earned a commission is the one who has:

A. secured a substantial deposit with an offer.

B. communicated acceptance by the seller to the buyer.

C. secured acceptance of an offer.

D. communicated the buyer's offer to the seller.

80. A selling agent who is the exclusive agent for the buyer can do all of these things EXCEPT:

A. submit his client's offer to the seller and seller's agent with the seller's approval.

B. withhold negative information about the buyer.

C. act as the seller's agent since the seller is the one paying the commission.

D. personally submit the buyer's offer to the seller.

81. A broker used the following phraseology in his listing contract: "In consideration of the execution of the foregoing, the undersigned broker agrees to use diligence in procuring a purchaser." This is best described as:

A. an agreement to advertise the property.

B. a necessary item in the creation of a unilateral contract.

C. superfluous in such contracts.

D. a necessary element in the creation of a bilateral contract.

82. Two parties entered into a contract, but one of the parties had previously been adjudged incompetent. The other party to the contract was not aware of this fact. What is the status of this contract?:

A. Illegal

B. Voidable

C. Enforceable if the seller could prove there was no coercion involved

D. Void

83. An offer is terminated by:

A. revocation by the offeror.

B. revocation by the offeree.

C. rejection by the offeror.

D. a change in the offer made by the offeror.

84. Alex led Carly to believe that he had the authority to act for Brian. Brian went along with Alex. The agency created was by:

A. estoppel.

B. expressed contract.

C. ostensible.

D. ratification.

85. Broker Thomas negotiated a 25-year lease with an annual rent of $30,000. The agreement was that Broker Thomas would receive a commission annually based on the following schedule: 7% for the first year, 5% for the next 4 years, 3% for the next 15 years, and 1% for each year thereafter to the completion of the lease. How much commission will Broker Thomas have received at the end of the 19th year?:

A. $21,600

B. $22,200

C. $23,000

D. $20,700

86. In the matter of a broker's commission to be paid by a seller, which statement is TRUE?:

A. The broker's commission earned but not paid creates a lien on the seller's property.

B. The seller and buyer may rescind sale, thus relieving the seller of the obligation to pay the broker's commission.

C. Action for the broker's commission must be brought within four years of earning the commission.

D. A listing agreement signed only by the seller is unenforceable.

87. Which is NOT essential in the creation of an agency?:

A. Lawful object

B. Capacity of parties

C. Payment of consideration

D. Fiduciary relationship

88. A broker shows a house to a buyer after listing the house. The broker does not disclose the agency relationship the broker has with the seller. The buyers are under the impression the broker is representing them. The agency is:

A. listing only.

B. voidable.

C. undisclosed dual agency.

D. ostensible agency.

89. A contract signed under duress would be:

A. void.

B. illegal.

C. unenforceable.

D. voidable.

90. An attorney-in-fact is:

A. a legally competent person acting on behalf of another.

B. all of these.

C. a principal in a transaction.

D. an attorney or executor of an estate.

91. A broker was to receive a 6% commission from the sale of a property. Her salesperson was to receive 45% of the 6% commission. The salesperson received $8,100. What was the selling price of the property?:

A. $300,000

B. $40,000

C. $435,000

D. $135,000

92. Before the purchaser is advised of the seller's acceptance of an offer, the purchaser can withdraw his offer:

A. for any reason.

B. provided the offeree has breached the offer.

C. provided the offer is breached by the seller.

D. provided the offer is not irrevocable.

93. Mr. John Lee owned a ranch and gave Ms. Joan Kimball an option to purchase it at a figure of $92,500 down and the balance payable in annual installments of $14,000 plus interest at 7% per annum. The term of the option was 60 days and Ms. Kimball gave Mr. Lee a personal check for $10. This constitutes a(n):

A. offer to execute a contract in the future.

B. fiduciary agreement.

C. contract to keep an offer open.

D. lien on Mr. Lee's ranch.

94. What essential element is necessary between a broker and a principal when dealing with the title, right, or interest in real property?:

A. Broker's right to accept a deposit

B. Establishment of the rights of commission between the parties by law

C. Broker's right to draw up a purchase offer

D. Written contract of employment

95. The term demise means:

A. transferring the right to or right in an estate.

B. witnessing the signing of a document.

C. testamentary transferability of real property.

D. something given to induce entering into a contract.

96. What essential element is necessary between a broker and a principal when dealing with the title, right, or interest in real property?:

A. Broker has the right to draw up a purchase offer

B. Written contract of employment

C. Broker has the right to accept a deposit

D. The rights of commission between the parties are established

97. Mr. Sharp lists his house with Agent Long, who finds a buyer and induces Mr. Sharp to accept the buyer's offer by making a verbal promise to find Sharp another suitable residence before escrow closes on the sale. Escrow closed, and Long was unable to perform. It is most likely that:

A. since Long only made a verbal promise, he has no liability to perform.

B. Sharp will complain and charge Long with criminal negligence.

C. Sharp will withdraw his acceptance of the buyer's offer and not be liable.

D. Sharp will initiate civil court action.

98. Which document might be used to convey possessory rights in real property without conveying ownership rights?:

A. License

B. Grant of easement

C. Sublease

D. Mortgage

99. Under authority of a signed exclusive-agency listing, Broker Davis diligently advertised for sale the $165,000 home of owner Johnson. Prior to the expiration date of the listing, the home was sold by Johnson to a friend. Davis was refused payment of any commission whatsoever. Davis is legally entitled to receive from Johnson:

A. full commission.

B. no commission.

C. one-half commission.

D. all expenses incurred in advertising the home.

100. An executed contract is a contract:

A. signed, notarized, and recorded.

B. to be rewritten.

C. completed and fully performed by both parties.

D. under the jurisdiction of the probate court.

101. A real estate broker cannot accept a listing from a minor appointing the broker as an agent because:

A. a minor does not have the capacity to enter into contracts.

B. a minor is incapable of appointing an agent.

C. a minor has the right to disaffirm the listing contract during his minority.

D. the broker would breach the fiduciary relationship by misrepresenting a minor who is incapable of making adult decisions.

102. A broker advertises in the paper that if a seller lists his property with the broker, the seller would be credited by the broker with $50 toward the commission to be paid. Also included in the advertisement is the statement that if a prospective buyer brings a copy of the advertisement to the broker, the buyer would be credited in the amount of $50 in escrow that would be applied to the purchase price of the property. Would the broker be subject to the discipline of the real estate commissioner with regard to this advertisement?:

A. The broker may pay the $50 to the seller and to the buyer.

B. The broker would be disciplined because his promises to sellers and buyers in the advertisement would constitute payments to unlicensed persons.

C. The broker can credit the seller but cannot credit the buyer.

D. The broker can credit the buyer but not the seller.

103. Franklin offered to perform all of the obligations in a purchase contract. This act is considered a:

A. covenant.

B. tender.

C. demand.

D. condition.

104. A real estate licensee negotiated the sale of a farm for a seller. The agent's commission can be paid in which form?:

A. Check or cash

B. Assignment of funds from buyer to seller

C. Any of these

D. Assignment of existing note

105. Mr. Martin contacted Broker Katz to list a property for sale for $200,000. Martin indicated to the broker that he needed a quick sale of the property. The broker contacted a prospective buyer and told him that Martin would sell the property for $180,000. The buyer made an offer in the amount of $180,000, which Mr. Martin did accept when the broker presented it to him. Under these conditions, Katz:

A. violated the fiduciary relationship as he acted in excess of authority given him.

B. violated the fiduciary relationship but did no harm as the offer was accepted.

C. did not violate the fiduciary relationship as Katz was employed by Martin and acted under such authority.

D. did not violate the fiduciary relationship as the offer was accepted.

106. An agency agreement may be terminated by all of these occurrences EXCEPT:

A. mutual termination by both the principal and agent prior to the original termination period.

B. renunciation of the agreement by the agent.

C. the principal's refusal of an offer to purchase presented in the name of a third person.

D. destruction by fire of the property that is the subject matter of the agency agreement.

107. A seller employed a broker through an authorization to sell, which included an authorization to accept deposits. Upon accepting a deposit from a potential buyer, and before presenting the offer to

the seller, the broker misappropriated the money. The risk of loss is:

A. the buyer's because he could have avoided any misappropriation by making his check out to an independent escrow company of the seller.

B. the buyer's because the broker was acting as his agent in handling the deposit.

C. the seller's because he had given the broker specific permission to accept deposits.

D. both the buyer's and the seller's because neither was at fault.

Valuation and Market Analysis (Appraisal)

1. What is the indicated value of a property that produces a gross monthly income of $2,400 and an appropriate (annual) multiplier of 10.72?:

A. $225,000

B. $308,000

C. $108,000

D. $25,000

2. In appraisal, all of these are recognized methods for the valuation of land EXCEPT:

A. development method.

B. economic method.

C. abstract method.

D. the comparative method.

3. The approach in which income is projected to a future date and discounted to today's rates to attract investors relates to a technique known as:

A. unearned increment.

B. equity formulation.

C. income projection.

D. capitalization of income.

4. Smith built a $250,000 house in a neighborhood in which houses are valued between $75,000 and $85,000. Any resulting loss of value would be an example of:

A. physical obsolescence.

B. functional obsolescence.

C. economic and functional obsolescence.

D. physical depreciation.

5. When applied as a deduction from gross income, the vacancy factor is known to:

A. vary both in locality and from time to time.

B. be impossible for the appraiser to estimate with any accuracy.

C. be constant.

D. generally discourage prospective purchasers.

6. An owner has a 100-unit apartment house. Which item would be deductible from the gross income in determining net operating income?:

A. Wages for part time gardeners and maintenance personnel

B. Mortgage payments of principal and interest

C. Income tax

D. Depreciation

7. Which is NOT an element of value?:

A. Utility

B. Scarcity

C. Transferability

D. Expectation

8. What is improved value?:

A. Market value of land and improvements

B. Difference between economic and contract rent

C. Cost of reproduction less depreciation

D. Market value divided by total rents

9. The most difficult step for an appraiser in the sales comparison approach is to:

A. analyze data.

B. collect data.

C. adjust the comparable to the subject property.

D. average data.

10. An income property showed a value of $800,000 when capitalized at a rate of 9%. A new investor wishing to purchase the same property engaged an appraiser who used a capitalization rate of 12%. According to the appraiser, the value would be:

A. $300,000.00

B. $224,000.00

C. $600,000.00

D. $800,000.00

11. Functional obsolescence would NOT be attributable to:

A. lack of air-conditioning.

B. items of surplus utility.

C. eccentric design.

D. proximity of nuisances.

12. In determining the market value of a property, the appraiser considers:

A. the bundle of rights.

B. all of these.

C. utility.

D. the physical land and improvements thereon.

13. When comparing physical life to economic life, the economic life usually:

A. is greater.

B. depends on the improvement.

C. is lesser.

D. is the same.

14. The amount an appraiser charges for an appraisal is established by the:

A. Federal Housing Authority.

B. real estate commissioner.

C. agreement between the appraiser and the client.

D. Office of Real Estate Appraisers.

15. The terms quantity survey, unit-in-place, and square foot and cubic foot are all methods of arriving at a value estimate that are used in the:

A. sinking fund approach.

B. market data approach.

C. cost approach.

D. income approach.

16. In order to arrive at an effective gross income for rental properties, an appraiser should deduct what from gross income?:

A. Repairs

B. Real property taxes

C. Depreciation

D. Vacancies and collection losses

17. Which would LEAST likely protect a single-family residential neighborhood from losing value?:

A. Introduction of average-priced homes in an area of better quality properties of the same type

B. Minor change in zoning regulations

C. Most families are from the same religious and ethnic group

D. Residents in the area have the same income

18. In planning a shopping center in a suburban community, which would be the most important consideration?:

A. Amenities

B. Purchasing power

C. Weather

D. Proximity of shipping and warehousing facilities

19. Original cost adjusted to today's cost-of-living-index:

A. Original cost adjusted to today's cost-of-living-index

B. Today’s cost of replacement

C. Cost-of-living index for 1910

D. Original cost of materials in 1910

20. An appraiser is employed to advise an apartment owner of the economic feasibility of construction of a swimming pool. The appraiser would be most concerned with which valuation principle?:

A. Contribution

B. Integration

C. Substitution

D. Regression

21. The capitalization rate in the valuation of income property would least likely provide for:

A. return of investment.

B. taxes.

C. return on investment.

D. depreciation.

22. A fee appraiser:

A. works full time for a lender.

B. works full time for a broker.

C. is a self-employed appraiser, who, for a fee, appraises property.

D. assesses land for the government.

23. In doing a feasibility study for residential development, taking into consideration local economic conditions, all of these items would be necessary EXCEPT:

A. local zoning codes.

B. specific data related to the proposed project.

C. analysis of economic basis.

D. target markers.

24. In appraisal, all of these are recognized methods for the valuation of land EXCEPT the:

A. development method.

B. economic method.

C. abstraction method.

D. comparative method.

25. Appraisers have the most difficulty in determining the value of:

A. accrued depreciation.

B. replacement cost new.

C. basic cost data.

D. capitalized income.

26. These paragraph headings, Introduction, Description of General Neighborhood, Market Value & Economic Factors, and Final Estimate of Value, would be present in which type of appraisal?:

A. Letter (restricted)

B. None of these

C. Form (summary)

D. Narrative (self-contained or summary)

27. Silverman is going to make extensive improvements on an old apartment building. Which is MOST important for Silverman to take into account?:

A. Area

B. Cost

C. Net income

D. Land value

28. In establishing an estimate of value by appraisal, it is very important to differentiate between the purpose of the appraisal and the:

A. amenities to the owner.

B. function for which the appraisal is being made.

C. principles of appraisal.

D. appraisal process.

29. Which criterion would NOT be used to determine net income for an income property?:

A. Mortgage interest

B. Management fees

C. Maintenance costs

D. Vacancies

30. What is the first step in the appraisal process?:

A. Define the appraisal problem

B. Classify the data

C. Organize the data program

D. Make a preliminary survey and appraisal plan

31. The standards that a state-licensed or state-certified appraiser must follow are found in the:

A. USPAP

B. URAR

C. MAI

D. NAR

32. To determine the square footage of a house, measure the:

A. outside of house.

B. inside of the house.

C. outside of house and garage.

D. inside dimensions of rooms.

33. The easiest way for an appraiser to calculate the present value of a building would be by:

A. a unit-in-place cost method.

B. a quantity survey.

C. a review of the building permit records.

D. market data.

34. Under the cost approach, the replacement cost is distinguished from the reproduction cost because replacement cost is defined as the cost of constructing an improvement with:

A. neither of these.

B. substantially the same utility as the property being appraised.

C. either of these.

D. the same materials as were used in the original construction.

35. An appraiser determines the accrual for depreciation in the use of:

A. the sales comparison approach.

B. none of these.

C. the cost approach.

D. the income approach.

36. The fluctuations (activities) of the money market are extremely important to the real estate business. When interest rates go up and the income of a property is fixed, capitalized value of the property will:

A. be unaffected in the short term.

B. increase.

C. decrease.

D. tend to stabilize.

37. In determining the value of income-producing property, an appraiser may use which appraisal technique?:

A. Building residual technique

B. Land residual technique

C. All of these

D. Property residual technique

38. An appraiser received a $300 fee from Jones for appraising Brown's property. The appraiser may discuss the details of the appraisal with:

A. Brown.

B. no one.

C. Jones.

D. anyone.

39. An increase in value, resulting from improved usability where one or more contiguous lots are joined together under single

ownership, would be a definition most appropriately applied to:

A. severalty ownership.

B. appurtenance.

C. plottage.

D. assemblage.

40. Land value is estimated whenever possible on the basis of:

A. sales price of comparable sites.

B. size, location, and utility.

C. purchase price plus the cost of making onsite and offsite improvements.

D. original cost plus the expense of making it usable.

41. Of the four appraisal terms listed, which one has the LEAST relation to the others?:

A. Reconciliation

B. Comparable

C. Comparative

D. Sales

42. The process of determining market value, investment value, or insurance value as of a specific date would be:

A. evaluation.

B. highest and best use.

C. depreciation.

D. valuation.

43. The greatest cause of loss of value to real property and the improvements thereon is:

A. wear and tear.

B. lack of maintenance.

C. deterioration.

D. obsolescence.

44. In the valuation process, an appraiser would be LEAST concerned with the:

A. definition of value.

B. identification of the property rights being appraised.

C. assessed value.

D. identification of real estate.

45. In the capitalization of net income, the most difficult item for an appraiser to establish is the:

A. determination of gross income.

B. effective gross income.

C. selection of a capitalization rate.

D. determination of net income.

46. On hot days, customers prefer to walk in the shade. Certain locations, due to the sun's fading effect on display window clothing, are the least desirable. Which is the least desirable side of the street for a clothing retailer?:

A. Southeast

B. Northwest

C. Northeast

D. Southwest

47. While appraising a single-family residence that is renting for $640 per month, the appraiser finds that the home across the street recently sold for $90,000 and had been renting at the time of sale for $600 per month. Based on this data, the appraised value would be:

A. $90,000.00

B. $124,000.00

C. $96,000.00

D. $110,000.00

48. In arriving at an estimate of value based on selling prices, the appraiser is most interested in the date the:

A. buyer and seller agreed on the price.

B. deed was recorded.

C. sale went into escrow.

D. deed was signed.

49. Smith owns an older apartment building and is considering the merits of an expensive remodeling plan. The deciding factor that would be instrumental on his final decision would be the:

A. effect of the plan on the net income.

B. potential increases in the real property taxes.

C. wishes of the tenants.

D. cost of the plan.

50. What would contribute to the functional obsolescence of a building?:

A. Massive cornices on a building

B. Rotten mud sills

C. Adverse zoning across the street from the property

D. Declining neighborhood

51. Price is the amount:

A. an informed seller asks for a property.

B. that a property actually does bring in the open market.

C. an informed buyer offers for a property.

D. that a property might bring on the open market.

52. An investment property is appraised at $400,000 based on a net income of $36,000 and a 9% capitalization rate. The value of the property based on a 12% capitalization rate would be:

A. $300,000.00

B. $450,000.00

C. $250,000.00

D. $423,000.00

53. The prudent buyer, in purchasing a new home in a new subdivision tract, would most likely choose a home located:

A. across from the shopping center.

B. near a bus stop.

C. in the center of the tract.

D. on a key lot.

54. In appraising a property using the market data approach, how would an appraiser treat a feature value found in the comparable property but not found in the subject property?:

A. Subtract the value of the amenity from the sales price of the comparable property

B. Add the value of the amenity to the subject property

C. Disregard the feature value as no two properties are exactly alike

D. Treat the amenity as not included in the valuation

55. An appraiser determines the accrual for depreciation in using:

A. market data.

B. cost.

C. none of these.

D. the income approach.

56. Usefulness of the cost approach is limited when appraising:

A. in an unusually active real estate market.

B. a new structure on an appropriate site.

C. for construction.

D. an older property with many functional deficiencies.

57. The gross multiplier is LEAST likely to be used in the appraisal of:

A. apartment buildings.

B. a residence.

C. commercial property.

D. vacant land.

58. Two houses were built on two adjacent lots of equal value. Construction costs and maintenance were the same. One house is appraised to be of higher value. What is most likely the reason?:

A. One house had more wear and tear.

B. One house was considered to have functional obsolescence.

C. Both houses were across the street from a nonconforming house that resulted in economic obsolescence.

D. One house had more economic obsolescence.

59. To find the details of the subfloor, such as size and dimensions of concrete piers, footings, and other detailed construction measurements, a real estate licensee would examine the:

A. floor plan.

B. elevation plan.

C. plot plan.

D. foundation plan.

60. A two story commercial building measures 46′ × 80′ at its base. The height of the first story is 16′ and the height of the second story is 14′. Replacement cost of the first story is calculated at $1.60 per

cubic foot; the second story cost is $1.20 per cubic foot. Based on this information, the replacement cost of the building would be:

A. $61,824.00

B. $94,208.00

C. $184,824.00

D. $156,032.00

61. A recommendation for the best appraisal method to be used to estimate the value of a vacant parcel of land would be:

A. the income approach.

B. the cost approach.

C. the sales comparison approach.

D. an average of the first two methods.

62. The gross rent multiplier is developed by dividing the:

A. sales price by the gross monthly income.

B. gross monthly income by the sales price.

C. gross monthly income by the assessed value.

D. gross monthly income by the market value.

63. An appraiser would consider all of these as contributing to the stability of a neighborhood EXCEPT:

A. increased density and rapid turnover of population.

B. homogeneity of buildings, people, and uses.

C. many families with children going to school.

D. residence in the path of urban directional growth.

64. A prudent buyer would not pay more for a parcel of real estate than he would have to pay for another similar parcel based on the principle of:

A. highest and best use.

B. balance.

C. supply and demand.

D. substitution.

65. The value measures applied by an appraiser to establish value of industrial land are:

A. acre and front foot.

B. acre and square foot.

C. square foot and front foot.

D. none of these.

66. An appraiser using the replacement cost approach on an older residential property would use all of these EXCEPT:

A. depreciation.

B. land value.

C. cost of improvements new.

D. capitalization of income.

67. To analyze a leased property, an appraiser would consider:

A. none of these.

B. covenants, right of assignment, option for renewal and provisions for disaster, condemnation, improvements, and repairs.

C. both of these.

D. rent and other charges, date, parties, security, and term.

68. The maximum possible income an income property can yield is:

A. net spendable income.

B. gross scheduled income.

C. effective gross income.

D. net income.

69. Productivity is a direct function of:

A. demand.

B. use.

C. supply.

D. value.

70. Which is the most expensive and difficult type of appraisal?:

A. Quantity survey

B. Square-foot cost

C. Development

D. Unit-in-place cost

71. In the narrative form of appraisal report, where would the property value be stated?:

A. Description of use

B. Description of the neighborhood

C. Purpose of the appraisal

D. Legal description of the property

72. When property tax increases and all other items remain the same, an income property:

A. increases in value by the amount of the taxes.

B. decreases in value by more than the amount of the taxes.

C. decreases in value by the amount of the taxes.

D. increases in value by more than the amount of the taxes.

73. Which statement is NOT true with respect to depreciation as determined by an appraiser?:

A. It is inherent in the property and not created by outside influences.

B. It can be computed for both past and future.

C. It can be determined by more than one method of appraisal.

D. It is loss of value from any cause.

74. Which would LEAST likely affect the stabilization of value on a single-family residence in a residential neighborhood?:

A. Private restrictions

B. Availability of public transportation

C. Newness

D. Zoning

75. In which appraisal approach may an appraiser be asked to predict the future value of a property?:

A. Capitalization

B. Summation

C. Market

D. Cost

76. The recognized definition of highest and best use includes the term:

A. multiple units.

B. income production.

C. effective gross income.

D. net return.

77. The expenditure of dollars necessary for the creation of an improved residential property is called its:

A. cost.

B. value.

C. price.

D. investment.

78. If an appraiser does not adhere to appraisal standards (USPAP) for the purpose of defrauding an FDIC insured lender, the appraiser could be guilty of:

A. a felony.

B. violating Bureau of Real Estate rules and regulations.

C. an ethics violation.

D. a misdemeanor.

79. Which approach to a value estimate tends to set the upper limit of value?:

A. Income

B. Replacement cost

C. Comparative sales

D. Market comparison

80. If the gross annual income is $56,400 and the yearly net income is 15% of that amount, the monthly net income is:

A. $705.00

B. $638.00

C. $683.00

D. $819.00

81. A salesperson obtained a listing and the salesperson stated that his broker will later appraise the property to verify the listing price. Which statement is correct?:

A. The broker cannot legally appraise the property.

B. The broker may make an appraisal only if the broker is also a state-licensed or state-certified appraiser.

C. The broker can make the appraisal but must charge a separate fee for this activity.

D. The broker can make the appraisal if he prepares a narrative report that sets forth his extensive qualifications.

82. The best definition of capitalization is:

A. the highest rate of return on an investment.

B. the relationship between value and net worth.

C. the result of dividing net income by a percentage rate of return to determine value.

D. the minimum rate of return on an investment.

83. It is known that a prudent buyer will not pay more for a property than the price of another suitable property if there is no undue delay in acquiring the other property. This is considered the principle of:

A. substitution.

B. contribution.

C. competition.

D. anticipation.

84. An apartment house under construction has many prospective renters. The city now wants to widen the street. This change results in a 10% loss of renters. This loss would be an example of:

A. physical deterioration.

B. physical obsolescence.

C. functional obsolescence.

D. economic obsolescence.

85. A roof that slopes upward from all four sides and is joined at the ridge is called a:

A. hip roof.

B. gable roof.

C. mansard roof.

D. gambrel roof.

86. In the appraisal of property, the principle of substitution would apply to:

A. the cost approach.

B. any of these.

C. the sales comparison approach.

D. the income approach.

87. The expansion and contraction of available space to meet demand is stimulated most by market fluctuations of:

A. permanence of residence.

B. elasticity of demand.

C. prices and rents.

D. financing terms.

88. The basic economic characteristic that best expresses real estate value is:

A. high replacement cost.

B. maximum utility of available resources.

C. the prospect of speculative gain.

D. proximity to high rentals.

89. An increase in the appraised value of property that is considered an unearned increment would most probably result from:

A. increase in population.

B. increase in amenities.

C. capital improvements.

D. management expenses.

90. All of these statements about depreciation are true EXCEPT:

A. it can be a loss of value due to wear and tear.

B. it includes all influences that reduce the value of property below replacement cost.

C. it is a loss of value from any cause.

D. it always is concerned with intrinsic factors but never with extraneous factors.

91. A comprehensive method of estimating a building cost including labor, material, overhead, and profit is considered in which method?:

A. All of these

B. Quantity survey

C. Unit-in-place

D. Comparative cubic or square foot measurements

92. Functional utility in a dwelling is dependent upon:

A. zoning in the area.

B. the condition of heating system.

C. the desires of its occupants.

D. its floor plan and equipment.

93. Amenities of residential real estate are:

A. related to its capacity to provide shelter effectively.

B. measurable on the market.

C. the property's physical attributes.

D. not considered by appraisers because they are intangible qualities.

94. menities are the attractive or desirable features of a home or neighborhood. These may be physical attributes or perhaps the neighborhood's attitude toward schools, well-kept lawns, et cetera. These may be tangible or intangible qualities measurable on the market.:

A. appraise for highest and best use and deduct the cost of demolition.

B. appraise for highest and best use and disregard the cost of demolition.

C. add the salvage value of the building.

D. ignore the building.

95. An investment that would best hold its value as a hedge against inflation would be a(n):

A. investment similar to an annuity.

B. no risk investment.

C. investment that has a high degree of liquidity.

D. income-producing investment that would maintain its value.

96. If there is a transition from a buyer's market to a seller's market, what would be the result?:

A. Sales prices would decrease because of a decrease in demand and an increase in supply.

B. Sales prices would increase because of an increase in demand and a lag in supply.

C. It would have no effect on the price.

D. It would cause a decrease in land development and construction of new homes.

97. To an investor in real property, cash flow means:

A. income left after deducting taxes from net income.

B. monies left after deducting operating expenses, interest, and principal payments from gross income.

C. net income used for capitalization purposes.

D. gross income less an allowance for vacancies.

98. A nice yard, beautiful trees, and good neighbors usually increase the value of residential property. These things are known as:

A. bilaterals.

B. tangibles.

C. coordinates.

D. amenities.

99. The fluctuations (activities) of the money market are extremely important to the real estate business. When interest rates go up and the income of a property is fixed, the capitalized value of the property will:

A. decrease.

B. increase.

C. be unaffected in a short term.

D. tend to stabilize.

Finance (Real Estate Math)

1. A low loan-to-value ratio indicates a:

A. government-guaranteed loan.

B. high equity.

C. large loan.

D. low down payment.

2. A seller takes back a note and second deed of trust for $11,220 and sells it immediately for $7,293. The amount of the discount on the note is most nearly:

A. 65%.

B. 28%.

C. 35%.

D. 54%.

3. Smith asked a broker to help secure a $19,000 loan for five years using his house as collateral. The appraised value of the residence was $80,000 and was completely free of liens and encumbrances. The broker would likely fail to succeed if she attempted to secure the loan through a(n):

A. private lender.

B. insurance company.

C. savings and loan.

D. commercial bank.

4. The loan-to-value ratio in a mortgage is defined as:

A. monthly payment of the loan on a mortgage.

B. amount of a loan as a percentage of the purchase price.

C. amount of a loan as a percentage of the appraised value.

D. amount of a loan as a percentage of the assessed value.

5. Under which loan transaction would the lender have the best opportunity to secure a deficiency judgment in the event of a default and foreclosure?:

A. A second trust deed and note executed by the buyer in favor of the seller of a 10-unit apartment

B. A first trust deed and note executed in favor of a conventional lender, the proceeds being used to purchase a single-family residence

C. A first trust deed and note taken back by a subdivider as part of the purchase price of an unimproved lot

D. A first trust deed and note executed in favor of a private lender to secure a loan, the proceeds of which were used to purchase an automobile

6. In making a decision with regard to a proposed real estate loan for a borrower, lenders normally seeks to minimize:

A. overall net yield.

B. the number of substandard loans in their portfolio.

C. a borrower's difficulties with regard to the results of divorce, death, or unforeseen events.

D. loan-to-value ratio.

7. What was the purpose of the enactment of the Equal Credit Opportunity Act?:

A. To prohibit discrimination by lenders based on sex or marital status

B. To regulate the amount of credit extended by a lender

C. To standardize the minimum requirement for obtaining credit

D. To minimize the cost of credit

8. Junior loans that are available today can be secured through:

A. individual lenders or private lenders.

B. savings and loans.

C. all of these.

D. commercial banks.

9. A balloon payment would be a characteristic of a(n):

A. partially amortized loan.

B. standing loan.

C. amortized loan.

D. self-liquidating loan.

10. A builder is selling a house that he had built under a blanket encumbrance. Under normal procedure, the instrument that would be requested of the beneficiary would be a:

A. quitclaim deed.

B. partial reconveyance deed.

C. grant deed.

D. warranty deed.

11. Liquidation of a financial obligation on an installment basis is:

A. conventional.

B. acceleration.

C. amortization.

D. conversion.

12. In real estate financing, lenders will sometimes refer to "nominal rate" when granting a loan. This means:

A. that the rate of interest in the final granting of the loan will be greater than the commitment.

B. the maximum rate of interest allowed by law is obtainable on financing a property.

C. the rate of interest specified in the promissory note.

D. points will be required, as the rate required by the lender would exceed the legal rate of interest.

13. In real estate financing, reference is sometimes made to take-out loans. This refers to:

A. the net amount after points and prepaid interest are deducted.

B. a long-term loan after construction.

C. a blanket encumbrance.

D. a construction loan.

14. Jones was paying $550 per month to the bank. After the bank deducted interest, $43.85 was applied to the principal. If the outstanding loan balance was $56,500, what was the rate of interest on Jones's loan?:

A. 10.75%

B. 9.5%

C. 11.5%

D. 8.75%

15. Which type of financing would LEAST likely create a need for a cash down payment from a borrower?:

A. Cal-Vet

B. VA

C. Conventional

D. FHA

16. Impounds are used as a safety measure to insure payment of certain recurring bills. A lender might require a borrower to make deposits into an impound account with each monthly payment. Which payment would LEAST likely be part of the impound deposit?:

A. Mortgage interest

B. Homeowners' association fees

C. Assessment bond payments

D. Property taxes

17. A developer bought 10 lots valued at $1,000 each with a 20% down payment, and the seller carried back the mortgage. The developer wants additional financing from a lender for construction purposes. What would LEAST likely protect the lender of the construction loan?:

A. Physical inspection of the property

B. A posted notice of nonresponsibility

C. A subordination agreement in the purchase money deed of trust

D. An ALTA title insurance policy

18. A due-on-sale clause, whether it is enforceable or not, contained in a mortgage or trust deed is a type of:

A. executed clause.

B. defeasible clause.

C. acceleration clause.

D. legally enforceable clause.

19. A certain lender has the following lending policies and characteristics: makes many loans on commercial properties; makes relatively few construction loans; usually seeks to avoid administering loans; prefers to make long-term loans. This describes which lender?:

A. Savings and loan associations

B. Federal savings and loans

C. Life insurance companies

D. Mortgage companies

20. Who benefits most from a subordination clause in a trust deed?:

A. Beneficiary

B. Trustor

C. None of these

D. Trustee

21. A statement provided by the payor on a promissory note that would list payments, term period of the note, principal balance, interest, et cetera is called:

A. request for partial reconveyance.

B. release clause.

C. beneficiary statement.

D. offset statement.

22. An acceleration clause was inserted in a negotiable note. The inclusion of the acceleration clause would:

A. not have any effect on its negotiability.

B. not have any effect on its negotiability nor would it be of any benefit.

C. cause it to lose its negotiability.

D. make it less negotiable.

23. On FHA loans, mutual mortgage insurance:

A. insures mortgagees against fire.

B. pays off the mortgage if the mortgagor dies.

C. is paid for by the mortgagee.

D. insures the mortgagee against loss through foreclosure.

24. An individual borrowed $5,000 and made equal monthly payments over a 20-year period. If the interest rate was 5% and she paid the lender a total of $7,920, the principal payment in the first month was:

A. $53.83.

B. $12.18.

C. $33.00.

D. $20.83.

25. Under the Truth-in-Lending Act, the three-day right of rescission would begin with which event, if they occurred on different days in the sequence stated?:

A. The date the funds are disbursed

B. The date the note is signed

C. The date the loan application is made

D. The date the disclosure statement is delivered

26. Under the Truth-in-Lending Act, a "Notice of Cancellation" could be given when the loan was:

A. secured by a commercial building.

B. used for business expansion.

C. secured by the owner's residence.

D. more than $25,000 and was not secured.

27. The Jacksons bought a residence with a first trust deed loan from a savings and loan. The Londons bought a residence with a first trust deed loan from a bank. The Londons refinanced, obtaining a first trust deed loan from a savings and loan, to get money for a business opportunity. Which statement is correct?:

A. The Jacksons do not have the right of rescission, the Londons do.

B. Neither has the right of rescission.

C. The Londons do not have the right of rescission, the Jacksons do.

D. Both have the right of rescission.

28. According to the Federal Reserve System Regulation Z, which would be the proper usage in an advertisement relating to housing?:

A. Any of these

B. Take over a 7.5% mortgage

C. Assume a 7.5% mortgage

D. Assume a 7.5% annual-percentage-rate mortgage

29. Which is the lender whose loan policies are characterized by a preference for short-term loans, a heavy reliance on its past association with the borrower, loans on property situated close to the lender's office, and some interim construction loans?:

A. Insurance company

B. Mortgage banker

C. Commercial bank

D. Savings and loan association

30. In real estate finance, a beneficiary statement refers to the:

A. amount of principal due on a loan.

B. amount of profit realized by a lender.

C. terms of a lease.

D. amount of money an heir would inherit.

31. In a purchase money mortgage, the mortgagor is identified as the party who:

A. receives the note.

B. holds the property in trust.

C. lends the money.

D. signs the note.

32. A broker negotiates a hard money loan secured by a deed of trust for which he receives a commission. In this transaction, hard money most nearly means a:

A. secondary loan.

B. cash loan.

C. tight money loan.

D. purchase-money loan.

33. The lender under a trust deed is called the:

A. beneficiary.

B. mortgagee.

C. trustor.

D. trustee.

34. Under the provisions of the Real Estate Settlement Procedures Act, which would NOT be considered a violation?:

A. Unearned fees

B. Kickbacks

C. Buyer designating lender

D. Seller designating title insurance company

35. Arnold took out a $14,000 loan for 90 days. He paid $420 interest. What was the annual interest rate?:

A. 12%

B. 10%

C. 11%

D. 9%

36. A real property sales contract is defined as an agreement wherein one party agrees to convey title to another party upon the satisfaction of specified conditions set forth in the contract and that:

A. is not required to be in writing if contract period is for one year or less.

B. does not require conveyance of title within one year from date of formation of the contract.

C. must be acknowledged by both buyer and seller to be eligible for recording.

D. must be recorded to be enforceable.

37. Which is NOT included in the total finance charge under the Truth-in-Lending Act?:

A. Premium for mortgage guaranty or similar insurance

B. Appraisal and credit report fees

C. Finder's fee and similar charge

D. Points paid by the buyer on a FHA/VA loan

38. A conventional lender considering a real estate loan would be most concerned with:

A. federal and state regulations.

B. degree of risk involved.

C. amount of mortgage funds available.

D. economic and financial conditions of the nation.

39. A home is being sold for $800,000 and has been appraised for $780,500. If the lender is willing to lend the maximum permitted by the Veterans Administration, the GI buyer is required to put up what amount in cash?:

A. $20,000

B. $19,500

C. $20,500

D. $25,000

40. If the Federal Reserve Board wanted to create a tight money market, it would:

A. raise discount rates and buy bonds.

B. lower discount rates.

C. raise discount rates.

D. lower discount rates and sell bonds.

41. Regarding warehousing operations with respect to real estate finance, what would apply?:

A. Contract for sale

B. Long-term debentures insured collaterally by real estate loans

C. The mortgage banker collecting loans prior to sale

D. olding notes for investment

42. When the Federal Reserve Board raises the discount rate to their borrowers, it has what effect on the money market?:

A. Makes money more available

B. Has no effect

C. Makes money less available

D. Makes more marginal loans available

43. Interest paid on original principal and also on the accrued and unpaid interest that has accumulated is:

A. accumulative interest.

B. compound interest.

C. simple interest.

D. multiple interest.

44. A mortgage loan is identified as:

A. an unsecured note.

B. any recorded instrument related to financial transfer.

C. a promissory note.

D. a loan collateralized by real property.

45. The trustor under a trust deed is the party who:

A. receives the note.

B. holds the property in trust.

C. lends the money.

D. signs the note as maker.

46. A bank made a loan and charged a 4-point loan fee. Later, the banker sold the note at a 3.5-point discount and received a check for $69,580. What was most nearly the face amount of the loan?:

A. $74,500

B. $73,000

C. $72,100

D. $70,000

47. A clause in a second trust deed that permits the first trust deed to be refinanced without affecting its priority would be known as a(n):

A. acceleration clause.

B. alienation clause.

C. lien waiver.

D. subordination clause.

48. Mr. Jones made application to Federal Pacific Bank for a loan November 1. The loan was approved on November 5. Mr. Jones waived his right to a Uniform Settlement Statement under RESPA in

writing and escrow closed on November 15. The lender must supply the Uniform Settlement Statement:

A. as soon as practical after the close of escrow.

B. to FHA only.

C. on November 15, the settlement date.

D. three days after the settlement date.

49. The secondary money market creates a marketplace for the transfer of mortgages between which parties?:

A. Trustors and mortgagees

B. Mortgagees and mortgagees

C. Mortgagors and mortgagors

D. Mortgagees and mortgagors

50. Mr. Ferguson purchased a property for $125,000 with 12% cash down. He financed the balance with equal monthly payments of $1,048, which included 11% interest, and the loan would be

fully amortized in 30 years. Mr. Ferguson sold the property for $139,750 before making any payments on the loan. What was his equity at the time of sale?:

A. $29,750

B. $15,000

C. $24,750

D. None of these

51. All of these are secondary benefits of the Federal Housing Administration as established by the National Housing Act of 1934 EXCEPT:

A. mortgage guarantee insurance with low premiums to protect the borrower.

B. elimination of short-term financing.

C. establishment of improved building standards.

D. a loan amount appropriate for the borrower's income.

52. In a period of inflation, the Federal Reserve Board would take which action to curb inflation?:

A. Raise discount rates and buy bonds

B. Lower discount rates

C. Raise reserve requirements and sell bonds

D. Reduce reserve requirements

53. The most important factor to a lender who is contemplating a loan to a developer of a shopping center would be the:

A. anchor tenant.

B. long-term leases.

C. number of tenants.

D. credit of the purchaser.

54. An investor purchased an apartment building with a very small down payment and was able to secure financing for the balance. A

year later, he sold the property for profit with no increase in his investment. This is an example of:

A. leverage.

B. inflation.

C. debt reduction.

D. appreciation.

55. A buyer is taking title subject to the first trust deed lien. Who is liable for the loan in the event of default?:

A. Seller

B. Neither buyer nor seller

C. Buyer

D. Both buyer and seller

56. Which is a correct statement?:

A. The effective interest rate is the interest rate paid and the nominal interest rate is the minimal rate that is charged.

B. The nominal interest rate is the same as the annual percentage rate (APR).

C. The effective interest rate is the percentage of interest that is actually paid by the borrower and the nominal interest rate is the percentage of interest that is stated in the loan.

D. The nominal interest rate is the percentage of interest that is actually paid by the borrower and the effective interest rate is the percentage of interest that is stated in the loan.

57. In the sale of real property, all of these statements concerning financing are true EXCEPT:

A. selling a note for less than its face value is known as discounting.

B. a promissory note is security for the trust deed.

C. a mortgage is a lien on real property; an execution of a mortgage does not transfer title.

D. an owner who borrows and executes a trust deed is a trustor.

58. A land sales contract is sometimes referred to as a substitute for a note and trust deed when discussing financing. In this context, a land sales contract is considered:

A. the same as a lease.

B. a security device.

C. an option.

D. identical to a mortgage.

59. As the first line of defense in lending money on a residential property, a lender would look to:

A. income of the borrower.

B. property value.

C. loan-to-value ratio.

D. installment payments of the amortized loan.

60. Which single factor would least directly influence the level of movement of mortgage rates?:

A. Demand for funds

B. Tight money

C. Inflation

D. Unemployment

61. All of these may be negotiable instruments EXCEPT:

A. check.

B. installment note.

C. mortgage securing a promissory note.

D. bank draft.

62. RESPA applies to certain federally related loans secured by liens on owner-occupied one- to four-unit dwellings. Who is federally related under RESPA?:

A. None of these

B. A lender whose deposits are insured by a federal agency

C. A seller taking back a note and deed of trust

D. A private lender making a loan

63. Depending on the availability of funds and market rates, the rate of interest most likely to be charged is:

A. an interior loan rate.

B. the rate charged on a short-term land contract of sale.

C. a variable interest rate.

D. a fluctuating money market rate.

64. The document used when the seller extends credit to the buyer and the buyer receives equitable title is identified as:

A. a mortgage.

B. a conditional/installment contract.

C. none of these.

D. a grant deed.

65. A deed of reconveyance would be signed by the:

A. grantee.

B. trustor.

C. trustee.

D. beneficiary.

66. A person who is an innocent purchaser of a negotiable note for value without knowledge of any defect is customarily called a(n):

A. receiver in trust.

B. holder in due course.

C. assignor.

D. endorser in blank.

67. What is included in an FHA loan?:

A. Secondary financing

B. Mortgage life insurance

C. Prepayment penalty

D. Schedule of payments

68. Of which two types of financing are synonymous?:

A. Take-out lease-Secondary financing

B. Construction loan-Take-out loan

C. Obligatory advances-Installment loan

D. Interim loan-Construction loan

69. The quickness with which assets can be converted into cash is known as:

A. risk.

B. yield.

C. leverage.

D. liquidity.

70. When a home is mortgaged, the equity belongs to:

A. none of these.

B. the beneficiary.

C. the trustor.

D. the trustee.

71. When is there a late charge permitted on a mortgage payment on a home?:

A. When 15 days late

B. After 10 days beyond the due date

C. On the 10th day

D. Right after the due date

72. What is the maximum period of time an owner might be able to stay in possession after judicial foreclosure?:

A. 90 days

B. None of these

C. 1 year

D. 120 days

73. An owner wishes to sell the home and has arranged with a lender to finance the purchase, but has not yet obtained a buyer. This situation would be termed a(n):

A. option.

B. firm commitment.

C. conditional commitment.

D. interim commitment.

74. Lenders frequently will lend up to 95% on conventional residential mortgages due to the availability of:

A. Fannie Mae insurance.

B. private mortgage guaranty insurance.

C. guaranteed mortgage insurance.

D. mortgage cancellation insurance.

75. Mr. and Mrs. Snyder have sold their home to the Binghams using a real property sales contract. From a financing standpoint, the

Snyders' relationship to the Binghams is like a:

A. beneficiary to trustor.

B. grantor to grantee.

C. renter to tenant.

D. lessor to lessee.

76. Mrs. Jones had Broker Smith negotiate a new $2,500 second trust deed on a home with a term of two years. What are the maximum costs and commission Mrs. Jones will have to pay?:

A. $640

B. $250

C. $415

D. $195

77. A primary source of funds for residential financing is the:

A. Federal Housing Administration.

B. Federal Home Loan Bank.

C. Federal Savings and Loan Insurance Corporation.

D. Federal Savings and Loan Association.

78. Which would hold equitable title?:

A. Both trustor under a deed of trust and vendee under a land sales contract

B. Trustor under a deed of trust

C. Neither trustor under a deed of trust nor vendee under a land sales contract

D. Vendee under a land sales contract

79. An individual is employed by a lending institution to procure first deed of trust loans and is compensated on a commission basis by the lending institution for each loan he procures. This requires:

A. a real property securities dealer license.

B. none of these.

C. an active real estate broker's license.

D. a $5,000 surety bond.

80. When referring to real estate finance, the term impounds most nearly means:

A. moratorium.

B. attachment.

C. penalty.

D. reserves.

81. Which loan costs are NOT required to be disclosed as a finance charge to the customer under federal Truth-in-Lending Act?:

A. Time-price differential

B. Credit investigation fees when part of an application fee

C. Buyer's points

D. Finder's fees

82. The National Housing Act of 1934, in addition to providing for the insuring of loans, has had a number of secondary benefits, including all of these EXCEPT:

A. establishing maximum standards of construction.

B. instituting scientific subdivision planning to reduce neighborhood deterioration.

C. stimulating mortgage investment on a nationwide basis.

D. creating a comprehensive system of valuing property and rating mortgage risk.

83. Which lender participates and supervises construction loans, solicits loans from anyone, involves itself in the secondary money market, and represents other lending institutions?:

A. Savings and loan association

B. Mortgage company

C. Insurance company

D. Commercial bank

84. A person borrowed $1,968 for 3 years, 10 months, and 20 days at 8.5% interest per annum. What is the amount of interest paid to the lender?:

A. $501

B. $650

C. $739

D. $399

85. How much can a lender legally charge a borrower for the preparation of the Closing Disclosure form?:

A. 1%

B. 1/2 of 1%

C. Nothing

D. $25

86. The minimum crawl space under a single-family residence according to FHA regulations is:

A. 16″.

B. 18″.

C. 20″.

D. 24″.

87. Under which loan would the borrower be required to apply for term life insurance?:

A. Savings and loan company

B. Cal-Vet

C. VA

D. FHA

88. A trustor, under a deed of trust, defaults on a note and refuses to reinstate the loan. The most expedient thing for the beneficiary to do is to institute a:

A. judicial foreclosure.

B. lien sale.

C. foreclosure sale.

D. sheriff's sale.

89. A purchase money mortgage may be defined as one:

A. taken on all or part of the purchase price.

B. taken on several parcels.

C. that includes chattels, such as household appliances, as additional collateral.

D. that provides for additional advances to the mortgagor without the necessity of writing a new mortgage.

90. In qualifying a borrower for an FHA loan the lender would be most interested in:

A. credit characteristics of the borrower.

B. marital status of the borrower.

C. purchase price of the property.

D. ethnic background of the borrower.

91. A woman purchases a home for $80,000 and executes a note for $78,000 secured by a first trust deed. The balance she pays in cash. Subsequently, a period of economic inflation sets in. This would benefit:

A. the beneficiary.

B. neither the beneficiary nor the trustor.

C. the trustor.

D. the trustee.

92. Most real estate syndicates in California are:

A. joint ventures.

B. limited partnerships.

C. real estate investment trusts.

D. corporations.

93. There was a second trust deed for $5,000. The holder sold it to a friend for $3,500. In the language of real estate practice, this would be known as:

A. liquidating.

B. hypothecation.

C. discounting.

D. depreciation.

94. In a purchase of real property in which a land sales contract is used, the buyer has:

A. possessory rights.

B. all of these.

C. a fee simple estate.

D. an estate of inheritance.

95. Which term relates specifically to the secondary money market?:

A. First mortgages

B. Junior loans

C. Purchase money

D. Discounting of mortgages

96. When a trust deed is properly prepared and executed, the power of sale of the secured property is given by:

A. beneficiary to seller.

B. trustor to trustee.

C. trustee to lender.

D. buyer to trustor.

97. A buyer seeking an FHA loan would be LEAST likely to:

A. agree to make amortized payments.

B. go to the nearest FHA office for an appraisal.

C. agree to pay mutual mortgage insurance.

D. find a lender willing to give him the loan.

98. A broker who negotiates a real estate loan to which the Brokers Loan Law is applicable must deliver the mortgage loan disclosure statement to the borrower:

A. after close of escrow.

B. within 24 hours.

C. three days previous to signing.

D. at signing.

99. Interest rates will normally decline when:

A. inflationary trends accelerate.

B. the federal budget deficit is high.

C. there is an excess of mortgage funds available.

D. the Federal Reserve Board increases reserve requirements.

100. A developer wants to purchase land and later secure financing for improvements. What clause is most beneficial to the developer in the original trust deed used to purchase the land?:

A. Subordination clause

B. Exculpatory clause

C. Alienation clause

D. Acceleration clause

101. A developer built a home on speculation, selling it for $90,000 with $18,000 cash and a note for $72,000. Later he used the $72,000 note as security to borrow $50,000 to build another house. The note in this instance is a:

A. pledge.

B. holding agreement.

C. chattel mortgage.

D. purchase money mortgage.

102. The person who would benefit the most from appreciation of a mortgaged property would be:

A. the trustor.

B. none of these.

C. the trustee.

D. the beneficiary.

103. Which definition best describes an "open-end mortgage"?:

A. One under which several parcels of land are included under one mortgage

B. One in which the mortgage represents a partial payment for the parcel of the land

C. One in which additional financing could be obtained without rewriting the contract

D. One in which personal property is held for added collateral

104. Mr. and Mrs. Crest purchased a home two years ago, financing it with a long-term first trust deed and note. They encountered some financial difficulty and were unable to make their payment

for two consecutive months. As a result, the beneficiary initiated foreclosure proceedings and the Crests received a copy of the notice of default that had been recorded. Their best course of action at this time is to exercise their right of:

A. refinancing.

B. redemption.

C. reinstatement.

D. loan moratorium.

105. Reserves or impound accounts are borrowers' funds held by lenders in a reserve account to assure future payments for all of the followingEXCEPT:

A. specific improvements/annual assessments.

B. city/county taxes.

C. insurance premium.

D. monthly interest on a mortgage.

106. The amount of interest most likely paid on a straight loan of $26,500 for 20 years at 15% interest is:

A. $33,500.00

B. $90,365.00

C. $79,500.00

D. $35,000.00

107. A lender, speaking of a loan in his portfolio, said it was "seasoned." The lender was referring to the:

A. quarter of the fiscal year in which the loan was taken out.

B. pattern of payments of the trustor.

C. maturity date of the loan.

D. type of market in which the loan could be sold.

108. Liquidation of a financial obligation on an installment basis is:

A. conventional.

B. amortization.

C. conversion.

D. acceleration.

109. What is the most important influence affecting the interest rates on trust deed loans?:

A. None of these

B. Supply and demand of funds

C. Exchange rate overseas

D. Gross national product

110. When a deed of trust is foreclosed by court sale, the action:

A. bars the possibility of a deficiency judgment.

B. provides for a one-year redemption period in some cases.

C. is the same as a foreclosure by trustee's sale.

D. is not legal in California.

111. The lenders that invest a major portion of their assets in long-term real estate loans, do not like to service their own loans, and like large loans on newer high-priced homes as well as large loans on commercial property would be:

A. commercial banks.

B. mutual mortgage companies.

C. savings and loan associations.

D. insurance companies.

112. An investor purchased a property at 20% less than the listed price and later sold the property for the original listed price. What was the percentage of profit based on his cost?:

A. 25%

B. 10%

C. 20%

D. 40%

113. An agreement with a lender that prohibits early payoff of a loan is known as a(n):

A. prepayment penalty.

B. open-end mortgage.

C. lock-in clause.

D. exculpatory clause.

114. In which situation could a beneficiary of a trust deed acquire an interest in an after-acquired title?:

A. Trustor purchased additional property

B. All of these

C. Trustor added improvements to the property

D. Personal property later became affixed to the real property

115. Which would be covered by the Real Estate Settlement Procedures Act (RESPA)?:

A. A commercial building

B. An addition of a room in a single-family residence

C. An initial lien on a one- to four-unit residential building

D. Land for development

116. A clause in a second trust deed that permits the first trust deed to be refinanced without affecting its priority would be known as:

A. an acceleration clause.

B. none of these.

C. a submortgage.

D. an alienation clause.

117. Some real estate loans are written so that, if there are changes in the money market, the interest rate on the loan may be changed. This is a(n):

A. variable interest rate loan.

B. interim loan.

C. fluctuating money market loan.

D. loan secured by a short-term land contract of sale.

118. A bank will usually make a conventional loan and charge a higher interest rate than the interest rate charged on an FHA loan on the same property. What would be the determining factor in choosing to make an FHA loan instead of a conventional loan?:

A. Higher return

B. Degree of risk

C. Number of properties sold by the seller

D. Needs of the borrower for lower interest

119. Most lending institutions are limited as to the amount they can lend, the types of loans they offer, and the length of loans. Because of certain limitations, some lenders are not interested or are unable to give construction loans, but are willing to issue long-term financing after the construction is completed. Long-term loans, to be issued by one lender upon completion of the interim construction financing by another lender, are known as:

A. take-out loans.

B. discount loans.

C. redemption loans.

D. renewal loans.

120. Under a power of sale clause, the trustee has a minimum of three months from recording a Notice of Default before:

A. deed of reconveyance is made to the beneficiary.

B. taking possession.

C. publication of sale.

D. foreclosure is final.

121. A promise by the lender to make a permanent loan on the demand of a borrower is known as:

A. standby loan commitment.

B. backup loan commitment.

C. interim loan commitment.

D. incremental loan commitment.

122. Discount points on financing under the California Farm and Home Purchase Act are paid by:

A. the seller.

B. no one.

C. the state.

D. the buyer.

123. A broker negotiated a loan for a client. The beneficiary did not specifically instruct the broker to record. The broker is obligated to record:

A. immediately after funds are disbursed.

B. within 10 days of the date funds are disbursed.

C. before funds are disbursed.

D. at same time funds are disbursed.

124. A portfolio risk manager (financial manager) would be most concerned with:

A. reserves.

B. diversification.

C. any of these.

D. liquidity.

125. Under the Real Estate Settlement Procedures Act (RESPA) lenders are required to give borrowers:

A. the amount of mortgage interest.

B. a good-faith estimate.

C. the amount of mortgage interest.

D. a bill of sale.

126. In which situation would a package mortgage be used?:

A. When including the obligations of a first and second trust deed under one instrument

B. When securing additional financing from the lender at a later date without rewriting the mortgage

C. When covering more than one parcel of land in a subdivision

D. When encumbering real property and using personal property as additional collateral

127. In the event a trustor defaults on loan payments under a trust deed note, the lender has the right to call the entire loan due and payable. Should a lender take such an action, he would exercise the:

A. release clause.

B. acceleration clause.

C. alienation clause.

D. subordination clause.

128. What is NOT a result of a subordination clause?:

A. Allows for a construction loan to take priority

B. Causes hardship on the buyer by placing the lender of a larger sum in the favored position

C. More of a risk to seller and may cause increased cost of the land and more stringent release clause

D. Permits a first trust deed to be refinanced and extended without losing priority

129. The interest rate for an FHA loan is negotiated by:

A. FHA.

B. agreement between seller and buyer.

C. agreement between borrower and lender.

D. the lender.

130. If a person paid $220 interest on an $8,000 loan for 90 days, the interest rate was:

A. 12%.

B. 11%.

C. 9%.

D. 10%.

131. Which would NOT likely cause a loss to a lender?:

A. Unemployment

B. Prepayment without a penalty

C. Inflation

D. Recession

132. A buyer purchasing real property using a conditional sales contract (also called a real property sales contract) would acquire:

A. an estate of inheritance.

B. all of these.

C. a freehold estate.

D. a possessory interest.

133. If the Federal Reserve Bank tightens reserve requirements of member banks, it would usually result in:

A. a fewer number of private second trust deeds.

B. favorable news from a broker's standpoint.

C. making more marginal loans available.

D. a greater number of private second trust deeds.

134. In a real estate transaction, a prepayment penalty may be paid by:

A. the buyer.

B. the seller.

C. the lender.

D. none of these.

135. A buyer assumes an FHA mortgage with the lender's approval and pays the seller's equity in cash. The lender charges the buyer a $30 fee. This fee is known as:

A. a novation.

B. an assumption fee.

C. an origination fee.

D. points.

136. The term default in most mortgages commonly means that the mortgagor:

A. failed to maintain the property.

B. is not using the property for its intended purpose.

C. is delinquent in monthly payments.

D. did any of these.

137. What is an advantage to the seller of real property in using a conditional sales contract in the sale of property instead of giving a grant deed and taking back a large trust deed?:

A. The seller can prohibit the vendor from recording the contract if the contract includes a clause prohibiting such recording.

B. Foreclosure proceedings are faster thereby permitting the vendor to recover possession quickly from the buyer.

C. A deficiency judgment can be obtained in the event of default.

D. None of these

138. If a person wanted to transfer equitable title and retain legal title, he or she would use a:

A. mortgage.

B. grant deed.

C. land contract.

D. security agreement.

139. Points are NOT charged on which type of home loans?:

A. None of these

B. Veterans Administration

C. Federal Housing Administration

D. California Department of Veterans Affairs

140. A man listed a property for $760,000 and was willing to take back a trust deed and note for $20,000. FHA appraised the property for $700,000 and the broker secured a buyer who wanted to secure an FHA loan for $700,000, pay $40,000 cash and execute a second trust deed and note in favor of the seller. The broker should counsel the seller to:

A. write up the offer "subject to better financing."

B. write up the offer subject to FHA loan and second trust deed.

C. write up the offer subject to a $70,000 FHA loan and a personal loan for $6,000.

D. refuse to accept the offer.

141. What is included as part of the finance charge in a Truth-in-Lending Disclosure Statement?:

A. Assumption fee

B. Appraisal fee

C. Title insurance fees

D. Recording and document fees

142. Annual percentage rate is defined as:

A. all loan costs, direct or indirect, expressed as a percentage rate.

B. relative amount of credit costs expressed as a dollar total.

C. direct and indirect costs plus taxes and closing costs.

D. direct loan costs only.

143. If interest is paid at a rate of $60 a month and the rate of interest is 8% per annum, the principal amount of the loan is:

A. $4,000.00

B. $12,000.00

C. $9,000.00

D. $7,000.00

144. Which statement regarding a prepayment penalty in Cal-Vet financing is correct effective 1998?:

A. The prepayment is 2% of the current loan balance.

B. If a Cal-Vet loan is paid off within two years of inception it requires a 2% penalty based on the current loan balance.

C. There is no prepayment penalty for an early payoff on a Cal-Vet loan.

D. If a Cal-Vet loan is paid off within the first five years there is a prepayment penalty based on the original loan amount.

145. To prevent investment erosion through inflation, an investor would place his funds in:

A. government bonds.

B. mortgages and trust deeds.

C. equities.

D. savings accounts.

146. The factor that exerts the greatest influence on mortgage interest rates is the:

A. value of the property.

B. offsetting influence of conservative vs. nonconservative lenders.

C. condition of the money market.

D. term of the loan.

147. What is the lender's best protection against default if the purchaser makes no down payment?:

A. Length of loan

B. Low interest rate

C. Appreciation of the property

D. Low monthly payments

148. In setting up a release schedule under a blanket encumbrance the beneficiary will usually require a disproportionate amount of money to release a particular lot:

A. for all of these reasons.

B. because the best lots usually sell first.

C. to have better security on the remaining lots.

D. to protect the investment as individual lots are sold.

149. A person purchased a property for $70,000 and made a $14,000 down payment. If the person borrowed the balance of the purchase price, it would be considered a purchase money trust deed if the borrower received this amount from:

A. a lender.

B. the seller.

C. a friend.

D. any of these.

150. Brewer wants to purchase a home, but is denied financing because of an agency's credit report. Brewer has repeatedly tried to get a copy of this report, but the agency refuses to give it to him. Brewer can bring action under the California Civil Code to:

A. recover enough money to compensate him for damage to his credit.

B. recover attorney fees and equitable damages.

C. recover punitive damages up to $5,000.

D. do any or all of these.

151. When a trust deed is foreclosed in judicial foreclosure and the trustor fails to exercise his or her right to redeem, possession during the period of redemption would be held by the:

A. trustee.

B. beneficiary.

C. trustor.

D. mortgagor.

152. Mr. Applegate purchased a home in a subdivision through Broker Able. Applegate applied for a loan and on the loan application there were two boxes that he was asked to check. One box was for marital status and the other for race. Applegate may:

A. sue the broker arranging the loan and the loan officer for asking these questions on the loan application.

B. refuse to answer the questions on race and marital status.

C. file a complaint with the real estate commissioner.

D. be required to answer these two questions by the lender in order for the loan to be processed.

153. Savings and loan institutions obtain most of their money for making loans from:

A. corporation profits.

B. FNMA.

C. corporation savings.

D. individual savings.

154. The term default in most mortgages means that the mortgagor:

A. is delinquent in monthly payments.

B. is not using the property for its intended purpose.

C. failed to maintain the property.

D. did any of these.

155. Which factor would be least likely to influence the level and movement of mortgage rates?:

A. Inflation

B. Demand for funds

C. Tight money

D. Unemployment

156. Which word(s) placed in a promissory note would commit all the borrowers for repayment?:

A. Individually and severally

B. Individually

C. Jointly

D. Jointly and severally

157. What does NOT represent a demand source of mortgage money?:

A. FNMA

B. Sales financing

C. Construction

D. Refinancing

158. A buyer bought a unit of real property for $300,000 with a $75,000 down payment and a $225,000 mortgage. The value of the property soon increased by 10%. The owner's equity increased by 40% due to the use of:

A. leverage.

B. influence.

C. amortization.

D. inflation.

159. The maximum amount of commission and loan costs that may be charged for a second trust deed of $4,000 for a four-year term is:

A. $725.00

B. $990.00

C. $850.00

D. $550.00

Transfer of Property

1. A fire insurance policy began March 1, 20XX and cost $316.80 for three years of coverage. The insured cancelled the policy as of November 16 of the same year. What is the amount of the unused policy?:

A. $74.80

B. $316.80

C. $242.00

D. $121.00

2. All of these costs qualify for itemized deductions by the owner-occupant of a single-family residence in the appropriate tax year EXCEPT:

A. real property taxes.

B. the unreimbursed portion of a casualty or theft loss in excess of 10% of the adjusted gross income.

C. the cost of painting a bedroom.

D. interest on a deed of trust.

3. When Atkins is selling his trade fixtures, which instrument must he execute?:

A. Chattel real

B. None of these

C. Warranty deed

D. Bill of sale

4. Smith sold a house under an installment sales agreement. The main advantage of this method is the ability to:

A. declare the gain in the year of sale.

B. prorate the gain over the term of the installment contract.

C. postpone declaring the gain until the debt is fully repaid.

D. choose which years in which to declare the gain.

5. Escrow companies are subject to the Corporations Commissioner's Regulations. Who would NOT be exempt?:

A. Attorney at law

B. Broker not accepting a fee and handling his own escrow

C. Broker escrowing property of other brokers

D. Broker accepting a fee and handling his own escrow

6. A broker lists and negotiates the sale of a home for Mr. B, a young married man. At the time of the sale the broker was not concerned with the age of his client. After the deed had been signed and escrow closed, the title company informs the broker that the seller is under 18 years of age. The deed is:

A. outlawed.

B. valid.

C. illegal.

D. voidable.

7. Who would not be applicable to a will?:

A. Testator

B. Executor

C. Administrator

D. Devisee

8. When handling an escrow for both parties, the escrow holder is acting as a(n):

A. employee.

B. advocate.

C. independent contractor.

D. agent.

9. When a business is sold with real property:

A. one deposit receipt must be used.

B. two deposit receipts may be used.

C. an escrow need not be used in the sale of the business.

D. the same escrow and title company must be used for both the sale of the business and the sale of the real property.

10. When standard coverage is extended by the coverage of an ALTA policy, the insurer is liable for all of these EXCEPT:

A. unrecorded mechanics' liens.

B. liens of record.

C. unrecorded easements.

D. zoning restrictions.

11. A man owns property free and clear valued at $320,000 with a book value of $220,000. If he exchanges for another property, also free and clear valued at $365,000, and pays no boot, the book value on the second property will be:

A. $220,000.00

B. Cannot be computed with the facts given

C. $585,000.00

D. $365,000.00

12. A capital gain exclusion on a principal residence is:

A. $250,000 for an individual or $500,000 for a married couple once in a lifetime if one of them is over 55 years of age.

B. $250,000.00

C. $250,000 for an individual or $500,000 for a married couple once in a lifetime.

D. $250,000 for an individual or $500,000 for a married couple every two out of the last five years.

13. Jones purchased a four-acre parcel for $2,000 per acre in 2004. He subdivided this parcel into four lots and years later sold each lot for $10,000. What was Jones's capital gain?:

A. $32,000

B. $46,000

C. Cannot be computed from the information given

D. $6,000

14. A broker who is selling property on which he or she holds an option must inform the buyer that he is a(n):

A. agent.

B. grantor.

C. principal.

D. optionor.

15. Alienation expresses a meaning most nearly opposite to:

A. ad valorem.

B. acquisition.

C. acceleration.

D. amortization.

16. Jones bought two lots for $18,000 each and divided them into three equal lots, which he sold for $15,000 each. His percentage of profit was:

A. 40%.

B. 20%.

C. 15%.

D. 25%.

17. Who is normally in the weakest position against loss of property due to a claim by an outsider?:

A. Holder of an unrecorded quitclaim deed who does not occupy the property

B. Holder of an unrecorded deed who occupies the property

C. Holder of a recorded deed who rents the property

D. Holder of a certificate of title

18. An escrow company can:

A. request funding of the buyer's loan.

B. order a termite report and authorize the work to be done.

C. change the amount of the broker's commission.

D. tell the buyers where to obtain the best available financing.

19. What is a benefit of extended coverage title insurance over standard coverage?:

A. Protection against forged deeds

B. Protection against lack of capacity

C. Protection against recorded instruments

D. Protection against capital improvements being on your neighbor's property

20. The county maintains an assessment roll that includes the assessed value of property. The purpose of this assessment roll is:

A. establishment of the tax amount.

B. setting of the tax rate.

C. establishment of the assessment for the tax base.

D. equalizing of assessments.

21. A buyer of a piece of property fails to examine public records on the property. The buyer is considered to have:

A. assumed notice.

B. actual notice.

C. constructive notice.

D. conditional notice.

22. Recording a deed:

A. insures possession.

B. gives actual notice.

C. raises presumption of delivery.

D. transfers title.

23. In California, the abstract of title has ultimately been replaced by the:

A. certificate of title.

B. policy of title insurance.

C. title guarantee.

D. trust deed.

24. Which statement is incorrect?:

A. A deed of reconveyance must be recorded.

B. A trust deed can be recorded in more than one county.

C. A trust deed does not have to be recorded.

D. A promissory note is not eligible for recording.

25. The purchase price of a property amounted to $50,000 with the buyer assuming an existing $30,000 loan. If the documentary transfer tax is $0.55 for each $500 or fraction thereof, what was the tax paid on the transaction?:

A. $33

B. $55

C. $44

D. $22

26. When transferring fee simple title to real property that has been financed by a first deed of trust, you must first:

A. pay the beneficiary in full.

B. receive permission from the beneficiary.

C. have the grantor sign the deed.

D. do none of these.

27. What is an example of "boot" received for income tax purposes?:

A. Net debt relief in a tax-deferred exchange

B. Increase in depreciation taken

C. Decrease in depreciation

D. All of these

28. Since land is unique in character and often cannot be substituted for another parcel, the courts have made available the right to request specific performance. Who could NOT request such action in a court?:

A. The seller of a single-family residence

B. A broker acting as an agent of the seller

C. The buyer of a single-family residence

D. The seller of a large tract of land

29. To alienate title to real property, an individual:

A. records a homestead.

B. conveys title

C. clouds a title.

D. secures an ALTA policy of title insurance.

30. All of these instruments are used to transfer an interest in real property EXCEPT a(n):

A. trust deed.

B. agreement of sale.

C. bill of sale.

D. mortgage.

31. A buyer purchased a property at 20% less than the listed price and later sold it for the original listed price. What was the percentage of profit based on his cost?:

A. 40%

B. 20%

C. 25%

D. 10%

32. A property owner had the following monthly payments: principal $402; interest $202; real property taxes $104; fire insurance $21. For federal income tax purposes, how much could be deducted as expenses of ownership?:

A. $202

B. $306

C. $104

D. $3,672

33. A seller of a condominium must provide a buyer with copies of:

A. the bylaws.

B. the CC&Rs.

C. all of these.

D. the latest financial statement.

34. Smith buys an apartment building for $100,000. He keeps it for 10 years and sells it for $100,000. He had depreciated the improvements $40,000 over his period of ownership. As to his income tax position:

A. his gain may be deferred.

B. his gain is taxable as ordinary income.

C. he has to pay capital gains on the amount of the depreciation.

D. he has no recognized gain.

35. Who would provide a quitclaim deed to quiet a title?:

A. Grantor

B. Grantee

C. Trustor

D. None of these

36. The person who receives personal property through a will is called a(n):

A. legatee.

B. testator.

C. devisee.

D. administrator.

37. James, an 11-year-old minor, owned a farm and asked his father to contract a broker to sell the farm. The father listed the property with a broker. The farm was sold and the deed was signed. James later changed his mind and wanted the farm. This transaction was:

A. void because James was a minor.

B. valid because the father was acting for his son.

C. rescinded simply because James changed his mind.

D. void because the father arranged the sale through a broker.

38. All of these statements are correct concerning probate sales of real property EXCEPT:

A. the representative of the estate may enter into an exclusive listing with the broker with the approval of the court.

B. commissions for brokers negotiating sales are determined by the probate code according to prearranged schedules based on selling price.

C. the first bid in a probate sale must not be less than 90% of the court's appraisal.

D. an offer can be accepted by the representative of the estate with the approval of the court.

39. A home sold for $337,000 with a fair market value of $335,000. The seller took a purchase money second trust deed for $325,000 and sold it "without recourse" at a discount of $323,500. The buyer defaulted before the first payment was made. The holder of the second trust deed can:

A. foreclose for $323,500.

B. foreclose for $325,000.

C. look to the seller since "without recourse" has no effect.

D. look to the seller since the note was usurious.

40. There are different types of title insurance. The major differences between the owner's title insurance policy and the lender's title insurance policy include:

A. an owner's insurance covers the water and mining rights that the owner can claim.

B. a lender's insurance covers the interests of the mortgagee.

C. a lender's insurance extends coverage on easements and possession that is difficult to ascertain at time of purchase.

D. a lender's insurance covers the interest of the seller but owner's insurance covers the title.

41. In determining whether to insure title, the title company would rely most on documents found in the:

A. title report.

B. title guarantee.

C. chain of title.

D. title search.

42. A grants an estate to B for the life of X. B dies. The estate:

A. vests in X in trust until A dies.

B. reverts to the original owner.

C. passes to the heirs or devisees of B.

D. ceases to exist.

43. Which item would most likely be short rated in escrow?:

A. Interest

B. Trust deed

C. Real estate taxes

D. Insurance

44. A property is deeded to "John Jones, et ux." The Latin phrase et ux means:

A. amount over and above.

B. and others.

C. without recourse.

D. and wife.

45. A deed was given by "A" to "B" with oral instructions not to record the deed until "A's" death. The deed was:

A. voidable.

B. illegal.

C. valid.

D. void.

46. What would never appear as a debit to the buyer on a closing statement?:

A. Tax prorations

B. FHA discount points on an FHA loan

C. Interest on an assumed loan

D. Insurance prorations

47. The requisites of a grant deed differ from those of a land contract in which way?:

A. Designation of price

B. Warranties to purchaser

C. All of these

D. Signature of principals

48. A man owns a property free and clear valued at $660,000 with a book value of $440,000. If he exchanges for another property, also free and clear, valued at $730,000 and pays no boot, the book value of the second property will be:

A. $730,000.00

B. Cannot be determined with the facts given

C. $440,000.00

D. $660,000.00

49. If a seller received a check from escrow in the amount of $111,561.30 and escrow had deducted a commission of 6% of the selling price and other expenses of $1,210.50, the gross selling price was:

A. $111,277.80.

B. $110,067.30.

C. $111,561.30.

D. $119,970.00.

50. In making a title search, a title company would most likely search the records of:

A. the Federal Land Office.

B. all of these.

C. the county clerk.

D. the county recorder's office.

51. What is NOT a method for providing for depreciation?:

A. Sinking fund

B. Obsolescence

C. Straight-line

D. Sum-of-the-years' digits

52. What would make a deed void?:

A. Signature of grantor is spelled differently from the typed spelling on the deed

B. Made to a fictitious grantee

C. Grantee is not named but is sufficiently described

D. Grantor is set forth and has signed under a name not his own

53. A man purchased a lot for $100,000 cash. In order to construct a building valued at $500,000, he took out a loan of $400,000 at 11% per annum and put down $100,000 in cash. For income tax purposes, what amount could he depreciate over the life of the building?:

A. $100,000

B. $500,000

C. $600,000

D. $400,000

54. The first installment of real property taxes had been paid by the seller for the current fiscal year. Property taxes for the current fiscal year amounted to $1,200. If escrow closed on February 1, what amount of prorated taxes would the seller be required to pay?:

A. $200

B. $600

C. $1,200

D. $100

55. Carson acquired title to several properties before his arrest. While in prison, he wanted to convey one property to his son and sell another. How would being in prison affect his ability to convey?:

A. His conveyance must be approved by an officer of the Department of Corrections.

B. He must first get permission from the California Adult Authority.

C. He can dispose of his property as he pleases.

D. It would be hard to acquire title insurance.

56. During escrow, if an unresolved dispute should arise between the seller and buyer preventing the close of escrow, the escrow holder may legally:

A. act as a neutral arbitrator.

B. sue for specific performance.

C. enter court action with buyer and seller in an action of interpleader.

D. rescind the transaction and return all monies to both parties.

57. An ALTA extended coverage policy of title insurance would:

A. protect a lessee who moved onto the property after the date of issuance of title insurance.

B. cover encroachments after the date of issuance.

C. be limited to stated conditions and title as of the date of issuance.

D. cover easements created during the term of the policy.

58. In California a buyer of real property is most likely to seek title protection through:

A. abstract of title.

B. policy of title insurance.

C. certificate of title.

D. recording of title.

59. A homeowner may take advantage of an exclusion from capital gains on the sale of her principal residence:

A. only if she reinvests the proceeds into a new personal residence within a two-year period.

B. if the homeowner is over 55 years of age.

C. never.

D. if she has lived there two out of the last five years.

60. A deed is void at its inception if:

A. the grantee takes title under an assumed name.

B. the grantor is legally incompetent.

C. the grantee is a minor.

D. none of these are true.

61. In the absence of a special agreement to the contrary, a trust deed normally having highest priority is one that was:

A. executed and delivered first.

B. executed first.

C. a construction mortgage.

D. recorded first.

62. A buyer purchased a property using a recorded conditional sales contract and later defaulted on the payments. If a quitclaim deed was used to clear the cloud on title, it would be executed by:

A. both buyer and seller.

B. the seller

C. none of these.

D. the buyer.

63. How much boot is necessary to effect the following exchange: NE 1/4 of the NE 1/4 of Section 9 at $800 per acre for the S 1/2 of the NE ¼ of Section 2 at $500 per acre. (Both parcels are owned free and clear.):

A. $8,000

B. $24,000

C. $18,000

D. $40,000

64. An escrow closing statement that refers to "recurring costs" could be describing:

A. escrow charges.

B. title insurance.

C. impound accounts for taxes and insurance.

D. deed transfer taxes.

65. Ms. Johnson owns two personal residences. If she sells one residence, under what circumstances could she defer her gain?:

A. She could defer her gain if she sold either residence.

B. She could defer her gain only if the property sold was her principle residence.

C. She must sell both residences to defer the gain.

D. She could defer her gain on the residence of greater value.

66. What best defines adjusted basis of a property for income tax purposes?:

A. Acquisition cost plus capital improvements plus depreciation

B. Acquisition cost plus capital improvements

C. Acquisition cost plus capital improvements minus depreciation

D. Acquisition cost

67. For federal income tax purposes, a taxpayer could adjust the cost basis of the personal residence on income tax records for

which item?:

A. The addition of a concrete patio

B. Interest on a loan

C. Depreciation

D. Fire insurance premiums paid

68. Seizure of property for payment of money before judgment is known as a(n):

A. attachment.

B. writ of execution.

C. lis pendens.

D. condemnation.

69. For federal income tax purposes a property owner can deduct all of these expenses in computing annual net income EXCEPT:

A. the manager's salary.

B. interest paid on a mortgage.

C. depreciation.

D. a wooden fence.

70. An escrow can be terminated by:

A. an attorney-in-fact acting for one of the principals.

B. mutual consent of the parties.

C. revocation by the broker.

D. incapacity or death of either party.

71. The trustee will deliver to the trustor a:

A. reconveyance deed.

B. quitclaim deed.

C. grant deed.

D. trustee's deed.

72. Unless otherwise specifically stated, a grant deed presumes to convey:

A. an estate for years.

B. a fee simple defeasible estate.

C. in fee simple.

D. a life estate.

73. A deed made and delivered, but not recorded, is:

A. valid as between the parties and invalid as to subsequent recorded interests without notice.

B. invalid as between the parties.

C. valid as between the parties and valid as to subsequent recorded interests.

D. invalid as between the parties and valid as to third parties with constructive notice.

74. If a change of ownership is not recorded, how many days after the change does an owner have to inform the county tax assessor about a change of ownership?:

A. 15 days

B. 30 days

C. 60 days

D. 45 days

75. A summary and digest of all transfers, conveyances, legal proceedings, and any other facts relied on as evidence of title, showing continuity of ownership, together with any other elements of record which impair title, is a definition of a(n):

A. certificate of title.

B. abstract of title.

C. chain of title.

D. boilerplate form.

76. Escrow companies normally base their prorations on a year of:

A. 355 days.

B. 350 days.

C. 360 days.

D. 365 days.

77. A Standard Policy of Title Insurance would insure against:

A. all of these.

B. items that the insured knew were faulty.

C. forgery in the chain of title.

D. validity of a tenant's lease to be free of all liens and encumbrances.

78. The main purpose of a deed is to:

A. provide evidence of a change of title or transfer of an interest in real property.

B. show a change of real property transfer.

C. identify the parties in the transfer of title of real property.

D. provide a legal document eligible for recording.

79. Which statement regarding a tax-free exchange is TRUE?:

A. A party to the exchange can deduct a loss on the exchange.

B. A rented house cannot be exchanged for an office building.

C. To be eligible, a property must be held for income or investment or for use in trade or business.

D. Each party must trade for like property of equal value with a smaller mortgage and receive boot.

80. A person who has been judicially declared incompetent and who was bequeathed three properties by his brother:

A. cannot receive title to real property but can receive title to personal property.

B. can accept title to real property given to him in a will.

C. can accept title only if it is placed with a trustee.

D. cannot receive title to real property because of his incompetency.

81. Green paid $77,000 for a home in a real estate transaction. The lender would lend 80% of the $75,000 value. If the buyer was charged 3% of the selling price for closing costs and made a $1,200 cash down payment, what additional amount of money would the buyer need in order to complete the transaction?:

A. $13,490

B. None of these

C. $18,110

D. $15,800

82. A proper acknowledgment may be taken by a notary public who is:

A. the grantee of a deed.

B. an employee of a corporation for which the instrument needs to be acknowledged if he has no interest in the property.

C. the mortgagee of a mortgage.

D. the grantor of a deed.

83. A standard policy of title insurance insures against:

A. defects in the title known to the purchaser but not to the title company as of the date of the policy.

B. unrecorded easements.

C. eminent domain.

D. lack of capacity of persons having to do with title.

84. Tooly, a 15-year-old minor, inherited some land that he deeded to a nonprofit organization. The organization recorded the deed and put a building on the land. At 18, Tooly changed his mind and decided he wanted the property back. Which statement is TRUE?:

A. Because of the time lapse between 15 and 18, Tooly was unable to reclaim the property.

B. The deed was void because Tooly was a minor.

C. Tooly could claim the property if he reimbursed the organization for the cost of the building.

D. Recording created an estoppel and prevented Tooly from having claim to the property.

85. In the event there is no provision in the escrow instructions with regard to a termination date, the parties to the escrow have:

A. 60 days.

B. 30 days.

C. a reasonable time.

D. 10 days.

86. Realized gain includes:

A. all of these.

B. that portion of the gain that does not have to be declared in the present.

C. that portion of the gain that is attributable to that tax year.

D. the total gain.

87. By which means can a person gain title to real property?:

A. Appurtenance

B. Riparian rights

C. Accession

D. Littoral rights

88. In accordance with the Real Estate Settlement Procedures Act, the lender must supply the borrower with a Uniform Settlement Statement:

A. at or before closing.

B. 1 day prior to settlement.

C. 10 days after loan commitment.

D. 3 days prior to settlement.

89. Mr. Newton owned a six-unit dental building and lot valued at $225,000. The adjusted cost basis was $185,000 and the property was mortgaged for $137,000. He exchanged with the owner of a store building valued at $198,000 with a $125,000 mortgage. Newton also received $25,000 cash boot. What is Newton's actual and taxable gain?:

A. $73,000-$43,000

B. $50,000-$37,000

C. $78,000-$54,000

D. $50,000-$13,000

90. Which would NOT be covered by a CLTA policy but would be covered by an ALTA policy?:

A. Property lines accurately established by a survey

B. Mistakes in liens and documents of record

C. Discrepancies found in documents of record

D. Capacity of the grantee of a deed of reconveyance

91. Able died leaving no heirs but had willed Blackacre Ranch to Baker. Talbot was in possession of Blackacre under an existing lease that had two years to run. During the probate of Able's estate, the court found the will to be invalid. Under these circumstances, title to Blackacre would:

A. pass by statutory provisions by a court of proper jurisdiction.

B. pass to Baker since it was Able's intent.

C. pass through an action by one or more of the heirs for declaratory relief.

D. pass to Talbot since he is in possession.

92. Points paid in obtaining a loan are treated in what manner on the federal income tax return?:

A. Points are always deductible if used for interest but not for specific services by a lender.

B. Points are always deductible.

C. Points are deductible only if the loan is obtained through a state or federal bank.

D. The manner in which they are treated depends on what they are being used for.

93. Without being licensed by the corporations commissioner as an escrow company, a real estate broker may:

A. handle only those escrows pertaining to property which broker owns or has an interest.

B. never act as an escrow agent.

C. handle escrows for all brokers in an area where there is no established escrow company.

D. handle escrows in connection with real estate transactions in which broker acted as an agent.

94. A buyer of a business opportunity would obtain a Certificate of Clearance from the:

A. Secretary of State.

B. State Board of Equalization.

C. County Tax Assessor.

D. Franchise Tax Board.

95. Buyer and seller sign escrow instructions that the broker takes to the escrow agent. The escrow agent discovered discrepancies between the escrow instructions and purchase contract. Which statement is TRUE?:

A. The escrow instructions generally prevail because it is the most recent document.

B. The escrow agent and the broker must resolve the conflict.

C. The purchase contract would prevail because it is the original document.

D. The purchase contract must be redrafted to agree with the escrow instructions.

96. A quitclaim deed releases present claim, rights, and title of the:

A. grantee.

B. grantor.

C. servient tenement.

D. property.

97. Smith buys an apartment building for $300,000. She keeps it for 10 years and sells it for $300,000 since the land and the building value did not increase. She had depreciated $110,000 over her period of ownership. As to her tax position:

A. her gain is taxable as ordinary income.

B. her gain may be deferred.

C. she has no recognized gain.

D. he has to pay capital gains on the amount of the depreciation.

98. All of these are required for acquiring title by adverse possession EXCEPT:

A. confrontation with the owner.

B. hostile to the true owner's title.

C. it must be under a claim of right or color of title.

D. open and notorious use.

99. In the absence of court approval, a minor or incompetent can:

A. receive a deed to a property through gift or inheritance.

B. do all of these.

C. encumber real property through a power of attorney.

D. convey property through a guardian.

100. What would appear as a credit to the seller on a closing statement?:

A. Cash charge for a quitclaim deed

B. Proration of prepaid taxes

C. Cash charge for recording buyer's deed

D. Proration of prepaid rents

101. If a home sold for $76,000, which represented a 17% profit over the original purchase price, the original purchase price was:

A. $63,500.00

B. $63,250.00

C. $65,431.00

D. $64,957.00

102. If a seller received a check from escrow in the amount of $37,187.10 and escrow had deducted a commission of 6% of the selling price and other expenses of $403.50, the gross selling price was:

A. $39,990.00.

B. $31,609.00.

C. $38,182.40.

D. $37,590.60.

103. Buyer purchased a property from Seller on August 15, 2006. Buyer was to take possession as of September 30, 2006, with all prorations to be as of the same date. On November 1, 2005, Seller had paid the taxes for the fiscal year of 2005-2006. The escrow closing statement would show:

A. Buyer pays Seller for nine months' taxes.

B. Seller pays Buyer for three months' taxes.

C. Seller pays Buyer for nine months' taxes.

D. Buyer pays Seller for three months' taxes.

104. What is most frequently employed to ensure title to real property for a grantee?:

A. Title insurance

B. Warranty deed

C. Recordation of deed

D. Certificate of title

Real Estate Practice

1. A lessor is renting a furnished apartment from period to period. Under the Fair Housing Act, the lessor may do all of these things EXCEPT:

A. obtain credit checks on married couples.

B. check with former landlords for references.

C. collect the first, second, and last month's rent.

D. require only single tenants to have a co-signor for the lease.

2. At the time an owner offers to list his or her property with a broker, the owner makes it a condition that it may not be disclosed that the home is in a slide area. What should the broker do?:

A. The broker should not take the listing.

B. The broker should recommend that the owner list his property with someone else.

C. The broker should advise the owner to sell the property himself.

D. The broker should accept the listing but disclose this information orally to any initial buyers.

3. An agent would be guilty of fraudulent misrepresentation when:

A. the misrepresentation caused the purchaser to enter into a contract.

B. all of these happened.

C. the representation was material and inconsistent with fact.

D. the misrepresentation was given with knowledge of the truth.

4. Robert Smith signed an offer and gave the broker his personal check made payable to an escrow company as a deposit. He stipulated that the broker was to hold the check until his offer was accepted by the seller. The listing agreement specified that any deposit money must be a cashier's check made payable to the seller. Under these circumstances, the broker should:

A. refuse to accept a deposit that does not conform to the precise terms of the listing.

B. hold the check but do not reveal to the seller that he has accepted the check until the seller accepts the offer.

C. submit the offer and deposit the check in escrow.

D. submit the offer and hold the check.

5. A licensed real estate salesperson has been selling unimproved lots through the employing broker and receiving a finder's fee from a lender for referring the buyers to the lender. The broker discovers this and fires the salesperson and warned all the other salespeople not to be involved in this type of practice. If these facts come to the attention of the real estate commissioner:

A. the salesperson alone is subject to disciplinary action.

B. both the broker and the salesperson may be disciplined.

C. the commissioner has no cause for disciplinary action even though it may be unethical.

D. the broker and not the salesperson is subject to disciplinary action.

6. Williams owned 40 acres of land in 1955, which she subdivided into 65 lots and placed a restriction in each deed that said these lots may "not be sold to non-Caucasians." This restriction is:

A. prohibited by local, state, and federal statutes and regulations of all real estate commissions.

B. unenforceable through court action because it is a violation of the U.S. Constitution.

C. valid until Williams died.

D. none of these.

7. A seller asked his listing broker the ethnic background of a prospective buyer. In this situation,:

A. the broker should ask the buyer's broker if it is all right to advise the seller of the buyer's ethnic background.

B. disclosure may be made but the broker must tell the seller it cannot affect his decision because of the California Fair Housing Law.

C. the broker must disclose this information.

D. disclosure is against the Rumford Act.

8. A landlord and tenant mutually agree to terminate a lease. This is often referred to as:

A. release.

B. abandonment.

C. rescission.

D. surrender.

9. When a structural pest control report is a condition of a transfer by the buyer, the report must be delivered to the:

A. broker.

B. buyer.

C. escrow company.

D. lender.

10. A man was going to build a home on a 50′ by 150′ lot and wanted it to fit in relation to its surroundings. This placement would be known as:

A. orientation.

B. elevation.

C. topography.

D. plottage.

11. A kiosk is a:

A. small open sided structure.

B. roof style.

C. method of home cooling.

D. popular garden ornament.

12. In an advertisement, only the annual percentage rate is mentioned. What else must also be disclosed in the ad?:

A. No further disclosures necessary

B. Monthly payments required

C. Amount of down payment required

D. Amount of loan

13. Mr. Borg purchased a new mobile home two months ago and contacted broker Wilson to take a listing on it. With respect to this information, Wilson:

A. could take a listing anytime but could not sell the mobile home for one year.

B. could not list the mobile home unless she was also licensed by the Department of Motor Vehicles as a Vehicle Dealer.

C. could not list the mobile home if it had not been registered with the Department of Housing and Community Development.

D. could not take a listing and sell the mobile home unless it was installed on a foundation and properly registered with the county recorder.

14. Metal that is used in a roof to prevent water from seeping through is called:

A. flashing.

B. lath.

C. soffit.

D. mud sill.

15. What will have an impact on the real estate market in years to come?:

A. Land-use regulation

B. All of these

C. Consumerism

D. The real estate industry

16. A Mortgage Loan Disclosure Statement (Broker's Loan Statement) is required by law to be retained by the broker for:

A. three years.

B. two years.

C. four years.

D. five years.

17. Under most normal competitive conditions, what would be most likely to influence vacancy:

A. Availability of housing units

B. Size and number of units

C. Cost of construction funds

D. Rent schedule

18. To manage properties for the general public an individual must be:

A. anyone; nothing is required.

B. a member of a rental service that lists apartments for rent.

C. a certified property manager (CPM).

D. a licensed broker.

19. The federal Fair Housing Law was enacted for the purpose of:

A. providing fair housing opportunity for all persons throughout the United States.

B. providing fair housing for minority groups.

C. elimination of prejudice throughout the United States.

D. equal but separate housing within the states.

20. Wall studs are placed on and secured to:

A. subflooring.

B. girders.

C. joists.

D. sole plates.

21. A conduit in a new building would be installed by a(n):

A. carpenter.

B. plumber.

C. roofer.

D. electrician.

22. A property that is referred to as "turn key" is likely to be:

A. parcels on which the planning is complete and ready for building.

B. an illegal ranch subdivision.

C. a government-subsidized low-income housing project.

D. a contractor's package that is completed and ready for occupancy.

23. A plot plan:

A. shows exterior of structures to be built.

B. is used as an exact guide for construction of improvements.

C. is used as a guide to the placement of structures and related improvements on the lot.

D. shows contour of the land.

24. A real estate agent's license will be suspended when the real estate fund pays a judgment creditor of the agent and will not be reinstated until the agent:

A. pays back the recovery account with interest.

B. pays the judgment creditor all funds that were not paid from the recovery account, plus interest.

C. pays the judgment creditor and the recovery account plus interest.

D. reimburses the recovery account for one-half of all funds paid to the judgment creditor, plus interest.

25. What could create an interest in property with possessory rights but no form of title?:

A. Land contract

B. Easement

C. Mortgage

D. Sublease

26. What is prima facie evidence of deceptive or misleading advertising in the sale of real estate?:

A. A poorly drawn map that would make it difficult to find the location of the subdivision

B. The omission of the purchase price or financial terms

C. Any guaranteed yield or return on a promissory note that does not agree with the advertised interest rate

D. The misspelling of the subdivision's name

27. Under California law, it is necessary to give notice to terminate:

A. estate for years.

B. estate at sufferance.

C. None of these.

D. estate at will.

28. Considering the nature of real estate investments in that they are made over a long period of time, require a considerable amount of money, are harder to care for, and generally have a slower turnover, the return on these investments should be:

A. more than bonds and first trust deeds.

B. the same as first trust deeds.

C. the same as bonds.

D. higher than bonds but lower than first trust deeds.

29. An owner of a small investment company advertised and sold properties for a commission. In his advertisements he did not indicate that he was a licensee, and in fact, he was not. He also

made false statements in his advertising. Since he failed to disclose material facts, who would prosecute this person?:

A. Local law agencies

B. Attorney general

C. Real estate commissioner

D. District attorney

30. A salesperson, canvassing a Caucasian neighborhood that was located near a minority neighborhood, contacted prospective sellers and informed them they should sell now before their property lost value due to minorities entering into the area. Using these tactics he was successful in obtaining several listings. This action is considered to be:

A. panic peddling.

B. steering.

C. both panic peddling and blockbusting.

D. blockbusting.

31. A real estate licensee is canvassing an area in order to secure listings for an office. The agent tells the prospective sellers that minority groups are moving into the area and it would be advantageous to sell at this time. If the licensee canvasses in this manner, she:

A. would not be disciplined by the real estate commissioner since this is a legitimate selling tactic.

B. would not be disciplined by the real estate commissioner if the broker had instructed her to canvass in this manner.

C. would be disciplined by the real estate commissioner for canvassing in this manner.

D. would not be disciplined by the real estate commissioner if the prospective sellers were members of a minority group.

32. A seller sued a real estate broker for misrepresentation of a material fact that the broker had made to him during the sale transaction. In defending the suit, the broker was able to prove that the listing contract with the seller had been an oral agreement. Under these circumstances:

A. the statute of frauds is not a bar in any real estate transaction litigation.

B. this defense is not a bar because it was not the issue.

C. this is a valid defense based on the statute of frauds.

D. the broker is only liable for misrepresentation to buyers.

33. An escrow company received two termite reports in which the estimates of cost of the work differed. Under these circumstances:

A. the seller and broker should present both reports to the buyer.

B. the most expensive report should be used.

C. the least expensive report should be used.

D. the seller and broker must decide which report to use.

34. Under what circumstances may a broker fill out the seller's Real Estate Transfer Disclosure Statement?:

A. If authorized by the escrow agent

B. When instructed to do so by the seller

C. Never

D. When the seller is out of town

35. A buyer made an earnest money offer to purchase property, and the broker placed the funds in his trust account. After the seller's acceptance but prior to opening of escrow, the buyer informs the broker that he has revoked his offer and demands the return of the deposit. The broker, not wanting to be involved in the conflict with respect to the disposition of the deposit funds, deposited them with the appropriate court. This would be an example of:

A. assignment.

B. equitable disposition.

C. surrender.

D. interpleader.

36. The owner of an apartment building wished to rent to married couples only and planned to inquire on the rental application

about the marital status of prospective tenants. The inclusion of this question on the application:

A. is acceptable if the property is unencumbered.

B. is acceptable if the loan on the property was given by a private investor.

C. would be acceptable since there is no law prohibiting this.

D. is illegal.

37. In a transaction in which the sale of a property has resulted, the broker must keep a copy of the deposit receipt for three years from the date of:

A. closing of transaction.

B. acceptance of offer.

C. deposit receipt.

D. recording of grant deed.

38. A percolation test is used to determine:

A. size of the cistern needed for a given building.

B. depth of footings.

C. capacity of soil to absorb water.

D. quantity and potability of water.

39. In the purchase of a residence, the buyer conditioned the sale upon the seller's providing the buyer with a certified inspection report from a licensed pest control operator showing the property to be free of wood-destroying organisms. The seller contracted the Apex Termite Control Company who, upon inspection, reported termite damage and estimated the repairs would cost $500. The seller then had Apex repair the damage and the seller made payment directly to the contractor for the work that had been done. With respect to the report of work accomplished, which statement is TRUE?:

A. The escrow officer would ensure the buyer has received a copy of the report since escrow cannot close until this has been accomplished.

B. The Apex Termite Company would be required to deliver a copy to the buyer.

C. No report need be made to the buyer since the seller had the work done and paid for it, and the residence is now free of termites.

D. Either the broker or the seller would be responsible for delivering a copy to the buyer.

40. Johnson, who owns a ranch, gave Broker Otis an exclusive listing to sell the property. Johnson also advanced Otis $100 to advertise the sale of this ranch in a brochure published by Otis. The real estate law requires that brokers must account for such funds by placing the $100:

A. in the broker's trust account in order that the money may be returned to the seller if the property is not sold.

B. in the broker's trust account in case the seller defaults.

C. in the broker's personal office account and spend it only for advertising the property.

D. in the broker's trust account, expend from the trust account only for advertising the property, and provide a report to the seller that will itemize all expenditures made.

41. A licensee who has negotiated the sale of a mobile home would NOT be subject to discipline by the commissioner of real estate if he or she:

A. sent a check to the Department of Housing and Community Development drawn on an account that has insufficient funds.

B. failed to deliver the certificate of registration to the Department of Motor Vehicles.

C. advertised a mobile home as being new when it is not new.

D. sold a mobile home that is greater than 8 feet in width and 32 feet in length.

42. When dealing with the public, a broker may NOT:

A. receive a commission from both buyer and seller.

B. delegate any of the broker's duties to other persons.

C. do any of these.

D. remain silent as to material facts concerning the property known only to the broker.

43. In the general field of real estate advertising, you may encounter the terms classified, display, and reading notice. These

terms apply to which advertising medium?:

A. Direct mail

B. Newspapers

C. Magazines

D. TV

44. Quiet enjoyment and possession usually refer to which circumstance?:

A. Possessory interest of a tenant given by the owner of the paramount title

B. Noise abatement

C. Neighbors creating a nuisance

D. None of these

45. The federal Fair Housing Law contains provisions to prevent discrimination due to race, color, religion, sex, or national origin. A violation of this law would be considered:

A. All of these.

B. unlawful.

C. against public policy.

D. illegal.

46. If a developer requested backfill he or she would be using it for:

A. replacing excavated earth against foundation walls.

B. garden landscaping.

C. driveways.

D. roadways.

47. According to Title VIII of the Civil Rights Act of 1968 and an 1866 law enacted by Congress, a person discriminated against in the purchase of a home because of race could go into court and the court could determine all of these rulings EXCEPT:

A. money damages and punitive damage to prevent a recurrence.

B. money damages for humiliation and embarrassment.

C. revocation and suspension of broker or salesperson's license if the court concludes he has discriminated.

D. money damages and specific performance

48. The objective of the Subdivided Lands Law is to protect purchasers of property in new subdivisions from fraud, misrepresentation, or deceit in the marketing of subdivided lots, parcels, units, and undivided interests in the State of California. An owner of land wants to subdivide his property. What is the minimum number of parcels he would have to create in his new subdivision in order to fall under the Subdivided Lands Law?:

A. Four

B. Five

C. Three

D. Two

49. It is improper for a salesperson to:

A. show the property only on sunny days.

B. keep the client's secret that the property has a leaky roof.

C. submit verbal offers to the principal.

D. tell his principal that he has the nicest farm in the county.

50. A landlord sued his tenant in small claims court because his tenant did not give notice before leaving. The tenant said that he had told the landlord of plumbing problems that the landlord did not repair. Which statement is TRUE?:

A. The landlord would not get money from the court because either party could rescind the contract.

B. The failure to repair the plumbing was a default on the landlord's part.

C. The tenant would be compensated by the court.

D. The landlord would get money from the court because the tenant should have repaired the plumbing and deducted it from his rent.

51. Who is entitled to examine the records of the county recorder, without being an employee of the county recorder's office?:

A. Any of these

B. A bank employee

C. Employees of the Office of the County Recorder

D. Any interested citizen

52. A, an unlicensed person, offers B $1,000 an acre for 10 acres. B accepts the offer not knowing that A already has an offer of $2,000 an acre for the same parcel. The deal goes through as stated. B can:

A. let the deal go through but A has to give B the excess profit.

B. sue and get the land back.

C. do nothing; the transaction stands.

D. report A to the real estate commissioner.

53. If an apartment owner is converting the building to a condominium project, each tenant must receive advance notice of intention to convert. What is the notice time requirement for this phase of conversion?:

A. 90 days

B. 120 days

C. 180 days

D. 30 days

54. A broker was intentionally renting only to members of the Caucasian race. Under the Unruh Civil Rights Act, he or she would be:

A. liable to pay the aggrieved person $250 in penalties.

B. all of these.

C. subject to suspension or revocation of his real estate license.

D. held liable for actual damages incurred by the aggrieved party.

55. A minority prospect came to you and requested to see a specific house in a minority neighborhood. You can lawfully assume the prospect is:

A. trying to test you.

B. interested in a house with a particular type of architectural style.

C. interested in a house in a minority neighborhood.

D. unable to qualify for VA or FHA housing and you should refuse to show prospect any houses.

56. Percolation test refers to:

A. sewage.

B. soil analysis.

C. flood control.

D. water wells.

57. The real estate commissioner may require impounding of a purchaser's deposit in a subdivision when the blanket mortgage

does not contain an unconditional release clause. This is for the benefit of the:

A. lender.

B. mortgage holder.

C. purchaser.

D. owner of the subdivision.

58. Which situation, where an extension of credit for more than four installments is made, would be exempt from the federal Truth-in-Lending Act?:

A. Loan from a consumer finance company

B. $20,000 household loan from a credit union

C. Purchase of agricultural land

D. 20,000 personal loan from a commercial institution

59. George Greedy owns a subdivision in Roughacres and intends to mail a promotional brochure to 1,000 persons. The brochure

will offer gifts and prizes and state that winners will be property owners. The brochure does not state that a person must attend a sales seminar and tour the subdivision in order to be eligible for a gift or prize. Would this brochure be in violation of any law?:

A. No, it is not unlawful since each person who wins a prize is also a property owner

B. Yes, it is unlawful since you cannot win a prize and be a property owner

C. No, it is not unlawful since he is not required to disclose that a person must attend a sales seminar in order to become eligible for a gift or prize

D. Yes, it is unlawful since he did not disclose that a person must be present and attend a sales seminar to be eligible for a gift or prize

60. Mr. and Mrs. Jenkins own a home worth $533,000 on which there is a $519,000 loan. Mrs. Jenkins alone filed a Declaration of Homestead. If there were a judgment lien filed against them:

A. the exemption would be for $10,000 since Mrs. Jenkins filed it without her husband's signature.

B. the home could be sold to satisfy the judgment.

C. the homestead is invalid since only Mrs. Jenkins filed it.

D. the home would not be sold because there is insufficient equity over and above the exemption and the secured lien to satisfy the creditor.

61. The receipt for a subdivision final report must be kept on file by the subdivider or his agent for:

A. four years.

B. one year.

C. three years.

D. two years.

62. To an investor in real property, cash flow means:

A. gross income less an allowance for vacancies.

B. monies left after deducting operating expenses, interest, and principal payments from gross income.

C. net income used for capitalization purposes.

D. income left after deducting taxes from net income.

63. With regards to blind advertising, it is:

A. not permitted. The advertisement must include the name and address of the broker and the address of the property being offered for sale.

B. not permitted. In an advertisement, a licensee must reveal licensed status.

C. permitted when a broker deems that it will increase exposure of the property to potential buyers.

D. permitted with the owner's permission.

64. A broker refers all of his clients and customers to West Hills Title Insurance Company. The title company gives the broker a $10 fee for each referral. This practice is:

A. permissible.

B. acceptable if both buyer and seller are aware that broker is receiving a fee and agree.

C. forbidden.

D. acceptable if the seller is paying for the policy and agrees.

65. A lessee may be justified in abandoning a rented dwelling if there is constructive eviction by the landlord. All of these would be constructive eviction EXCEPT:

A. failure of the landlord to repair excessive wear and tear to property caused by the tenant.

B. unwarranted delays by the landlord after notice to make repairs of damages that have made the property unfit for occupancy.

C. condemnation of the entire property in eminent domain proceedings.

D. an eviction notice is tendered by the landlord.

66. When is the best time for a seller to obtain a termite report?:

A. Before putting the house on the market

B. After the lender's appraisal

C. Before opening escrow

D. Before determining the sales price

67. To find the size of footings, the size and dimensions of concrete piers, construction measurements, and the details of the subfloor area, a real estate broker would look at the:

A. plot plan.

B. elevation plan.

C. foundation plan.

D. floor plan.

68. A tenant who transfers an entire leasehold interest does so by:

A. alienation.

B. sublease.

C. transfer.

D. assignment.

69. A broker and a buyer went to Western Hills Title Company. The buyer made out a $1,000 deposit check to Western Hills Title Company. What record, if any, does the broker have to keep of this deposit?:

A. Make a record in his trust account but not his general ledger

B. Make an entry in his journal of the entry and exit

C. Not make any record of this in his trust account

D. Keep separate records for each beneficiary

70. A Fictitious Business Name Statement must be renewed and filed with the county clerk in the county where the business is located and operated:

A. every five years, by December 31 of said year.

B. one year from original filing.

C. never, unless abandoned.

D. by June 30.

71. In a real estate office, worker's compensation should be carried on:

A. secretaries.

B. sales agents.

C. all of these.

D. bookkeepers.

72. When a tenant is delinquent in his rent under a written lease, the landlord may evict the tenant by:

A. bringing a court action.

B. giving a written three-day notice.

C. doing all of these.

D. filing a notice of default.

73. The purpose of a trust account is to:

A. do none of these.

B. provide easy disbursement of funds.

C. keep the broker's funds and trust funds separated.

D. provide for the commingling of the trust funds and the broker's funds.

74. A real estate licensee went into a neighborhood and attempted to solicit a listing by stating to the property owner that "non-whites" would be moving into the neighborhood and that property values would thereby go down. Such conduct would be considered all of these things EXCEPT:

A. legal but unethical.

B. panic selling.

C. illegal conduct.

D. blockbusting.

75. The remedy of unlawful detainer is most commonly used by offended:

A. holders of notes in default.

B. lessors.

C. grantors.

D. trustors.

76. A salesperson unlawfully takes kickbacks in connection with licensed real estate activities. The employing broker finds out about the kickbacks, fires the salesperson, and warns others in the office not to do this. Under these circumstances:

A. only the broker could be disciplined by the real estate commissioner.

B. only the salesperson could be disciplined by the real estate commissioner.

C. both the salesperson and the broker could be disciplined by the real estate commissioner.

D. a court could revoke the salesperson's real estate license.

77. Which transaction requires the Real Estate Transfer Disclosure Statement?:

A. All of these

B. Sales transaction of one to four residential units

C. Foreclosure of one to four residential units

D. Transfer of one to four residential units in bankruptcy

78. In California, estates at will are created by:

A. a properly written and executed document.

B. either express agreement or operation of law.

C. express agreement.

D. operation of law.

79. Mr. Able obtained a loan to build an apartment building. (1) He planned to charge a higher deposit to single males, and (2) his only source of advertising was to ask his tenants, predominantly white, to refer their friends as prospective tenants. With reference to fair housing laws, Mr. Able's actions would be correct in which choice(s)?:

A. 2 only

B. 1 only

C. Neither 1 nor 2

D. Both 1 and 2

80. The degree of angle of a roof, or slope, is termed:

A. pitch

B. hip

C. shingle

D. span

81. When a real estate broker submitted an offer at the full listed price to the seller, the seller inquired as to the ethnic background of the buyer. Under these circumstances the broker should:

A. answer the question but caution the seller that the ethnic background of the buyer cannot be used as a basis for discrimination

B. contact the buyer's broker and obtain permission to disclose this information.

C. refuse to answer the question since it violates the Rumford Act.

D. answer the seller's question since this is a material fact.

82. An investor purchases an investment property. An appraisal of the property showed a 12% return. The broker gives the buyer a financial report on the property but fails to take into consideration vacancies and management fees. The broker is guilty of:

A. fraud

B. false promises.

C. misrepresentation.

D. caveat emptor.

83. A licensee who is guilty of "conversion" is one who is:

A. commingling.

B. misappropriating the funds of clients.

C. misrepresenting.

D. failing to make full disclosure.

84. What is the minimum amount of time that a broker must keep signed copies of listings, deposit receipts, et cetera?:

A. Two years

B. Four years

C. Three years

D. One year

85. According to the Government Code, a person discriminated against when buying a home may:

A. be awarded punitive and actual damages.

B. do any of these.

C. purchase the home if it is still available.

D. purchase a similar home from the owner if one is available.

86. Mr. Able borrowed money to build an apartment building and wanted to place advertising in the newspaper that would solicit the following: (1) Married Couples Only (2) No Minorities. He was correct in his advertising in:

A. 1 only

B. 2 only

C. Both 1 and 2

D. Neither 1 nor 2

87. In the negotiation for the purchase of a property, the broker failed to mention the installation of a septic tank. If the buyer finds that this material fact makes the property unacceptable, the buyer should:

A. demand a percolation test and soil analysis.

B. report this to the real estate commissioner.

C. report this to the Health Department.

D. ask for a rescission of the contract.

88. In comparing real estate investments to other types of investments, the turnover is:

A. slightly slower than an average of other investments.

B. faster than stocks.

C. faster than other commodities.

D. slower than other investments.

89. What would create an interest in property with possessory rights but no form of title?:

A. Land contract

B. Easement

C. Mortgage

D. Sublease

90. A written statement that is sworn to or affirmed in the presence of a notary is a(n):

A. ratification.

B. allocation.

C. affidavit.

D. estoppel.

91. The required written agreement of broker-salesperson is a regulation of:

A. the Real Estate Board.

B. no one.

C. the real estate commissioner.

D. NAR.

92. Which act or statement might be a cause for disciplining a licensee?:

A. A statement to the buyer that this is the lowest offer a seller will accept

B. A statement made to the seller that this is the highest offer the buyer will make

C. Misrepresentation that did not result in a loss to the principal

D. A statement to a buyer, "This is the best house on the street."

93. An agent is showing the home of an owner who has AIDS. Concerning the fact that the owner has AIDS, the agent should:

A. disclose the fact only if someone inquires.

B. disclose the fact whether asked or not.

C. never disclose the fact without consent of the owner.

D. disclose the fact if the buyer expects to obtain an FHA loan.

94. The year in which the U.S. Supreme Court barred racial discrimination, both public and private, in the sale or rental of real property was:

A. 1972

B. 1984

C. 1968

D. 1960

95. A seller's transfer disclosure statement provides that a broker:

A. inspect condominium common areas.

B. pay for the pest control inspections.

C. visually inspect the property and advise of any pertinent information.

D. physically inspect inaccessible areas and report findings to the buyer.

96. A contract between two or more persons where one grants the other the right to sell, offer to sell, or exchange goods or services under a marketing plan designed by the grantor is a:

A. franchise agreement.

B. financing agreement.

C. securities and exchange agreement.

D. business opportunity.

97. he housing and construction industry in California is governed by which three laws?:

A. State Housing Act, local building codes, Real Estate Law

B. Contractor's license law, local building codes, State Housing Act

C. Health and Safety Code, State Housing Act, Real Estate Law

D. Housing and Community Development Act, Real Estate Law, Health and Safety Code

98. The balancing of a broker's trust account record to the bank balance is known as:

A. closing out the books.

B. reconciliation.

C. posting.

D. trial balance.

99. A broker told a customer that if he purchased a lot "it was a gold mine," and that it could be sold for four times what he paid for it by the end of two years. The customer bought the lot but did not attempt to sell it for four years. At that time, he discovered that the

broker who had sold him the lot was now selling similar lots for less than the original price of his lot. What course of action could be taken against the broker?:

A. Nothing could be done about such oral statements, as the real estate market is speculative and always involves some risks for the purchaser.

B. Civil and disciplinary action could be taken against the broker.

C. Nothing could be done, as the statute of limitations has expired.

D. The broker was only "puffing" a common practice in selling real estate, and could not be held liable to the buyer; however, the broker could be disciplined by the Bureau of Real Estate.

Diagnostic Post-Test

1. Mr. Ferguson purchased a property for $125,000 with 12% cash down. He financed the balance with equal monthly payments of $1,048, which included 11% interest, and the loan would be fully amortized in 30 years. Mr. Ferguson sold the property for $139,750 before making any payments on the loan. What was his equity at the time of sale?:

A. $15,000

B. None of these

C. $29,750

D. $24,750

2. Which statement would be TRUE with regard to bearing walls of a building?:

A. They can be built at any angle to doors or windows.

B. They are usually built sturdier than other walls.

C. All of these

D. They are seldom moved during remodeling.

3. Mr. John Lee owned a ranch and gave Ms. Joan Kimball an option to purchase it at a figure of $92,500 down and the balance payable in annual installments of $14,000 plus interest at 7% per annum. The term of the option was 60 days and Ms. Kimball gave Mr. Lee a personal check for $10. This constitutes a(n):

A. contract to keep an offer open.

B. offer to execute a contract in the future.

C. lien on Mr. Lee's ranch.

D. fiduciary agreement.

4. In an assignment of a lease, the assignee becomes the:

A. sublessee.

B. vendee.

C. vendor.

D. tenant.

5. In the negotiation for the purchase of a property, the broker failed to mention the installation of a septic tank. If the buyer finds that this material fact makes the property unacceptable, the buyer should:

A. report this to the Health Department.

B. report this to the real estate commissioner.

C. ask for a rescission of the contract.

D. demand a percolation test and soil analysis.

6. In the capitalization of net income, the most difficult item for an appraiser to establish is the:

A. selection of a capitalization rate.

B. determination of gross income.

C. determination of net income.

D. effective gross income.

7. A court order affecting all the property held in the county by an owner is called a(n):

A. lis pendens.

B. attachment.

C. general lien.

D. specific lien.

8. The Real Estate Settlement Procedures Act lists services a lender may charge for as settlement-connected costs. Accordingly, as appropriate, the buyer and seller may be charged for all of these EXCEPT:

A. credit reports.

B. uniform disclosure/settlement statements.

C. loan documents.

D. appraisals.

9. Brewer wants to purchase a home, but is denied financing because of an agency's credit report. Brewer has repeatedly tried to get a copy of this report, but the agency refuses to give it to him. Brewer can bring action under the California Civil Code to:

A. recover punitive damages up to $5,000.

B. do any or all of these.

C. recover attorney fees and equitable damages.

D. recover enough money to compensate him for damage to his credit.

10. Which agreement would NOT be required to be in writing under the statute of frauds?:

A. An agreement to rent for more than one year

B. A partnership agreement to buy or sell property

C. An agreement that would not be completed within one year

D. An agreement between a principal and agent to buy or sell real property

11. A broker and a buyer went to Western Hills Title Company. The buyer made out a $1,000 deposit check to Western Hills Title Company. What record, if any, does the broker have to keep of this deposit?:

A. Keep separate records for each beneficiary

B. Make a record in his trust account but not his general ledger

C. Not make any record of this in his trust account

D. Make an entry in his journal of the entry and exit

12. A contract providing for the payment of commission to the broker regardless of who sells the property, including the owner, is a(n):

A. open listing.

B. net listing.

C. exclusive-authorization-and-right-to-sell listing.

D. exclusive-agency listing.

13. In a transaction in which the sale of a property has resulted, the broker must keep a copy of the deposit receipt for three years from the date of:

A. deposit receipt.

B. acceptance of offer.

C. recording of grant deed.

D. closing of transaction.

14. A broker who negotiates a real estate loan to which the Brokers Loan Law is applicable must deliver the mortgage loan disclosure statement to the borrower:

A. at signing.

B. within 24 hours.

C. after close of escrow.

D. three days previous to signing.

15. The Subdivision Map Act provides primary responsibility for the physical aspects of the subdivision to the:

A. State Land Commissioner.

B. governing bodies of cities and counties.

C. State Department of Public Health.

D. real estate commissioner.

16. When a tenant is delinquent in his rent under a written lease, the landlord may evict the tenant by:

A. giving a written three-day notice.

B. doing all of these.

C. bringing a court action.

D. filing a notice of default.

17. Under what circumstances may a broker fill out the seller's Real Estate Transfer Disclosure Statement?:

A. When instructed to do so by the seller

B. If authorized by the escrow agent

C. Never

D. When the seller is out of town

18. Under most normal competitive conditions, what would be most likely to influence vacancy factors in apartment buildings?:

A. Cost of construction funds

B. Availability of housing units

C. Rent schedule

D. Size and number of units

19. For purposes of federal income tax, the taxpayer would be able to deduct which expenses for a personal residence?:

A. Mortgage payment, premium payments on a fire insurance policy, real estate taxes

B. Payment of broker's commission, late charges, mortgage interest

C. Mortgage payment, capital improvements, real estate tax

D. Mortgage interest payments, prepayment penalties, real estate taxes

20. A landlord sued his tenant in small claims court because his tenant did not give notice before leaving. The tenant said that he had told the landlord of plumbing problems that the landlord did not repair. Which statement is TRUE?:

A. The landlord would not get money from the court because either party could rescind the contract.

B. The landlord would get money from the court because the tenant should have repaired the plumbing and deducted it from his rent.

C. The tenant would be compensated by the court.

D. The failure to repair the plumbing was a default on the landlord's part.

21. According to the Government Code, a person discriminated against when buying a home may:

A. purchase the home if it is still available.

B. purchase a similar home from the owner if one is available.

C. be awarded punitive and actual damages.

D. do any of these.

22. Buyer purchased a property from Seller on August 15, 2006. Buyer was to take possession as of September 30, 2006, with all prorations to be as of the same date. On November 1, 2005, Seller had paid the taxes for the fiscal year of 2005-2006. The escrow closing statement would show:

A. Buyer pays Seller for three months' taxes.

B. Buyer pays Seller for nine months' taxes.

C. Seller pays Buyer for nine months' taxes.

D. Seller pays Buyer for three months' taxes.

23. Private restrictions placed by a landowner may be in the form of covenants or conditions restricting or limiting the use of the land. Private restrictions may be created by:

A. deed or written ordinance.

B. written agreement or zoning ordinance.

C. deed or written agreement.

D. deed only.

24. In determining the value of income-producing property, an appraiser may use which appraisal technique?:

A. Land residual technique

B. All of these

C. Building residual technique

D. Property residual technique

25. A broker had several agents working in his office. Two of his agents brought in offers on the same listing, one in the morning and one in the afternoon. The second agent's offer was $1,000 less than the first agent's. The broker held the second offer until the first offer was accepted or rejected. This was:

A. forbidden in these circumstances.

B. permissible because of the relationship between the broker and his sales agents.

C. permissible because the second offer was lower.

D. forbidden because of the fiduciary relationship to both buyers.

26. For federal income tax purposes, a taxpayer could adjust the cost basis of the personal residence on income tax records for which of the following items?:

A. Interest on a loan

B. Depreciation

C. Fire insurance premiums paid

D. The addition of a concrete patio

27. A man listed a property for $760,000 and was willing to take back a trust deed and note for $20,000. FHA appraised the property for $700,000 and the broker secured a buyer who wanted to secure an FHA loan for $700,000, pay $40,000 cash and execute a second trust deed and note in favor of the seller. The broker should counsel the seller to:

A. write up the offer subject to FHA loan and second trust deed.

B. write up the offer subject to a $70,000 FHA loan and a personal loan for $6,000.

C. write up the offer "subject to better financing."

D. refuse to accept the offer.

28. The factor that exerts the greatest influence on mortgage interest rates is the:

A. value of the property.

B. condition of the money market.

C. offsetting influence of conservative vs. nonconservative lenders.

D. term of the loan.

29. Eminent domain and police power are governmental rights established by law. Which action would NOT be considered police power?:

A. Subdivision development regulations

B. Building regulations

C. Condemnation

D. Zoning laws

30. An order by a court directing an officer to sell real property to satisfy a judgment is a(n):

A. deficiency judgment.

B. abstract of judgment.

C. writ of execution.

D. injunction.

31. In California a buyer of real property is most likely to seek title protection through:

A. recording of title.

B. abstract of title.

C. certificate of title.

D. policy of title insurance.

32. Under which loan would the borrower be required to apply for term life insurance?:

A. Cal-Vet

B. FHA

C. VA

D. Savings and loan company

33. Two parties entered into a contract, but one of the parties had previously been adjudged incompetent. The other party to the contract was not aware of this fact. What is the status of this contract?:

A. Voidable

B. Illegal

C. Void

D. Enforceable if the seller could prove there was no coercion involved

34. The owner of an apartment building wished to rent to married couples only and planned to inquire on the rental application about the marital status of prospective tenants. The inclusion of this question on the application:

A. is acceptable if the property in unencumbered.

B. is acceptable if the loan on the property was given by a private investor.

C. would be acceptable since there is no law prohibiting this.

D. is illegal.

35. A broker refers all of his clients and customers to West Hills Title Insurance Company. The title company gives the broker a $10 fee for each referral. This practice is:

A. acceptable if the seller is paying for the policy and agrees.

B. forbidden.

C. acceptable if both buyer and seller are aware that broker is receiving a fee and agree.

D. permissible.

36. An investment property is appraised at $400,000 based on a net income of $36,000 and a 9% capitalization rate. The value of the property based on a 12% capitalization rate would be:

A. $423,000.00

B. $250,000.00

C. $300,000.00

D. $450,000.00

37. Which situation, where an extension of credit for more than four installments is made, would be exempt from the federal Truth-in-Lending Act?:

A. $20,000 household loan from a credit union

B. $20,000 personal loan from a commercial institution

C. Loan from a consumer finance company

D. Purchase of agricultural land

38. A recommendation for the best appraisal method to be used to estimate the value of a vacant parcel of land would be:

A. the income approach.

B. an average of the first two methods.

C. the cost approach.

D. the sales comparison approach.

39. Under authority of a signed exclusive-agency listing, Broker Davis diligently advertised for sale the $165,000 home of owner Johnson. Prior to the expiration date of the listing, the home was sold by Johnson to a friend. Davis was refused payment of any commission whatsoever. Davis is legally entitled to receive from Johnson:

A. all expenses incurred in advertising the home.

B. no commission.

C. one-half commission.

D. full commission.

40. Some contracts are printed and some contracts are handwritten. Most contracts are a combination of printed and handwritten material. If litigation arose over this kind of contract, which statement would be TRUE?:

A. The handwritten part takes precedence.

B. Each is given equal consideration and evaluated on its own merits.

C. Written material copied from printed material takes precedence over other written portions.

D. The printed part takes precedence.

41. An owner has a 100-unit apartment house. Which item would be deductible from the gross income in determining net operating income?:

A. Depreciation

B. Mortgage payments of principal and interest

C. Income tax

D. Wages for part time gardeners and maintenance personnel

42. Johnson, who owns a ranch, gave Broker Otis an exclusive listing to sell the property. Johnson also advanced Otis $100 to advertise the sale of this ranch in a brochure published by Otis. The real estate law requires that brokers must account for such funds by placing the $100:

A. in the broker's trust account, expend from the trust account only for advertising the property, and provide a report to the seller that will itemize all expenditures made.

B. in the broker's personal office account and spend it only for advertising the property.

C. in the broker's trust account in order that the money may be returned to the seller if the property is not sold.

D. in the broker's trust account in case the seller defaults.

43. Which statement is NOT true regarding an option?:

A. A separate sales agreement must be binding.

B. An option on a business opportunity can also include the site on which the business operates.

C. If the optionee does not exercise the option, he forfeits the thing of value given to the optionor as consideration.

D. An optionee must give valuable consideration.

44. Able died leaving no heirs but had willed Blackacre Ranch to Baker. Talbot was in possession of Blackacre under an existing lease that had two years to run. During the probate of Able's estate, the court found the will to be invalid. Under these circumstances, title to Blackacre would:

A. pass by statutory provisions by a court of proper jurisdiction.

B. pass through an action by one or more of the heirs for declaratory relief.

C. pass to Baker since it was Able's intent.

D. pass to Talbot since he is in possession.

45. A person who has been judicially declared incompetent and who was bequeathed three properties by his brother:

A. can accept title to real property given to him in a will.

B. cannot receive title to real property because of his incompetency.

C. cannot receive title to real property but can receive title to personal property.

D. can accept title only if it is placed with a trustee.

46. Escrow companies normally base their prorations on a year of:

A. 360 days.

B. 365 days.

C. 355 days.

D. 350 days.

47. A quitclaim deed releases present claim, rights, and title of the:

A. servient tenement.

B. property.

C. grantor.

D. grantee.

48. When the Federal Reserve Board raises the discount rate to their borrowers, it has what effect on the money market?:

A. Makes money more available

B. Makes money less available

C. Makes more marginal loans available

D. Has no effect

49. A real estate broker, as an agent, must follow the lawful instructions of his principal in a real estate transaction. Failing to do so, the broker is:

A. any of these.

B. liable for damages to the principal as a result.

C. subject to loss of license in a court of jurisdiction.

D. subject to a fine or imprisonment according to the law.

50. According to the Federal Reserve System Regulation Z, which would be the proper usage in an advertisement relating to housing?:

A. Assume a 7.5% annual percentage rate mortgage

B. Assume a 7.5% mortgage

C. Take over a 7.5% mortgage

D. Any of these

51. The balancing of a broker's trust account record to the bank balance is known as:

A. reconciliation.

B. trial balance.

C. closing out the books.

D. posting.

52. Jones signed a listing agreement with Broker Brown stating that he would pay 6% commission to Brown upon the sale of his house. Broker Brown promised to use diligence in attempting to find a buyer. This contract is:

A. unilateral executory.

B. bilateral executory.

C. unilateral executed.

D. bilateral executed.

53. A real estate broker could be held liable to a buyer if he or she:

A. acts in excess of the authority given by the seller under a listing agreement.

B. unknowingly makes a misrepresentation to the buyer based on false information given by the seller.

C. executes an agreement with the buyer on behalf of the seller under a power of attorney granted by seller.

D. retains the buyer's check at the seller's request after an offer has been accepted by the seller and acceptance has been communicated to the buyer.

54. A kiosk is a:

A. roof style.

B. popular garden ornament.

C. method of home cooling.

D. small open-sided structure.

55. Andrew purchased Bliss's ranch on May 1, 2006. The real property taxes for 2006-2007 are:

A. a personal obligation of Bliss.

B. added to the purchase price for Andrew.

C. a personal obligation of Andrew.

D. a lien on the ranch.

56. A tenant would be justified in abandoning a property in all of these situations EXCEPT when:

A. dilapidated conditions are created by the tenant.

B. excessive or unwarranted changes or alterations in the property are made by the landlord.

C. the landlord threatens expulsion.

D. property is taken by eminent domain or condemnation.

57. "Duress" is most closely associated with matters of:

A. commissions.

B. adverse possession.

C. easements.

D. contracts.

58. The trustee will deliver to the trustor a:

A. trustee's deed.

B. reconveyance deed.

C. grant deed.

D. quitclaim deed.

59. A broker used the following phraseology in his listing contract: "In consideration of the execution of the foregoing, the

undersigned broker agrees to use diligence in procuring a purchaser." This is best described as:

A. a necessary item in the creation of a unilateral contract.

B. an agreement to advertise the property.

C. a necessary element in the creation of a bilateral contract.

D. uperfluous in such contracts.

60. The expansion and contraction of available space is due to market fluctuations of:

A. permanence of residence.

B. financing terms.

C. prices and rents.

D. elasticity of demand.

61. What decides the amount of commission received from the sale of property of a deceased person?:

A. Administrator or executor of the estate

B. Court order

C. Real estate board

D. Real estate commissioner

62. A dual agency in the negotiation of a sale of real property is lawful if:

A. the escrow agent agrees.

B. the broker of the seller agrees.

C. both buyer and seller agree.

D. both brokers agree.

63. An easement is a(n):

A. equitable restriction on real property.

B. specific lien on real property.

C. general lien on real property.

D. encumbrance on real property.

64. The principle of substitution applies to:

A. structural design.

B. use.

C. income.

D. all of these.

65. In order for a contract for the transfer of real property to be binding on the buyer and seller, it must:

A. be acknowledged.

B. have an offer, acceptance, and communication to the offeror.

C. be recorded.

D. satisfy all of these.

66. A listing agent gave part of his commission to the buyer. He:

A. is guilty of committing a civilly wrong act.

B. must disclose this to the seller.

C. is guilty of criminal action.

D. may be disciplined by the real estate commissioner.

67. An escrow closing statement that refers to "recurring costs" could be describing:

A. title insurance.

B. impound accounts for taxes and insurance.

C. deed transfer taxes.

D. escrow charges.

68. A home is being sold for $800,000 and has been appraised for $780,500. If the lender is willing to lend the maximum permitted by the Veterans Administration, the GI buyer is required to put up what amount in cash?:

A. $20,000

B. $19,500

C. $20,500

D. $25,000

69. The broker who most likely has earned a commission is the one who has:

A. communicated the buyer's offer to the seller.

B. secured acceptance of an offer.

C. communicated acceptance by the seller to the buyer.

D. secured a substantial deposit with an offer.

70. Two pest control inspection companies submitted pest control reports on the same property during escrow. The escrow officer should:

A. return the reports to the broker and have him get written instructions from the seller and buyer as to which report to use.

B. return the reports to the broker and request written instructions from the seller as to which report to use.

C. request one of the pest control companies to withdraw its report.

D. use the report that requires the least work to be done.

71. An owner of property located near a local airport was constantly bothered by the noise of low-flying aircraft. If the owner were to bring suit to force the city to condemn his or her property because of the noise, this would be an example of:

A. equitable severance.

B. inverse condemnation.

C. eminent domain.

D. condemnation.

72. Local zoning ordinances determining use of land and building may also determine:

A. location of buildings.

B. all of these.

C. setbacks.

D. size.

73. Which act or statement might be a cause for disciplining a licensee?:

A. A statement made to the seller that this is the highest offer the buyer will make

B. epresentation that did not result in a loss to the principal

C. A statement to a buyer, "This is the best house on the street"

D. A statement to the buyer that this is the lowest offer a seller will accept

74. All of these are essential elements of a simple contract EXCEPT:

A. legal object.

B. competent parties.

C. proper writing.

D. mutual assent.

75. A lease for a period of years that is held by the lessor is an example of:

A. freehold estate.

B. none of these.

C. personal property.

D. real property.

76. Brown hired a broker to find a warehouse for lease. Green hired the same broker to find a lessee for a warehouse. Each agreed to pay a commission. The broker negotiated a lease between Brown and Green. Brown knew the broker was representing Green, but Green did not know the broker was representing Brown. Which statement is correct?:

A. Brown is liable for the commission.

B. Green is liable for the commission.

C. Both Brown and Green are liable for commissions.

D. Neither is liable for a commission.

77. The year in which the U.S. Supreme Court barred racial discrimination, both public and private, in the sale or rental of real property was:

A. 1968

B. 1984

C. 1960

D. 1972

78. A deed to an unlocated easement is:

A. void.

B. invalid.

C. valid.

D. void for lack of certainty.

79. Which term relates to time, title, interest, and possession?:

A. Tenancy in common

B. Survivorship

C. Severalty

D. Mortgage

80. A fire insurance policy can be canceled by the insurance company:

A. only after the company has given written notice and the insured has signed an acceptance.

B. without notice if the buyer has had excessive losses.

C. if the company gives the insured notice within a reasonable time prior to cancellation.

D. at any time without notice.

81. In California, estates at will are created by:

A. either express agreement or operation of law.

B. operation of law.

C. express agreement.

D. a properly written and executed document.

82. Mr. Sharp lists his house with Agent Long, who finds a buyer and induces Mr. Sharp to accept the buyer's offer by making a verbal

promise to find Sharp another suitable residence before escrow closes on the sale. Escrow closed, and Long was unable to perform. It is most likely that:

A. Sharp will complain and charge Long with criminal negligence.

B. Sharp will withdraw his acceptance of the buyer's offer and not be liable.

C. Sharp will initiate civil court action.

D. since Long only made a verbal promise, he has no liability to perform.

83. A broker advertises in the paper that if a seller lists his property with the broker, the seller would be credited by the broker with $50 toward the commission to be paid. Also included in the advertisement is the statement that if a prospective buyer brings a copy of the advertisement to the broker, the buyer would be credited in the amount of $50 in escrow that would be applied to the purchase price of the property. Would the broker be subject to the discipline of the real estate commissioner with regard to this advertisement?:

A. The broker can credit the buyer but not the seller.

B. The broker can credit the seller but cannot credit the buyer.

C. The broker would be disciplined because his promises to sellers and buyers in the advertisement would constitute payments to unlicensed persons.

D. The broker may pay the $50 to the seller and to the buyer.

84. Mr. Jones made application to Federal Pacific Bank for a loan November 1. The loan was approved on November 5. Mr. Jones waived his right to a Uniform Settlement Statement under RESPA in writing and escrow closed on November 15. The lender must supply the Uniform Settlement Statement:

A. three days after the settlement date.

B. as soon as practical after the close of escrow.

C. on November 15, the settlement date.

D. to FHA only.

85. The clause that provides that the broker is eligible for a commission after the termination of an authorization to sell is the:

A. protection clause.

B. anti-theft clause.

C. probate clause.

D. liquidated damages clause.

86. An estate that will continue for a period of six months only, fixed in advance by contractual agreement of the parties, is an:

A. estate at will.

B. estate from period to period.

C. estate for years.

D. estate at sufferance.

87. To find the details of the subfloor, such as size and dimensions of concrete piers, footings, and other detailed construction measurements, a real estate licensee would examine the:

A. floor plan.

B. elevation plan.

C. foundation plan.

D. plot plan.

88. Joint tenancy and community property interests have what in common?:

A. Both involve the husband and wife

B. Survivorship

C. Same conveyance

D. Equal interests

89. An apartment house under construction has many prospective renters. The city now wants to widen the street. This change results in a 10% loss of renters. This loss would be an example of:

A. economic obsolescence.

B. physical deterioration.

C. functional obsolescence.

D. physical obsolescence.

90. A seller sued a real estate broker for misrepresentation of a material fact that the broker had made to him during the sale transaction. In defending the suit, the broker was able to prove that the listing contract with the seller had been an oral agreement. Under these circumstances:

A. the broker is only liable for misrepresentation to buyers.

B. this defense is not a bar because it was not the issue

C. this is a valid defense based on the statute of frauds.

D. the statute of frauds is not a bar in any real estate transaction litigation.

91. When dealing with the public, a broker must:

A. disclose all material facts known only to himself or herself.

B. delegate responsibilities to another person.

C. not refuse to take a listing.

D. do all of these.

92. In a sales transaction, an agent is paid by both parties but he did not reveal his dual agency. What could happen in these circumstances?:

A. The sale could be rescinded.

B. The agent would be subject to discipline by the real estate commissioner.

C. All of these

D. The agent may not be able to enforce payment of his commission.

93. George Nordling subdivided a large section of a hillside location. In the deeds to individual lots, he placed a restriction requiring a 15,000-square-feet minimum lot size. Subsequently, the local authorities succeeded in reducing the requirements of the zoning laws to a minimum requirement of a 10,000-square-feet minimum lot size. Which requirement for minimum lot size takes precedence?:

A. Zoning laws take precedence because they are based on police power.

B. The subdivider would be compelled to amend his restriction to conform to zoning laws.

C. Precedence would require arbitration by local planning commission.

D. The original deed restriction takes precedence.

94. Which is NOT essential in the creation of an agency?:

A. Fiduciary relationship

B. Capacity of parties

C. Payment of consideration

D. Lawful object

95. When dealing with the public, a broker may NOT:

A. remain silent as to material facts concerning the property known only to the broker.

B. do any of these.

C. delegate any of the broker's duties to other persons.

D. receive a commission from both buyer and seller.

96. In the sales comparison approach, the adjusted sales price of the comparable property is:

A. the only indication of the market value.

B. a direct relationship to market value.

C. an estimate of value of the comparable property with similar prominent characteristics to the subject property.

D. indicated by agreement between the buyer and the seller.

97. In real estate financing, lenders will sometimes refer to "nominal rate" when granting a loan. This means:

A. that the rate of interest in the final granting of the loan will be greater than the commitment.

B. points will be required, as the rate required by the lender would exceed the legal rate of interest.

C. the maximum rate of interest allowed by law is obtainable on financing a property.

D. the rate of interest specified in the promissory note.

98. A real estate agent's license will be suspended when the real estate fund pays a judgment creditor of the agent and will not be reinstated until the agent:

A. pays the judgment creditor and the recovery account plus interest.

B. pays the judgment creditor all funds that were not paid from the recovery account, plus interest.

C. reimburses the recovery account for one-half of all funds paid to the judgment creditor, plus interest.

D. pays back the recovery account with interest.

99. Impounds are used as a safety measure to insure payment of certain recurring bills. A lender might require a borrower to make deposits into an impound account with each monthly payment. Which payment would least likely be part of the impound deposit?:

A. Mortgage interest

B. Homeowners' association fees

C. Assessment bond payments

D. Property taxes

100. Mr. Able borrowed money to build an apartment building and wanted to place advertising in the newspaper that would solicit the following: (1) Married Couples Only (2) No Minorities. He was correct in his advertising in:

A. 1 only.

B. 2 only.

C. both 1 and 2.

D. neither 1 nor 2.

101. In establishing an estimate of value by appraisal, it is very important to differentiate between the purpose of the appraisal and the:

A. appraisal process.

B. function for which the appraisal is being made.

C. amenities to the owner.

D. principles of appraisal.

102. The customary procedure used to enforce private restrictions on real property is:

A. judgment.

B. injunction.

C. desist and refrain order.

D. indictment.

103. What is prima facie evidence of deceptive or misleading advertising in the sale of real estate?:

A. The misspelling of the subdivision's name

B. Any guaranteed yield or return on a promissory note that does not agree with the advertised interest rate

C. A poorly drawn map that would make it difficult to find the location of the subdivision

D. The omission of the purchase price or financial terms

104. What is a benefit of extended coverage title insurance over standard coverage?:

A. Protection against lack of capacity

B. Protection against capital improvements being on your neighbor's property

C. Protection against recorded instruments

D. Protection against forged deeds

105. The person who would benefit the most from appreciation of a mortgaged property would be:

A. the beneficiary.

B. the trustee.

C. none of these.

D. the trustor.

106. What is the indicated value of a property that produces a gross monthly income of $2,400 and an appropriate (annual) multiplier of 10.72?:

A. $225,000

B. $308,000

C. $108,000

D. $25,000

107. The written employment agreement, required by the Commissioner's Regulations, between an employing broker and salesperson is an example of:

A. bilateral executory contract.

B. ratification.

C. unilateral contract.

D. unilateral contract.

108. The term associated with urban renewal programs, when existing structures are demolished and new ones built, is:

A. renovation.

B. relocation.

C. reclamation.

D. redevelopment.

109. At 10:00 AM a broker receives an offer that meets full price and all terms of the listing. At noon, before he or she could submit the first offer, he or she receives a second offer on the same property for less money but all cash. The broker decides to submit the first offer and, if it is rejected, to submit the second offer. Which statement is TRUE?:

A. This is proper since the second offer was for less than the listed price.

B. This is improper since the broker owes a fiduciary relationship to both buyers.

C. This is proper since one should submit offers in the order received.

D. The broker could be disciplined by the real estate commissioner.

110. When a structural pest control report is a condition of a transfer by the buyer, the report must be delivered to the:

A. buyer.

B. broker.

C. escrow company.

D. lender.

111. To an investor in real property, cash flow means:

A. gross income less an allowance for vacancies.

B. monies left after deducting operating expenses, interest, and principal payments from gross income.

C. net income used for capitalization purposes.

D. income left after deducting taxes from net income.

112. An appraiser is employed to advise an apartment owner of the economic feasibility of construction of a swimming pool. The appraiser would be most concerned with which valuation principle?:

A. Integration

B. Regression

C. Substitution

D. Contribution

113. Which would be covered by the Real Estate Settlement Procedures Act (RESPA)?:

A. 40 acres of land for development

B. An addition to a duplex

C. An initial lien on a one- to four-family dwelling

D. A commercial building project

114. Metal that is used in a roof to prevent water from seeping through is called:

A. lath.

B. mud sill.

C. flashing.

D. soffit.

115. If a person paid $220 interest on an $8,000 loan for 90 days, the interest rate was:

A. 9%.

B. 12%.

C. 10%.

D. 11%.

116. The economic life of improved property is _____ in relation to the physical life of the property.:

A. greater

B. lesser

C. the same

D. dependent on the type of improvement

117. An agent is showing the home of an owner who has AIDS. Concerning the fact that the owner has AIDS, the agent should:

A. disclose the fact only if someone inquires.

B. disclose the fact whether asked or not.

C. disclose the fact if the buyer expects to obtain an FHA loan.

D. never disclose the fact without consent of the owner.

118. A builder submitted building plans that included design, specifications, and materials for approval. When reviewing these plans, the building inspector determined some of the proposed materials were not in accordance with local building codes but that the use of these materials would not constitute a safety hazard and therefore approved the plans. This is an example of a(n):

A. infraction.

B. variance.

C. permit.

D. exception.

119. All of these are secondary benefits of the Federal Housing Administration as established by the National Housing Act of 1934 EXCEPT:

A. elimination of short-term financing.

B. establishment of improved building standards.

C. mortgage guarantee insurance with low premiums to protect the borrower.

D. a loan amount appropriate for the borrower's income.

120. A wife signs an agreement to sell community real property. The contract as it applies to her and her husband is:

A. illegal.

B. voidable.

C. void.

D. enforceable.

121. Real property taxes on a condominium:

A. are billed to the entire project and prorated by the project manager.

B. are billed to the individual unit owners.

C. do not include the value of common areas in assessment.

D. are a lien on the individual unit owner, but not on the individual unit.

122. To achieve planning goals, local, state, and federal governments have the authority to regulate the use of or to purchase private property. In its broadest definition the source of this authority is known as:

A. eminent domain.

B. zoning.

C. master planning.

D. police power.

123. In the narrative form of appraisal report, where would the property value be stated?:

A. Purpose of the appraisal

B. Description of use

C. Description of the neighborhood

D. Legal description of the property

124. Which would have the least effect on property taxes in a community?:

A. Number of commercial buildings and high-priced homes

B. Homestead exemptions

C. Compactness of the community

D. Zoning and private restrictions

125. A selling agent who is the exclusive agent for the buyer can do all of these things EXCEPT:

A. personally submit the buyer's offer to the seller.

B. withhold negative information about the buyer.

C. submit his client's offer to the seller and seller's agent with the seller's approval.

D. act as the seller's agent since the seller is the one paying the commission.

126. When Atkins is selling his trade fixtures, which instrument must he execute?:

A. Bill of sale

B. Warranty deed

C. None of these

D. Chattel real

127. A woman purchased a home for $80,000 and executed a mortgage for $70,000. She paid the balance in cash. Subsequently, a period of economic inflation sets in. This would benefit:

A. the trustor.

B. the trustee.

C. the beneficiary.

D. neither the beneficiary nor the trustor.

128. In a period of inflation, the Federal Reserve Board would take which action to curb inflation?:

A. Raise reserve requirements and sell bonds

B. Reduce reserve requirements

C. Lower discount rates

D. Raise discount rates and buy bonds

129. A conduit in a new building would be installed by a(n):

A. plumber.

B. carpenter.

C. electrician.

D. roofer.

130. In setting up a release schedule under a blanket encumbrance the beneficiary will usually require a disproportionate amount of money to release a particular lot:

A. to have better security on the remaining lots.

B. because the best lots usually sell first.

C. to protect the investment as individual lots are sold.

D. for all of these reasons.

131. Which statement is NOT true with respect to depreciation as determined by an appraiser?:

A. It is inherent in the property and not created by outside influences.

B. It can be determined by more than one method of appraisal.

C. It is loss of value from any cause.

D. It can be computed for both past and future.

132. The required written agreement of broker-salesperson is a regulation of:

A. the real estate commissioner.

B. no one.

C. the Real Estate Board.

D. NAR.

133. A broker refers all his clients and customers to the West Hills Title Insurance Company. The title company gives the broker a $10 fee for each referral. This practice is:

A. permissible.

B. acceptable if the seller is paying for the policy and agrees.

C. acceptable if both buyer and seller are aware that broker is receiving a fee and agree.

D. forbidden.

134. An investor purchases an investment property. An appraisal of the property showed a 12% return. The broker gives the buyer a

financial report on the property but fails to take into consideration vacancies and management fees. The broker is guilty of:

A. caveat emptor.

B. fraud.

C. misrepresentation.

D. false promises.

135. The purpose of a trust account is to:

A. provide for the commingling of the trust funds and the broker's funds.

B. keep the broker's funds and trust funds separated.

C. provide easy disbursement of funds.

D. do none of these.

136. Which approach to a value estimate tends to set the upper limit of value?:

A. Replacement cost

B. Market comparison

C. Income

D. Comparative sales

137. All of these are exemptions from local real property taxes EXCEPT:

A. senior citizens' tax exemption.

B. homeowners' exemption.

C. low-income homeowners' exemption.

D. veterans' exemption.

138. Annual property taxes for a personal residence are:

A. determined by the assessments of the county assessor.

B. 1% of appraised value.

C. 1% of the assessed value plus additional cost for bond indebtedness.

D. 2% of cash value plus additional cost for bond indebtedness.

139. The real estate commissioner may require impounding of a purchaser's deposit in a subdivision when the blanket mortgage does not contain an unconditional release clause. This is for the benefit of the:

A. lender.

B. owner of the subdivision.

C. purchaser.

D. mortgage holder.

140. According to Title VIII of the Civil Rights Act of 1968 and an 1866 law enacted by Congress, a person discriminated against in the purchase of a home because of race could go into court and the court could determine all of these rulings EXCEPT:

A. revocation and suspension of broker or salesperson's license if the court concludes he has discriminated.

B. money damages and punitive damage to prevent a recurrence.

C. money damages for humiliation and embarrassment.

D. money damages and specific performance.

141. Which is a freehold estate?:

A. Estate at will

B. Estate in fee

C. Estate for years

D. Estate at sufferance

142. In order to comply with the statute of frauds, certain contracts must be:

A. accompanied by a deposit.

B. acknowledged by a notary public.

C. created by a lawyer.

D. in writing and signed.

143. If a change of ownership is not recorded, how many days after the change does an owner have to inform the County Tax Assessor about a change of ownership?:

A. 45 days

B. 15 days

C. 30 days

D. 60 days

144. Smith had the XYZ Swimming Pool Company install a pool. After completion of construction, a lien was filed on behalf of the XYZ Company to collect the amount of the contract. The lien filed was:

A. a voluntary lien.

B. none of these.

C. a specific lien.

D. a general lien.

145. A broker was intentionally renting only to members of the Caucasian race. Under the Unruh Civil Rights Act, he or she would be:

A. subject to suspension or revocation of his real estate license.

B. liable to pay the aggrieved person $250 in penalties.

C. held liable for actual damages incurred by the aggrieved party.

D. all of these.

146. Berg sells Mann a property, using a conditional sales contract. The contract is recorded and a deposit is made. Mann continues to live on the property but stops making payments and avoids Berg. He then abandons the property one night. In this situation:

A. the new buyer would not be concerned with Mann.

B. marketability of title is not affected.

C. the sale has no effect on the title.

D. there is a cloud on the title.

147. A man who owned a large tract of land wanted to subdivide it. Into how many interests would he have to divide the land before the subdivision comes under the Subdivision Map Act?:

A. Five

B. One

C. Two

D. Three

148. An increase in value, resulting from improved usability where one or more contiguous lots are joined together under single ownership, would be a definition most appropriately applied to:

A. appurtenance.

B. assemblage.

C. plottage.

D. severalty ownership.

149. Mr. and Mrs. Jenkins own a home worth $533,000 on which there is a $519,000 loan. Mrs. Jenkins alone filed a Declaration of Homestead. If there were a judgment lien filed against them:

A. the homestead is invalid since only Mrs. Jenkins filed it.

B. the home would not be sold because there is insufficient equity over and above the exemption and the secured lien to satisfy the creditor.

C. the home could be sold to satisfy the judgment.

D. the exemption would be for $10,000 since Mrs. Jenkins filed it without her husband's signature.

150. Unless otherwise specifically stated, a grant deed presumes to convey:

A. an estate for years.

B. a life estate.

C. a fee simple defeasible estate.

D. in fee simple.

Secrets to Passing the Real Estate Exam

Studying by itself is not always enough. Learning good examination habits and techniques is also important. Good "examinationship" will mean extra points for you.

Knowing how to take an examination can make the difference between passing and failing. Many people fail the real estate exam before they enter the examination room. Be prepared and be confident.

Don't study late the night before your examination. If you have done your preparation, the few extra hours of rest will mean more in being fresh for the examination.

Avoid the use of amphetamines. They frequently give a false sense of understanding.

They cause students to jump at an answer without carefully weighing alternative possibilities.

Allow yourself plenty of time to get to the examination location. Plan for traffic problems, parking, etc. Murphy's Law states: "Whatever can go wrong, will go wrong!" and O'Brian's Law states: "Murphy was an optimist!"

People are nervous at test time. Avoid pre-examination socializing. Talking with a group of nervous people will only tend to heighten your anxiety. Fear is contagious. Don't listen to the "expert" who knows the ropes simply because he has taken the exam several times.

He is obviously doing something wrong. Remain calm and confident. This is key!

Take a seat as far forward in the examination room as possible. You are less likely to be distracted by students moving in front of you.

The Department of Real Estate allows the use of non-programmable electronic calculators. Make sure you have one and you fully understand its

operation. Go through sample problems with it in advance. Some calculators will give wrong answers when the batteries are low. Remember “Murphy”: Have new batteries in your calculator.

Bring several sharp pencils to use for the examination. However, if the state supplies you with a pencil, USE IT, not your own. The test is electronically scored and your own pencil mark may not register. Different pencil manufacturers use different types of graphite in their pencils.

Pay attention to all instructions given by the examination tutor as well as those written on the examination.

If you are right-handed, place the examination answer sheet to the right of the examination booklet. If you are left-handed, place the answer sheet to the left. This way your arm does not crowd over the examination booklet while answering a question. Not only will it save time in finding your place, but it will also reduce the possibility of answering a question in the wrong section of the answer sheet. You DO NOT want to suddenly find yourself out of sequence by marking the answer to question 100 in the section for question 99 and find out you have been marking the wrong section for the past 15 questions.

Frequently among the first few questions it seems that there are some of the most difficulty. Physiologically it will throw you off pace and the Department of Real Estate has coldly done this on purpose. What you will want to do is skip the first 5 questions and start with question number 6. Once you have finished all the questions, then go back and do questions 1 through 5. Also, you will want to skip all the math questions in your first run through. You will want to wait to answer any math questions until the very end. This reason for this is that the brain takes about 10 to minutes to completed go from a comprehensive thinking to analytical mathematical thinking. Your exam will be timed and you will only have about a minute and a half for each question. So your time will be valuable.

Here is a run down of how you should approach the exam process:

You will be allowed one sheet of scratch paper. On this sheet make 3 columns labeled A, MATH and GUESS. Write the numbers 1, 2, 3, 4, 5 in

column A and draw a line under number 5. These are the first 5 questions you are going to skip and come back to. Remember we mentioned this earlier in the beginning of this book. On this first run through you are NOT going to guess at any questions. Start with question number 6. Let's say you know the answer and you answer it correctly. Then go to the next question, number 7. You do not know the answer right away and it might cause you to think about it for awhile. Remember time is valuable. Write the number 7 on your sheet of scratch paper in column A with the other numbers. You will come back to this later. You go on to question number 8. This one you know, and answer it correctly. You continue on answering correctly until you come to question number 15. It is a math question. Place this in the MATH column and any other math questions you come across on this first run through.

From now on in this first run through you will place all questions you do not know right away in the column A, any math questions in column labeled MATH. The column labeled GUESS will be for the second run through. Your scratch paper should now look like the image on the next page.

A	Math	Guess	
1	15		
2			
3			
4			
5			
7			

Continue with your first run through of the exam, placing math questions in the MATH column and unknown questing in column A until you get to the end. You will find that there will be very few math question on the exam. They do not weigh very heavily on the exam.

Now you are ready for the second run through. Look at your scratch paper. Go to column A and start with the first question below the line under the number 5. This question has now had some time to incubate in your mind, or there was another question like it in the exam that you answered correctly. You now know the answer and answer it correctly.

Cross out the number 7 and go to the next one in the column. Continue until you come across one in this column that you still do not know or absolutely have not clue. Let‘s say it was question number 37. Cross out number 37 and place it in the GUESS column.

Continue on this second run though. Answering the ones you now know and crossing them out, and placing the ones that you still do not know in the GUESS column until you reach the end again. Your scratch paper should look something like the image on the next page.

A	Math	Guess	
1	15	37	
2	21		
3	35		
4	45		
5	67		
~~7~~			
~~18~~			
~~26~~			
~~37~~			
42			
63			

Now for the third run through. Go back to column A and answer the first 5 questions. Do the same as before. The ones you do not know place them in column labeled GUESS.

Once you have gone through the first 5 you are now ready to go on to the MATH column.

Do the same with this column. If you absolutely do not know one of the math questions, place it in the GUESS column. Your scratch paper should now look like the one on the next page.

A	Math	Guess	
~~1~~	~~15~~	37	
~~2~~	~~21~~	4	
~~3~~	~~35~~	21	
~~4~~	~~45~~		
~~5~~	~~67~~		
~~7~~			
~~18~~			
~~26~~			
~~37~~			
42			
63			

Now you are ready to attack the GUESS column. First go to the math question. If the math question has answers that look like the ones below, you will see that nothing in residential real estate costs $36.00 and hardly anything in residential real estate costs $360,000,000.00. So, you can eliminate A and D. This leaves B and C and a 50/50 chance at getting it correct. Take a look at the question once more. Look at the numbers that are being used in the question and the type of question it is. Is the math question about commission or annual interest? If so, the answer may be C. Or, is the math question about fees, penalties, monthly payments, monthly savings, or monthly interest? If so, then the answer to this question is probably B.

A. $36.00

B. $360.00

C. $3600.00

D. $360,000,000.00

Finally, finish the GUESS column with the comprehensive questions you had no clue about. Can you play the elimination game with those and give yourself a 50/50 chance on those too? If so, great! But still do not answer it. Locate the question on your answer sheet. Look at the answers you bubbled in for the 3 before it and the 3 after it. Does there seem to be a pattern? In the Department of Real Estate's exam there are patterns and they usually happen in 4's. If you see that there is a pattern of 4 with the answers like the ones below, continue that pattern.

35. B

36. B

37. (this one you did not know and is in your GUESS column)

38. B

39. C

So, for number 37 you will mark it B. If you do not see a pattern, and you cannot eliminate to make a 50/50 chance, do as the old college saying goes,

“if you don’t know it, mark it C“. You will be amazed at how many question on ANY exam has the letter C as the answer.

So, now you have the tools to take your exam with even more confidence knowing that you have a better chance at passing your exam than anyone else there in the exam room.

Many people consider the examination which they took to become a real estate license tougher than any examination they ever had in college. You can see that there are hundreds of unfamiliar terms and phrases too be learned which cover a wide spectrum of areas.

Do not be intimidated by the size of the task before you. You do not need to have an exceptional intellect or memory to pass your examination. What you must have is dedication to continue with your studies and plan to get the most of your study time. As said before, confidence is the key.

Many students are discouraged because of confusion. During your first few lessons, confusion is the normal situation not the exception. Many students have stated that they are confused and unsure until they start their reviews. Then things start to clarify and make sense.

Teenagers and octogenarians have passed real estate examinations, and you can too. A positive attitude and learning how to study and take an examination can mean your success.

Closing

The Department of Real Estate or Real Estate Commission regularly changes the real estate exam. However, they do not write new questions for each new exam. The state keeps a test bank of real estate questions. Each real estate exam is composed from this bank of questions. Questions are dropped from the bank that are either seldom answered correctly or nearly always answered correctly. Consequently, the majority of the questions are repeated again and again. Often questions will be changed slightly to call for a "negative" rather than a "positive" answer. Other times the question will remain the same, but the answer will be worded differently. The questions offered in this Real Estate Exam Prep book are questions from this "test bank". Studying these questions and answers (with explanations) is a great way to familiarize yourself with the examination you will receive by the Department of Real Estate or Real Estate Commission, and will substantially increase your odds of passing the exam on the first try.

As mentioned before, confidence is the key. What better why to give yourself confidence than to have this book along with the questions and answers BEFORE you take the exam. Knowing exactly what to expect on the day of your exam will boost your confidence level.

Thank you again! We hope this book will give you the confidence needed to pass your real estate exam and become a successful real estate agent.

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